

Markets as Networks



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Edited

by

Tanya Chavdarova, Petya Slavova and Svetla Stoeva

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Contents

PREFACE.....	7
I. SOCIAL NETWORKS AND MARKET POSITIONING	
Luísa Veloso <i>The Social Conditions of Markets Construction: Economic Field and Social Networks.....</i>	15
Silvia Gómez, Sarah Hoeksma and Jose Luis Molina <i>The Personal Networks of Small-scale Bulgarian Entrepreneurs in Catalonia (North-Eastern Spain): Two Study Cases (Roses and Barcelona)</i>	32
Tanya Chavdarova <i>Informally Self-employed Young Bulgarians: Social Networks and Market Anonymity.....</i>	49
Stoyan Novakov <i>Social Networks and Labour Market Positioning of Bulgarian Sociology Students... </i>	62
María Laura Viteri and Alberto Arce <i>The Meaning and Negotiation of Quality around Fresh Fruit and Vegetables in Argentina.....</i>	79
II. NETWORK FORMS OF ORGANISATIONS AND INTERORGANISATIONAL NETWORKS	
Marc Höglinger <i>Networks in the Market for Employee Training. Social Embeddedness in Firms' Search for and Selection of an External Training Provider</i>	97
Zoya Kotelnikova <i>The Continuity of Intertemporal Exchanges between Retailers and Suppliers in Russian Consumer Markets</i>	114
Sabine Gensior <i>Reorganisation of Companies and Regional Economies – Societal Transformation, Organisational and Personal Networks.....</i>	132
Oscar F. Contreras and Paula Isiordia <i>Local Networks and Absorption Capacity in the Auto Industry: Upgrading Low Cost Regions within Global Production Networks. A Case Study in Northern Mexico</i>	148
Sabine Pfeiffer, Petra Schütt and Daniela Wühr <i>Innovation, Market, Networks – Interdependencies, Synergies and Contradictions in Technical Innovation Processes</i>	165

III. LINKING SOCIAL CAPITAL AND NETWORKS

Efim Fidrya

The Formation of the Market Culture and Network Structure:

Logic of the 'Domestic' World and Social Capital. 183

Pieter-Paul Verhaeghe and Bart Van De Putte

Social Support as a Form of Social Capital in Status Attainment

Research – An Explorative Study 201

Kónya Hanna

The Appearance of the Moldavian Csángó Elite as a Consequence

of Transnational Migration 217

Sinisa Zaric and Vojislav Babic

Social Capital Influence on Global Economic Crisis. 229

Tatiana Stoitchkova

Literature Market, Networks and Some Characteristics of Literary Prizes. 248

PREFACE

About three years ago we suggested to Sylvia Walby, the chair person of the RC02 “Economy and Society” of the International Sociological Association (ISA) to organise an interim conference on markets and networks at the Department of Sociology, Sofia University “St. Kliment Ohridski” and to publish a volume of papers presented at the conference. The underlying issue was to obtain better understanding about the various forms of interplay between markets and network structures.

Having decided to do a conference and after securing the much-appreciated financial and organisational support of the ISA RC02 “Economy and Society”, the Faculty of Philosophy at Sofia University, and the Bulgarian Sociological Association, we then had to decide whom to invite to the conference as keynote speakers. We were happy to get positive response from David Stark (Columbia University) and Olivier Godechot (CNRS) who had done a very influential work on networks and markets. Our objective was to bring together theoretical contributions and reports on recent empirical research, and, of course, good combinations of the two. And indeed, the participants at the conference entitled “Markets as Networks” (held in Sofia, 25–26th of September 2009) critically reviewed the major conceptual tools that economic sociology has proposed in order to understand the markets and network structures. They also discussed various empirical findings in this research area. Two plenary and five workshop sessions put in touch researchers from Europe, North and South America. Due to the generous support provided by the Faculty of Philosophy at Sofia University “St. Kliment Ohridski” and ISA, especially for accommodation grants for young participants, about half of the presenters were young researchers. Later on, interested participants provided their revised papers for publication. This volume with conference proceedings contains all the submitted papers without selection. The responsibility to provide a paper written in a reasonable standard of English lies with the author. Editors are not responsible for making language corrections.

We would like to thank all the participants at the conference for writing papers and for providing feedback and commentary on the papers. Special thanks are due to David Stark and Olivier Godechot for their valuable contribution as keynote speakers and for the active role of discussants they played. The revisions we received reflect the quality of this feedback and the thoughtfulness of the authors in incorporating it. Many thanks also to Stoyan Novakov and Diana Nenkova who helped organise the conference. Finally, for the readers of this volume, we hope that it will stimulate their own thinking in the study of markets as networks.

February 1, 2010

Sofia

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PLAN AND SUMMARY OF THE BOOK

The chapters in this book are organised in three sections. Section I, *Social Networks and Market Positioning*, brings together contributions that deal with the role that networks play in securing competitive advantages on the market. In Chapter 1, Luísa Veloso, by adopting a critical point of view to the concept of market, puts forward the concept of economic field, as proposed by Pierre Bourdieu (1997). She discusses the social conditions of markets construction, stressing that the network structures are crucial for both the positioning of firms and their products on the market. In order to develop her theoretical arguments, L. Veloso studies the historical trajectory and strategy of a Portuguese business group in the electromechanical industry. The analysis shows the importance of social relations shaped as networks for the positioning of firms and their products on national and international markets.

The networks of ethnic entrepreneurs in Spain are object of the research of Silvia Gómez, Sara Hoeksma and Jose Luis Molina presented in Chapter 2. They examine the small-business world of Bulgarian migrants in two Catalan locations – the cities of Barcelona and Roses. The main research goal focuses on the composition and structure of Bulgarian migrants' social networks in order to understand their strategies for successful positioning of the specific local markets. The empirical results suggest that the role of social networks in enabling the access of migrants to the host society's market system is crucial. They allow migrants to adapt themselves to the local economic and social dynamics. The location size also highly matters in this respect, in terms of determining the concrete types of social networks that may patronise or discourage the entrepreneurial venture.

By studying young self-employed workers in Bulgarian informal economy, Tanya Chavdarova examines in Chapter 3 how their network action is combined with atomised market action and also studies the degree to which the strong and weak ties are important for doing business in informal way. Her results from a qualitative study indicate that off-the books self-employment is typically a spin-off of the social exchange of favours between friends and acquaintances, which by “word-of-mouth” intensifies and turn into a regular market exchange –illicit, albeit socially legitimate. It is its social legitimacy that enables the anonymous market action to gain significance, although informal self-employment is still heavily embedded in social networks. Whereas strong ties are more important in the initial phase of setting up the business, the weak ties play a bigger role in the expanding phase.

In Chapter 4, Stoyan Novakov investigates via qualitative methods the relevance of social networks for the labour market positioning of Bulgarian sociology students and their interdependence with students' labour motivation. He identifies three types of networks to be the most influential in the process of job-seeking and starting students' career: friendship, peer and lecturers' networks. These networks, firstly, channel the information about workforce supply and demand. They also shape students' understanding of the meaning of work and their attitudes towards employment, as well as their professional interests. Different networks appeared to have different functions and strength depending on what motivates the students to work while studying. The author concludes that in an institutional context characterised by missing regulations of the job market for students, students labour is predominantly a network phenomenon.

María Laura Viteri and Alberto Arce analyse in Chapter 5 the “quality turn” (Goodman 2003) of agricultural commodities in Argentina. Their central concern is to show that the definition of quality of food products is not a pure technological process but a matter of social negotiation between interested parties. “Quality strategies” are constructed and developed by supermarkets, greengrocers and producers. By negotiating, the involved actors connect their life-worlds and associated knowledge. Thus, as a result of these social negotiations they establish an official quality standard which plays an important role for products positioning on the market and their prices.

Section II, *Network Forms of Organisations and Interorganisational Networks*, contains five chapters that examine the networks pattern of interlinkages within and among various organisations. In chapter 6, Marc Hoeglenger studies the transactions that take place when firms purchase training services from external employee training providers. He explores how prevalent is the repeated and socially embedded exchange when firms engage an external training provider and how important are social networks when firms search for a new training provider. The analysis is based on data from a representative Swiss establishment survey on organisations' purchases of employee training services. The author provides empirical evidences that social embeddedness is generally highly prevalent in the procurement of employee training services, although there are differences depending on the characteristics of a particular training program and between different purchasers. M. Hoeglenger also finds that minimizing search efforts is an equally important motive for an embedded exchange or embedded search as securing risky transactions.

Zoya Kotelnikova explores in Chapter 7 the patterns of market exchange and the specifics of interorganisational relations between retailers and their suppliers in contemporary Russia. Based on data from 500 questionnaires with

managers in five Russian cities, the research testifies that the most popular pattern of exchanges among Russian retailers and suppliers is the so called “hybrid model” which is relationship orientated and implies medium- or long-term ties, multiple-sourcing, and infrequent switching of ties. Yet, it is more relevant and important for suppliers than for retailers, which has to do with their market power. Risks of dissolution of retailer-supplier ties depend on competition strength, market power and institutional forces.

In Chapter 8, Sabine Gensior contributes to the discussion of network forms of organisations and interorganisational networks from the perspective of regional value-added chains. By applying the “social embeddedness” and “network” approaches, she investigates the ways in which regional network structures are established and could generate endogenous stability. Her research based on series of individual case studies and a representative survey of companies in east Germany, provides evidences in favour of the idea that multiple dimensionalities of social relationships not only constitute a key factor underpinning the establishment of regional networks but is crucial when it comes to their stabilisation. S. Gensior concludes that the regional value chains appear to function as demonstrable “springboards” for the acquisition of supra-regional resources.

Oscar Contreras and Paula Isiordia describe in Chapter 9 the trend of increased regional integration within major international markets on the basis of case study in the auto industry in Sonora, Mexico. The authors explore how local assets, embedded in social networks, interact with the operational needs of the assemblers and global suppliers in order to meet global standards and to promote the upgrading of the local suppliers and the improvement of the local absorptive capacity. Two specific aspects are analysed: a) the creation of local organisations oriented to the formation of collaborative networks by offering information, training, financing, and coordination; and b) the role of local social networks in the creation of small and medium-sized companies supplying high value added services linked to production.

In Chapter 10, Sabine Pfeiffer, Petra Schütt and Daniela Wühr discuss the results from a qualitative study of innovation networks in five market-leading machinery manufacturers in Germany. The authors challenge the conceptualisation of innovation networks as a consequence of plain economic dynamics or of strategic actions in the realm of financial business. They perceive this approach as a restrictive one and assert that the answer of the question how innovation actors interact in innovation networks can only be found by looking at the concrete level of work and collaborative actions. The empirical outcomes demonstrate the blend of market principles and human collaboration in innovation networks. The participating actors are usually involved in stable,

trust based relationships. Though studied innovation networks are characterised by firm partnerships, they are highly dynamic, as well.

Section III, Linking Social Capital and Networks, consist of five chapters that deal with different ways of relating social capital to networks. Efim Fidrya analyses in Chapter 11 the logic of functioning and differences in network structures, consisting of companies that operate on two local markets (computer market and car spare parts market) in the Magadan region, North-East Russia. Both markets have emerged during the 1990s and have been influenced by common geographical, legal, economic, political conditions. Drawing on the concepts of different types of capital (Bourdieu) and different worlds of worth (Boltanski & Thevenot), Fidrya depicts the structure of local networks and conversion of forms of capital necessary for successful business. According to Fidrya, the “domestic worth” is dominant on both local markets. The social capital is the main tool for reducing uncertainty of different kinds; the diversity of strong and weak network ties is a common feature for all studied firms. The network positions of the firms are defined by volume and diversity of their capitals. According to Fidrya, the investments in social capital could be interpreted as kind of local rationality developed by social actors.

In chapter 12, Pieter-Paul Verhaeghe and Bart Van de Putte examine both theoretically and empirically whether social support can be considered as a form of social capital. Using data about the attained holiday job of first year university students in Belgium, they test empirically the theoretical conceptualisation of social support as a form of social capital. Their results confirm both the social resource proposition and the strength of ties proposition. In particular, job search support from the immediate and extended family (strong ties) appears to be more effective than support from friends (middle ties) and acquaintances (weak ties).

An interesting approach to the problem of social capital and networks is presented by Kònya Hanna in Chapter 13. She examines the effects of migration on the transmission of minority elite: the Csángó society. Hanna's interest focuses on questions such as how the rural elite is developed, what kind of migration patterns lead to the appearance of the local elite, is it a first generation elite, or Csángós were already in elite positions, but as members of the Romanian elite. The research findings show that the Csángó elite consist of those migrants, who can build a bridge between the geographically distant regions through their heterogeneous personal networks. Thus, according to the author, the social, economic and cultural capital, generated by them, serves as a catalyser for the appearance of the local/minority elite.

In Chapter 14, Sinisa Zaric and Vojislav Babic take stand in the economic and social capital theory and develop the thesis that global economic crises (Great Depression, economic crises in the 1970s and 1980s, etc.) appear in

period with noticeable low stocks of social capital. They assume, in particular, that there is a direct link between economic crises on the one hand and, on the other hand, social trust and rate of participation in informal organisations. From that point of view, they analyse the causes of 2007 economic crisis in the United States and show that the long-term decrease trends of both average participation rates in informal organisations and the level of social trust in official institution are followed by deep economic crises.

In the concluding chapter of this book, Tatiana Stoitchkova studies the way in which the Bulgarian literary market is related to literary prizes. Stoitchkova built the hypothesis that the practice for awards and prizes is sustained by institutional structures, networks and informal personal ties. The author identifies two important types of networks in this regard. The first one is the hierarchal literary system, dominated by so-called “gatekeepers” which have key positions within the literature prizes milieu. The second ones are the peripheral networks that promote local literary and cultural life. The author draws attention on the fact that, as “two ideal types”, these networks do not have clear boundaries, mostly due to the informal personal ties between participants and groups.

We believe that the papers in this volume make important contributions in the area of empirical studies devoted to markets and networks

Tanya Chavdarova, Petya Slavova, Svetla Stoeva

I. Social Networks and Market Positioning

The Social Conditions of Markets Construction: Economic Field and Social Networks

Luísa Veloso

1. Introduction

This paper aims to cast a critical glance over the issue of the market, presenting it as a social construction. The discussion will be centred on an alternative proposal based, mainly, on the concepts of economic field (Bourdieu, 1997) and that of networks (Granovetter 1983, Callon 1999), trying to articulate the two concepts. Criticism of the concept of the market should include the presentation and discussion of proposals not only involving concepts but also conceptual frameworks that produce results in an analysis of the real. It is for this reason that a reflection on the social construction of markets (Oliveira 2008) is envisaged: it will underline the importance of the structures of networks (direct and indirect) of social relations between the individuals and institutions providing their dynamics, not in isolation, but in networks (the repetition here of the word ‘network’ is intentional) and the historic processes of their establishment, focusing on the factors that explain the social formation of markets (Marques 2003:5).

The problematisation by Bourdieu (1980a) of the concept of field seems to be particularly interesting to us and to represent considerable explanatory power to the study of the constitutive structure of the economic phenomena. In addition, on the basis of the market as a construction and not a “given”, it is crucial to problematise the social conditions of its production. And it is even more relevant when the debate on the issue of innovation and the incorporation of knowledge, in particular into products, productive processes, and management and marketing strategies, ought to be considered within the scope of structures of networks that are in close articulation with the economic and scientific fields.

What this paper asserts is that the notion of the market does not allow us to problematise this complex set of phenomena. Accordingly, it proposes to apply the concept of economic field. This allows us not only to transcend certain analytical limits associated with sectoral thinking but also to show that other factors help to structure the economic fields and that, among these, and with others, a whole set of networks is structured. Thus it may be possible to speak of mercantile or market transactions as relations that, within the economic field,

are characterised by the exchange of goods for a monetary value, and to address the phenomena that take place in the economic field.

To demonstrate this reflection, some empirical results from a case study of a Portuguese business group (Veloso 2009) in the electromechanical industry will be presented. This raises questions, simultaneously, that demand further study in future research programmes.

This paper is divided into four sections. The first discusses the concept of the market and the social conditions of its construction and discusses the concept of the economic field. The next section considers the networks of social relations that structure the economic field. The following section concentrates attention on the case study carried out on a Portuguese business group. The paper ends with a number of conclusions about the research developed.

2. Market and economic field

2.1. Market and institutions

In economics there is a keen debate around the notion of the market. Though not absolutely rejected, it has been debated by the so-called “institutionalist” line of thought¹. This states the unacceptability of the neoclassical perspective of the market as a space of free, pure and perfect competition, governed by the optimal allocation of resources and given vitality by a group of economic agents that guide its action in a rational way because they have access to all the information necessary to make their absolutely coherent decisions. As Bourdieu (1997) mentions, with the marginal revolution “the market stops being something concrete, to become an abstract concept without an empirical reference point, a mathematical fiction that returns to the abstract mechanism of price formation described by trade theory” (Bourdieu 1997: 50).

In his inaugural text, Veblen (1898), whose observations fall within the so-called “old institutionalism”, reflects on the economic institutions and their interpretation of the human being, who, *“is not simply a bundle of desires that are to be saturated by being placed in the path of the forces of the environment, but rather a coherent structure of propensities and habits which seeks realization and expression in an unfolding activity. (...) human activity, and economic activity among the rest, is not apprehended as something incidental to the process of saturating given desires. The activity is itself the substantial fact of the process, and the desires under whose guidance the action takes place are circumstances of temperament which determine the*

¹ The perspectives of the authors grouped within it are heterogeneous. See, e.g., the four forms of new institutionalism proposed by Fligstein: historical institutionalism, rational choice institutionalism, economic institutionalism and sociological institutionalism (Fligstein 1998: 2).

specific direction in which the activity will unfold itself in the given case" (Veblen 1898 : 390).

Veblen is concerned with rejecting neoclassical assumptions, stressing the imperative of setting human action within the conditions in which it takes place.

Furthermore, it is clear that the market is, necessarily, a political, economic, social and ideological construction. Thus, individuals are not atomised beings that take their rational decisions independently of their resources or their position in the social structure.

The matter in question is that "the behaviours of individuals and actors and the dynamics of economic spaces are not merely the result of logic of calculation and rationality or of an exclusive form of governance (that of the market). They are also bound directly to cultures, value systems, habits, routines, rules and institutions" (Reis 2007 : 7).

In adopting an institutionalist perspective of the analysis of economic phenomena, we can view them in their multiple dimensions and their contingency, with mercantile exchanges being taken as only one of the aspects that characterise them.

2.2. The social conditions of markets construction and the economic field

The so-called sociology of markets has carried out a reflection that includes distinct points of focus² and is based on the assumption that markets are social structures. This assumption is based on a critical position vis-à-vis the neoclassical perspective of the market, understood as a space in which atomised actors meet and deal in goods on the basis of all the information that they need. One of the points of departure for these different perspectives is the work of Polanyi (2001) [1944], in which, as Fligstein and Dauter mention, the author refers to state intervention in the markets as crucial "to stabilize them and to provide social protection for workers and rules to guide the interactions between groups of capitalists" (Fligstein and Dauter 2007 : 110). What Polanyi (2001) [1944] states is that, in market-based relations, self-interest prevails over other relationships, which causes disembeddedness. In this case, the new forms of regulation necessary – re-embeddedness – would include the state action already mentioned. Polanyi (2001) [1944] stresses the fact that social relationships are a crucial condition to the construction and development of markets.

Granovetter (1985) picks up this issue stressing the fact that economic dynamics are embedded in social relations, which is of extreme importance to

² Fligstein and Dauter (2007) give a detailed account of the various views developed within the sociology of markets.

sociologists' work on the market and economic phenomena. At the end of this paper, the author states:

"I believe the embeddedness argument to have a general applicability and to demonstrate not only that there is a place for sociologists in the study of economic life but that their perspective is urgently required there. In avoiding the analysis of phenomena at the centre of standard economic theory, sociologists have unnecessarily cut themselves off from a large and important aspect of social life and from the European tradition – stemming especially from Max Weber – in which economic action is seen only as a special, if important, category of social action" (Granovetter 1985 : 507).

For this reason, markets should be analysed with particular attention to the social relationships established between individuals, the mechanisms of institutional regulation (including the state intervention) and the cultural meanings attributed, in that "products are cultural objects imbued with meaning based on shared understanding and are themselves symbols or representations of these meanings" (Fligstein and Dauter 2007 : 115).

The analysis of economic phenomena should be based on social reality and take into account the action of individuals, the social relationships that they establish and construct among themselves, and the institutional mechanisms surrounding them. The analysis of the social conditions of markets construction should, therefore, include the micro, meso and macro levels of analysis, and not only the first one, centered on the individuals' actions.

For this reason, it is all the more relevant to consider this set of social, cultural and economic dynamics within the scope of a particular field. Taking a structuralist view, Bourdieu is one of the pioneering authors with his concept of field, which, in the 1990s, he applied to the economy (Bourdieu, 1997; Bourdieu, Christin, Bonhedja and Givry, 1990). With this approach of Bourdieu it is possible to offset (and complement) the relative absence of structural factors in the problematisation by Granovetter (1985).

Bourdieu's sociological reflection is based on a critique of the market concept and economic orthodoxy. It states that what the latter assumes as a given – supply, demand and market – is the product of a social construction and is endowed with a historic substratum (Bourdieu 1997 : 49). So we cannot ignore the fact that, besides the economic factors, there are others – economic, cultural, political etc. – that condition the behaviours that certain writers on economics assume as rational, universal and wholly independent. Even if we consider the mercantile transactions as economic facts, we cannot neglect the fact that those are social relationships.

This paper assumes that the concept of economic field allows us to analyse economic phenomena, understood as historically contextualised and part of the

social structures of the economy. Bourdieu, Christin, Bonhedja and Givry (1990) carry out work of an ethnographic nature, on the “field of housing production” (Idem, 10), distinguishing between this and the “market for individual houses” (Idem, 10). The latter is restricted to transactions of economic goods, seen as social relations and as a social construction: the construction of supply and the construction of demand (Bourdieu 1997 : 49). The question argued here is that, to understand what may be termed as market, in this narrow sense, it is essential to carry out an analysis of the whole structure that sustains it: the economic field. With the concept of field, it is hoped to contribute to an understanding of the differences between firms and the objective relations between them (Bourdieu, Christin, Bonhedja and Givry 1990 : 10).

The concept of the economic field thus demonstrates the complexity and hierarchical nature of the network of relationships that structure the economy.

3. Economic field and networks of social relations

Problematising the structuring and factors on which an economic field is configured can be combined with an analysis of social relations networks³. Fully aware that, from an analytical viewpoint, we are dealing with different levels of abstraction, we propose to analyse the structure of the economic field and of the relations between fields, taking the networks of social relations between individuals and between institutions into account. This will not only include the direct social relations reflected in face-to-face social interaction but also indirect social relations that involve a multiplicity of agents and entities.

The Granovetter’s perspective (1985) is important. He focuses on the assumption that economic behaviour is embedded in social relations. Granovetter mentions that neoclassical economics “disallow by hypothesis any impact of social structure and social relations on production, distribution, or consumption. In competitive markets, no producer or consumer noticeably influences aggregate supply or demand or, therefore, prices or other terms of trade” (Granovetter 1985 : 484). He goes on to say that it is also a normative question when he states that “the idealized markets of perfect competition have survived intellectual attack in part because self-regulating economic structures are politically attractive to many” (Granovetter, 1985 : 484). And, for this reason, “the elimination of social relations from economic analysis removes the problem of order from the intellectual agenda, at least in the economic sphere” (Idem). In reflecting on the perspectives that exacerbate socialisation (oversocialised)

³ An analysis of the literature on this topic can be found in Smith-Doerr and Powell (2004) and of the various software programs that have been developed to analyze the configurations of social networks.

or neglect it (undersocialised), the essential issue that Granovetter raises is that both share a “conception of action and decision carried out by atomized actors” (1985 : 485). The first underline behavioural patterns as an outcome of social relations, without having notable effects on behaviours; and the second consider individual behaviours as forms of putting self-interest into effect⁴. Seeking to go beyond these two polarised points of focus, the author offers an analysis of individual action, as embedded in systems of social relations. Thus, it is essential to take social relations into account, as well as the “historical and structural embeddedness of relations” (Granovetter 1985 : 486).

4. Empirical evidence: a Portuguese business group

In this section we shall give an empirical evidence of the position of a business group (A) in the economic field of electromechanics, at a national and international levels, the largest Portuguese business group in the production of electronic, energy and engineering equipment and transport and industrial logistics services. The selection of the business group was based on the theoretical aim of focusing the research on a reality that would provide us empirical evidence about an economic field quite important in Portugal and particularly due to the fact that its economic capital is totally Portuguese, when most of the studies are focused on multinationals that invest and create firms in several countries around the world.

The analysis will be consolidated with the examination of the real situation of one of its firms (B)⁵ to affirm its position in the field, with particular attention being paid to its keen commitment to creating own-brand products with high added value.

We do not make a full analysis of the field of production and marketing (nor delineate it, as this would involve, in particular, an analysis of the activity of the sector, the upstream and downstream sectors, the economic dynamics of the territory, competing firms, and the networks of international relations) but rather an analysis of the structure of relations and resources that the business group mobilises to guarantee a competitive position in the field⁶.

The study is based on the gathering and analysis of documents held by the firm on its history, policy and strategy and on semi-direct interviews with business

⁴ Hirschmann (1977) addresses the notion of interest in a highly relevant manner.

⁵ The letters A and B have been adopted to safeguard the anonymity of the entities studied.

⁶ Future research on this subject should include the analysis of informal relations between managers and other agents, like universities directors or members of political parties. The aim of this paper and of the research conducted was not to develop this field of analysis, but to stress the network of relations that structure the economic field (inter and intra-field). This is the first analytical step to develop a deeper analysis at the micro level of inter-personal relations.

group A and firm B managers. These include people from the president of the board to the heads of various departments, e.g. the R&D, marketing, product management and development, and production management departments. It was carried out a content analysis of each interview and constructed a set of categories. The research was conducted between 2000 and 2004, and the interviews took place during this period of time⁷.

The empirical evidence presented in this paper is underpinned by what the managers said in the interviews. However, underlying this is a whole documentation analysis that was carried out and an extended direct observation of the work carried out by the researcher in the business group firms.

4.1. Brief historical contextualisation of the business group and the firm

Business group A is a Portuguese national leader in the electromechanical sector, set up in 1905. The 1940s were particularly important for the firm of the time, which expanded with the electrification of the country. At the end of 1950s, it associated itself with a Belgian firm, which gave it access to product technology, with a significant assimilation of knowledge, and allowed it to position itself strategically at an international level in certain market niches. However, its position was restricted as it was limited to licensed production. The sixties and seventies saw the economic growth of the firm and an increase in the number of workers, which rose from 721 to 4020 between 1960 and 1975. The firm diversified its product range, focusing on electrical products such as transformers and circuit breakers.

The eighties and nineties were an extremely important period for the firm, in which its position in the field of electrical material production changed with its orientation towards international activities. As the president of the board stated, nationally the firm had a certain monopoly in particular electrical products and was growing in a “*protected market, with customers who were almost obliged to buy*”. This allowed a “*profitable phase. (...) However, the economy in Portugal changed, opened up suddenly (...) and the firm embarked on a difficult period in which it was forced to rethink the whole picture*”. This was when the rationale of the commercial transactions was turned upside down and the firm began to focus on exporting to different countries, establishing manufacturing units, commercial agents and delegations outside Portugal and setting up joint

⁷ It was interviewed 17 top and intermediate managers from the business group A and firm B. The interviews scripts have different aims and, therefore, the questions vary in accordance to them. The main spheres of the interviews were: the historical trajectory of the business group and its firms; the firms' strategies (e.g. product, production, market, marketing, quality, human resources); the main characteristics of the models of work organisation; the main characteristics of the organisational structure; the characterization of the production processes; the characterization of the technical system.

ventures with local firms. It was a matter of strategic alliances with various objectives, including, in particular, the conquest of market segments. Through the nineties, the implementation of this process of sustained growth was marked, in particular, by a commitment to R&D activities. This entailed strengthening various partnerships with universities and research centres and withdrawing from manufacturing under licence. The firm now manufactured products exclusively using own trade name. In 1999, business group A was created from a set of firms. With this decision, the constituent firms were structured as business units.

The last 10 years have been marked by the consolidation of the business group's positions in the economic field, with sustained growth based on internationalisation and a range of decisions that have been in the process of being formulated since the 1980s.

Focusing now on the relations the business group inside and outside the economic field, we propose a structuring scheme in terms of types of network relations, for an economic field is intrinsically made up of networks of relationships with intra and inter-field hierarchies. In relation to the latter, another distinction may be made: the networks of relations among economic fields and among economic fields and other fields (artistic, educational, scientific etc.).

With the business group as the point of observation, it seeks to analyse the type of relations that should be considered, which will be discusses in the following two subsections.

Table 1. Networks of social relations: a typology

Network type	Network agents	Network structure
Competition	Competing firms	Intra-field
Business cooperation	Joint-ventures	Intra-field Inter-field
Institutional cooperation	R&D institutions Educational institutions	Inter-field
Contracting/ subcontracting	Suppliers	Intra-field Inter-field
Production/manufacture	Firms and subsidiaries	Intra-field
Marketing	Commercial agents (real and virtual)	Intra-field
Financial	Financial agents	Intra-field Inter-field
Mercantile	Customers firms	Intra-field Inter-field

As the table illustrates, firms stand out as the predominant entities in the relations in the economic field, sharing one of the assumptions of the markets-as-networks approach, as it underlines, precisely, the “interdependence of firms

in business markets, and analyses how these interconnections are managed” (Smith-Doerr and Powell 2004 : 395).

4.2. The business group in the economic field: what leadership?

The starting point to stress is that we are dealing with a hierarchical field, in which the relations of strength between the firms and the command of a significant part of the capital (considering the different forms) grant it a certain position of power.

Two aspects should be mentioned here.

In the first place, business group A holds a strategic position in the field from the perspective of conquest and positioning in market niches, as it cannot compete with business groups and firms on a much greater scale and with much higher capacity. As the president of the board stated:

“Our competitors are almost always multinationals which are a hundred or two hundred times bigger than we are. (...) But there are little holes that the big beast can’t get into. And the small beast can, so I think our motto is precisely this, it is to manage to find areas of differentiation. (...) It may be said that we are in the second division and our objective is to be second division champions. (...) We don’t aspire to being the champions of the first division (...), though in the second one we will fight for leadership inch by inch.”

Thus, in recognition of its different position vis-à-vis the leaders, business group A’s objective is to follow a strategy of differentiation.

In the second place, the group’s position in contracting/subcontracting networks should be noted (see Table 1). If, given its position as part of the “*second division*”, the group finds its place in international subcontracting networks as a subcontractor, its position as a contractor is more evident, on the basis of the principle of “specialised subcontracting” (Marques 1992 : 130), based, in turn, on the “specific technical capacity of the subcontracted firm, in relation to the contracting firm, to manufacture a certain type of part or component” (Marques 1992 : 130). The option to outsource activities that are not part of the group’s core activities allow it to cut costs and set up networks of certified suppliers. The president of the board says:

“Outsourcing has something very good about it, as it brings variability to what, today, are fixed costs. (...) It is important to concentrate productive capacity on what really offers differentiation. Building with welded steel plates is perhaps not an element of differentiation. There are perhaps other firms that do it, that can do it as well as we do (if not better) and with lighter cost structures. (...) It is not possible to subcontract the part that forms the core of the business.”

The business group's position vis-à-vis other business groups or firms in the electromechanical field, from the competition standpoint, and the networks of contracting/subcontracting relationships are two basic structuring domains in the space occupied. So it is important to understand what business strategy options allow this position to be maintained. It is this issue that the following subsection addresses.

4.3. The business group's strategic options

If the construction, maintenance and consolidation of a position in a certain economic field requires paying attention to the non-economic conditions structuring it, they also presuppose an understanding of the series of options that firms adopt over the course of time. "It is the agents, i.e. firms, defined by the volume and structure of the specific capital possessed, that determine the structure of the field and, therefore, the state of the forces that are exerted on the group (commonly called a "sector" or "branch") of firms involved in the production of similar products" (Bourdieu 1997 : 52).

In the light of the different forms of business group A's capital, we shall underline certain aspects that allow us to give prominence to its structure.

Considering the **product** first, one of the important aspects of this business group is product diversification. As the president of the board mentions, it seeks to occupy "*areas of differentiation*" that are of little interest to the large business groups. It focuses on products that may be considered mature in life-cycle terms, e.g. transformers, and on products that are in the growth phase and therefore require increased investment in R&D activities, e.g. medium voltage switchboards. This diversification is combined with a commitment to integrated solutions for the needs expressed by customers, on the basis of the development of a project. For this reason, diversification is combined with differentiation. The one-off design of a product is associated with its adjustment to the customer's needs (Callon and Muniesa 2003 : 203-204). The same interviewee goes on to say that it is essential "*to have a high capacity for integration and the development of integrated systems that include our products and we have software that makes that whole thing work as a harmonious and articulated solution that, in fact, allows our customers significant improvements in the profitability of their own operation*". It demands to develop inter-field relations of cooperation with universities and research centres.

The group's decision to withdraw from working under licence contributed greatly to this option, since it demanded heavy investment in "*new products of our own, with our own technology, with equipment that we ourselves had purchased, and with personnel training at the level of engineering, designers,*

metalworkers, etc.”, as a production manager at firm B related. And, for this reason, it is essential to focus on the development of R&D activities. An R&D manager at one of firm B’s business units said:

“We cannot survive if we don’t have a well-structured development team, as the competition is huge, especially for high technology products, which are our markets. (...) These are demanding and are where it is necessary to pay great attention to variations in the needs of the market, as the market changes quickly.”

However, integrated solutions and “turn-key” systems must reflect certain characteristics, in particular reliability and quality. As the same R&D manager reported:

“This is the way for us to follow, so-called smart equipment, in that the customer sees it in our homes. In the machines there, there are microprocessors that send information by cell phone, if I want to start the machine at such and such a time. (...) The so-called maintenance-free “sealed for life” dimension is of great importance. (...) One of the parameters nowadays is so-called energy quality and (...) in the energy chain we have production, we have transport, we have distribution. (...) In this energy chain (...) we have to offer the customer a certain energy quality, we can’t offer the customer electrical power with interruptions.”

Attainment of the objectives defined for the product requires heavy investment in the **production process**. One of the production managers at an energy transformer unit in firm B reported that *“the main concern was to automate the processes to the greatest extent possible. (...) We provided ourselves with technologically advanced equipment so that the products we manufactured could compete on international markets”*. This investment in technology was based, essentially, on the development of technological solutions by one of the group’s firms in the automation and robotics field, *“using, in particular, our internal capacity at the level of our member firms”*, in the words of the same member of staff. But also in combination with research centres located, mostly, in Portugal, developing inter-field institutional relations.

Thus, the possession of technological capital is crucial for the business group: it is partially endogenous in the activities of its firms.

Structuring a firm or business group internally (with regard to products and productive processes) is not sufficient to guarantee sustainability. Concern with marketing is of fundamental importance. The managers’ comments in the interviews confirm the decision to opt for a strategy of internationalisation and also in the focus on market niches. The servicing manager at one of the business group’s business units stated:

“This is a market in which the lobbies are extremely important. In open competitions there is a political and economic component that has nothing to do with the supply of the product as such. (...) Entry into new markets, which are necessary to grow the business, is an entry that is difficult, that has certain barriers at that level, in the interest of the international blocs. (...) On the other hand, not being big also gives us opportunities, because there are smaller open competitions for machines that are not as big as those of interest to our competitors. (...) I reckon we have a competitive advantage, because we can offer our customers solutions instead of being product salesmen. (...) There’s another dimension on the horizon, namely, the beginning of Internet auctions. (...) There we have an advantage, because the lobbying issues and all those questions ultimately disappear, because the purchasing process takes place in real time on the Internet, so there is great transparency”.

Thus the way forward is to avoid confrontation with the dominant business groups and occupy specific niches with the development of certain products. It is a question of being a “challenger” (Bourdieu 1997 : 58), since the firm is fighting to occupy a position of market leader, but in a restricted segment.

Besides having its hierarchy, the economic field is one of permanent struggles. Therefore, the marketing options of a business group broadly subordinated to the leaders’ way of operating (or even excluded from it) presuppose that it invests in distinct market niches and endeavours to develop marketing practices that allow access to them. Closeness to the customer and the development of an integrated solution for requests is one of the ways. In this way, R&D and marketing/sales functions are closely articulated with product innovation, due to its marketing potential. The criterion of “economic profitability” (Oliveira 2008 : 21) is a constituent of innovation. Firm B’s R&D manager states that *“our R&D is an applicable R&D, it is not an R&D of basic research. (...) We don’t have the budgets that the large groups have. (...) When we apply emerging technologies, we do so intelligently, thus offering the customer added value in system terms.”* For this reason, there is a close relationship (and certain dependence) between R&D activity and customer orders. A manager in firm B’s sales and marketing department thinks it essential, in fact, to focus on commercial capital, because this is central to product development:

“We are always saying that we have to select markets, because we have a very small industry and want to be everywhere. So we gradually transfer some of our clients from competitive markets to less competitive markets. (...) We transfer a bit of that market to markets in which customers give much greater importance to quality and technical competence, in which

they attach value to other things [than price] and in which, therefore, that is reflected in higher profit margins for our products.”

It is also to be stressed that, although it does not compete with other firms that “*build the market*”, the fact of marketing products exclusively under its own brand and paying permanent attention to the market grants it a differentiating position in the hierarchy, particularly in relation to subcontracted firms. The brand is a structuring indicator of symbolic capital: it can be mobilised to market products effectively and to differentiate positions in the field (intra and inter-field mercantile relations).

As has already been pointed out, we are dealing with a business group whose position in the subcontracting networks is mostly as a contractor (see Table 1). For this reason, product differentiation and market stratification (Oliveira 2008 : 30) are two essential features of a model of competitiveness based on innovation: “singularizing a good means endowing it with properties that make it comparable, but not identical, to other goods” (Callon and Muniesa, 2003 : 204).

Finally, the implementation of this set of practices is only possible with a human resources management policy that, on the one hand, focuses on highly qualified professionals endowed with educational capital and, on the other, on permanent learning practices. This articulation between skills and learning is only possible because of the business group’s long historical process of developing a connection with educational institutions (inter-fields relations), institutionalising internal training practices and explicitly associating training with employment. “(...) *they often came here to recruit personnel for other firms, as just working for firm B was a good sign*”, a production manager said. Thus, the possession of educational capital is associated with giving greater substance to territorially-based social capital.

The options taken within business group A, in particular from the 1990s, altering the structure of its technological, symbolic, economic, commercial, technical and social capital, allowed it to alter its relative position in the economic field and win the leadership of certain market niches. The fact of no longer producing under licence made a decisive contribution to this situation. Besides the commercial capital, the change in its symbolic capital brought notable international projection when the national market revealed its small dimension as far as the business group’s perspectives for growth (or even survival) were concerned.

Both comprehension of the position in the economic field (in this paper, considered exclusively from the side of the business group) and the effectiveness with which it mobilises the different forms of capital possessed are related to the networks that it helps to structure and within which it directs its activity. As

Fligstein (1998) perceives it, fields are also power systems in which the actors seek to maintain and strengthen their positions.

The attempt to define the type of relations raises certain issues. The first is that it is difficult to restrict internal relations to a certain field, since the structure of social relations crosses several economic fields. We could take a simpler definition, according to which internal relations may be understood as relations between firms producing similar products. However, it is very important to take into account the nature of the relations and the fact that there are differences between firms that only make components, not products. The second issue lies in an analysis of the business groups' positions. If firms with distinct activities are put together, this demands an analysis on two levels: of the business group and each firm. In the third place, attention is given to the questions raised when firms that produce integrated solutions are analysed – solutions that include different products and components. Finally, with regard to inter-field relations, it should be taken into account that economic phenomena are present in “non-economic” fields.

These questions open an interesting area for reflection and require that the levels of analysis be defined. The typology of networks proposed (see Table 1) and applied to the business group studied can be extensively discussed, including the intra and inter-field networks and the position of each of the agents. Agents have their interests, being involved in negotiation processes, in which there is also a hierarchy and in which a dominant or dominated position is held in accordance with numerous factors. These are, in particular, the volume and structure of the capital that can be mobilised, including the social capital, which is most directly related to the structure and dynamics of the networks of social relations. As Bourdieu and Fligstein point out, we should pay attention to the complexity of the structures of social relations networks as a central issue to explain the economic field structure and not limit the analysis to relations between individual actors (Swedberg 2004 : 247-248).

Finally, it is necessary to consider the historical dimension of the structuring of and change in the economic fields. The fact that, at the moment, the business group follows a strategic line conceived on a world scale cannot be separated from its history and some of the networks that it incorporates. The business group has established and consolidated a social capital (always in a state of change) that is based in the territory and boosts its competitive position in the economic field. Some of the aspects to be remembered are: the setting-up of a business group with 100% Portuguese capital; the decades-long maintenance of special relations with higher education and research institutions; the maintenance of close relations with secondary schools in connection with the education and recruitment of highly skilled professionals. There has been a structuring of locally-based networks, created and consolidated on the basis

of the social capital mobilised by their agents. In the case of the group studied, it suffices to recall that a significant period in its growth was that in which the state committed itself to the electrification of the national territory.

5. Concluding remarks

The aim of this paper was to show the complexity of economic phenomena and the limited and erroneous interpretation made by neoclassical theories when they take the market as a key notion. An abstraction bereft of analytical power.

The paper shows the importance of perspectives that stress the fact that there are social conditions that explain the markets' construction and, for this reason, suggests – and seeks to illustrate empirically – the heuristic character of the concept of economic field. Thus, the importance of the action taken by firms and their agents (in particular managers and business owners) is not to be denied. In this way, mercantile transactions are taken as one of the dimensions making up the economic field and not only their economic but also their social nature is affirmed. It is social relations and its networks that underlie transactions.

Accordingly, we share the view of Bourdieu (2000) that economic practices should be observed empirically and should not be taken as rational decisions, independent of a whole set of factors. These phenomena cannot be explained by economic laws that do not vary in time and space (Boyer 2003 : 67). It is essential for the historical time to be taken into account: not only underlies the constitution of the economic agents (that are not only economic) but also of the institutions (Boyer 2003 : 67).

For this reason, the economic field and the network of relations that structure it (within and without) cannot be problematised without taking institutions like the state and universities into account.

The process of knowledge production is becoming more and more complex. It involves a heterogeneous group of institutions and, among these, the structuring of a network of relations in which research, production and marketing are coordinated.

Adoption of the concept of an economic field is a theoretical and methodological road that draws analysis closer to an understanding of the real. It can be seen that, though the stances of economic science criticise economic orthodoxy and take an attitude of a social construction, they uphold the concept of market, with all its limitations in analytical terms, in particular with respect to its character, which is abstract and hard to operationalise.

For countries like Portugal, analysis and discussion of the practices of firms and business groups in a field or fields means taking their position in the international division of labour into account and reflecting on the globalisation

of economic relations. If, in effect, business group A aims at positioning itself strategically at an international level, the national and regional contexts within which it is set cannot be ignored. If the past allows us to explain the present, the latter, equally, in turn, cannot be understood independently of factors such as the options included in scientific, economic, educational and employment policy. Thus, the importance of the state's role as a mediator in the relations in economic field(s) becomes clear. The case study of the business group shows, precisely, that, although it has recently made strategic choices to reposition itself internationally, it is still a “*second division*” competitor in the economic field and its location in a country like Portugal cannot be ignored. As Bourdieu (2001) mentions, the firm's position in the national and international field not only depends on the advantages that it holds but also on the economic, political, cultural and linguistic advantages of the country.

This research field must be developed and enriched with more empirical research and the case presented can be deepened with further analysis on the networks of social relations, formal and informal, personal and institutional.

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The Personal Networks of Small-scale Bulgarian Entrepreneurs in Catalonia (North-Eastern Spain): Two Study Cases (Roses and Barcelona)

Silvia Gómez, Sarah Hoeksma and Jose Luis Molina

1. Social Networks and Ethnic Entrepreneurs

Analysing social networks in order to understand migration phenomena is a very recent approach. The sociological approach focuses on the concept of social networks, i.e. the links that migrants maintain, above all with other migrants of the same origin or ethnicity. The description *social capital* applied to these relationships as a whole illustrates to a great extent the significance that these social networks have in introducing the migrant to the host society and contributing positively to the migrants' migratory experience. The empirical studies carried out using this conceptual framework show the structuring effect for migrants in belonging to a social network. I.e. they identify the ways in which social networks can influence the quality and quantity of information that migrants obtain about the migrant process, or how social networks can influence the possibilities for accessing the work market (Aparicio and Tornos: 2005).

This line of research is aimed at gaining a better understanding of social networks by analysing their structure and composition and their use by migrants. Some two decades ago, the area of business creation and entrepreneurship emerged as a new trend in theoretical sociology (Hoang: 2003). From this new perspective, the view of entrepreneurs as economic agents isolated from the society in which they operated gave way to an approach that identified the business process as a social phenomenon. Entrepreneurs began to be perceived as individuals interacting with other individuals, groups and organisations, i.e., as individuals embedded in social networks that give meaning to, or even determine the entrepreneurial function.

For some years now, there has been unanimous agreement among researchers in the field in equating the phenomenon of business creation with the discovery and exploitation of business opportunities, as well as with the search for the resources needed for this (Shane and Venkatarman 2000). Consequently, research in the field of company creation in essence includes the analysis of the sources of opportunities, of the processes of discovery, evaluation and exploitation of opportunities and of those individuals - entrepreneurs - who find evaluates and exploits such opportunities.

In this context, the idea promoted by the theory of social networks involves emphasising the role these networks play in the discovery of business opportunities, as well as in meeting the requirements for their exploitation and use (Anderson and Miller 2003, Johannisson 1988, Dubini and Aldrich 1991, Katz and Gartner 1988, Shane and Venkataraman 2000, and others).

Moreover, as noted previously, the entrepreneur's social networks may play a largely successful part in the process of building the company, and in its growth and consolidation. The employer may therefore also act as a promoter of a new social network which becomes part of the company's social capital. I.e. one of the great achievements of these approaches is to suggest that social and economic capital can be closely related (Molina and Valenzuela 2007).

In this article, we shall initially examine the small-business world of Bulgarian migrants in Catalonia (an autonomous region in north-eastern Spain). This paper is limited to the first results of a study being undertaken in the framework of a project on ethnic entrepreneurs in Spain. Our main research goal has been the study of the composition and structure of Bulgarian migrants' social networks in order to understand their strategies and patterns of adaptation to the host society. During this research, we came to realise that there were very few Bulgarian entrepreneurs. Moreover, we have observed great differences between the Bulgarians established in Barcelona and the Bulgarians established in Roses (a small coastal town about 200 km from Barcelona). These differences concern not only the profile of Bulgarians migrants established in Roses and those established in Barcelona, but also their social networks and labour occupation and, moreover, their entrepreneurship and the possibilities and opportunities to open a small-business (Gomez, Hoeksma, Molina 2008). This sparked our interest in analysing the relationship that can exist between social networks, the social context and the characteristics of the host society, the cultural and social capital and entrepreneurial initiatives. We examined 50 personal networks: 25 from the seaside town of Roses on the north-eastern coast, and 25 from Barcelona, the capital city of the autonomous region of Catalonia in Spain. As has already been mentioned, as our research progressed we noticed the very low level of Bulgarian entrepreneurship in Barcelona compared with other migrant groups such as Pakistanis (Valenzuela 2008). This phenomenon may possibly be explained by cultural traits that differentiate Pakistanis from Bulgarians. The Pakistanis are entrepreneurs per se. As Hugo Valenzuela stands (2008), the Pakistani traditional society is conservative and religious, hierarchical and patriarchal. The family, which is the social central unit, is based on the patrilineage. It consists in a cohesive and hierarchical group in which the more aged male possesses the authority and the responsibility of contributing economic sustenance to the domestic unit. The family Pakistani is patrilineal,

virilocal and extensive, which involve the cohabitation of three generations and the fact that wives, when marrying, form part of the domestic unity of the husband. The emigration is a process that implies the most extensive family. The emigrated is a representative, an emissary, of the family, which contributes to fund the cost of the trip generating at the same turn a strong relation of dependency. The Pakistanis are the immigrants that, possibly, elder versatility and labour diversity present. Firstly, his establishment has been guided by a structure of favourable opportunity (conditions, demand and potential of the local market ethnic and co-ethnic; migratory politics, commercial laws, etc.). The migratory destination, far to be arbitrary, obeys to an analysis of the advantages and economic disadvantages of the country of destination, of the neighbourhood and the characteristics of the potential consumers. In this last sense, the Pakistanis have been traders that have covered so much the local demand (alcohol, vegetable, döner kebab), but also the co-ethnic demand (butcher's halal, hairdressers) and local ethnic - particularly in the field of basic needs like the communication (booths) or the house (housing market). Pakistani traders have established themselves as an *ethnic enclave* that has taken advantage of their cultural resources to exploit and enhance business opportunities. Or, in other words, while cultural resources (cohesive character of the community, the informal economic relations and the weight of the social prestige) have played a fundamental role in the process of settlement, class resources (human and financial capital: availability of capital, socioeconomic status or level of education) have had a major role in the expansion phase. This is precisely the cultural traits of immigrant and transnational nature of the Pakistani diaspora: the vast networks of individuals who live in very different parts of the world open new educational opportunities for second generations, advantageous marriage alliances and international business associations (Valenzuela 2008).

In addition, the political and economic system of Bulgaria may leave its mark on the social behaviour of Bulgarian people in a way that influences entrepreneurial initiative (Aleksandrov 2001, Konstantinov, Kressel, Thuen 1998). However, it is only by reconstructing and analysing social networks and associating them with economic and employment initiatives that we can examine this phenomena and begin to understand these aspects of the migration phenomenon more accurately.

2. Methodology

The social networks collected are concerning the personal networks. These networks were elicited with the aid of the open source program EgoNet (<http://sourceforge/projects/egonet>) which is structured in four modules (see Molina et al. in press):

1. *Information about ego.* In this module a list of variables describing ego are collected.
2. *Name generators.* Instead of using a series of name generators for exploring different institutional settings of a personal network, a flexible name generator was used with little variations in all the projects:
 “Please, give us the names of 30 persons you know and who know you by sight or by name, with whom you have had some contact in the past two years, either face-to-face, by phone, mail or e-mail, and whom you could still contact them if you had to”.
 The fixed-choice design was chosen in order to ensure that respondents not only nominated strong contacts, but also weaker contacts.
3. *Information about alters nominated by ego.* Variables *such as* sex, age, location of residence, perceived closeness or type of support provided were recorded in this module. This part is the most time-consuming because the informants have to provide *n* variables for each alter nominated previously.
4. *Alter-alter relationship.* This module asks for the existence of relations among alters (as perceived by the respondent) with this alter-pair question:
 “XX and XX knows each other?” or “XX and XX would meet independently of you?”

Finally, the program allows the visualisation of the personal network elicited and performs an in-depth interview about the meaning given by the informant to her social world (ego it is *not* in the drawing). The different variables gathered during the process can be converted in visual variables and combined in different forms so it is possible to explore and discover jointly new insights about the personal network by the interviewer and the informant.

3. Results: study cases

Our working hypothesis suggests that the scale of the host society is important in terms of the possibilities for development and success of ethnic entrepreneurs, i.e. a big city context is not the same as a small town one. In addition, in each case it is necessary to respond to the social and cultural characteristics of the place, i.e. it is important to consider the patterns of social relationships that exist in each locality in order to succeed in penetrating and assessing the business possibilities that exist for ethnic entrepreneurs. In addition, assessing the environmental factors is important in stimulating entrepreneurship among other things (ethnic resources).

We found seven Bulgarian entrepreneurs out of the 25 cases in Barcelona. In contrast, in Roses there were only three (and two cases of people who

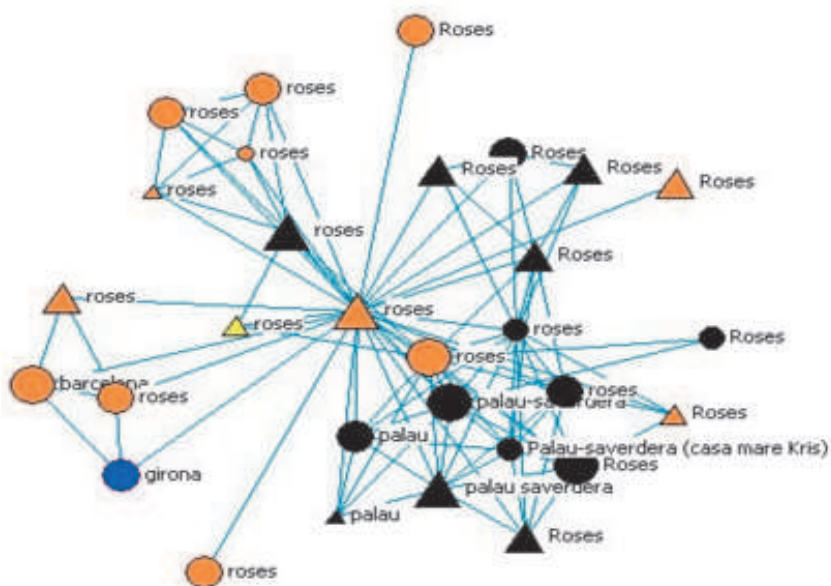
started an unsuccessful business that failed). This difference in the number of entrepreneurs could have many explanations. One reason is the local context of the host society. As a big city, Barcelona offers more possibilities for entrepreneurs than Roses, a modest-sized coastal town and tourist resort. In addition, in Roses, in order to be successful in entrepreneurial projects, it is important to know the local inhabitant and to take part in their social networks or to have them as contacts in personal networks. Furthermore, whereas in Barcelona Bulgarian business can be found for Bulgarian people, in Roses this type of business does not exist. This is because there are not enough Bulgarians demographically-speaking in Roses. By comparing personal networks of Bulgarian entrepreneurs in Barcelona, and the two Bulgarian entrepreneurs in Roses, we can see that what they have in common is the heterogeneity of their social composition. The majority of the Bulgarian personal networks in Roses are very homogeneous and dense, with very few local contacts, and with hardly any contacts with other nationalities. Another feature is the very strong trans-national character of their contacts. This kind of social network pertains to workers. In the case of the two Bulgarian entrepreneurs from Roses who failed in their business, these were people with some local contacts, but not enough to gain access to the local market.

Here we can see the three social networks of the Bulgarian entrepreneurs from Roses. They are Kristina, a young woman who runs a bar with her husband – a Catalan from Roses (Fig. 1), Elena (Fig. 2) who has a hairdressing business, and Emil (Fig. 3) who drives a taxi.

Kristina (Fig. 1) speaks fluent Spanish, and can understand, read and speak Catalan (the Romance language spoken in the region), although she does not usually speak it. She is known by everybody in the town. She and her son take part in all the local fiestas. She came to Catalonia alone, joining her mother, who had settled in Roses some years before. She met her husband at the Beograd Bar, which belonged to a Serbian living in Roses. It was a bar that was very popular with all the young people from Roses. We have to appreciate the fact that places for socialising in small towns and villages are more localised than in larger towns and cities.

If we examine Kristina's personal network, we can see that her Bulgarian contacts (indicated in black) are very few, and none of them are living in Bulgaria. In addition she has a reduced number of local contacts, made above all via her husband, that are nonetheless very central and important to her. She has only two other contacts which are neither Spanish nor Bulgarian. Her bar is very well known in the town however it should be pointed out that a significant proportion of the Bulgarians in Roses are regular customers.

Fig 1. Kristina's Personal Network. Catalans, Bulgarians (in black).



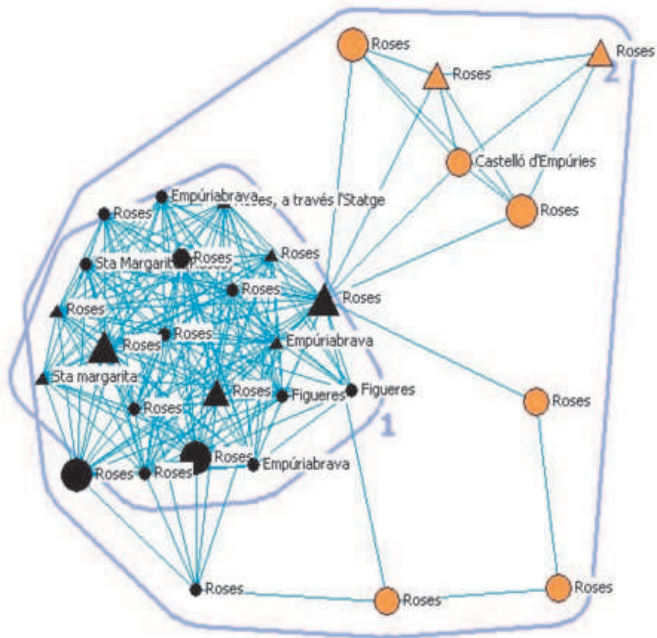
Elena worked in a hairdressing salon in Roses. The owners of the salon retired and Elena decided to continue with the business. She moved the business to new premises opposite the old hairdresser's, while keeping the same name. In fact, some of the old hairdresser's clients would come to her house for beautician services that were not available in the hairdressing salon. It was then that she began to consider the possibility of starting her own business. Subsequently, when the owners of the old hairdresser's told her they intended to retire, she saw that this was her opportunity. Looking at her personal network we can observe that she is a person with a number of local contacts; contacts she has made in the course of her work. Her contacts with other nationalities are with foreign clients that come to the hairdressing salon. The Bulgarian people she knows in the host society and a few still living in Bulgaria are indicated in black, with the latter being above all her family and some friends.

Emil (Fig 3) is a taxi driver. He arrived in Roses only two years ago. His personal network reveals a small number of local people, many Bulgarian people from Roses and very few contacts among those remaining in Bulgaria. There is the same proportion of people from other nationalities as people originally from Roses.

Contrasting with these cases are others involving businesses that failed. Galia (Fig. 4) arrived in 1999. She had previously had a cosmetics shop in Plovdiv (Bulgaria), and after working in several hotels in Roses she decided to open her own business. The shoe shop was not a success and eventually closed. She says that it was very difficult to penetrate and become a part of the market networks in Roses. The townsfolk always tended to shop at the same shops: places that they knew well because they knew the owners or because they were the shops that had always been there. Such habits can only be broken by someone who is well-integrated into the local life, having local contacts and being known by the people of Roses. Moreover, there are no Bulgarian shops for Bulgarian people, so Bulgarian entrepreneurs are obliged to take part in the local market networks if they wish to be successful in their projects.

As we can see, Galia's personal network consists of a large number of Bulgarian people living in Roses or in the surrounding area, and grouped into a single cluster. Her world is thus rather Bulgarian in nature, with fellow nationals making up the greater part of her contacts, with these in turn being highly interlinked. In contrast, the number of local people she knows is very limited, and consists of people that she has had the opportunity of getting to know, above all at her daughter's school.

Fig. 4. Galia's personal network



As mentioned earlier, the case of Barcelona is somewhat different. There, seven Bulgarian entrepreneurs were found. At the moment six of these businesses are open and running, and one of them is about to start. These entrepreneurs' networks differ depending on the kind of business that they have, but in general they have a strong Bulgarian component, plus in some cases local and international contacts that may also be important. Among these seven entrepreneurs, there are two cousins that are craftswomen making clothes and jewels and selling them to other shops, one bricklayer that has his own business, two partners who have set up a bar, one woman who runs a hostel, and finally another woman who is about to open a business selling mushrooms imported from Bulgaria.

We shall analyse the networks of some of these: Rositsa (Fig. 5), one of the craftswomen, Nadia, one of the owners of a bar (Fig. 6), Yovko, the bricklayer (Fig. 7), and Borislava, who is setting up the mushroom business and is Yovko's girlfriend.

Rositsa (Fig. 5) arrived in Barcelona three years ago and started the business that she had always wanted: painting and designing handmade clothes, jewels and other articles. She had no family living in Barcelona until her cousin (also a craftswoman) came there after her.

Her network reveals two different groups (Nos. 1 & 2) and two isolated individuals (old friends that do not know the other people). Group No. 2 consists of her family in Bulgaria, and is a very dense part of the network, since everyone knows everyone else. Group No. 1 consists of the people who live in Spain, and includes individuals of different nationalities: Bulgarian (her cousin and two friends she met in Barcelona - indicated in black), Catalan (her cousin's boyfriend, and her own boyfriend and his mother- indicated in orange), and yellow or blue people for people of other nationalities that she has got to know at the park where she goes to sell her products and who also work there.

Because her work is not conventional in nature, Rositsa sells her products both in the street and also in other shops. Not having one single place for her business makes it difficult for her to establish contacts, and she told us that she recognises that in this line of work it is important to know more people in the business. Rositsa thinks that in time she will be able to gain a foothold within the Barcelona craftwork structure, and will then have more security for her work and her life in general.

Nadia set up a bar with a friend one year ago. She came to Spain in 2001 because her friend Tania was here, and had offered her a job for three months. In Bulgaria Nadia worked as a waitress. Nadia was in Spain for six months but she then returned to Bulgaria. After a time she came back to Spain again. In Barcelona she met her boyfriend, who is Catalan. After some time she and her friend Tania decided to start a business, and they opened a bar, La Rosa Búlgara

(the Bulgarian Rose). The bar is owned by the two friends, and at the moment the business is doing well. Many of those who come to their bar are Bulgarians, but they also have Catalan clients and those of other nationalities (the bar is located near an area that is popular with tourists).

Fig 5. Rositsa's Personal Network. Catalan people, Bulgarians, and people of other nationalities.

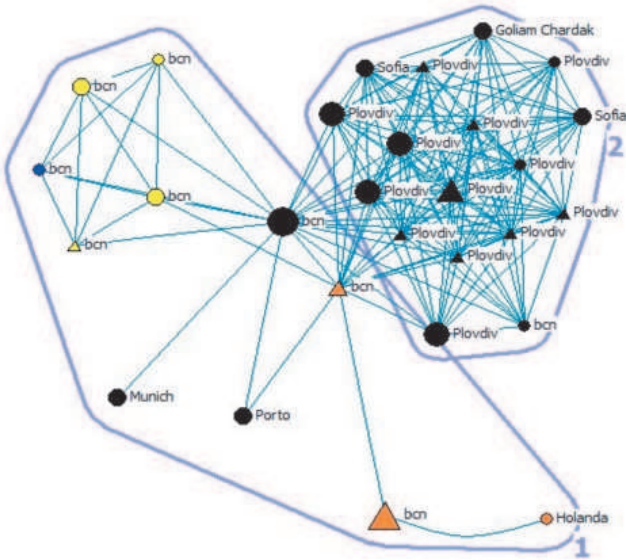
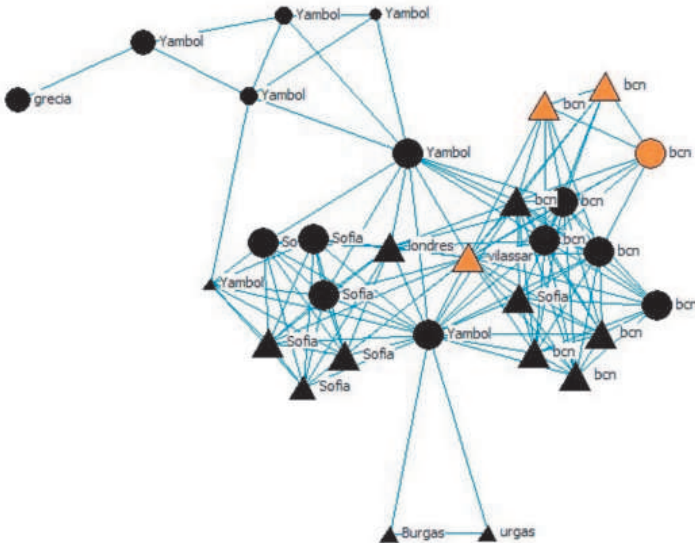


Fig 6. Nadia's Personal Network. Catalan people, Bulgarians.

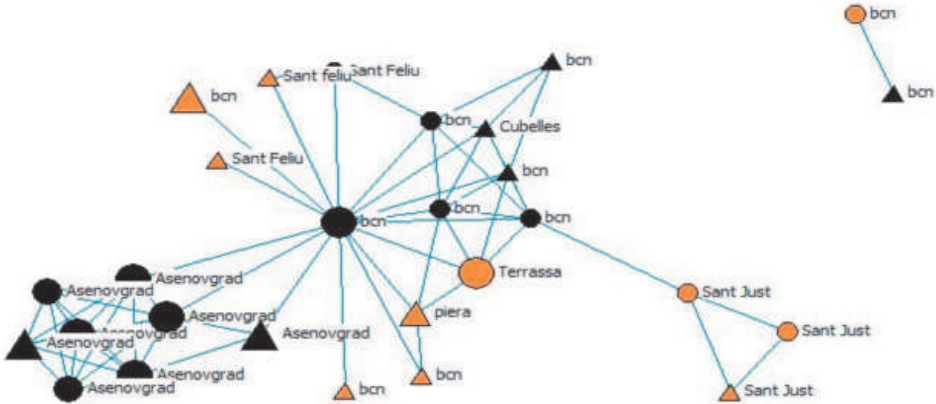


In Nadia's network we can see very few local contacts. Apart from her boyfriend and some of his friends, the rest of the people are from Bulgaria. A number of these people are Tania's family living in Bulgaria, and the other people are friends that she has made in Spain, most of them because they are customers in her bar. In the case of this business, although it is not an ethnic business as such, in fact it has almost become one, because the majority of the customers are Bulgarians. This could be one of the reasons why Nadia's network contains so many of her compatriots.

Yovko arrived in Barcelona in 2000, and initially had some problems beginning his new life in Spain. He worked in a number of different jobs before finally setting up his own business. He began by working as a bricklayer for the *Generalitat* (the Catalan government) and afterwards he started up his own business. He has a small business renovating and constructing houses, and he has one employer who is also a Bulgarian. Because of his work he has a number of local contacts related to the building world.

If we analyse his network, we can see one group of Bulgarians on the left that make up his family. Then further to the right we find a very important Bulgarian woman (his girlfriend Borislava) and different groups of people connected to her - on one side a group of Bulgarian people that they know in Barcelona and on the other side Catalan people who Yovko knows via his job. Among all the Catalan contacts, we can find that the majority of them work in some way related to the construction world, and include architects, other bricklayers and solicitors. As Yovko has been working with some Catalans for a long time they have become friends, and this is the reason why they are in contact with Yovko's girlfriend. We can see here how important it is to have local contacts in some jobs in order to maintain a successful business and how this importance means that in some cases these people occupy a prominent position in the personal network.

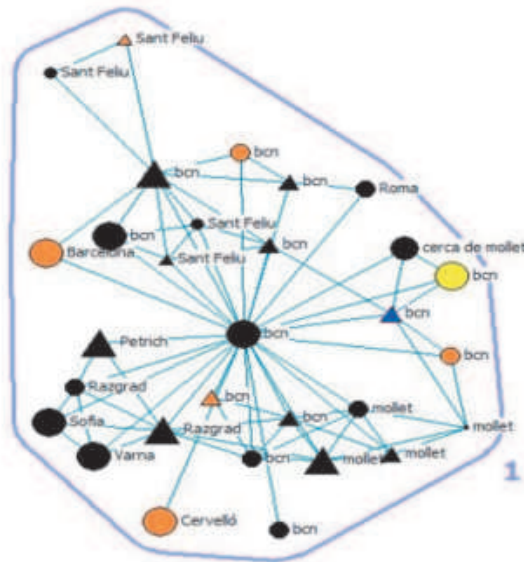
Fig 7. Yotko's Personal Network: Catalans, Bulgarians.



Borislava, Yovko's girlfriend is also an entrepreneur. She is in the final phase of setting up a business importing mushrooms from Bulgaria. Their relationship does not have any relevance in this business, because she wanted to start a business before meeting him and he had his own business before they began their relationship. The mushroom shop will be Borislava's own business, but Yovko is collaborating by doing the renovation work for the premises. Borislava came to Spain because Yovko's father lived there, and she moved there with him in 2002. In Catalonia Borislava worked for a long time cleaning houses, but she became very tired of doing this kind of work and for this reason decided to start up her own business. She chose mushrooms because she realised that in Catalonia they are a traditional food and are used a lot for cooking. So she thought it would be a good idea to import mushrooms and other traditional herbs from Bulgaria and sell them in Barcelona.

Borislava's mother (who came to live in Spain a few years after Borislava) occupies a prominent position in her network, as do many different people. The great majority of them are Bulgarian people who live in Barcelona or in Bulgaria (her family). The few Catalan contacts consist of the women whose houses Borislava cleaned, and they are very disperse since they do not know each other. In this particular case, the business is still not up and running. We do not know how her personal network will change in the future (she will probably come to have more local contacts), but in this case having good local connections seems less important to setting up the business.

Fig 8. Borislava's Personal Network: Catalans Bulgarians and people of other nationalities.



If one looks at the social networks of Bulgarian immigrant entrepreneurs in Barcelona and Roses, it is possible to appreciate how the context of the host location (Barcelona or Roses), the patterns of relationships in each locality and the social resources (i.e. knowing the local people, speaking the language, education level, age and length of residence in the host society) are variables that influence the possibilities and the success of a business.

In both cases (Barcelona and Roses), the composition of the social networks displays a great heterogeneity, i.e. contacts are composed of Bulgarian people living in the host society, some contacts in the home country and contacts with different nationalities in the host country. The difference is that in the networks of Bulgarian businesspersons residing in Roses, local contacts are more important. Moreover, Bulgarian networks in Roses are denser, indicating that the relationships are more closed. Another difference is the type of business. More ethnic businesses (with Bulgarian products and for Bulgarian people) were found in Barcelona than in Roses. Clearly there are not enough Bulgarian people living in Roses to justify the setting up of ethnic businesses solely for Bulgarian people. Bulgarians living in Roses are therefore confined to establishing businesses within the framework of the indigenous population (some of them continuing businesses that were originally set up by local people). This may be another reason why being well-integrated into the host society and having local contacts in their social networks is more important when opening a business in Roses.

4. Conclusions

We can conclude that the culture and the social relationships and values that might be determined by political systems, types of family organisation and cultural beliefs may be aspects that need to be taken into account if we wish to assess the entrepreneurship initiative of migrant collectives in a host society. Moreover, it is very important to consider the role that social networks can play in enabling access to the host society's market system (entrepreneurial system). Social networks can allow migrants to adapt themselves to the local economic and market dynamics. These economic and market dynamics differ depending on the location. In this sense, the context can be decisive in determining the type of social networks that may enable an entrepreneurial project to succeed or not. Looking at the locations we have analysed, we can see that in Roses, due to the small size of its Bulgarian population compared to the society as a whole, it is not possible to open businesses solely for Bulgarian people, and so Bulgarian-run businesses in Roses need to become integrated into local market networks. For this reason, it is very important to have local contacts (with local people from Roses) and to

take part in local social networks. People in Roses are accustomed to shopping at establishments they know well, and there is a strong social structure with very dense and closed relationships. Everybody knows everybody else, and this social structure is reproduced in the Roses business world. The personal networks of Bulgarians entrepreneurs in Roses are very heterogeneous, with a great proportion of local people, some Bulgarian people living in Roses, very few living in Bulgaria (they are not very trans-national in outlook) and some other contacts with other nationalities. On the contrary, in Barcelona the business world is not so dependant on local relationships. Moreover, the larger size of the Bulgarian population there makes it possible to open businesses that are aimed at Bulgarian people and employ Bulgarians. A great proportion of personal networks are made up of fellow Bulgarians, with the main contacts being with those living in Bulgaria as well as in Barcelona. In addition, there are some contacts involving other nationalities. Compared with Bulgarian entrepreneurs from Roses, Bulgarians from Barcelona are much more trans-national in outlook.

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Informally Self-employed Young Bulgarians: Social Networks and Market Anonymity

Tanya Chavdarova

Democratic upheaval and transformation of the economic system in Central and Eastern Europe brought about a rapid growth of interest in self-employment. One of the major roles of self-employment is generating employment and thereby absorbing labour surpluses which result from economic restructuring. The boom of emerging small firms substantially contributed to the introduction and institutionalization of market mechanisms in the economy. Alongside with the transformation of socialist planned economy into market economy, the informal economy has been transformed, too. The informal self-employment in particular became a widespread phenomenon in post-socialist societies (see Earle and Sakova 1999, Hanley 2000, Saar and Unt 2008).

The informally self-employed are autonomous workers in a market economy who work for themselves, whose line of business is the production and sale of goods and services, who for tax, social security and/or labour law purposes are unregistered, or hidden from the State, but whose activities are legal in all other respects. Their *means* are illegitimate, not the *ends* (goods and services) themselves. As such, informally self-employed workers are party to either corporate tax evasion and unemployment benefit frauds or labour legislation elusion, including insurance coverage or certain safety or other standards in the workplace. They could be either full- or part-time self-employed or officially registered unemployed who are actually self-employed whilst claiming benefits. Together with off-the-books wage-workers and informal employers, informally self-employed workers are main agents in the underground economy.¹ The line of work of these three categories is fully socially unprotected and not subject to social regulations.

Due to the illicit nature of informal self-employment, even an approximate estimation of its occurrence² and its study through quantitative sociological

¹ Underground economy is an essential part of informal economy. The informal economy itself is not a homogeneous concept; in fact, there are many informal economies which could be distinguished according to the degree to which they are integral or an alternative to official institutions and to their legal vs. illegal status (Henry 1981: 6ff). In this understanding, the underground economy is illegal and alternative to the official economic institutions.

² The estimations are done most often with various economic methods and concern the share of the informal economy as a whole in GDP (for a worldwide comparative analysis, see Schneider 2007). According to Schneider and Buehn's estimations, the Bulgarian informal economy forms average 35.4% of GDP in the 1999-2006 time spans. (Schneider and Buehn 2009: 24)

methods is extremely difficult, if not impossible. That is why it has been very rarely sociologically studied (see Williams 2006) and in Bulgaria, in particular, it has never been a special subject of sociological research. This article seeks to address this lacuna by focusing on the self-employed workers' networks where respect, loyalty and social position are exchanged. The qualitative study that this article is based on concentrates on young, mostly highly educated, informally self-employed workers in Bulgaria's capital Sofia. It aims at revealing how their network action is combined with anonymous market action and the degree to which the strong and weak ties (Granovetter 1973) are important for setting up and developing a business as an informally self-employed worker. The first part of the article discusses the basic hypotheses on the background of some European surveys related to the issues of undeclared work and social networks, its second part presents the specificities of the studied target group, and in the third and fourth part the main finding are analysed.

1. Informal self-employment: Markets *as* or *versus* networks

Economic life is substantially shaped by networks (Granovetter 1985, Smith-Doerr and Powell 2005). Field research on informal self-employment in particular (see e.g. Williams 2006) clearly shows that it is embedded in informal networks and closely bound to local communities; hence it is normally limited to local markets. Its illicit nature restrains the anonymous market action.

Generally, buyers and sellers in the informal economy are typically connected via bonds of interpersonal trust and also typically they are not legal entities. Evidence in support of these observations is provided by the data of the Special Eurobarometer on *Undeclared work in the European Union* (2007) describing the relationships between buyers and sellers of goods and services - products of undeclared work. They show that sales of products from undeclared work in the European Union occur, firstly, through *strong* ties (Granovetter 1973), which are the most important hotbed of undeclared work (40% of the exchange is via friends, relatives, neighbours, see table 1). Secondly, it occurs through *weak* ties with other private persons or households, working most probably on the off-the-book basis (28%) and, thirdly, through officially registered market players (19%).

Table 1. Sellers of goods and services – products of undeclared work*

Sellers	EU (27)	BG
Friends, colleagues, relatives, neighbours	40	16
Other private persons or households	28	34
Firms or businesses	19	39
Others, refusal, DK (spontaneous)	13	11
Total:	100	100

* *Base: Those who have acquired goods or services from undeclared activities, having in mind the most important good/service bought during the last 12 months.*

Source: European Commission. 2007. Special Eurobarometer. Undeclared Work in the European Union: 14.

In the European comparative perspective, the Bulgarian situation is quite atypical. Almost 40% of Bulgarians who buy goods or services from undeclared activities buy them from firms and business, i.e. via registered economic agents³. This is the highest share all over the EU (Special Eurobarometer 2007: 14). These data indicate that underground economy in Bulgaria presupposes a much greater use of the anonymous market mechanisms than the EU average. This is evidence in favour of the idea that the official business is heavily afflicted by informal practices. It could be suggested that economic informality in Bulgaria has gained social legitimacy and could make use of the anonymous exchange in the same way as the official activities do.

The importance of the Bulgarian private persons and households (most probably informally self-employed) in selling products of undeclared work nears the one of the firms or businesses (34%), which implies a widespread practice of informal self-employment.

Informal networks with strong ties come last on this list, quite opposite to the EU situation in general. On the one hand, this finding additionally reinforce the research question about the ways in which market action and network action are combined in the case of informal self-employment. On the other hand, this is in contrast to some previous results of research done on Bulgarian social networks, which depicted them as dense and quite important for the economic life (see e.g. Chavdarova 1996, Benovska-Sabkova 2004, 2007, Petrova 2008).

It seems that social networks have been undergoing a process of general slackening in Bulgaria. Indirect evidence in this regard is provided by the European Social Survey conducted in 2007, part of which is devoted to studying of social

³ They are serial and continuous users of underground transactions in their formal business. Typically, they provide services, part of which are on off-the-book basis.

networks and social trust. It shows that the density of social contacts in Bulgaria is below the European average for 23 European countries (mean of 4.75 vs. 5.01 on average, see table 2). Social gatherings with friend, relatives, colleagues etc. which makes social networks run smoothly and leads to social capital accumulation seem to have become thinner at least for certain social groups⁴ in Bulgaria.

Table 2. Meeting friends, relatives or work colleagues socially in comparison (2007)

Country	Mean	Std. Dev.	Country	Mean	Std. Dev.
Portugal	6,11	1,363	Slovakia	4,97	1,646
Norway	5,61	1,278	Ireland	4,86	1,573
Spain	5,51	1,444	Estonia	4,83	1,649
Netherlands	5,46	1,325	Bulgaria	4,75	1,774
Denmark	5,34	1,252	Germany	4,73	1,466
Switzerland	5,32	1,221	Slovenia	4,56	1,588
Sweden	5,30	1,324	Ukraine	4,52	1,678
Austria	5,25	1,446	Russian Federation	4,47	1,784
Belgium	5,20	1,450	Poland	4,28	1,692
France	5,16	1,402	Cyprus	4,23	1,739
Finland	5,11	1,380	Hungary	3,71	1,792
UK	5,10	1,551	Average EC (23)	5,01	1,595

Note: The question is: "How often do you meet socially with friends, relatives or work colleagues?" ("Meet socially" implies meet by choice rather than for reasons of either work or pure duty). The applied scale has seven answers form 1 – "never" to 7 – "every day")

Source: European Social Survey 2007. Round 3. <http://www.europeansocialsurvey.org>.

It might be suggested that the process of slackening concerns in particular the economic significance of the strong social ties. The socialist "economy of shortage" (Kornai 1980) and the socialist "second" economy that both maintained social networks' high economic value went in the past and hence one of the important reasons to invest in social capital dropped out. In view of undeclared economic activities, however, social networks should be expected to play an invaluable role in keeping those activities hidden from authorities and in generating trust between suppliers and customers of the goods and services produced in the informal sector of economy.

The discussed data provide arguments for suggesting that two tendencies are in play in the contemporary Bulgarian socio-economic context. Firstly,

⁴ It should also be pointed out that the standard deviation for Bulgaria - 1.774 is the third highest one in the sample (after Hungary and Russia.), i.e. Bulgarian society is highly split on this issue. It is a question for further investigation to determine the most important factors and lines of this division.

economic informality has gained social legitimacy and could make use of the anonymous exchange in the same way as the official activities do. Secondly, the importance of strong ties (family, friends, relatives, etc.) in economic life in Bulgaria is diminishing. Could these tendencies be relevant in the context of a concrete economic field such as off-the-books self-employment? The study of young informally self-employed workers tries to test the following hypotheses, formulated on the background of the assumed tendencies: (1) Because of its social legitimacy, off-the-books self-employment could freely make use of the anonymous market exchange; (2) the weak ties (acquaintances or “friends of friends”) are more important than the strong ties (family, friends, relatives, etc.) for doing business informally. The applied qualitative methods make the findings valid only for the studied group of respondents; consequently, the conclusions must be accepted as hypotheses requiring further verification.

2. The data

Twenty four in-depth interviews with informally self-employed persons - mostly *young, highly educated, single and living in Sofia* – were conducted from January to February 2008. Nineteen of the respondents live in Sofia, two of them in big cities and another three in a small town. Only three of them are more than 30 years old, while the rest is relatively equally divided into two groups – between 21–24 years (11 persons) and 25–29 years old (10 persons). Most of the interviewed are single (19 of them) and either students (11 altogether) or already have a higher education diploma (10 persons). Only three of them have completed secondary school. Not surprisingly, 15 of the self-employed workers practice activities that require high qualification, while another 5 are artisans.

What do they do? Graphic and web designers form the largest group (5). The group of the engineer- and computer scientists (5) consists of two hardware specialists and “computer doctors”, two audio and video specialists, one dealing with computer programming; two women teach foreign languages, while the following activities are represented by one respondent: scientific worker/inventor, journalist, construction entrepreneur, internet (online) trader, jazz singer, tour operator, building facade renovator, fabrics trader, bag manufacturer, dressmaker, goldsmith and jeweller.

Informal self-employment is practiced either in addition to the official job (13 persons) or as a sole (9 persons) employment. In another two cases respondents have officially registered their firms but employ workers without labour contract.

Bearing in mind the young age of the respondents, it is noteworthy that about one third (7) of them have also had previous informal work experiences, in some cases three, even four informal jobs. Aside from this *continuous*

informality, the research provides evidence of *double informality*: besides being informally self-employed, some of the respondents are simultaneously wage-workers employed with a fake labour contract, which most often states that they receive minimum wages, while actually receiving what are known as “envelope wages” on a cash-in-hand basis from their formal employer, as has been previously discovered in Romania (Neef 2002), Latvia (Sedlenieks 2003), Ukraine (Williams and Round 2008). This is done as a favour to the formal employer, who thus pays the lowest possible social security tax for his worker while the worker as well benefits since s/he does not pay the full amount of income tax.

3. The conflict between illegality and legitimacy of informal self-employment

The macro-picture of the flourishing informal economy in Bulgaria is corroborated by the study's results. What the interviewed persons see around them is widespread economic informality: (1) all of them have acquaintance(s) who work informally; (2) almost half of them (11 out of 24) state that at least one member of their families has worked or is now working informally; (3) most of them have business connections with other people engaged in informal activities or firms that do not require any receipts and invoices, thus practicing double-entry in their bookkeeping. They share the opinion that working informally in Bulgaria is quite a normal and socially unquestioned practice. As they often put it in the interviews, going informal is not a matter of discussion; it is just “a fact”, “a datum” of the country's economic landscape.

No, I am doing nothing wrong; I have already told you that in my case [giving private foreign language lessons] even the law is on my side, so I have an easy conscience. ... I do think that [practicing non-registered activities] goes on all over the place and most of the people do not ponder at all on the question of whether it is right or not. It is already a datum. (17, female, 24 y.)

In this perspective, it was not surprising to see that three of the respondents operate on the national market and even more –six of them– work internationally. Two points should be made in this regard: first, the new technologies, where the young generation has definite priority, allow working globally; second, the young autonomous workers in big cities do not solely rely on informal networks for their informal activities but can well make use of atomised market action.

The dissemination of economic informality seems to be related to the level of confidence in the reliable functioning of the State as a key economic player that sets the rules of the game. All respondents, without exception, express their negative attitudes towards the State institutions, which is the strongest indicator of the lack of *system trust* (Luhmann 1982). They all think that the State institutions do not work properly and blame them for: – bureaucracy often combined with

corruption (6 respondents); – incompetence and low quality of public services (5); – lack of any concern for the micro- and small enterprises (3); – lack of any control (2)⁵. An indirect confirmation of the lack of efficient State control is the fact that only four respondents acknowledge that there is a *danger* – a *small* one mentioned by three of the interviewed and a *big* one, pointed up only by one person – to be caught by the State authorities. Most of them have no idea what kind of sanction is provided by the law in such cases. Three respondents think that the informal self-employment is fineable, and another one thinks there are no fines.

The combination between viewing economic informality as a widespread and normal phenomenon and the firm conviction in the State's inability to provide qualitative public services and to control the economic activities can explain the respondents' belief in social legitimacy of their informal self-employment. It clarifies why nearly all (20 out of 24) respondents express an unquestioned conviction that what they are doing is quite socially acceptable (although illicit). Two of the interviewed cannot even see what is wrong at all with his/her activity (see the cited excerpt). The justification of informality is typically related to the perception that there is a reciprocal relation between the citizen and the State and if the State does not perform its obligation, the citizen should have no obligations either.

Principally, one may obey a social order because one believes in its legitimacy or because one believes that others accept it as legitimate, or one could obey it by calculating the consequences of its imposition (Lewine 2005). None of these reasons to comply with the legal order seems to be present according to the study results. What reason then could there be to believe in the legality of rules set by a specific order that claims thereby to be legitimate? The core of Weberian understanding of the relation between legality and legitimacy is his concept of formal (rational) law (Weber 1956: 122–176). He argues that the legal order generates its own legitimacy by sticking to strict legality (which, in turn strengthens the belief in a given legal order) (ibid.). Weber seems to indicate that believing in legality is based on an instrumental rationality as the predominant social action orientation. Yet, the question remains about whether legitimacy by legality is actually a sound argument, or whether Weber implicitly relies on moral arguments to back his legitimacy concept (Lembcke 2007). In societies characterised by high mistrust in public institutions there is a conflict between legality and legitimacy (Giordano 2006: 210–211). In such societies the official economic order might be legal but not legitimate, whereas the socioeconomic practices, norms and conventions, even when they are (partly) illegal, gain legitimacy (ibid.: 211).

⁵ The study could not provide firm evidence about the extent to which these attitudes are grounded in respondents' personal negative experience with official authorities. They might well be subjective justification of a socially deviant behavior. Even so, of importance here is the fact that they indicate a total lack of system trust.

This conflict of legality and legitimacy in the case of Bulgaria and the unquestioned legitimacy of informal economic activities in the respondents' opinion could be viewed as a sign of economic informality's deep-seated permeation in the official market economy, which could be due to the enduring estrangement from the State. These processes on its part explain the compatibility between going informally and taking anonymous market action.

4. Informal networks vs. market atomisation

The research also provides some hints about the changes in the character and functioning of the young autonomous workers' social networks. The economic action of two-thirds of them is deeply embedded in informal social networks. *The respondents mentioned four types of informal networks*: friends (including colleagues who appeared in the interviews only in their quality of friends), acquaintances (friends of friends), family members, and neighbours⁶. They carry a very different weight and the kind and level of embeddedness differ depending on the stage of business development (see table 3). All four types of networks are active mostly as *customers'* networks. As the vast majority of self-employed workers are engaged in providing small-scale services, their contact with customers seems to be crucial to the success of the business venture. And indeed, the respondents' focus during the interviews was chiefly on the relationship with the customer⁷, which will be at the centre of further analysis.

Table 3. Networks vs market in finding and expanding the customers' circle

1. Business set up. Finding customers through:		2. Established business. Expanding the circle of customers through:	
Only friends and neighbours	8	Only friends and neighbours	4
+ Acquaintances (friends of friends)	5	+ Acquaintances (friends of friends)	10
++ Market (anonymous)	4	++ Market (anonymous)	5
Only market	4	Only market	2
Missing	3	Missing	3

⁶ Neighbours were mentioned only in two cases (a dressmaker and a dress-shop owner) as important customers.

⁷ In five cases the focus was also on the relationship with their business partners or collaborators who are either wife/husband or friends, including colleagues.

Friends constitute the economically most significant network. They appear in all interviews without exception and are definitely the most important social capital for the young self-employed, even more important than the economic capital.⁸ They are the first customers and “advertising agents”, sometimes also the first partners in setting up the business. By spreading information about their friends’ services they guarantee the transitive trust and thus further the venture’s establishment. In the course of business development the role of friends diminishes while the role of the “friends of friends” gains importance. Most of the respondents stated that once the informal self-employment had been established, reputation comes into play. Almost all of the interviewed said that the most intensive way of expanding their customer network is the principle of “word of mouth” recommendation, which speaks about the effectiveness of the transitive trust.

Family members appear in whatever direct role only in about one-third (9) of the interviews. The family is typically a provider of financial help for setting up the business, in terms of quite small investments as already mentioned. In the initial phase the family also plays an important indirect role by leading the young generation into the informal economy; almost half of the interviewed persons “have already tasted” the environment of informality through their families since at least one family member is working or has worked informally. Family members rarely appear as either somebody who lends a hand with his/her labor or as providers of contacts with potential customers. In one case only the off-the-books self-employment was developed as a family business (of two computer specialists - programmer and graphic designer both working on a computer game project).

While in the group of those for whom the informal self-employment is an additional job there is no or a quite limited involvement of family members in one’s informal self-employment, more than half (5 persons) of the solely informally self-employed receive some kind of help from their families. The family participates most often by providing financial support (subsistence and/or investment) and rarely by securing customers/contacts and labor.

It is very indicative that no relatives of any kind were ever mentioned in the interviews. This finding prompts to the need of further detailed investigation of the, probably diminishing, role that the extended family plays in various aspects of economic life in Bulgaria.

The described tendencies in the functioning of such strong ties as the friends and the family members lead to a correction of the second hypothesis which implied a greater importance of the weak ties for the informal employment. Those tendencies indicate that the strong and the weak ties have different importance

⁸ The vast majority of the respondents (19 out of 24) have invested not more than 1500 Euro in their activity.

in the different stages of the informal business venture. While the strong ties are crucial for embarking on informal self-employment by securing customers and start up capital, in the consecutive phase of business establishment they are gradually replaced, in terms of significance, by the petty entrepreneurs' weak ties with various circles of acquaintances.

Along with the exchange within the informal networks of family, friends and "friends of friends", the anonymous market exchange is also important for informal self-employment. One-third of the respondents rely on a combination of informal networks and atomised market mechanisms for finding and expanding their customers' circle. Most often this is done through adds on the internet and newspapers and in some cases the adds are disseminated on the street. There are even some respondents that rely *only* on the market method to perform their activities, especially at the beginning. The two outlined groups of solely and additionally self-employed differ in relation to the scope of their atomized market action. It is noteworthy that those employed only informally do not *solely* make use of the market mechanisms and are much more dependent on the dense informal networks. This is due to the fact that they are younger, with limited work experience and still get financial help from the family.

Those who rely primarily on networks differ substantially from those who rely primarily on the market in terms of their evaluation of the importance of trust. The first group underlines "the enormous importance of trust" for their business. Trust development here is embodied in an evolutionary process of creating common meanings and value orientations shared with their friends and with 'the friends of friends' who appeared as customers, partners or suppliers, i.e. a process-based trust is building up. The group of "market players", by contrast, easily take faceless commitments and grant societal trust. Its representatives underline the irrelevance of personal trust. This, however, is mostly due to the specifics of their economic activities which allow taking precautionary measures, thus minimizing and even eliminating the risk.

The relatively large involvement of pure market mechanisms in the informal exchange contrasts the *normative* expectation that, since informal self-employment is illicit, the fear of prohibition ought to prevent the economic action of becoming atomised. Because such fear, as already discussed, is not present, and because of the low level of confidence in the proper functioning of market regulations in Bulgaria, the informal and the officially registered entrepreneurs operate in similar market conditions. This is especially visible in the case of business contracts, whose enforcement is not perceived as guaranteed by the legal system. Registered and informally operating businesses are thus functioning in similar conditions; it does not matter whether or not their owners have signed written business contracts as they do not believe that the legislative

power would defend them when needed. This result further corroborates the hypothesis about the social legitimacy of informal self-employment.

5. In conclusion

The personal trust that is created and accumulated in the social networks of friends, family and acquaintances is the main driving force of informal businesses. However, the expectation about the significance of extended family and kin networks was not confirmed. In the case of young self-employed workers these networks are much weaker and less important in comparison to those of friends and acquaintances. Friendship plays an immense role as social capital and one could even conclude that together with education it is the most important form of capital for young autonomous workers. The incremental process of building personal trust through the gradual accumulation of either direct or indirect knowledge about the other (e.g. common history with friends and their friends, reputation, and warranties of quality) is the chief and most typical supportive mechanism for developing and expanding of the informal networks in this business frame. Typically, the informal enterprise is a spin-off of the social exchange of favours between friends and acquaintances, which by “word-of-mouth” intensifies and turn into a regular market exchange –illicit, albeit socially legitimate.

The study findings neither confirm nor reject the hypothesis that the weak ties (acquaintances, “friends of friends”) are more important than the strong ties (family, friends, relatives, etc.) for doing business informally. The findings specify this hypothesis by showing that: (1) strong ties are more important in the initial phase of setting up the business while (2) weak ties are more important for informal businesses’ expanding.

There is a conflict between legality and social legitimacy of the informal employment. Being illicit, it is, however, perceived as socially acceptable and unquestioned. Its wide spread and the firm conviction in the poor performance of the relevant State authorities contributed to the “normalisation” of the informal economy. In these circumstances formal and informal self-employed workers are on an equal standing. The anonymous market action was thus able to gain an importance, although informal self-employment is still heavily embedded in social networks.

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Social Networks and Labour Market Positioning of Bulgarian Sociology Students

Stoyan Novakov

1. Post-socialist specifics of student labour in Bulgaria

Twenty years after the collapse of the socialist regime, there are still traces of an educational model inherited from state socialism. In Bulgaria's planned economy, higher education was subject to strict planning. Courses taught in the universities closely followed the structure of the socialist economy, and students' numbers were determined centrally according to assumptions about labour demand in various spheres. In the socialist economy, the state's redistributive function replaced that of the free market: after graduation, the young person did not enter the labour market, but was immediately placed in a job. Graduates were allocated jobs by the State in accordance with a predetermined plan. The full coordination between jobs and university places meant that, once admitted to university, the student could relax¹: he/she was facing about five (the exact duration depended on the degree) peaceful years devoted to studying, followed by a guaranteed job placement. The guaranteed employability did not encourage students to seek either early professionalization, or what today is called "career development", and, as a result, student labour was rare. There was one exception: university students were obliged to do several weeks of non-paid manual labour for the benefit of the State each year, such as gathering crops or building roads, as part of so called *brigades*. Furthermore, universities would typically provide scholarships to students with excellent grades and/or low incomes, thus greatly assisting their parents in supporting their children's education. **As a result, during socialism there was a rigid chronological demarcation between education and work.** The years spent at university were devoted solely to the accumulation of knowledge and the acquisition of a degree; it was neither necessary, nor accepted, to have a job while studying.

This model is entirely opposite to the "Western" labour market model in which the transition from education to employment normally involves internships

¹ The "inverted cone" model has remained in place ever since, i.e. difficult entry and easy graduation. Universities introduce strict conditions of admission, thus narrowing the body of students – but, once admitted, students do not face any difficulties to successful graduation. Despite all post-socialist educational reforms, this mechanism is still in practice, and has grave consequences for the quality of education.

and work placements taken during the studies. In a context where jobs after graduation are not guaranteed, the common standard for entering a profession involves the accumulation of relevant work experience during the studies and the acquisition of essential skills by doing one or more successful internships. The students find themselves forced to strategically plan their “positioning” in the labour market as early as during their undergraduate degree. I can assume that in many cases that positioning would start with an internship.

The post-1989 market-oriented reforms gave rise to expectations that a Western model of career positioning would develop gradually and spontaneously. However, this has been happening only very slowly and arduously, even though the factors determining the lack of student labour during socialism became invalid shortly after the beginning of the transition. The socialist pattern outlived socialism and persisted into the first few years of the post-socialist transformations in Bulgaria, despite the marketisation of labour, despite the fact that job positions were no longer administratively allocated, and even despite the economic crises of the 1990s.

Some important factors opposed the popularisation of student labour. Until the middle/end of the 1990s, the unemployment rate was so high² that it prevented a mass entrance of students into the labour market. In addition, the rigid legal regulation of labour relations did not allow the existence of flexible forms of labour that are crucial in enabling students to successfully combine studies and work. During this period, student labour existed on the basis of spontaneous individual initiative, neither helped nor hindered by specific social policies.

On the other hand, some factors in favour of student labour appeared. The society became increasingly stratified and many of the newly-shaped social groups lived in poverty. This forced those students whose families could not handle their study expenses to start work. The provision of scholarships given by universities was reduced and in some universities completely eliminated; simultaneously, inflation reduced to value of a typical scholarship to the point that a student could no longer support his/herself solely on such a scholarship. Alongside these developments, Western institutional and personal models and practices were being imported: for example, qualifications and training centres were established at most of the universities, student demand for internships rose, and progressively more internships and training courses were offered by employers and the aforementioned career centres. Combined, these factors lead to the emergence of student labour in Bulgaria during the last decade of the 20th century.

The above-described factors for the emergence of student labour in the 1990s are grounded in the major social and political changes that occurred in Bulgaria

² National Statistical Institute (NSI) data show that in the end of 1999 the unemployment rate was 19 percent, while in 2006 it fell to 9 percent.

during that period. In 1989, the first major transformation in the political regime of the country led to processes of democratisation, incorporating political and economical transformations, and of a rapid social stratification accompanied by the emergence and establishment of new values and attitudes.

The first post-socialist governments faced with this task chose the so-called “smooth transition” method, designed to render the reform relatively tolerable for society. This choice considerably slowed down the reforms between 1991 and 1994. The reforms ground to a halt completely between 1994 and 1997 when the new government revived central planning methods and tightened its grip on the economy. Until 1997, all reforms were based on the assumption that “a market economy is possible with a predominant state ownership and ubiquitous government intervention” (see Hristova and Stanchev 2004: 53). In the winter of 1996-1997, as a result of this assumption and the policies that resulted from it, Bulgaria fell into a severe political, economic, and financial crisis³. There were numerous bank insolvencies, the national currency was devalued, hyperinflation made savings nearly worthless, and unemployment rates soared. All this resulted in deepening poverty in large strata of the population. The period between 1990 and 1997 was characterized by constant insecurity, political and economic crises, fast impoverishment of the population, and high unemployment rates. In those circumstances, many families were unable to support their children during their studies, or found doing so very difficult. Therefore, despite the slowly-raising awareness of the necessity to work, two obstacles opposed its realisation: on the one hand, labour supply was scarce; on the other hand, due to underdeveloped labour market, there were no suitable (i.e. flexible) forms of employment for students.

In 1997, Bulgaria signed an agreement with the International Monetary Fund for the adoption of a currency board which led to economic stability and ensured financial and macroeconomic stability in the following years (see Angelov and Chobanov 2004)⁴. As a result of the measures taken by governments after 1997, the market was gradually liberalised and the conditions for foreign and domestic trade were eased, thereby creating new opportunities for competition, choice and market expansion (see Stanchev 2004)⁵. The years 1998 to 2006 were nine consecutive years of economic growth. The increase in foreign investment was associated with the emergence of a number of new economic agents in the trade, services, and manufacturing sectors. New jobs were created, unemployment rates fell, and significantly more opportunities became available for enterprising

³ The GDP growth for the period 1989-1997 was -4.6%; in the first quarter of 1997 it plummeted to -21.5% (according to National Statistics Institute data).

⁴ Only then was the negative growth reversed and an average of 4.11% was achieved, with an annual increase in foreign investment by over 20%.

⁵ In 2005 did Bulgaria's GDP reach its 1989 level, and the growth was so rapid that in 2004 GDP was about 40% higher than in 1997.

citizens. New multinational companies imposed new standards of work and a new organisational culture.

The changes in the business environment led to changing perceptions, amongst students in particular, of professional development. Career development became a legitimate aspiration, unlike only five or ten years previously. The acquisition of professional experience and specific skills not taught in universities, but sought by employers, became important. Therefore, work during study became the basis for future professional development. In 2003, a nationally representative survey found that those young graduates who have never worked before graduation then remain jobless for the longest time after graduation as compared to those who worked during their study⁶.

Student internships appear to have been the first institutionalized form of student labour, introducing work as an active element of education. Institutionalised internship programmes were absent up until the creation of the first university career centres in first decade of the 21st century, almost 15 years after the fall of the socialist system⁷. The birth of the career centres demonstrates that the need for a new institutionalised form had already been recognised by at least three different types of agents: employers, job-seekers (students), and university authorities. It would be inaccurate to identify student labour only with the internship programs, or to argue that it was absent before they emerged. However, they are an *institutionalised* mechanism for career guidance and professionalization of the students.

In the above-described historical context the socialist and the western models of transition from education to employment collide, forming a specific post-socialist model of labour market positioning. Labour market positioning will be presented as a “map of relationships” that will help to determine the causes that make students seek work, and the resources that they use in finding it. This article focuses on the relation between ones work motivation and the informal network mechanisms. Networks are both considered as forming motivation to work or not to work and also providing certain labour opportunities.

In the absence of specific regulatory mechanisms for student labour, my examination of factors explaining why and how students work will focus

⁶“Youth in the labour market” - National representative survey of the forms of youth employment, conducted by Alpha Research in 2003. The survey examines incomes with relation to education; how students from different subjects are situated on the labour market; young people’s attitudes towards education; different job seeking strategies. The sample includes young people with elementary and secondary education aged 18–30, and those with a university degree aged 22–30.

⁷ This happened gradually in major Bulgarian universities, within a project entitled “Labour Market”, run by the U.S. Agency for International Development and JobTiger.bg (an e-portal for job searching). The project involved placing students as participants in the management bodies for the newly established career centres, the main objective being to introduce and popularise a culture of internship programs, both among students and among employers.

more on social relationships than on institutional links. I am going to use the concepts of “social networking” and “social capital” in order to understand the mechanisms that make student labour possible in the Bulgarian context. In my use of social capital as a concept, I refer to Burt’s metaphor of social capital as an asset. Burt synthesises the common features of the works of Bourdieu, Coleman, and Putnam in the following way: “... *a social capital metaphor in which social structure is a kind of capital that can create for certain individuals or groups a competitive advantage in pursuing their ends. Better connected people enjoy higher returns*”. (see Burt 2000: 3)

The social capital metaphor works best if we assume that the social environment is a place in which people exchange goods in order to pursue their interests. Knowledge of the network mechanisms as structuring the social capital is necessary in order to understand what “better connected” means in practice.

The leading assumption here is that the networks’ significance forms certain types of motivations to work. The different meaning that a certain network has for a student determines his/her own motivation to work or not to work. I aim to find that significance, to describe what kinds of networks are used and what functions they perform. I am studying students’ labour motivation and seek for specific network types in accordance to each motivation type. This means trying to construct different typological groups of students according to different types of work motivation, and thus check for similarities and differences among the types of networks that they use and the ways these different networks function.

The analysis in this paper is based on empirical data gathered from the qualitative study “Professional realization of sociology graduates at the Sofia University: 1990-2006” conducted between June 2008 and January 2009⁸. The main research question was: what careers do graduates from the Department of Sociology at the Sofia University have, and how do they enter them? The theoretical approach followed the interactionist tradition in the sociology of professions, according to which education is only one element in the process of professional socialization, without it necessarily leading to a specific professional development. Forty-eight semi-structured interviews with sociologists who had graduated between 1996 and 2006 were conducted. Thirty-four of them had worked as students, while 11 had not. For the purpose of this study, “work” is defined as any economic activity that the respondent claims to have performed: including *ad hoc* employment lasting only one or two days, seasonal work, part-time work, and permanent employment contracts. The students’ employment

⁸ This study was financed by the Scientific Research Fund at the Sofia University and conducted by Dr. Petya Slavova and a team of eleven undergraduate students and two doctoral students in Sociology, including the author of this article.

was diverse in content as well as form: from bartenders and street sellers – to researchers and analysts.

This article focuses on the student labour of those students who graduated with a degree in sociology from the Sofia University “St. Kliment Ohridski” between 1990 and 2006. In order to fully present the research problem, I shall begin by describing the factors which make it significant, followed by a discussion of my choice of methods and shall conclude by presenting the results of the study. After describing the historical context and presenting the main methodological outlines I am sketching out a typology of students’ motivation to work. The next section is about the networks in accordance to each motivation type described. In the end I am drawing a general conclusion discussing the study’s results.

2. Looking for a job: Typology of students’ motivation

While sociological education may lead to students’ professionalization, it does not “lock them in” a job for a sociological or marketing research agency. Quite the contrary, it offers the opportunity for various careers, and therefore requires the student to acquire different types of resources, in the form of contacts with people from different backgrounds, knowledge of foreign languages, etc. That is what makes it important to understand the job-seeking strategies of the sociology students.

2.1. Students who seek professional development

Students who seek career development form the first subgroup in this study. They do not pick up a job driven by the need to earn their living: they strongly identify with their subject of study, and find it truly important to find a career that is in some way “sociological”.

Students who seek professionalization most clearly push themselves out of the socialist pattern of behaviour, described in the first part of this article. They see no chronological separation between studies and work, and they are typically active in the labour market from the very beginning of their university studies; they are also interested in university-led research projects, but find these insufficient for their own development, so they start working. Their attitude is the attitude of researchers, and not as students; combined with the desire for professionalization and a successful career, it usually takes them to work in marketing or social research agencies. They typically have a personal “career project” which includes passage through the various consecutive stages and positions in the agencies: from the simple interviewer’s work to the higher and more prestigious position of researcher. Interviewer’s work is only one small step from their general professional development, allowing them to gain experience and hands-on knowledge about empirical field research. In some

cases, in the second or third year of their studies students get directly employed in the position of a researcher, or start with an internship in the research agency and gradually progress to a permanent position. Being a researcher in this case no longer means taking part in fieldwork, but rather developing research tools and conducting further analysis in the office. Generally, students who begin their career in this way tend to remain in the same professional niche, although not always with the same employer.

2.2. Students who seek income

The seeking income students are usually forced to work because of personal, biographical reasons. There are no clear attitudes to plan or follow a personal professional project. They would rather work anything, whatever is, as long as that would provide the necessary incomes to make their own living. The financial pressure forces them to mobilize all social resources at their disposal, but also makes them use some institutionalized mechanisms for job searching - ads in the press and in labour offices, but also to emit spontaneous applications, building different self-ideologies about their own skills and knowledge. While for starting a job in a sociological agency the social networks are obligatory mechanisms, when searching for any kind of a job, one may use several mechanisms. Networks are more differentiated, which could be explained with the variety of available opportunities in various fields. The more rare and specific job opportunities are, the more the network is required as a necessary tool for entry into the labour market.

Students seeking incomes are endangered by deprofessionalization⁹ to the highest extent. Since the core reason for them to start working is to secure an income, they often have no opportunity to choose their job according to how it relates to their education, nor can they consider whether it would be an obstacle success in their studies. Full-time jobs or night shifts among these students are not an exception. In the cases when they practice unskilled labour, they run the following risks: being unable to socialize at the university; not having enough time to attend lectures and seminars, which deprives them of the chance to acquire professional knowledge and skills and may even lead to dropping out. Even when the job involves skilled labour, the deprofessionalization effect comes from the fact that such students gradually begin to build their own careers at the workplace and slowly move away from the field of sociology. Furthermore, students who are “locked into” jobs cannot afford to start internships, because these are either unpaid, or paid a minimal salary (insufficient for subsistence),

⁹ I use the concept of “deprofessionalization” not in the common sense of losing professional skills and leaving the labour market, but getting (and staying for longer or permanently) a job which was not in the field of sociology.

and therefore miss out on an important opportunity for professionalization. The only way to work as sociologists for students who seek income is to become interviewers for research agencies, but interviewing is not a full-time job. They enter the labour market earlier than the first group, in the first and second year in the university.

2.3. Non-working students

Although this article is about students' positioning on the labour market, this group must not be overlooked, since their stories provide important information both about the labour market, and about their motivation to choose not to work. The decision not to work is, clearly, important for their future professional career—which they see as beginning after graduation. I shall return to this group at the end of the article.

3. Student labour as a network phenomenon

The following types of networks have been empirically registered in the analysis of students' labour market positioning: lecturers', peer, and friendship networks. This section explores the question whether the three types of students identified above (professionalization-seeking, income-seeking, and non-working) utilise different types of networks, and therefore rely on different functions of networks – for instance providing information or support.

The term “*peer network*” here refers to the student's academic environment: the community of university colleagues which functions as a reference group for the student and is important when deciding when, how, or why he or she should work. The peer network often, but not always, coincides with the *friendship network*.

The *network of professors* also plays a significant role for positioning in the labour market. It includes those lecturers who, in one way or another, guide, assist and create students' attitudes and opinions. The role of this network can be active or passive, and is, in a sense also part of the academic environment, but, unlike the peer network, involves a distinctive hierarchical power relationship between mentor and student.

3.1. Career-oriented students' networks: the contact to the lecturers

For those students who seek professional development, the network of professors plays the biggest role. On the one hand, this network can operate via the principle of “recommendation”. This appears to be one of the most reliable ways to find a “good” (according to their subjective criteria) workplace. Most often, students are recommended by their professors, or directly invited to work in a company where their lecturer holds a managerial position, alongside with

his or her teaching activity¹⁰. In these cases students create relatively durable contacts with their lecturers that go beyond the formality of the lecture-hall, thus making it possible for their learning efforts to be noticed. These efforts may pay off in higher grades and positive letters of reference from the lecturers to future potential employers. Support from lecturers and high grades are the two main mechanisms that establish the relationship between employers and students. The both parties rely on the reputation score of some remote party, in fact trusting that party through trust transitivity (see Chavdarova 2007). In the group of seeking professionalization students, these mechanisms are extremely powerful, because they are based on such transitive trust. Many managers of research agencies are former sociology classmates of the current lecturers, or were lecturers at some point in their own career, and so are strongly associated with the lecturers via relationships of mutual trust. The students, even though they are not part of this stable and permanent social network of sociologists, and are often even unconscious of its existence, can take advantage of the resources that it provides. However, this is only possible if the student has been noticed because of the effort put into his/her education. In other words, the professionalization of student labour does not always imply that the student him/herself is part of a particular social network. A student could have the chance to benefit from the resources of the network, without being a part of it, provided he/she is diligent, hard working, intelligent, reliable, etc. in return. These are the qualities that lecturers and employers value and which they can translate into good references. This is how cultural capital is converted into social capital. (Bourdieu 1983)

The mutual trust underpinning the exchange of information between students, professors and possible employers is, in fact, a one-way assessment of the qualities of a certain student by a lecturer, which is shared between lecturers and employers. Trust is not some abstract category, it has specific dimensions and is based on a shared history and on a shared process by which specific qualities are evaluated. On the one hand there is the personal trust between a teacher and their student, and on the other hand there is also the trust based on a student's reputation, based on proven personal qualities and prior achievements. Reputation is, thus, also a means of remaining within the network. Reputation is functional because of the trust transitivity. In the network of students, professors and employers there is a transition of trust, but what is important with the reputation is that this trust is not based on personal experience, but on trusting a third party about ones characteristics, which are in that case taken for granted (see Chavdarova 2007).

¹⁰ The market for sociological and marketing research agencies is one of the first service markets established in the beginning of the 1990s. In this period, part of the sociologists remain in the academy, while others start their own business and established their agencies, another group reconciled both roles. Anyway, generally their educational background presupposes close contacts and cooperation between members of the three groups.

Sometimes, the professorial network can not only play a supporting role, but even provide a very strong incentive to start work, which might otherwise be missing. This stimulating function is parallel to the “recommendation” function: in some cases the lecturer shows an even stronger desire than his/her students themselves to find them a job:

“I had been recommended by [name of the lecturer]. He told me about that and then I started the job.” (12, f)

Lecturers are among the most frequently mentioned figures that have played a crucial role in the professional and personal development of sociology students. They have the greatest power to shape the professional interests of their students. From their position of authority, implicitly and explicitly, they set the rules of the “correct” way to identify with sociology, according to which the student will begin to shape his/her future career project. Thus, teaching academics influence and format their students’ future professional paths. From a practical point of view, they are “gatekeepers” to the field of sociological labour, as they can provide useful information or assistance in entering a specific workplace:

“Usually one of the lecturers informs us...in my case in particular, [name of the lecturer] proposed several research projects and that we could participate.” (22, f)

In addition to the supporting and stimulating roles of the lecturers’ network, it has a third, entirely different effect: that of preventing an early entrance into the job market. The student who is also employed is facing the complex task of combining two potentially conflicting roles, one in an educational institution, and another—in a commercial one. Sometimes the academic environment may not support the efforts for professional or career development by working. I do not refer here solely to existing (or, as is the Bulgarian case, lacking) formal regulations of student labour. Besides the absence of formalized rules about then, how and how much a student can work, professors are free to set their own requirements and criteria for being a successful student. Sometimes the requirements and criteria given by different professors may even be contradictory. There is no (non-formal) agreement between the professors in the department on this matter. Thus some of them support students who work, but other may discourage them.

Friendship networks are the most operational, in terms of offering access to current and reliable information. Peer networks can serve as a starting point for the formation of labour attitudes or choosing a certain job. This happens in a variety of ways, but the most common example is the collective action of a group of students, who seek together to improve or create their conditions for studying or working. In that way they develop and establish a position that is accepted by the other students, as well:

“That was back in 1999 and ...then the students from the year before us who were also quite active had put through some opportunities for internships. [That is how] between my 3rd and 4th year I started as an internship in [agency].” (13, f)

The academic environment, understood as a collective effort of a group of students to achieve their goals, is a late phenomenon that could be noticed in the stories of those who studied after 1997/98. Some, with pride or nostalgia, remember stories of their own participation in overthrowing the government in the winter of 1997¹¹. It is impossible to say whether their participation in political protests is in any way connected with the consequent development of an activist attitude among students to organize and pursue their own educational interests. In any case, from about that time on there the role of the peer network has grown and has been able to set up new standards for a competitive environment for those students, who have become aware of their group interests and were willing to take actions for achieving them.

Being part of a solid peer network also helps a student’s professional orientation and their positioning in the labour market. It is not about doing everything together in a team, but rather sharing similar attitudes, thus developing common notions of the meaning of labour and about the priorities in life:

*“...sometimes some of the lecturers tell us that there a certain research project is running and we can get involved; and then, at least **me and the people around me**, we always ask the lecturers whether there are any opportunities in which we can take part” (22, f)*

In this case, a combination of resources has been used in achieving access to a research job. Lecturers are not mentioned as recommenders, but as sources of useful information. At the same time, this former student does not speak about herself only, but refers herself to a larger community of colleagues. So, on the one hand, the lecturers’ reference group have set clear criteria of what “good work” is, and, on the other hand, these criteria have been taken on board by a group of fellow-students who, in turn, provide additional support to each other in their professionalization-related efforts. It is common practice for one student to start a job and later to invite another student amongst his friends to work together:

“Well, I was invited by a former colleague, who had invited me to work as an interviewer there before, too. Once she told me that they needed

¹¹ In the end of 1996 Bulgarian Prime Minister Jean Videnov lost the support of his party and resigned as its leader and premier. In early 1997 the socialists came under strong public pressure to abandon their mandate for forming a new government and to agree to early parliamentary elections. This period is known as the “January events of 1997”, when large groups of people went out on the streets to protest against the Socialists government, blocked the streets in major cities, and occupied the Houses of Parliament.

more people for research projects, and just asked me to go and work for them.” (22, f)

Peer networks also function as a reference point for employers, helping them gauge what attitudes and skills they can expect of students. Thus, the information may also flow in the opposite direction, in which case the network provides reliable information about the characteristics of the potential workforce that employers can hardly obtain from official channels, such as job interviews.

Students who rely on friendship and peer networks are, typically, consciously and consistently looking for ways to build a career as sociologists (according to their own subjective notion of what that means). They often mobilize more than one resource in pursuing the objective. However, even though friendship and peer networks are, in general, recognised as reliable sources of information about vacant positions, opportunities, and niches, competition remains one of the fundamental principles of each market, including that of student labour. When seeking employment, students do take into consideration all of their knowledge regarding their friends' or colleagues' jobs:

“I took up a series of phone calls... Perhaps I did not call only [agency], actually I didn't take any chances there, because a colleague of mine was already working there and she was doing a really good job.” (29, m)

In this case, the knowledge that a possible workplace was already successfully occupied by a fellow student is valuable in that it restricts the pool of potential jobs.

3.2. Networks of income-seekers

Students who work mainly in order to secure income usually lack any position in the professorial network. Typically, they strive to solve their problems, using their own devices, often using friendship networks. Their lecturers do not seem to have any influence over them in any of the functions described above (support, advice, stimulation). These students have no choice but work. Their situation is usually so extreme that they have no time for long-term seeking, planning or selection of positions. In these cases, a frequent change of jobs is common and the immediate interest of securing an income outweighs the desire to work in the field of sociology:

“I had no choice, my father died the year when I started university. My mother lost her job. At a certain point we were left with no money at all. But I had to work, in order to secure a living.” (11, m)

Initially, these students are ready to take up any kind of labour. They can be bartenders, interviewers, salesmen, insurance agents, or “gofers” doing any kind of menial job assigned by their employer. However, a very significant factor

here is their attitude to education. The fact that they have graduated despite the hardships and did not drop out of university is indicative that education has remained a key value for them. Those who start jobs early out of necessity tend to take up part-time, rather than full-time jobs, because they find it important to graduate. Even though their job is unrelated to their field of study, it has the advantage of giving them flexibility:

“...I worked in bars and all sorts of other stuff, so that I could do my two parallel degrees at the university which were both full-time [...] That was an obstacle [for my studies], because I lost lot of time that way. These were times for earning money ... everything has its price” (34, f)

This situation is somewhat paradoxical. On the one hand, education is important for them and they do not lack a desire or plans for a career in the sociological field. On the other hand, they need to get jobs that, at least temporarily, sidetrack them from their desired career, in order to preserve their chances for graduation. This explains the dissatisfaction associated with this type of jobs.

Students in this group rely primarily on themselves for dealing with the described situation, and, secondly, on friendship and peer networks at university. Among this group, self-initiative and individualism prevail, as demonstrated by their readiness for personal meetings with employers or active job-seeking, for example. The professorial network which is the most significant factor for getting a job for the career-seeking students, here plays absolutely no role. These students obviously remain invisible to their lecturers and perhaps this is connected with the way they organize and manage to combine their studies with the work. University friends prove to be a useful link to the labour market. These may be either colleagues in a similar situation, or ones who are already employed. They support each other, e.g. apply for jobs, or go together to job interviews:

“... I accompanied a fellow-student who wanted to start working there. The man came and asked me: “Are you here for the interview?” I said that I was only accompanying... I had never worked as a waitress and I was curious... we both started ... she was not approved, but I was...” (36, f)

Since this type of work often brings little satisfaction, yet starts relatively early in their studies, it sometimes gives students an opportunity to rethink their priorities and focus their efforts in finding a more skilled job at a later stage. Friendship networks play a major role in this step-by-step career trajectory: most often, a new, better job opportunity arises after an invitation by a friend who knows the student and has trust in his or her skills, and whom the student also trusts about the terms of the offered employment.

3.3. Non-working students

Of all respondents who did not work during their studies, most did their sociology degree during the 1990's when, according to their statements, working while studying was not common.

„At this point it was not so popular...firstly there was great unemployment and, unless you desperately needed money, there weren't many jobs available". (24, f)

Among the non-working students, two types of reasons for refusing to work could be clearly distinguished. For some students the socialist labour behaviour model is still strong. They would have never started work during their studies, because they believe that it would jeopardise their success in education; this is why they prefer to wait until graduation before starting to look for a job. For others, the reason for non-involvement on the job market is that they happen to get involved in academia. They state that they have not worked while studying, but in fact they compensated this by participating in study research projects, or in external projects led by their lecturers. However, they do not recognize these as typical jobs, even though sometimes they were financially remunerated. Moreover, these students actively avoid the conventional types of work, preferring to engage in sociological research projects. Although seen as non-work, this is clearly a form of active labour market positioning, not via wage labour, but through freelance research activities, where payment plays a small if any role. These students, just like the income seeking ones have grasped that working while studying could lead to deprofessionalisation. Therefore they have consciously attempted to avoid that by choosing not to work. It is important for them to become (or remain) sociologists and the safest way to do that is to stay in the academic field. And although unpaid research activities are (or were) not typically perceived as "real work", in many cases respondents remember their participation in course or external research projects precisely as work. This is due to the type of activities involved in research projects: typically, they led students through the entire cycle of an empirical sociological research. This appears to cause education and work to merge in their minds. Education is recognized as the most useful and fruitful part during the years at university, added to this is the belief that related "work" is useful, as it allows you to apply your new research and teamwork skills. This, ultimately, leads to a conviction that working as a real researcher during your studies will prepare you for a research job in the real life after graduation.

Since these students did not work during their studies, I cannot refer their attitude to any professional interest they might have had outside their

studies. Thus, my analysis is based on their current occupation at the moment of interviewing. All their careers after graduation have two important common elements. Firstly, most of them are currently, or have been, involved with the professional world of academia. Secondly, they find it rather difficult to find a stable job after graduation. It is mostly typical for them to frequently change jobs, work in several jobs simultaneously, or become freelancers. Their career path reflects their desire to seek challenges and avoid staying in one job for too long. In a way, this group is the mirror image of each of the two groups described earlier: they have no paid occupation while studying, followed by many jobs after graduation, while for the previous two groups it was typical to change different jobs while studying, until they find something stable afterwards.

The friendship networks of non-working students function in exactly the opposite direction from those of working students. As part of a collective in which work is not prestigious, peers help each other in every possible way, developing various forms of solidarity in order to survive, provided that they do not have to start working:

“There was a community spirit back in those days [1997] when the monthly stipend was ridiculously small, about a dollar or something, there was no money for things like tooth-paste, let alone cigarettes... so we would all collect money for everything: if you needed cigarettes, a couple of guys would collect money, buy it, and smoke together... we used to spend most of our time together... such a climate of mutual aid” (43, f)

Another group among non-working students enjoyed a relatively good standard of living guaranteed by their parents, and this discouraged them from getting a job. In some cases (more common in the 1990s) the parents actively encouraged their children to focus on studying and not to disperse their efforts between university and work.

“My father was very much against the idea of me working, because he himself had studied part time many years ago, and wanted me to have a normal education – to study when I had to and to work when the time comes for that”. (41, f)

“Normality” implies education and work arranged in a chronological order, divided by a clear and distinct boundary. The roots of this “normality”, as discussed above, go back to the previous regime when the working while studying was not common practice, and when the job positions after graduation were guaranteed by the state.

Many respondents claim that they simply did not have the need to work, as the support that they received from their parents combined with the scholarships

granted for their excellent grades was enough to guarantee a decent living. This does not mean that they had no aspirations to exercise their newly acquired sociological competence. Study research projects, or academic projects run by lecturers, provided this opportunity. Work on these projects appears to have been the point of balance between the two other options: getting a job, or remaining outside the labour market.

There is another important reason for refusing to get a job while studying. It has its grounds in a particular elitist attitude towards sociology, sometimes formed in the department. That refers to the notion of sociology as some kind of an activity based mostly on high and sophisticated theorizations. And in this case it would be unworthy to waste ones excellent sociological competences anywhere else, except in the university, where pure theory forms the real sociology. Any other options are considered to be inappropriate, working anything else leads to losing the right sociological senses. Labour market and its requirements distort and interfere in what is supposed to be scientific “purity” and thus should be totally ignored. Some students accept that perspective and refuse to do just any kind of work, because they find that it is not good enough for the high expectations coming from that elitist attitude. It just does not conform to their criteria of what sociology is and how it should be done. Sociological agencies are the most common example of such places of deviations for the pure sociology:

“I couldn’t stand the thought of being at a place where sociology should be done and yet of having to spend my time entering data in a computer program.” (30, f)

Undoubtedly, this attitude to empirical research as different from pure social science is endorsed in the Department of Sociology itself, and, via the authority of the professors, is accepted by many students. Some of the students never get a job while studying, precisely because their identification as sociologists has no relevance anywhere on the labour market.

4. Conclusion

In this study I described the historical context in which student labour first appeared and tried to explain the causes that made it possible in that certain period and in that certain form. I assumed that during the recent transitional period in Bulgarian history, when there still is a lack of stable regulatory mechanisms and norms, students labour was predominantly a network phenomenon. Three types of students were distinguished according to their motivation to work or not work. I identified three types of networks to be the most influential in the process of job-seeking and starting students’ career: friendship, peer and lecturers’ networks. Different networks appeared to have different functions

or strength for each of the groups distinguished. In general, networks have several major social functions regarding to the labour market positioning. First, they channel the information about workforce supply and demand. Secondly, students' involvement in academic networks shapes their understanding of the meaning of work and their attitudes towards employment. Lastly, the networks in which students participate exert a strong influence over the formation of their professional interests. In particular, I found that access to lecturers' networks greatly fosters the development of professional interests and makes them significantly clearer and more focused. This is mostly valid for students, who seek professional development and carrier. Students who work while studying just seeking for incomes are much more individualistic and depending on their own. When referring to network mechanisms, they mostly rely on their peers or friends. Non-working students are influenced by the socialist model (commonly supported by their own parents) or by specific attitudes towards working as a sociologist, formed in the Sociology department.

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The Meaning and Negotiation of Quality around Fresh Fruit and Vegetables in Argentina

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1. Introduction

This paper addresses certain social relations that belong to the domain of rural sociology and the sociology of agriculture¹. A central theme concerns the ‘quality turn’ (Goodman 2003) of agricultural commodities. People’s actions and practices organise quality in ways that connect life-worlds and associated knowledge processes geared, directly or indirectly, to the market. By following social actors’ practices and the performance of food, it is possible to explain the social significance of quality (Arce 2009). In this paper, we will document the social dimension of quality and the wider policy process of establishing an official quality standard. Stress is placed upon the negotiations and construction of ‘quality strategies’ developed by supermarkets, greengrocers and producers. These relations present a dynamic of their own, which resists the inroads of a totalising global homogenisation.

In the following discussion, the first section situates the importance of quality. The second sets the country scene and consumption aspects of fresh fruit and vegetables in Argentina. The third describes the difficulties of establishing quality standards and, finally, we illustrate the social dimension of quality by focusing on the social interactions between wholesalers, supermarkets and greengrocers in order to reveal the functioning, organisation and circulation of commodities within embedded practices. These practices assemble the market and construct a representation of what quality is for fresh fruit and vegetables in Argentina.

2. Situating the issue of quality

Quality can be characterised as a degree of excellence of something measured against other similar things². Different attributes make something what it is. In the case of food, these attributes include a spectrum of parameters linked to health safety, nutrition, sensory/organoleptic characteristics (taste, colour, freshness, appearance, smell), process (traceability, biotechnology, organic) and extrinsic

¹ The authors thank to Eleonor Fisher for her comments and English correction of first drafts of this paper.

² From Oxford Dictionary <http://www.encyclopedia.com/doc/1O999-quality.html>

indicators, such as price, brand, or advertising (Noelke and Caswell 2000, Sterns, Codron, and Reardon 2001).

This broad definition of quality is used by international bodies like Codex (FAO 2006). Multiplicities of different actors further define the term, through those everyday activities that generate the production, distribution and consumption of food. In this respect, quality is a fluid and socially constructed conception that is created and recreated through the discourses and actions of actors (Marsden and Arce 1995, Morris and Young 2000). According to Lucien Karpik (1989), the quality economy refers to situations involving exchange of differentiated products of uncertain quality. Quality may be assessed by means of several dimensions, and is the basis of competition among suppliers.

Thus, quality is assembled through time (seasonality) and space (geographical origins), imbuing food products with a tacit knowledge that emerges within diverse contemporary life-styles. The introduction of the notion of quality is attributed to an economist (Lancaster 1966), who asserted that products consist of a bundle of attributes. According to Lancaster, a products utility is derived from the attributes it holds as part of its content (Sterns, Codron, and Reardon 2001: 3). However, this vertical view of quality has been challenged (Marsden and Arce 1995, Noelke and Caswell 2000) through the argument that social actors have their own perceptions of quality (Goodman 2003, Ilbery and Kneafsey 2000). Recent work on quality suggests it is a complex and contested notion.

Consumer awareness of food risk and criticism of lack of quality in contemporary, industrially produced food has added impetus to quality concerns. The apparent reduction of quality in modern food has generated a significant body of critical research in Western countries (e.g. Goodman 2003, Murdoch, Marsden, and Banks 2000). These studies have focused on the growth of alternative agro-food networks, as a consumers' reaction against industrial mainstream market food circuits have increased food fears of contamination and raised issues over concerns for social justice and environmental sustainability.

These studies have helped implant the notion of quality in local spaces (Goodman 2003). However, consumers search for 'alternative' products in supermarkets and fashionable specialised shops with little or no idea about how these products have arrived there or who produced them (Busch 2004). The seduction of convenience products (frozen, canned, or cut vegetables and ready-to-eat meals) complements this degree of food 'ignorance'. Such products may imply industrial and chemical food processing accompanied by negative impacts on the environment (Renard 1999).

Private labels to guarantee quality and safety products have addressed this problem. Historically, grades and quality standards have been associated with differentiated technical methods and the reduction of transaction costs. Consequently,

the implementation of quality is important in the re-construction of 'modern' supply systems (Busch 2000, Hatanaka and Busch 2008, Henson and Reardon 2005). In other words, grades and quality standards are instruments of organisation used to compete in different markets. Thus, both processes -quality standardization and quality differentiation- take place simultaneously in the global food process.

Private standards by large retailers (supermarkets) aim to facilitate efficiency and coordination in global food supplies. These standards have opened new opportunities and new challenges to the suppliers of supermarkets. Quality requirements require considerable management expertise from growers/suppliers. Quality is the unit of value of these large food retailers (Busch 2007, Gibbon 2003). Further ambiguity is added to the concept of quality through the way it has emerged as part of the historical trajectory³ of food in different locations (Appadurai 1986); a historical trajectory that is linked to livelihoods, incomes and local entrepreneurial forms of organisation. In this respect, the notion of quality has always existed as part of local interactions between people and food, and the way of how people live and eat in households and social groups. Food contributes to settling the individualised style in which people occupy a particular territory, expressed through recipes and culinary traditions. Thus in spite of the institutional codes and the quality found at large retailers, the functions of food quality are located within a set of social interactions. This process is integral to the natural and social aspects of quality. The use of actor network approaches and conventions theory (Busch 2007, Goodman 2003, Murdoch, Marsden, and Banks 2000, Wilkinson 1997) has led to explanations of how economic processes are embedded in nature, while distinguishing how different types of food are embedded in 'worlds of production'.

The efficient coordination of the global food value chain (Dolan and Humphrey 2000, Gibbon 2003, Humphrey and Schmitz 2001, Reardon, Codron, and Busch 2001) satisfies legal and commercial quality requirements but reduces the range of fresh produce variety. Transnational enterprises make sure that worldwide suppliers achieve particular 'codes of conduct, production guidelines, and monitoring standards'. These normative procedures envelop producers and products in new surveillance institutions, such as Third Party Certification Bodies.

The development of different notions of quality in food studies, which we have briefly reviewed, leaves social factors inadequately analysed. Attention usually goes to buyers, sellers and processes of formal exchange through which goods are assessed and prices negotiated. Consequently, the methodological potential of the economy of qualities resides in the strategic significance of food as products with their own careers. A process of successive qualifications and re-qualifications construct these careers via the active participation of social

³ By looking at goods as 'objects in motion', Appadurai and others (1986) focus attention on the changing ways in which goods create social identity and have an historical trajectory.

actors. This view refutes approaches that hold that the normative nature of a product is unchangeable.

Actor network approaches have analysed the multiple worlds and economy of qualities (Callon, Méadel, and Rabearisoa 2002) and focused on social interactions to understand how quality remains surrounded by a set of non-commoditised relations. Quality is an individual process organised by actors themselves; actors integrate the singularity of their interactions into their own food practices and strategies. In this sense, social actors retain a degree of autonomy and decision-making from global tendencies towards homogenisation of quality standards. This creates a semi-autonomous field in which we observe that quality is part of the social life of food (Arce 2009).

3. Setting the scene: the context of fresh fruits and vegetables in Argentina

The diverse climate of Argentina gives rise to heterogeneity in the types of fruit and vegetables produced in the country. Different provinces have specific agro-ecological conditions and fruit, in particular, is associated with the identity of geographical regions (Viteri and Ghezán 2006). Further fruit and vegetables are imported from both neighbouring countries (particularly tropical products) and Europe.

The production of fresh fruit and vegetables is important for both employment and trade. More than 90 percent of fresh vegetables are produced and sold within localised domestic markets, while 62 percent of fresh fruits are used in industrial activities (wine, juice, pulp and essential oil). Overall the fresh fruit and vegetable industry contributes 1,800 million dollars to national exports, representing 3.2 percent of the total value of Argentinean exports in 2007 (INDEC 2008, Viteri and Ghezán 2006).

In general, Argentinean domestic market of fresh produce is well supplied throughout the year. In spite of the relative abundance of supply, prices vary because of temporary shortages of some fruit and vegetables associated with weather adversities and logistic problems. Buyers and sellers consider these aspects at the point of purchase.

3.1 Consumption of Fresh Products

According to Aguirre (2005), increased poverty in the Argentinean population in recent years has led to a fall in the consumption of fresh fruit and vegetables. However, while poverty issues have to be recognised, we consider that other social aspects influence consumer habits. According to Fernández Lozano (2008), different forces are at play: on the one hand Argentines have started to appreciate the quality and nutritive value of fresh produce but on the other the criterion of saving time on buying and preparing food prevails over quality searching. These preferences are

link to change in consumer habits. For instance, the increasing number of women home working has reduced the time they have available to prepare food. This tendency has favoured the development of a food service sector (bars, restaurants, institutional food services, and fast-food places), particularly in large urban areas.

Even though there are discontinuities in consumption according to the economic situation in Argentina, wealthy consumers continue to buy 'fresh cuts' such as ready-to-eat salads and other minimally processed fresh fruit and vegetable products (Viteri 2003). In addition, the preference for dairy products has prevailed over the consumption of fresh fruits and vegetables. The advertising and the attractive packaging of dairy products capture consumers' demand for yogurts and desserts. Moreover, because dairy products do not need to be washed, peeled or cooked people prefer them in their everyday routine.

In spite of these changes in consumption habits, Argentineans still prefer to buy fresh fruit and vegetables at specialised shops rather than at supermarkets (INDEC 1998, INDEC 2009). The reasons for this preference are the proximity of shops, the quality, the competitive price, the freshness and the vendor's knowledge and advice. Aulicino and Moré (2000) classify these consumers as 'traditional' since they still buy fresh produce which require time to buy and prepare. However, consumers today are reorganising their practices and combine 'traditional' and 'modern' values with consumers' practices, so it is not unusual that a person in Buenos Aires will sometimes purchases fresh fruit and vegetables at supermarkets and at other times shop at the nearest greengrocer's. In the following section, we will illustrate the issue of establishing a national quality standard as an example of controversy in an attempt to unify quality criteria.

4. Establishing national quality control

During the 1980's, in North-Western Argentina, three innovative entrepreneurs developed a new variety of avocado. Subsequently, in 1997, they created a local association and then, in 2002, they organised the National Avocado Producers Association (Ignoto and Figueroa 2007). This association started to export avocados through Chile to Europe. These highly organised growers asked the Secretary of Agriculture, Livestock, Fisheries and Food (SAGPyA) to change the official quality protocol for avocado from visual examination to credence and objective attributes (i.e. dry matter and dry weight).

This private objectification of avocado quality sought to homogenise the national standard according to international criteria. This action generated social and political interactions between public and private actors, creating the material conditions for confrontation while delaying the establishment of national register for avocados. This register was presented as a central step in the process of quality branding to represent the 'excellent characteristics' of

Argentinean avocados. The visualisation and legitimisation of avocado attributes was an important factor in the promotion of avocado exports in order to secure a niche in the international market.

The SAGPyA (2008) interest was to improve quality standards to gain an export market, so joining forces with the association of avocado producers was held to be a practical mechanism for creating 'order' within avocado production in Argentina. However, medium-size and small producers interpreted this turn to quality as a political move to eliminate them from the national market. This interpretation gained force when policy makers and large producers characterised the medium and small sector as 'disorganised' competitors (interviews 14-b & 37-f). A controversy over the social and market significance of avocado quality led to a series of struggles between different producers, business interests and policy makers. The avocado quality initiative became a policy arena characterised by a disagreement over whose interests a focus on quality represented.

Small and medium growers were not convinced of the efficacy of the national quality standard pertaining to avocados as a mechanism for ordering fruit quality for the domestic market. They claimed that national quality standard was a political alliance to establish a norm that was expensive and bureaucratic and a vertical form of control. They considered that this new norm favoured the interests of the exporter-sector rather than production for national markets and Argentinean consumers. This meant that everyone should improve their production and use expensive technology. The certification of quality represented a total re-organisation of the avocado sector. Another point of contention was over the importance of avocado diversity, which meant keeping different prices and perceptions of quality among producers, retailers and consumers.

The association of large avocado growers finally achieved the official national avocado standard. However, this quality criterion failed to stop medium and small avocado producers from selling their produce. Consequently, it was not long when the Avocado Producers Association started to complain that it was necessary to legally stop the non-certify avocado commercial circulation to improve and manage the quality of the Argentinean avocado. The association of large avocado producers argued that they were subjected to unfair competition (Ignoto and Figueroa 2007).

Both medium and small producers and an important group of retailers believed that keeping a diversity of avocados in the market allowed consumers to have access to a portfolio of avocado, which in turn benefited different life styles. The result is that today there are still different quality grades of avocados in Buenos Aires' Central Wholesale Market; this is in spite of the establishment of the national standard for avocado quality. The controversy about 'avocado quality' illustrates the contemporary tension between global and national commodity processes and the orientation of large producers to achieve global

quality standards to compete internationally. We can thus conclude that any attempt to standardise quality may become a public issue, different interests, knowledge and practices socially construct food quality, and it is important to elucidate and analyse the social and political implications.

5. Quality construction: The ensemble between supermarkets and wholesalers

The arrival of retailing foreign companies transformed the fresh fruit and vegetable distribution in Argentina (Ghezán, Mateos, and Viteri 2002). Intensive competition between these large retailers in 1990s showed new commercial strategies and changes in fresh products procurements procedures. These transformations bring out how supermarkets recognise the significance of the national wholesale market sector and their strategies to manoeuvre and negotiate. Such encounters highlight the often diverse and conflicting interests between global and domestic production and retailing. These negotiations provide a basis to build bridges between wholesalers and supermarkets. Some wholesalers are able to evaluate information to face ‘new’ global challenges. This allows new modes of accommodation to develop within specific networks in order to achieve specialisation. Wholesalers and larger retailers -with diverse economic interests- create innovative partnership increasing organisational food distribution options.

During the 1990s, innovative wholesalers started to reorganise their enterprises to carry out quick deliveries. These ‘specialised’ wholesalers incorporated or increased their primary production and concentrated on fewer products. To do so profitably implied optimising economies of scale, both in fixed investments and in monitoring quality. Thus, in order to guarantee high and consistent volumes, these wholesalers invested in post-harvest cool chain facilities, transport and human resources. This meant that part of the wholesalers’ production was harvested and sent directly to supermarkets⁴ (Gibbon 2003, Viteri 2003). This partnership can be illustrated through Sabino’s case.

5.1. A wholesaler and supermarkets

Sabino is a 45-year-old Italian who owns a holding constituted by five different firms. One supplies restaurants, hotels, institutional cantinas, etc. The second is a vegetable association with 20 vegetable growers that includes packaging. The third deals with transport. The fourth is a re-packaging station of fresh-cut-vegetables. Lastly, the fifth is the wholesale Sabino S.R.L. a firm he started in 1984 at the Buenos Aires market.

Sabino’s commercial activities represent the ways in which a wholesaler engages with supermarkets’ purchasing procedures, reflecting an efficient logic

⁴ Since these specialised wholesalers do not pass physically the total volume of their sales through the Buenos Aires market, many supermarket-procurement-officers do not consider them as wholesalers.

for the supply all year-round a consistent quality, variety and volume to the chain of fresh fruit and vegetables (Cf. Dolan and Humphrey 2000). Sabino's enterprise improved its services according to the supermarkets guidelines for quality and the reliability of distribution practices. Sabino's commercial activities constructed an active knowledge to bridge the wholesale market sector, official discourses and supermarkets; in this respect, he is an innovator in food retailing. Sabino's commercial services connected elements of what is possible in Argentina with the global logic of supermarkets, achieving a reduction of transaction cost around an emergent economy of qualities.

Sabino recalled:

"During the 1990s, we used to grow according to supermarket norms of market control and expansion. Supermarkets tried to diminish their transaction cost by avoiding intermediaries. It was at this point when we started to supply them with our own production (particularly tomatoes and green leaf vegetables). We positioned ourselves as full-service wholesalers' provider to add value to quality fresh product. We invested in facilities and logistics and we started to classify products by size and quality. We contributed to save time from the moment of harvest to the situation of selling the product in retailers' shops."

"Supermarkets are our main customers, because of their high-volume demands they are very attractive for business. Since, I wanted our products to attract customers; I started to supervise the handling of products. Thus, we trained our own personnel who used to go to different supermarkets to control 'other' employees not to destroy the traceability of our fresh products and to stop them from mixing different brands and qualities; we made them aware of the quality they offered to consumers." Interview 29 – 26th December 2006.

This 'ethnographic text' expresses how the wholesaler gives meaning to his experience interacting with supermarkets. Quality is here a synonym of services, and services imply a social network of a fresh product handling according to different quality modes of food and business knowledge, a practice that transformed the existing market spaces.

If we are to go methodologically beyond value chain and institutional, generic and specific types of food interpretations, these 'actual' experiences challenge us to re-think the social dimension of quality as actors give emphasis to social organisation, communication and knowledge. Relations between Sabino and the supermarkets cut across existing configurations of production, retailing and consumption. These relations have oriented him to integrate primary production in the construction of a chain upon which specific items of information and a new social view of the

sector are internalised and re-worked within the specific and problematic context of supermarkets and the business of fresh product in Argentina. Sabino bought a cooperative of growers in 2000/2001 and started to invest in sustainable agriculture practices. He made this decision after observing the evolution of fresh fruit and vegetable demand in the high-income sectors in Argentina.

Sabino insightful and interesting experience tells us his success and tribulations as a local innovator.

“Before having to ‘understand’ problems and adapt ourselves to supermarket requirements, we believed supermarkets had the same goals as we had. We started our encounters with supermarkets doing the tasks required and providing a fresh shipper service, aligned with low environmental impact practices. Our vegetable chain was under strict quality control and we wanted to show our commitment to the environment to increase the number of quality consumers through the supply of our own fresh product brand (BIOS). However, supermarkets in Argentina are not interested in offering eco-friendly goods and services. Therefore is difficult to link environmental and organic production practices with a quality specific consumer category’. ‘Not even a single supermarket accepted, as commercially viable, to support environmental agronomic technologies.”

Sabino says:

“Even when entrepreneurs like me have realised the value of organic agronomic practices, I cannot deploy my market creativity because of lack of investment and I disagreed with supermarket’s strategies.”

Undoubtedly, Sabino identifies innovation with the rich local wholesalers’ fresh vegetable and fruit knowledge, rather than with supermarkets. Argentinean wholesalers encountered global challenges and he proudly adds:

“I never left the Buenos Aires market because the formation of prices takes place here. However, it was difficult to make supermarkets understand how to ‘play’ with prices, we realised that we worked in a completely different way.” Interview 62b – 5th May 2007.

Sabino and a few other wholesalers are producing under the Good Agricultural Practices (GAP) code, since supermarkets have the premise to be 100 percent supplied by growers under the GAP code by 2010. These wholesalers have a strong commercial position and they remain optimistic about to conquer consumer loyalty through quality. Sabino commercial strategy is not to leave completely his relation with supermarkets, but he is creating space for quality supplying premium quality fresh-cut vegetables to restaurants and international hotels.

6. The social distribution of quality

In the distribution of quality, greengrocers are as important as wholesalers for generating an organisational dynamic around the allocation of fresh products. These interactions are potentially innovative in nature and promote the exchange of knowledge, entrepreneurship and different quality circuits. Greengrocers are one of the critical points of the intersection distributing fresh products to diverse consumers with dissimilar income levels, social interest and values. The focus on greengrocers' actions to construct quality is link to non-commoditised elements such as knowledge, long-term relationships, passion, information and commodities with commercial opportunities. The following two cases will illustrate how these entrepreneurs take into account these factors to organise fresh food distribution.

6.1. Greengrocers

The first illustration is of a small firm organised by an innovative entrepreneur who started delivering high quality fresh produce to homes in May 1990. The enterprise is 60 km from Buenos Aires city and covers a large geographical area with deliveries (see map in picture 1). Nowadays this firm has expanded to other products beyond fresh fruit and vegetables such as flowers, meats, artisan cheeses, fresh fish, ham, olive oil, conserves and aromatics. It offers the possibility to receive selected food, pre-washed and packaged for its optimal conservation. It also assures freshness and higher quality and hygiene in their processing processes.

Picture 1 Case Study 1



The origins of the enterprise refer to a young agronomist capacity for linking quality and business. Federico belongs to a middle-social class family who used

to have their own garden in the 1980s, at University he understood that offering quality fresh fruit and vegetables throughout the year would be an interesting market niche to develop. Nowadays the enterprise offers over 2000 deliveries a week and over 2,500 boxes of fresh fruit and vegetables.

This enterprise uses the Buenos Aires market as their main purchasing point, because it is where the entrepreneurs keep a loyal group of wholesalers, who keep quality fresh produce for them, especially when there are shortages of fresh products. Quality is knowledge; it is also important in the creation of strong relationships with wholesalers to increase greengrocers' reputation. Nevertheless, these relations are dynamic and susceptible to break-up. This is the case between Federico's enterprise and a medium-size wholesaler. During the 2001 economic crisis, Federico had to stop paying many suppliers. They began to pay once they recovered financially. Nevertheless, one of these wholesalers –according to one of Federico's employees– treated them very badly, so they decided not to pay and they stop buying fresh produce from his stall. Personal relationships are part of the fresh fruit and vegetable business and they are very much part of the commercial transactions and generalised exchange of profit and interest at the Buenos Aires market.

The second illustration is the case of an eye-catching greengrocer operating at one of the city busiest train station and servicing a low-income consumer sector of the population (picture 3). Its 53-year-old owner was characterized by a wholesaler as: 'really an expert in fresh fruit and vegetables.' His reputation is linked with Antonio's beginnings; he remembers that employees from the City Municipality targeted him since his street selling activity was forbidden by law. In spite of his trading being characterized as '*ciruja*' (scavenger), he used to wear his best clothes to boost his sells of quality produces.

Picture 2 Case Study 2



The greengrocer's is open 24 hours a day. Antonio has a partner, but he is solely responsible for supplying the shop and deciding its prices. Antonio's purchases are based on his experience, knowledge and old relationships with wholesalers. He buys fruits mainly at the Buenos Aires market, but also goes to a Bolivian wholesale market for fresh and good-quality vegetables. Antonio's routine is to visit between five to twelve pavilions at the Buenos Aires market. Antonio, before coming to the market, contacts some vendors. He usually starts buying at 12 p.m. based on the information he has already collected by phone, so vendors know what Antonio is looking for.

The market vendor knows that Antonio is a frequent and expert buyer who appreciates quality products with price negotiated according to quality. Nevertheless, the vendor and Antonio set a price that takes into account the time of the day and the fact the vendor needs to do some extra-business. These factors are involved in the context of the transaction and price. Antonio does not taste products, because for him this is a sign of ignorance, since 'experience gives you the knowledge to recognise quality by eye recognition'. However, we observed that he tried a kiwi before buying; he explained that 'the last time I bought acid ones'. Antonio uses appearance as proxy for taste in order to decide the products he likes to buy. He says: *'If I like these products, my customers will buy them.'*

He buys and chats with wholesalers: the exchange of information is given as a 'gift' to achieve customers' certainty. Antonio is usually advised about 'good or bad' qualities of the products by vendors. Antonio has his own personal devices to select quality and he points out that 'fresh fruit and vegetables tell you how they are, with its size, shape, brightness, colour, texture and visual enchantment'.

Antonio knows that his customers cannot afford prime quality commodities since his greengrocer provides for a low-income neighbourhood. He tries to avoid buying from stalls with high-quality produce. Antonio knows that his long-term relationships with vendors and wholesalers allows him to maintain a particular form of transaction, providing that vendors can exercise some control over the debt and the honour of Antonio to pay in cash. Antonio is proud of this and argues that you do not need money to buy in the market. This modality aims at maximising fruit and vegetable distribution and in his case is important because he services a low-income consumer sector. To obtain products and pay later is a form of quality economy resisting global form of commoditization, while transforming 'cash' payments in accordance with existing social relations and forms that constitute the social life of the Buenos Aires wholesale market.

6. Conclusion

Quality is part of a complex world that links produce attributes with social actors. In other words, the visual characteristics of fresh fruit and vegetables, together with their seasonality and geographical origin, are intertwined with the social relationships that rely on social actors' knowledge to service life styles associated with different economic contexts. Thus, quality has multiple definitions: this paper has shown how social encounters assemble global forms of retailing with local social constructions of business and entrepreneurship.

The formalization of quality into a national system is not easy to achieve and is potentially conflictive in nature. Indeed, as demonstrated through the controversy over avocado standards, quality is not only a set of normative procedures to order the fruit-market. The attempt to legitimise this 'new quality avocado' for export opened up the political and social dimensions of quality, revealing how the state does not always defend local difference and variety. The national avocado standard points to how an amalgam is created out of local and global insights concerning the process of qualification regarding fresh fruit and vegetables.

At the Buenos Aires market, quality is negotiated through social interactions and the way that different actors deal with circumstances such as the social effects of global quality standards. The illustrations presented here show how entrepreneurs have organised their businesses around quality and customer preferences. In this regard, greengrocers' practices disclosed their capacity to deal with bewildering quality criteria and the creation of an economy of variability (de Raymond 2007). However, supermarkets are not disembodied forms of global organisation. In other words, supermarkets are not only efficient organisations that un-problematically reproduce an organisational model of the value-chain. In fact, they are carriers of global procedures, which implementation generates emergent social interactions.

At the Buenos Aires market, social actors qualify and re-qualify the fresh fruits and vegetables according to different individual knowledge, experience and personal business acquaintance. These interactions generate heterogeneous assemblages where 'modern' and 'precise' food distribution procedures (large producers and supermarkets) co-exist with a variety of 'other' distribution circuits (greengrocers, wholesale-distributor, institutional canteen).

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II. Network Forms of Organisations and Interorganisational Networks

Networks in the Market for Employee Training¹

Social Embeddedness in Firms' Search for and Selection
of an External Training Provider

Marc Höglinger

1. Introduction

Organisations planning to train their employees are very often not in a position or unwilling to carry out an employee training program with their own staff. A considerable share of employee trainings is therefore outsourced and organisations have to rely on external training providers to train their employees. However, the engagement of an external provider can involve the problem of searching and selecting an appropriate training provider. The market for employee training is very diverse and confusing, especially for unit managers who are not specialised in this task and usually in charge of training decisions concerning their employees. Further, because it is difficult to assess a provider's quality in advance traditional search and selection strategies and information sources like providers' advertisements are only of limited use.

Social networks, i.e. ties to business partners, customers, acquaintances and existing business relations with providers, become important in this situation as they help overcome information asymmetries and uncertainties about the quality of providers and therefore play a crucial role in search and selection processes (Granovetter 1985). At the same time, they help minimize search time and offer simple and efficient decision heuristics in the sense of the satisficing approach (Simon 1979). The latter becomes apparent in statements like "We didn't really search; we just took provider X because one of our employees already knew him."

The role social ties play when firms seek an appropriate external training provider has not been considered yet. To gain initial insights into this important issue we use data from a representative Swiss establishment survey on employee training. We analyse in an exploratory way the role played by social embeddedness in the search for and selection of an external training provider. When do firms use networks and when not? We distinguish between two conceptually different stages where networks come into play: The search for an appropriate new provider ("search embeddedness", DiMaggio and Louch 1998)

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and the transaction or exchange itself (embedded exchange). In the latter case, we look at the embeddedness structure between the purchaser and provider, in the former we look at networks that are used during the search process to access information about potential providers. In line with findings from similar lines of business like consultancy (Bennett and Robson 2004, 2005; Bennett and Smith 2004, Glückler and Armbrüster 2003, Mitchell 1994), we expect social embeddedness to be highly prevalent in the field of employee training, although we expect differences depending on the characteristics of a particular training program and between different purchasers.

2. Firms' Problematic Search for an External Employee Training Provider

Employee training is receiving growing attention in both practice and the scientific literature. Much research has been done on the determinants of training to deepen the understanding of what kind of establishments train which employees (Frazis, Gittleman and Joyce 2000, Knoke and Kalleberg 1996, Osterman 1995). Much less is known about how establishments organise training programs for their employees and how they work together with external training providers. Between 50% (small establishments) and 67% (big establishments) of employee training programs are carried out by external providers (Abraham et al. 2009) and the availability of an appropriate provider is therefore often a necessary precondition for firms to invest in employee training. How organisations manage to engage an appropriate provider therefore needs to be analysed in order to fully understand organisational decisions on employee training. So far, few studies (e.g. Gainey and Klaas 2003; 2005) empirically address the outsourcing relationship and the specific problems involved when hiring external training providers.

The search for and selection of an external training provider is problematic due to an intrinsic characteristic of employee training common to many services: As an experience good (Nelson 1970) its quality is hardly assessable by the purchaser before the training has taken place. The performance of a trainer and the final usefulness of a particular training program are difficult to predict. In addition, job training services bear strong credence good properties (Emons 1997) and are often hardly assessable even after the training has taken place. This problematic nature of employee training services is also perceived by practitioners from the field: unit managers, who are responsible for their employees' skill development and for funding decisions concerning training programs. 54% of the respondents in our survey on employee training say it is difficult to assess the quality of job training programs and 57% agree at least in part that it is difficult to find an appropriate training provider (see the empirical part below for survey details).

Providers in the market for training are quite diverse and include coaches – which are very often micro-businesses – training institutes, schools or universities. Employee training courses range over a vast variety of subjects such as leadership, software, language and sales training, interpersonal skills to welding, crane operator or executive MBA programs. There are no specific official market regulations in Switzerland; however, there are certifications like ISO 9001 or eduQua, a quality label designed for educational institutions. Further, a considerable share of employee training services is provided by official vocational training schools or universities. Nevertheless, the selection and engagement of an appropriate training provider involves a high degree of uncertainty for the purchasing organisation.

How do purchasers deal with this uncertainty? Provider certification is one possible solution, but seems to play a minor role as 67% of our survey respondents cannot tell whether the provider of the last training was certified or not. Contractual safeguards have only limited power to govern business-to-business (B2B) relationships and are hardly ever enforced in general (Macaulay 1963) and even less when there is a lack of objective quality criteria as in the case of training courses. A viable option at least for bigger establishments and for regularly required trainings is that training programs are carried out by own staff and in this way the problematic transactions are internalised in the sense of transaction cost economics (Williamson 1985). Further, institutions like rating agencies along with instruments like advertising or warranties help deal with problems caused by uncertainty and information asymmetries (Rangan 2000).

Beside the solutions mentioned, there is another one which is crucial in the procurement of external employee training services and on which we therefore focus in our analysis: The positions of providers and purchasers within a shared social network of relations, e.g. their social embeddedness.

3. Social embeddedness to secure market exchanges

The idea of the structure of social relations having an impact on economic actions, labelled “social embeddedness” by Mark Granovetter (1985) in his influential paper, has since its formulation led to a series of studies on the subject. The embeddedness of actors in social structures, that means direct ties between actors or indirect ties via third parties, is considered to have a beneficial impact on economic outcomes in markets. Embeddedness can be seen as a productive resource which provides the holder with a greater increased benefit in market transactions: Embedded agents are better off.

The starting point of the argument is the idea that economic actors pursue their self-interest and in so doing they do not follow always the rules of fair play. They are “self-interest seeking with guile” and behave “opportunistically” (Williamson

1975: 225). A purchaser of a service therefore always runs the risk that a provider delivers, for instance, lower quality than promised. As a consequence, mistrust arises that hampers economic interactions and leads to inefficiencies. In our specific case, no or less employee training services than actually required would be purchased by firms. Embeddedness in social networks can help overcome this trust problem by reducing opportunistic behaviour and the fear of becoming a victim of such misbehaviour. Granovetter (2005: 33) points out three main ways social networks affect economic outcomes in such a positive way. First, networks ease access to reliable information. Second, punishment and rewarding is more effective within networks. Third, trust can exclusively develop within social networks.

Personal ties are “corporate social capital” (Knoke 1999) and therefore play a crucial role in business-to-business relations: “It is not only at top levels that firms are connected by networks of personal ties, but at all levels where transactions must take place. It is, for example, a commonplace in the literature on industrial purchasing that buying and selling relationships rarely approximate the spot-market model of classical theory” (Granovetter 1985: 495). Several empirical studies explore the circumstances in which firms adhere to social networks for economic exchanges (Podolny 1994) and how networks of personal ties influence corporate outcomes. Embeddedness has been shown to improve general firm performance (Uzzi 1996; 1997), the performance of IT suppliers (Buskens, Batenburg and Weesie 2003, Raub, Rooks and Tazelaar 2007), ease access to capital (Uzzi and Gillespie 1999, Uzzi and Lancaster 2003) and to have a positive effect on joint ventures, alliance-forming and subsequent performance (Gulati 1995; 2007; Gulati and Sytch 2007).

3.1. Embedded Exchange and Search Embeddedness

In the purchasing process, embeddedness comes into play at different stages. Drawing on a conceptual distinction from DiMaggio and Louch (1998: 620), we distinguish between embeddedness: (1) when the exchange between two transaction partners actually takes place (embedded exchange); and (2) in the run-up to an exchange, during the process of searching for an appropriate transaction partner (search embeddedness). Embedded exchange and search embeddedness are highly correlated in practice, but they can be conceptually distinguished.

Embedded exchange

An embedded exchange means that two exchange partners (a provider and a purchaser) are embedded in a shared net of social relations and that embeddedness solves the problem of quality uncertainty concerning the good or service exchanged. Actors transact with a partner “with whom they have pre-existing non-commercial ties” (DiMaggio and Louch 1998: 620) or

with whom they have already dealt. An embedded exchange is equivalent to DiMaggio and Louch's "within-network exchange" but, in addition, includes repeated exchanges. The two types of social network structures that reduce opportunistic behaviour and increase trust in such an exchange situation are dyadic embeddedness (which Granovetter (1993: 34f) calls "relational embeddedness") and structural embeddedness.

Dyadic embeddedness denotes a direct tie between two actors. Past transactions in the case of repeated exchanges serve as a source of information about the provider's quality and reliability (a "shadow of the past", Axelrod 1984), expected future interactions (a "shadow of the future", Axelrod 1984) reduce providers' incentives for opportunistic behaviour. Further, repeated exchanges serve "joint learning" (Gulati 2007: 156). The buyer and seller adapt to each other by gaining knowledge and experience and thereby their joint work efforts become more productive. Structural embeddedness denotes ties which indirectly link two actors via third parties. Shared acquaintances, business partners or networks of purchasers of the same provider who know each other personally are the most relevant in a B2B context. These indirect ties provide the purchaser with *ex ante* information on the experiences of others with a particular provider and *ex post* information after the transaction has taken place, with improved sanctioning possibilities (Raub, Rooks and Tazelaar 2007: 351).

Search embeddedness

"Search embeddedness" (DiMaggio and Louch 1998: 620) describes the fact that the information source about potential providers is embedded in a shared network and it is the problem of the trustworthiness and reliability of such provider information that is solved (Abraham and Kropp 2000: 419f). With search embeddedness it is mainly direct ties to business partners, acquaintances or other purchasers who can provide valid information about relevant providers and through which a search is performed. Beside such personal contacts, there are more formal and not embedded search modes like screening advertisements or directories and using other publicly available information about potential providers. Formal and embedded search modes can be employed concurrently. An embedded search and an embedded exchange do not necessarily go together: An embedded search can lead to the selection of a provider within the own network (embedded exchange) but also to the selection of a provider with which no direct or indirect ties exist (not embedded exchange).

3.2. When is Embeddedness More Prevalent?

Embeddedness is not always equally important in market transactions and, as a consequence, we can expect embeddedness to be more or less prevalent depending on specific transaction characteristics. Agents prefer an embedded

exchange especially with risky transactions, namely where uncertainty is high and more is at stake (DiMaggio and Louch 1998: 623f, Podolny 1994: 459). The size of a transaction, e.g. the price, determines what is actually at stake. The transaction risk is negatively related to the purchase frequency and increases the more a service is individually tailored (and not standardised) because this goes along with heightened performance uncertainty (DiMaggio and Louch 1998). The properties of individually tailored training programs are much harder to specify, almost not assessable in advance and due to change during the training process. Greater familiarity with a certain training subject lowers the transaction risk because control capabilities are better. Finally, small organisations are generally more vulnerable and face a bigger risk in transactions because they have less power and resources available to enforce compliance. According to this reasoning, we would expect actors to strive more strongly for an embedded exchange and, as a result, for embedded exchanges to be more prevalent in the case of bigger transactions, more tailored (and less standardised) training programs, less frequent transactions, less familiarity of the purchaser with a transaction and the smaller size of a purchasing organisation.

Similarly as with an embedded exchange, search embeddedness is more important if there is greater uncertainty about providers' performance and if publicly available information (from advertisements or from the provider itself) is problematic, e.g. not completely reliable, not sufficiently detailed or hard to interpret. This is especially the case of individually tailored services and if the purchaser is unfamiliar with a particular training subject.

The use of an embedded exchange and search embeddedness also depends on the availability of relevant ties, hence on the size and quality of an agent's network (Röper, Völker and Flap 2008: 2). Even though an embedded exchange might be preferable, it cannot be realised if no potential providers figure in one's network. Similarly, an embedded search can only be employed if persons from one's own network dispose of and are willing to share relevant information. People more familiar with a certain training subject might have more ties available which could provide them with a specific kind of training services or which can at least provide them with information about potential providers. Education level might have a similar effect. Finally, agents in bigger organisations have more ties available, along with more potentially relevant ties within the organisation on which they can draw.

3.3. An Alternative Explanation for the Use of Embeddedness

Besides reducing uncertainty and acting as a safeguard, an embedded exchange and embedded search can also be employed as a strategy to reduce search effort and search costs. Embeddedness enables actors to find a reasonably suitable provider with a minimal amount of search or no search at all. According

to this logic, social networks are not used to secure a risky exchange or to gain access to more reliable information but to find a provider or some information about a provider in a very cheap and fast way. It is of minor concern how good the provider or how reliable the information received through networks is. Agents might even be aware that a provider engaged using an embedded exchange or embedded search is inferior to others that could be reached using alternative search and selection modes. This embeddedness-to-economise-on-search-costs aspect is rarely explicitly dealt with, but in our view deserves more attention, especially in the context of provider selection.

The direct selection of an exchange partner in the case of an embedded exchange makes any further search obsolete. The purchasing agent just takes the provider at hand – one he himself has already dealt with, or one a business partner or other acquaintance has already dealt with. If no suitable provider is known, an embedded search, e.g. asking some acquaintances, is a cheap and fast way of finding one. Accordingly, embeddedness can be interpreted as a strategy to economise on search costs in a satisficing context (Simon 1979). According to this argument, we would expect an embedded exchange and embedded search to be especially prevalent when agents try to find a reasonably suitable provider with only a minimal search effort – this should be more the case of inexpensive trainings or trainings organised merely to comply with a regulatory requirement.

4. Empirical findings

Data for our empirical exploration come from the Swiss Organisation Survey on Employee Training (SOST), which was specifically designed to gather data about the organisation of employee training in general, with a special emphasis on the use of external training providers. A comprehensive list of all active Swiss establishments was used to draw a random sample of organisations with at least five employees (full-time equivalent). Organisations were contacted from July to September 2008 via the CATI method and one unit manager per organisation was selected and interviewed about the training programs of their employees. The unit managers consisted of directors in the case of small organisations (less than 50 employees in the full-time equivalent) and of one randomly sampled head of department in the case of medium or large organisations (50 or more employees in the full-time equivalent). The survey achieved a high response rate of 52% and yielded 1,326 completed questionnaires (for more details of the survey, see Arpagaus, Höglinger and Abraham 2009). For the analysis presented here we draw mostly on part of the questionnaire where respondents were asked detailed questions about one randomly sampled training program with an external training provider in which employees of their unit participated.

In the following subsection we analyse the prevalence of an embedded exchange in the sampled training programs, while in the succeeding subsection we look at search embeddedness when the provider of that particular training was engaged for the first time. To gain a better understanding of the function of embeddedness in the search and selection of employee training providers we look for correlates between transaction characteristics of the training program and of the purchaser on one side and embeddedness on the other.

4.1. The Prevalence of Embedded Exchange

How frequent is an embedded exchange when firms engage an external training provider? The data in Table 1 show that a repeated exchange, the engagement of a provider who has been engaged before, is clearly predominant with 66.8% of the transactions. In 10.2% of cases, the provider was already in some business relationship with the purchasing organisation but in a function other than as a training provider (as a customer, supplier or consultant) – a situation we call multiplexity (Uzzi and Gillespie 1999: 389). In 6.7% of cases, there were no prior business relations but personal ties between the responsible unit manager and the provider prior to the engagement. In 11.1% of cases, there was no direct tie but an indirect tie via third parties (like other personally known customers of the provider, business partners, friends, employees etc.). Only in 5.3% of cases was there no direct or indirect tie between the purchaser and provider and hence the exchange was clearly not embedded. The other 94.7% of training programs are all embedded exchanges. In addition, when we exclude repeated exchanges and only consider new providers still 84.1% of the transactions are embedded.

An embedded exchange is clearly predominant in the selection of an external training provider – whether or not we consider repeated exchanges. The high prevalence of repeated exchanges indicates that organisations minimize their search investments for new providers and at the same time try to avoid the risk implied in engaging a new provider. A provider who performed well in the past is likely to perform well in the future. However, there is also the peril that, even though an old exchange partner does not perform very well, purchasers do not switch to an alternative provider. The reasons for such “switching inertia” (Li et al. 2006; Wagner and Friedl 2007) include information asymmetries, high risk adversity and social obligations or utility derived from personal relations involved in an embedded exchange. While in the short run it is possibly a good strategy, inertia is usually not an optimal strategy in the long run.

Table 1. Type of Embedded Exchange

	Freq.	Percent- ages	Cum. Perc.
Repeated exchange	773	66.8	66.8
Multiplexity (provider was already a customer, supplier, consultant at first engagement)	118	10.2	77.0
Direct personal tie prior to first engagement	77	6.7	83.7
Indirect tie via third parties (other customers of the provider, business partners, acquaintances, friends, employees)	128	11.1	94.7
Not embedded exchange	61	5.3	100
Total	1157	100	

The different kinds of embedded exchange overlap considerably. Cases are assigned to categories according to the strongest type of embeddedness. The strength of embeddedness equals the ordering of the categories in the table: 1: repeated exchange; 2: no repeated exchange but multiplexity; 3: no repeated exchange & no multiplexity, but a direct personal tie; 4: none of the above but an indirect tie via third parties. Only unit managers who said there was some kind of search prior to the first engagement were asked whether there was a direct personal tie or any other indirect tie than via other known customers. In addition, some respondents did not know whether or not there were any personal relations prior to the first engagement. Therefore, cases with no embedded exchange are possibly slightly overestimated.

In Table 2 we compare the prevalence of embedded exchanges for trainings with different transaction and purchaser characteristics. The different characteristics go along with higher or lower transaction risk and we therefore expect dissimilar shares of an embedded exchange (for the operationalisation of the different conditions see footnote²). Embedded exchange is differentiated between a repeated exchange and another embedded exchange, with the latter including all other forms of embedded exchange: Multiplexity, a direct personal tie or an indirect personal tie.

² To distinguish between low and high transaction prices, they were split at the median (3360 SFr.). The tailoring of a training is standard if the program was “only slightly” or “not at all” adapted to the organisation vs. “strongly” or “in big parts” adapted and “totally developed” for the organisation. Familiarity is low if the respondent is only “little”, “relatively little” or “partly” acquainted with the subject of the training vs. “rather well” and “very well”. Frequency is low if employees participated in the same or similar training programs “never”, “rarely” or “occasionally” in the past vs. “rather often” and “very often”. Firm size distinguishes between small firms with 5 to 99 employees in the full-time equivalent and big firms with 100 or more employees.

Table 2. Share of Embedded Exchanges by Transaction Characteristics and Firm Size (in %)

Type of Embedded Exchange	Percentages										Total
	By Price		By Tailoring		By Familiarity		By Frequency		By Firm Size		
	Low	High	Standard	Tailored	Low	High	Low	High	Small	Big	
Repeated exchange	72	67+	67	68	60	70*	62	87*	67	66	67
Other embedded exchange	25	29	28	27	32	26*	31	12*	28	28	28
Not embedded exchange	3	4	5	5	7	4+	6	1*	4	6	5
	100	100	100	100	100	100	100	100	100	100	100

*N=1157. Pearson's chi-square test for independence was used to test for the significance of group differences. + $p < .10$, * $p < 0.05$.*

According to standard theoretical reasoning, an embedded exchange mainly serves as a way to cope with uncertainty and as a transaction safeguard. Therefore, we expect bigger transactions, tailored trainings, and trainings whose subject is unfamiliar (low familiarity) to be more often embedded in a repeated or otherwise embedded exchange. However, Table 2 shows that there are only a few significant differences in the shares of an embedded exchange among different conditions. Whether a training program is less or more expensive, i.e. whether it is a small or a big transaction, is only weakly related to the amount of embedded exchange. More expensive trainings are with 67% less frequently a repeated exchange than are less expensive trainings with 72%. This is contrary to the prediction of the embeddedness-as-safeguard argument, but in line with our alternative argument about embeddedness as a means to economise on search costs. Whether a training program is standardised or individually tailored to the purchasers' needs does not make any difference. How well the responsible unit manager is familiar with the subject of the training is significantly positively related to the share of repeated exchanges and negatively to the amount of other embedded exchanges. Not embedded exchanges decrease. Frequency (which correlates with familiarity) shows the same pattern of relations in a much more accentuated form. The more frequently a certain type of training program is used, the more probable is a repeated exchange and the less probable is another embedded exchange. This is also contrary to the embeddedness-as-safeguard argument, but can be explained by

the opportunity structure. The availability of relevant ties to purchasers increases with the frequency of use of a certain type of training. Finally, the size of a firm is not related to the use of an embedded exchange.

In sum, the results show that an embedded exchange is highly prevalent in all kinds of conditions. The main determinants of an embedded exchange are the frequency of use of a certain kind of training program and the purchaser's familiarity with a training subject.

4.2. Embedded Search for a New Training Provider

A repeated exchange, namely falling back on a provider who has already provided services in the past, is the dominant strategy of purchasers procuring external training services. However, this is not always a feasible option. From time to time a particular training need cannot be covered by a current training provider or other reasons motivate a switch to a new provider. To find out how purchasers proceed in that situation, we asked the survey respondents how they found the provider of the sampled training program when they engaged them for the first time. We asked how the first match between them and the training provider occurred and how they searched. Depending on whether the training program was carried out by a new or an already previously engaged provider, this first match took place just recently or some time ago.

42.3% of the respondents said there was "actually no search at all" prior to the first engagement of the provider. That also means in the run up to a business relationship with a completely new provider, very often no search at all – however small – is performed. Recall errors do not explain that low level of search as whether the first match occurred just recently or some time ago is nearly identical (43.7% vs. 41.5%). If there was some kind of search (57.7% of cases), the set of potential providers considered was usually very small or just consisted of the provider selected later on. All this indicates that search efforts are minimal and purchasers are satisfied very early on with a reasonable suitable provider. An alternative explanation of the often non-existent search prior to selecting the provider is that training needs often arise or become explicit after a specific training program is proposed by a training provider. Supply creates its demand, or "[v]endor choice may be the cause rather than the effect of a buying task" (Liang 1995: 50) as an author brings that mechanism to the point.

How intensively do purchasers use different search modes if they actually perform a search for a new training provider? What importance has an embedded search through personal contacts? Table 3 depicts the share of respondents using a particular mode of search "intensively" or "very intensively". The "Total" column shows that share considering all sorts of trainings together. Overall, the preferred search mode clearly turns out to be business contacts. 51% of

the respondents used contacts within the organisation with colleagues and employees “intensively” or “very intensively” and 52% used contacts outside the organisation to business partners and customers. More formal modes like searching through the Internet and in directories (29%) or checking advertising (19%) are much less used. Private contacts with family, friends or acquaintances are also less frequent than business contacts, but still 31% used them intensively. An association of enterprises is used in 37% of cases “intensively” or “very intensively” as an information source. Overall, an embedded search, e.g. a search through private and mainly business contacts, is clearly the most intensively used search mode. Embeddedness also plays an important role in the search process prior to the selection of a particular provider.

Table 3. Share of Intense Use of Different Search Modes (in %)

Type of Search Mode	Percentages used “intensively” and “very intensively”												Total	N
	By Price		By Tailoring		By Familiarity		By Frequency		By Firm Size					
	Low	High	Standard	Tailored	Low	High	Low	High	Small	Big				
Internet, Yellow Pages and other directories	27	30	36	20*	39	26*	32	19*	22	35*	29	336		
Advertising material, ads	19	22	24	12*	23	18	19	20	19	20	19	335		
Association of enterprises	44	33+	44	27*	36	37	35	44	42	33+	37	333		
Private contacts with friends, family or acquaintances	27	34	24	43*	20	34*	32	25	30	32	31	337		
Contacts within organisation with colleagues and employees	53	48	50	52	48	51	49	55	46	54	51	346		
Contacts outside organisation with business partners and costumers	49	56	43	68*	47	54	50	57	55	51	52	347		

*Pearson’s chi-square test for independence was used to test for the significance of group differences. + $p < .10$, * $p < 0.05$*

Only those saying that some kind of search was performed prior to the first engagement of the specified provider were asked about the search modes employed. The exact question wording was: “How did you make use of the following search modes when you were searching for an appropriate training provider?” Answer categories were: “not at all”, “a little”, “only partly”, “intensively”, and “very intensively”.

Again we examine the use of search modes differentiated by transaction and purchaser characteristics. As Table 3 shows, the intensity of use of a certain search mode does not differ much between different transaction types. The only clear

exception is the degree of tailoring of a training program. For highly tailored trainings an embedded search is much more intensively employed than for standardised trainings (external business contacts: 68% vs. 43% used intensively, private contacts: 43% vs. 23%). Formal search modes like the Internet and directories (36% vs. 20%), advertising material (24% vs. 12%) as well as information provided by associations of enterprises (44% vs. 27%) are used much less.

To deepen our analysis of the associations between the intensity of use of a particular search mode and different transaction characteristics we now employ a multivariate approach. This allows us to study the association between two factors when holding other factors constant. Because intensity of use of a particular search mode was measured on a 5-category Likert scale we estimate an ordinal regression model for each search mode. The same explaining variables as in the descriptive table are used: price of the training, degree of tailoring, respondent's familiarity with the training subject, frequency and establishment size. Further, we add controls for the respondent's general education level (years of education) and a dummy variable for whether the respondent has received specific HR/personnel management training which might both be related to the availability of relevant ties.

The model's estimates presented in Table 4 show regression coefficients which indicate associations between training and purchaser characteristics and the intensity of use of a particular search mode rather than causal effects. They provide us with exploratory insights into what kind of search mode is used for what kind of transaction. The coefficients for use of the Internet, Yellow Pages and other directories in column 1 of Table 4 reveal that this mode of search is used significantly less intensively when purchasers look for a provider for a frequent training need; they are used significantly more intensively by purchasers from bigger establishments. The other two formal search modes – screening advertising material and asking associations of enterprises – are used less intensively for more tailored training programs. The information which is obtained through these search modes has less value for tailored services – information from embedded sources is in this case much more useful and reliable and allows a much better assessment and selection of a suitable provider. Private contacts, the first of the three embedded search modes, is more intensively used for more expensive and for more tailored trainings, and less with the increasing frequency of a particular training need. Further, the respondent's education level has a positive effect on the use of private contacts. Business contacts within the organisation are a very important search mode but there is not much variance in its use between different types of training. Only the respondent's education level is significantly associated with the increased use of such contacts. Business contacts with persons outside one's own organisation are also heavily used and, like private contacts, more intensively for tailored training programs.

Table 4. Ordered Logit Models Predicting the Intensity of Use of Different Search Modes

Transaction Characteristics	Regression Coefficients for Different Search Modes					
	(1) Internet, Yellow Pages and other directories	(2) Advertising material, ads	(3) Association of enterprises	(4) Private contacts	(5) Business contacts within organisation	(6) Business contacts outside organisation
Price of training (log)	0.0350 (0.41)	-0.0798 (-0.94)	-0.124 (-1.47)	0.180* (2.13)	-0.0758 (-0.93)	0.109 (1.36)
Price of training – free (free=1, not free=0)	-0.716 (-0.75)	-1.605* (-1.77)	-0.890 (-1.03)	1.001 (1.08)	-0.372 (-0.41)	0.667 (0.77)
Degree of tailoring of training (5-category Likert scale)	-0.120 (-1.38)	-0.184* (-2.11)	-0.210* (-2.47)	0.321*** (3.70)	0.104 (1.25)	0.361*** (4.12)
Respondent's familiarity with subject of training (5-category Likert scale)	-0.102 (-0.81)	0.0232 (0.19)	0.147 (1.23)	0.161 (1.32)	0.0450 (0.38)	0.143 (1.20)
Frequency of past purchasing of similar kind of training programs (5-category Likert scale)	-0.345*** (-3.49)	-0.0700 (-0.77)	0.0780 (0.82)	-0.286** (-3.02)	0.106 (1.15)	0.00655 (0.07)
Establishment size (No. of employees, log)	0.202** (2.78)	0.0622 (0.91)	-0.0695 (-0.98)	-0.0646 (-0.93)	0.124+ (1.80)	-0.128+ (-1.84)
Respondent's years of education	0.132+ (1.91)	0.0232 (0.36)	-0.222*** (-3.32)	0.171** (2.64)	0.156* (2.40)	-0.0469 (-0.75)
Respondent has received specific HR/personnel management training	-0.438+ (-1.80)	-0.458+ (-1.93)	-0.282 (-1.20)	-0.0797 (-0.34)	0.0349 (0.15)	-0.0944 (-0.41)
Observations	278	278	274	278	282	284
Pseudo R ²	0.052	0.020	0.034	0.040	0.016	0.032

*Coefficients are based on ordered logit models, one for each mode of search. Thresholds are not reported. T-statistics in parentheses. * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$. The exact question wording was: "How did you make use of the following search modes when you were searching for an appropriate training provider?" Answers categories were: 1 "not at all", 2 "a little", 3 "only partly", 4 "intensively", 5 "very intensively".*

On the whole, we see that the intensity of use of a particular search mode depends mostly on the degree of the individual tailoring of a training program and to a smaller extent on the frequency that a certain type of training is needed. The price of a training is only significantly associated with the use of private contacts, which is in line with the embeddedness-as-safeguard argument and contrary to the embeddedness-to-economise-on-search-costs argument. Familiarity with the training subject is no longer associated with the use of any particular search mode once we control for other factors. Finally, the purchaser's education level is

strongly positively related to the use of an embedded search. This can be explained by the purchaser's availability of relevant ties, which increases with their education level. How intensively actors make use of networks is not only determined by a deliberate or intuitive choice, but also on an agent's availability of relevant ties.

5. Conclusions

Our analysis of the role of social embeddedness in the selection and search for an external training provider has shown that networks are almost omnipresent in the market for employee training. With 95% of all transactions, a socially embedded exchange is clearly predominant. Almost all employee trainings take place with providers who have already delivered training services in the past (repeated exchange) or who are already part of the purchaser's network (other embedded exchange). Outsiders are only rarely engaged. Even when we exclude repeated exchanges, e.g. considering only newly engaged providers, with 86.1% an embedded exchange still clearly prevails. Looking at training programs with different transaction characteristics like size, tailoring, frequency or familiarity with the training subject reveals that an embedded exchange is highly prevalent in all kinds of conditions, although there are some small differences.

Analysing the way purchasers search for a new appropriate training provider reveals that also in that stage of the purchasing process embeddedness is very important. More than half of the respondents use business contacts from within their own or from outside the organisation intensively, while roughly one-third uses private contacts intensively. Again there are some differences depending on the type of transaction and purchaser characteristics. An embedded search is used more intensively in the case of tailored trainings, the more frequent a specific training need arises, and the higher a respondent's education level.

What do our results signify for embeddedness theory? Hypotheses about the use of embeddedness to secure more risky exchanges are only partly supported by our data. A higher transaction risk does not go clearly hand in hand with the increased use of an embedded exchange or search embeddedness. This is partly due to the high overall prevalence of embeddedness and the resulting low variance of embeddedness in the purchasing of employee training. However, this and the fact that almost half of the primary engagements of a training provider are initiated without any prior search and that where there is actually a search only very few potential providers are considered support our alternative explanation of embeddedness: Embeddedness is not only used as a safeguard to secure risky transactions but also as a means to economise drastically on search efforts or to avoid any provider search at all. Very early satisficing seems to be a dominant strategy when firms search for an external training provider and in these circumstances embeddedness serves as a means to find a provider in a small amount of time

and with minimal search effort. At least for more inexpensive transactions and for transactions where not much is at stake, which is often the case with training programs, minimizing search efforts seems to be an equally important rationale for an embedded exchange or embedded search as safeguarding risky transactions and finding the most suitable provider. Our analysis and results are certainly not conclusive but show that alternative explanations of the use of social networks in economic interactions should be considered more carefully in future research.

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The Continuity of Intertemporal Exchanges between Retailers and Suppliers in Russian Consumer Markets¹

Zoya Kotelnikova

1. Introduction

The paper focuses on relations between two parties which directly interact within the one commodity chain: retailers and suppliers. Nowadays in Russia they experience a new stage of institutionalisation of their relations. Since the mid 2000s manufactures have tried to centre the government's attention on a need for the formal regulation of supplier-retailer relations. They blame retailers for abusing market power asymmetry. For example, retailers are considered to set up fierce rules for suppliers: unfavourable contract terms, significant back payments, heavy fines, and so on. If suppliers do not follow these rules, retailers break up relations with them ("delisting"). They prolong contracts only with suppliers who fulfil all requirements without complaint. Therefore, suppliers appeal to the state for elaborating legislative acts which help them to cope with the market power imbalance and restrain chain store pressure.

The question arises as to whether these accusations for retailers represent facts? Most of these attacks have real grounds, nevertheless, remain speculative and anecdotal. We think that before formal institutions to be imposed it is necessary to study what rules direct retailer-supplier exchanges nowadays, and which forces maintain and undermine them. But there is too little empirical research focused on such issues (see Radaev 2009a; Radaev 2009b). Retailing always has been curiously peripheral in sociological and economic literature in Russia, and interorganisational relations between retailers and suppliers have turned out to be entirely beyond their horizons. As a result there are some gaps in empirical knowledge about how Russian consumer markets really work. In addition to that, it is questionable who possess the market power indeed; it is high likely that incumbents (independently of their position within commodity chains) impose rules of exchanges and establish specific interorganisational relations. Large brand manufactures have all opportunities and resources to constrain large retailers and even more dictate them sales conditions (Gereffi, Memodovic 2003: 3).

Thus, the proposed paper aims at determining what patterns of market exchange do exist between retailers and their suppliers in Russia. The strategy

¹ This paper originated in discussions with Prof. Vadim Radaev, to whom I am indebted for many suggestions and ideas.

of the present paper is to focus on a rather limited aspect of interaction – the continuity of interorganisational ties – and to show, in some detail, what organisational-market interface is and what exchange rules are established.

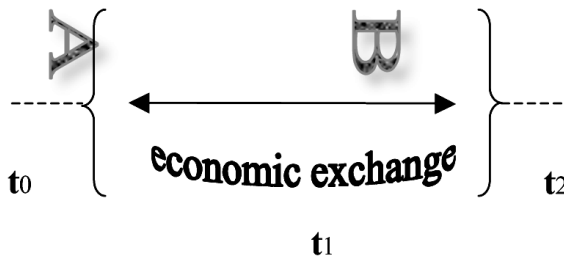
The plan of the paper is as follows. Firstly, we focus on the temporal dimension of market exchange to understand what it gives us for understanding interorganisational relations. Here we also present a review of some empirical research implications to list factors determining continuity of relations. Secondly, we consider a Wayne Baker's theory of market in order to draw out hypothesis to be tested. Thirdly, we depict the research project and data set collected for the analysis. And finally, we describe the research findings and try to move to discussions and interpretations.

2. The temporal dimension of market exchange

In their research W. Baker, R. Faulkner and G. Fisher define the market as *an intertemporal process of economic exchange between buyers and sellers* to stress the crucial role of time in the market relations and to contrast sociology of markets with economics which largely ignore the temporal dimension of economic exchange (Baker, Faulkner and Fisher 1998:150). For instance, J. S. Coleman writes that the difference between social action and the perfect market can be found in the role of time. “In the model of a perfect market transactions are costless and instantaneous. But in the real world transactions are consummated only over a period of time” (Coleman 1990: 91).

What does time contribute to economic exchange? Researchers have alternative views on this issue. It is possible to find out at least two economic sociological perspectives — new institutionalism and network approach.

Pic. 1. Time and economic exchange



Some social theorists (J. Coleman, H. Leblebici and G. Salancik) argue that economists do not take into account a fact that market transaction lasts during a given period of time (between A and B points on the Pic. 1). According to them market transaction refers to a process which begins with signing a contract and ends up with fulfilling all commitment. However, they consider

the continuity of market transactions as a source for uncertainty and instability. Coleman argues that the time asymmetry of market transaction produces risk of nonfeasance which can be reduced by contracts supported by law enforcement or trust formation between parties (Coleman 1990:90). Meanwhile, Leblibici and Salancik stress that this uncertainty results from 1) counterparties' identities, reliability, and flexibility; 2) quality of goods; 3) external environment of trading (Leblibici, Salancik 1982:231). And the stability of intertemporal transactions is provided by organised exchange patterns, i.e. institutions.

Network approach suggests that economic behaviour and economic institutions are "embedded in concrete, *ongoing* systems of social relations" (Granovetter 1985: 487). Social theorists indicate that economists do not take into consideration a fact that there are two types of relations: one last only during a given period of time and the others last well beyond the economic interaction with which they began (beyond the brackets indicated on the Pic. 1). (Burt 2000: 2). B. Uzzi called them arm's-length and embedded ties correspondingly. (Uzzi 1996: 675–676). Each type of relations performs its own functions. In particular, the embedded ties are responsible for reliable information transmission, and joint problem-solving arrangements. The important conclusion made by sociologists is that "optimal networks are not composed of either all embedded ties or all arm's-length ties, but integrate the two" (Uzzi 1996: 694).

Thus, new institutionalism and network approach highlight key points of the discussed issue in a different way. One approach analyses time as a source for the emergence of institutions and exchange rules; the other focuses on time to demonstrate that the economic action is embedded in social relations. For example, R. Achrol writes that 'for relationships to work over the long-term, they must be embedded in a network of relationships that collectively define and administer the norms by which dyadic relationships are conducted' (Achrol 1997: 57).

In our turn, using both perspectives we will try to centre on the continuity of interorganisational ties in order to understand what organisational-market interface is and what exchange rules are established.

3. Factors of the continuity of interorganisational ties

One of the most important indicator of market exchange as an intertemporal process is its duration. For instance, Carlton (1986) showed that purchasing relationships for a specific product across industrial firms tended to last seven to eleven years. Further to this, in his paper J. Arndt notes that modern markets are getting more and more tamed, closed, and regulated with long-term relations (Arndt 1979: 69).

Then, we move to some empirical works devoted to factor of continuity of interorganisational relations. They are presented by Table 1.

Table 1. Factors of the continuity of interorganisational ties

Authors	Subject of interests	Dependent variable	Independent variables	Findings
Erin Anderson, Barton Weitz (1989)	Dyads involving manufactures and their independent sales agents	Perceived continuity of relationship	a) trust between the parties, b) power imbalance, c) communication between parties, d) stakes in relationship, e) manufacture's reputation for "fair play", f) age of dyads.	Relationships which are expected to be long-lasting are characterised by the high level of trust; it is less likely that partners have negative reputations; these relations are mature as a rule; they are mutual beneficial. Power imbalance has a negative influence on the continuity of relationships. Authors fail to reveal a significant impact of communication on the dependent variable.
Shankar Ganesan (1994)	Relations between buyers and vendors supplying to those retailers	Long-term orientation	Interdependence (environmental diversity, environmental volatility; transaction specific investments) and trust (reputation, experience and satisfaction with previous outcomes)	Dependence and trust play a key role in long-term orientation. In some cases they impact how suppliers and retailers are oriented in a different way.
Wayne Baker, Robert Faulkner, Gene Fisher (1998)	Market ties between advertising agencies and their clients	Risk of dissolution of a given tie at time t	Competition (rivalry; market structure), power relations (resource needs; organisational size; financial status; social status; centrality; perceived effectiveness) and institutional forces (institutional isomorphism; structural attachment; personal attachment)	Most institutional forces reduce the risk of dissolution of agency-client ties. Powerful advertising agencies mobilise resources to stabilise a tie, but powerful clients mobilise resources to increase or decrease stability. Competition always increases the risk of dissolution.

Ronald Burt (2000)	Colleague relations in bankers	Decay function (survival rates and risk rates)	Tie and node age; embedding; homophily; status; and inertia	Decay is slower in relations between colleagues with a strong prior relationship (inertia), working in the same corporate division (homophily), prominent in the social hierarchy of bankers (status), or connected indirectly through many third parties (embedding).
Timothy Rowley, Henrich Greve, Hayagreeva Rao, Joel Baum, Andrew Shipilov (2005)	Cliques in the investment banking industry	Probability to exit the clique	Instrumental (inequality, complementarity) and social (similarity, density)	Complementarity and inequality are more powerful antecedents of clique exits than similarity and cohesion.
Daniel Levinthal and Mark Fichman (1988)	Auditor-client relationships	Survival rate of dyadic interorganisational attachments	Size, diversity of activities and task difficulty	Increases in size are associated with the increased expected duration of the attachment. Relations in which the audit task was more complex and presented more opportunities for the development of relation-specific assets had a lower hazard rate of dissolving than less complex relations. The diversity of activities is the significant predictor of the duration of auditor-client ties.

The table demonstrates that the factors contributing to the long-term orientation fall into several groups: characteristics of organisations (size, reputation, status, specialist / generalist); characteristics of interorganisational relations (tie and node age, trust, power imbalance, embedding, inertia, stakes in relationships); characteristics of organisational population (similarity, density, inequality); characteristics of organisational and institutional environment (environmental volatility, competition, institutional forces).

Summing up, it is necessary to point out that, to all appearances, institutional forces (trust, inertia, structural and personal attachments) mostly contributes to the formation of long-lasting business relations; competition tends to decrease the longevity of organisational ties; and power affects it ambiguously. On the one hand, researchers find out the negative influence of power imbalance; on the other hand, they fix that an increasing power induces companies to build long-term relationships.

4. The Baker and et al.'s theory of market

To render the Baker and his colleagues' theory of market we rely on two empirical works: "Market Networks and Corporate Behavior" (1990) and "Hazards of the Market: The Continuity and Dissolution of Interorganisational Market Relationships" (1998). Both papers are devoted to an attempt to crack the black box of the market. But it is necessary to stress that former paper is about organisation-market interfaces and their determinants; the latter concerns hazards for organisational ties to be dissolved and market forces which contribute to those risks.

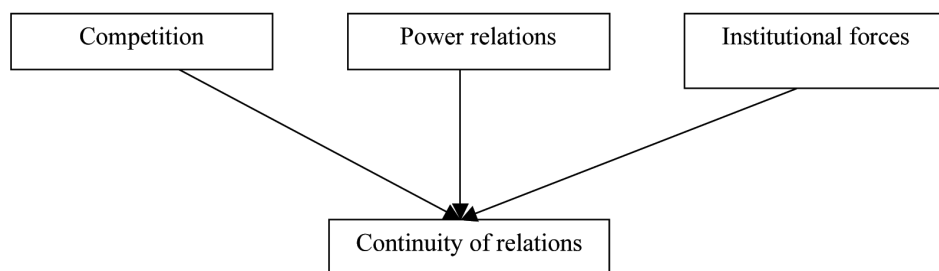
Wayne Baker pointed out three models of organisation-market interfaces:

1. *Transaction interface*. This model is close to the perfect market which implies a great number of partners and frequent switching. In the transactional world market ties are short-term, episodic and casual. Exchange rules imply easy and free entrance and exit from relationships.
2. *Relationship interface*. This model is close to hierarchy based on sole-sourcing and seldom switching. The exchange rules imply loyalty and exclusivity. In such world most relations are long-term and informal ones with implicit contracts used for prolonging relations.
3. *Hybrid interface*. The hybrid model combines a great number of intermediate models.

Baker writes that there is a lot of research which managed to reveal mixed forms closer to hierarchy. And much less is known about mixed forms closer to the perfect market.

In their article "Hazards of the Market: The Continuity and Dissolution of Interorganisational Market Relationships" (1998) Baker, Faulkner and Fisher studied the forces which determine risks of dissolution of interorganisational ties. They include competition, power and institutional forces. Authors revealed that they influence on risk of dissolution in a different way. Competition raises risks of dissolution of relations; institutional forces always contribute to a decrease of risks; while power effect risks of dissolution in a different way.

Pic.2. Forces of the continuity of intertemporal market exchange



As we follow Baker and his colleagues' findings, we will formulate the similar hypotheses to be tested.

5. Measuring

5.1. Dependent variable

Basing on the presented above typology we construct the dependent variable. It is based on two other continuous variables: a share of partners with whom a given company concluded contracts at time $t-1$ and broke up relations with them at time t , and a share of partners with whom a given company has three-and-more year relationships at time t .

Transaction orientation implies that in 2007 a given company broke up relations with more than 10% of partners with those it concluded contracts in 2006; at the same time in 2007 a given company prolonged relations with less than 50% of its partners with those it has worked more than 3 years.

Relationship orientation implies that in 2007 a given company broke up relations with less than 10% of partners with those it concluded contracts in 2006; at the same time in 2007 a give company prolonged contracts with more than 80% of those partners with whom it has worked more than 3 years.

Hybrid model includes all intermediary cases which were not referred to transaction model or relationship one.

5.2. Independent variables and hypotheses

Table 2. Concepts, variables, hypotheses

Concept	Variable, time t	Hypotheses
Orientation model		
<i>Transaction orientation</i>	In 2007 a given company broke up relations with more than 10% of partners with those it concluded contracts in 2006; at the same time in 2007 a given company prolonged relations with less than 50% of its partners with those it has worked more than 3 years.	We expect that the hybrid model will be the most popular among retailers and suppliers (see Baker 1990; Uzzi 1997).
<i>Relationship orientation</i>	In 2007 a given company broke up relations with less than 10% of partners with those it concluded contracts in 2006; at the same time in 2007 a give company prolonged contracts with more than 80% of those partners with whom it has worked more than 3 years.	
<i>Hybrid model</i>	All intermediary cases which were not referred to transaction model or relationship one.	
Competition		
	perceived number of direct competitors in a local market	The greater number of direct competitors a given company indicates the more it tends to be transaction-oriented.
	perceived level of competition in a local market	The higher competition level a given company perceives the more it tends to be transaction-oriented.
	perceived change in level of competition, t to t-1	If a given company perceives a higher competition level in a local market, it tends to be transaction-oriented.
Power relations		
Power as structural position	organisational size	The bigger a given company is the more likely it tends to be relationship-oriented.
	a number of regions where a given company operates	The greater number of regions where a given company operates the more likely it tends to be relationship-oriented.

	evaluated share of a given local market (% of sales), which is belonged to a given company	The more market share a given company occupies the more likely it tends to be relationship-oriented
	a number of stores	The more numbers of stores a given company obtains / provide the more likely it tends to be relationship-oriented.
	the total number of partners with those a given company works at time t	The more partners a given company works with the more it tends to be transaction-oriented.
	a number of large partners with those a given company works at time t	The more large numbers a given company works with the more it tends to be relationship-oriented
Power as agent's capacity to influence	for last two-three years a given company unilaterally broke up a contract with a large partner	If a given company unilaterally broke up a contract with a large partner it tends to be transaction-oriented
	a given company's evaluation how often its partners concluding contracts dictate it sales and price terms	The more frequent partners dictate a given company contract terms the more likely it tends to be relationship-oriented
Institutional forces		
	a given company's inclination to switching from the old partner to the new one for economic interests	If a given company does not incline to switch to new partners for economic interests it tends to be relationship-oriented
	a given company's opinion how often large chain stores break up relations with suppliers	If a given company believes that large chain stores tend to often break up relations with suppliers, it tends to be transaction-oriented.
	motives of partner selection for collaboration	If a given company selects partners based on such a criterion as personal attachment it tends to be relationship-oriented. If a given company selects partners on such a criterion as beneficial terms of contracts, it tends to be transaction-oriented.

5.3. Data

The paper is based on the project “Power and Discrimination in Consumer Markets: Relations between Retailers and Suppliers in Modern Russia” headed by Prof. V. Radaev in 2007–2008. The project was carried out at two stages: quantitative and qualitative ones.

Empirical data focus on grocery and electronic sectors. These two sectors amounted up to 50 percent of total sales in Russia in 2008. The sample mostly includes agents from the food sector (about 70 percent of the final sample), which is the biggest retail sector. Electronic sector is taken for cross-sectoral comparisons.

The empirical data were collected from 500 questionnaires filled in by managers of retailers and their suppliers in five Russian cities: Moscow, S.-Petersburg, Yekaterinburg, Novosibirsk, and Tyumen. In each city 50 retailers and 50 suppliers were interviewed. Two questionnaires were based on symmetrical standardised questions aimed at revealing mutual discrimination of supplier-retailer relations.

Besides, to improve the interpretation potential we enriched empirical data by 30 in-depth interviews with managers of retailers and suppliers from three cities: Moscow, S.-Petersburg, and Tyumen.

6. Findings and Discussions

6.1. Patterns of retailer-supplier organizational ties

The empirical data demonstrate that in nowadays Russian markets retailers and suppliers mostly follow a hybrid model closer to the relationship-orientated one (see Table 3). It should be noted that this result does not contrast with other research findings (e.g. Baker 1998; Uzzi 1997).

Table 3. Distribution of patterns of retailer-supplier interorganisational ties (%)

Transaction orientation	14,8	9,7	12,2
Hybrid model	62,2	66,8	64,6
Relationship orientation	23,0	23,5	23,2
Total	100	100	100

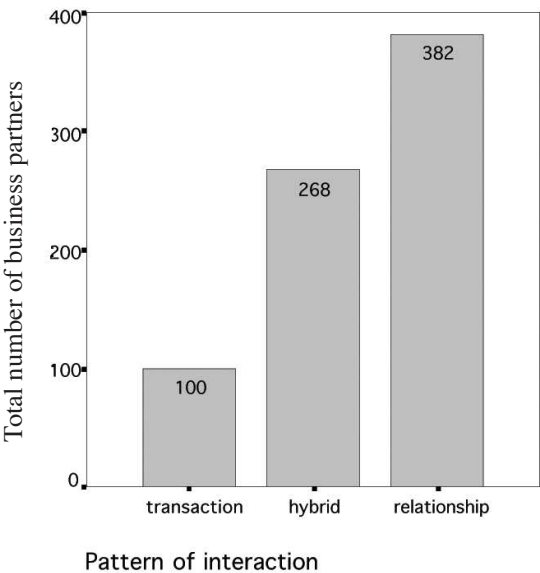
In 2007 upon the average transaction-oriented companies broke up relations with 23% of those partners with whom they concluded contracts in 2006; and prolonged relations with 31% of those partners with whom they had worked for 3 and more years. At the same time relationship-oriented companies upon average split up relations with 2% of those partners with whom they concluded contracts in 2006, and prolonged contracts with 95 % of permanent partners.

Moreover, market sector is significantly connected to patterns of interorganisational ties (for retailers the significance of Pearson chi-square is 0.001; for suppliers – 0.014). Retailers operating in the market of domestic appliances and electronics tend to be relationship-oriented (adj. resid=3.5) while grocery retailers tend not to be relationship-orientated (adj. residual=-3.5). On the contrary, suppliers operating in grocery markets incline to follow the

relationship-oriented pattern (adj. residual = 2.8). On the one hand, these figures point to the conflict of retailer-supplier interests in the grocery market. On the other hand, we can probably find an explanation for this fact within the theoretical frameworks of global value chains. The grocery sector refers to “buyer-driven market” where large retailers, brand manufactures and marketers play a key role while home appliances and electronics refers to “producer-driven market” where hi-technological producers determine the whole commodity chain.

One more parameter characterising retailer-supplier market interface is a total number of business partners. The Pic. 1 shows that transaction-oriented companies have the least number of business partners, on average – 100; on the contrary, relationship-oriented companies have the greatest number of business partners, on average – 382.

Pic. 3 Total number of business partners and patterns of interorganisational ties



According to the Kolmogorov-Smirnov Z test relationship-orientated model and hybrid one are significantly different in mean ranks of a number of business partners (sig=0.022); and relationship-orientated pattern and transaction-oriented one are either (sig=0.025). It is a very interesting fact because it contrasts with relationship-oriented model supposed by Baker, Faulkner and Fisher (their model implies exclusivity and sole-sourcing). Probably, there is an intervening variable (it is high likely to be organisational size) conditioning the interdependency between the total number of business partners and organisation-market interface.

Generally, in Russian consumer markets suppliers and retailers tend to build stable medium- and long-term relationships. Both mostly follow the hybrid model closer to relationship-oriented pattern. Moreover, retailer-supplier exchanges do not imply exclusivity. They collaborate with a large number of business partners. Surprisingly, relationship-oriented companies work with much greater collaborators than transaction-oriented organizations do.

6.2. Competition and patterns of retailer-supplier organisational ties

Retailers, manufactures and distributors reckon up a number of direct competitors in a different way. According to the Kruskal-Wallis, this difference is significant at 0.038. Retailers tend to indicate a lower number of competitors while distributors are liable to point to a greater figure of rivals. The Kolmogorov-Smirnov two-independent sample test reveals that retailers and distributors significantly are dissimilar (sig=0,034). However there is no connection between patterns of interorganisational ties and a number of direct competitors; and also between changes in perceived degree of competition and patterns of organisation-market interface.

Patterns of interorganisational ties are related with the perceived degree of competition (Pearson chi-square is significant at 0.019). According to the analysis of adjusted residuals, companies which follow the hybrid model incline to report on a higher competition (adj. resid.=2.6) and do not incline to perceive it moderate or low (adj. resid. =-2.6).

The Kruskal-Wallis dispersion analysis also shows the difference in group distributions (sig=0.017). The hybrid model is characterised by the least mean rank supposing a higher competition, and the transaction orientation is depicted by the greatest mean rank implying a lower competition. The Mann-Whitney two-independent-sample test fixes a difference between transaction orientation and hybrid model (sig=0.006). Analysing a connection of patterns of organisational ties to the perceived competition separately for retailers and suppliers, we revealed the analogous picture for formers².

The findings point to the fact that the lower perceived degree of competition companies have, the more they are inclined to be transaction-oriented; and the higher perceived degree of competition companies have, the more they are inclined to follow the hybrid model. Therefore, a decrease in perceived

² There is a relation of the perceived competition with a pattern of interorganisational ties. Pearson chi-square is significant at 0.009. According to the cross-table, retailers pursuing the hybrid model are likely to evaluate competition at a high level (adj.resid. = 2.8); retailers pursuing the transaction orientation are likely to evaluate competition at a low level (adj. resid.=2,6). The Kruskal-Wallis test (sig=0.009) and Kolmogorov-Smirnov test (sig=0.003) fix the same findings. According to the findings, an increase in competition results in the fact that chain stores follow the mixed pattern; a decrease in competition contributes to transaction orientation.

competition contributes to the dissolution of interorganisational ties; and an increase in the perceived competition leads to the fact that companies tend to mix practices. These findings agree with Brian Uzzi's implications concerning the fact that firms organised in networks have higher survival rates than firms which maintain arm's-length ties (Uzzi 1996).

6.3. Power and patterns of retailer-supplier organisational ties

Organisational size. The Kruskal-Wallis test shows that patterns of interorganisational ties are significantly different in organisational size (sig=0.016). According to the Mann-Whitney two-independent sample test, the transaction orientation and hybrid model differ significantly (sig=0.021); transaction orientation and relationship one do either (sig=0.005). The empirical data suppose that the bigger a company is, the more likely it follows to the relationship orientation or hybrid model. And on the contrary, the smaller a company is, the more likely it follows the transaction orientation.

We also examined this connection for retailers and suppliers separately. We revealed an inverse one only for retailers. Spearman correlation coefficient is significant at 0.044 and equals to 0,138. Moreover, the Kruskal-Wallis test confirms it. Between groups distributions are significant at 0,044. Mann-Whitney test points up the significance of difference in mean ranks between transaction orientation and relationship orientation is 0.028, and between transaction orientation and hybrid model is 0,020. Transaction orientation obtains the maximal rank implying that companies tend to be medium and small. Relationship orientation obtains the minimal rank implying that companies incline to be medium and large.

A number of business partners. An average number of suppliers with whom retailers collaborate is 93.3; while an average number of retailers with whom suppliers work is much higher – 390.9. The difference in mean ranks is revealed by Kolmogorov-Smirnov and Kruskal-Wallis tests (sig. = 0.000). These figures indicate a fact that suppliers are 'omnivorous' in respect to sales channels. They try to be closer to consumers in any way. If we compare a retailers' share of large partners with a suppliers' one we see that is much higher for retailers – 50% (average number of large suppliers = 61.1) than for suppliers – 0.16 % (average number of large retailers = 17.4). The difference in mean ranks is fixed by Kolmogorov-Smirnov and Kruskal-Wallis tests (sig. = 0.000). This means that chain stores tend to collaborate with much more powerful partners.

Retailers. We revealed an inverse linear relation between a total number of partners and pattern of interorganisational ties. Spearman correlation is significant at 0.004 and equals to –0.218. Kruskal-Wallis test fixes a significant difference is at level of 0.012. Kolmogorov-Smirnov test reveals a significant difference between transaction orientation and relationship orientation (sig.=0.021) and between relationship orientation and hybrid model (sig.=0.001).

Moreover, there are connections between pattern of organisational ties and a number of large partners; and between pattern of organisational ties and number of medium and small partners. Kruskal-Wallis analysis demonstrates that the difference in between-groups distributions of large partners is significant at 0.004. And it demonstrates a significance of distribution of a number of small suppliers is at 0.004.

The data draw a conclusion that relationship-oriented retailers on average collaborate with lower number of suppliers (both larger and small ones); hybrid-oriented companies work with much greater number of suppliers. It needs to be noted that this fact doesn't connect with organisational size; the greater average number of suppliers, the larger size of a given organisation is.

Suppliers. There is a connection between a total number of partners and pattern of organisational ties. Spearman correlation is significant at 0.000 and equals to 0.374. Kolmogorov-Smirnov test demonstrates that mean ranks significantly differ between relationship orientation and transaction one ($\text{sig}=0.001$), and between hybrid model and relationship orientation ($\text{sig}=0.000$). Kruskal-Wallis test reveals the significance of difference in group distributions is 0.000. Transaction model is characterised by minimal rank while relationship orientation is by maximal rank. Relationship-oriented companies have greater number of retailers (mostly medium- and small size); transaction-oriented companies work with lower number of partners.

The conclusion we can draw that retailers tend to work with a small number of large suppliers; at the same time suppliers tend to work with a great number of retailers of different size. Additionally, relationship-oriented retailers are liable to collaborate with a lower number of suppliers while relationship-oriented suppliers are liable to collaborate with a greater number of retailers. This means that market power is used by counterparties in different ways.

7. Institutional forces and patterns of retailer-supplier organisational ties

Inclination to switching. Overall in Russian consumer markets companies do not incline to switch from one partner to another for economic gains. 26.8% said that they would change the old partner for a new one for economic motives; while 73.2% wouldn't do that. However if we analyse it separately for retailers and suppliers we revealed that retailers' inclination to switching and suppliers' one are significantly different. The significance of Pearson Chi-Square is 0.002. The Tabl. # 4 demonstrates that retailers are more inclined to switching while suppliers are inclined to continue to work with the permanent partner.

Table 4. Imagine the following situation: You've been successfully working with a partner for a long time. A new partner comes to you and makes you more beneficial proposal; but for all that you cannot work with both of them simultaneously. What will you probably do?

		Retailers	Suppliers	Total
Most likely to start to work with a new partner	N	66	33	99
	%	17,9	8,9	26,8
	Adj. Residual	3,0	-3,0	
Most likely to continue to work with the old partner	N	132	138	270
	%	35,8	37,4	73,2
	Adj. Residual	-3,0	3,0	
total	N	198	171	369
	%	53,7	46,3	100,0

Criteria for partner selection. There are crucial differences in how retailers and suppliers select business partners. For supplier the important condition for selection of retailers is a presence of good acquaintances at the partner organisation (adj. residual=5). Retailers do not incline to select suppliers according to this criterion (adj. residual=-5). Pearson Chi-Square is significant at 0.000.

For suppliers the most important criterion for selection of retailers is a large volume of purchases (adj. residual=9). In their turn retailers do not tend to select partners in this way (adj. residual=-9). The significance of Pearson Chi-Square is 0.000

For retailers the important criterion of partner selection is beneficial terms of purchases (adj residual=3.5). Suppliers do not incline to select retailers basing on this criterion (adj. residual =-3.5). Pearson Chi-Square is significant at 0.000.

Overall evaluation of chains' behavior. Another aspect of institutional forces is a companies' opinion about how large chain stores behave toward their suppliers. A connection between pattern of organisational ties and frequency of unilateral dissolution of retailer-supplier ties was revealed. Pearson Chi-Square is significant at 0.006. According to that, transaction-oriented companies tend to believe in that it happens very often; while relationship-oriented companies tend to believe that it never happens in Russian markets.

The Kruskal-Wallis test fixes a significant difference between group distributions (sig=0.008). Transaction-oriented companies have a minimal mean rank supposing that larger retailers often break up relations with suppliers, while relationship-oriented companies have a maximal mean rank supposing it never

happens. The Mann-Whitney test shows that transaction orientation's distribution and relationship orientation's one are significantly different ($\text{sig}=0,002$), and hybrid model and relationship orientation are significantly different ($\text{sig}=0,045$). That means that transaction-orientated companies suppose that large chain stores tend to often break up relations with suppliers; while relationship-oriented companies tend not to believe that large chain stores are inclined toward transaction-oriented.

8. Conclusions

Today it is widely believed that suppliers should be defended against the pressure by retailers. For that a law draft is in process. Suppliers consider an introduction of trading law as a formal institution which probably helps them to resolve retailer-supplier conflicts in a fair manner. But there is some fear that for speculative arguments the present law draft is being developed in terms of anti-store-chain legislations. Therefore we decided to study exchange rules and organisation-market interfaces distributed in Russian markets.

We focused on the temporal dimension of retailer-supplier relationships because we suppose that the introduction of time into the market exchange allows us not only to insert the social into the economic phenomenon but also to match institutional perspective and network one. Thus, we tried to answer two questions: *which interfaces should be expected?* and *which factors determine that a given company follow one or another pattern of economic exchange?* Factors embraced competition, power relations, and institutional forces.

The findings show that the pattern of exchanges which is widespread among Russian retailers and suppliers is a hybrid model closer to relationship orientation implying medium- or long-term ties, multiple-sourcing, infrequent switching.

Additionally, our analysis points to the fact that the increasing competition induces companies (especially retailers) to follow the hybrid pattern; and the decreasing rivalry makes them be transaction-oriented. Our results are consistent with Brian Uzzi's implications that companies combining their social ties have a higher survival rate. At the same time our findings contrast with Baker and et al's research outcomes supposing that competitive forces always increase risks of dissolution of organisational ties.

Moreover, power relations influence on organisation-market interface in a different way. Firstly, we found that that the bigger a company is, the more likely it follows to the relationship orientation or hybrid model. And on the contrary, the smaller a company is, the more likely it follows the transaction orientation. Secondly, we revealed that retailers collaborate with significantly smaller total number of business partners and significantly greater number of large partners

in comparison with suppliers. Suppliers work with a great number of retailers including small and medium retailers. Relationship-oriented retailers are liable to collaborate with a lower number of suppliers while relationship-oriented suppliers are liable to collaborate with a greater number of retailers. This means that market power is used by counterparties variously.

Further to this, we discovered that retailers are liable to switching for economic reasons while suppliers are not. Concluding contracts suppliers are high likely to be governed by social motives while retailers – by economic inducements.

The study demonstrates that the competition, market power and institutional forces play a key role in organisational-market interface. Competition contributes to the popularity of hybrid models in markets. Power influences on patterns of supplier-retailer ties in a different way. It can increase and decrease risks of dissolution of retailer-supplier ties simultaneously. However it should be noted that the market power is much more important for suppliers which follow relationship orientation than for grocery retailers which tend to not follow relationship orientation. Most institutional forces stand for the relationship-orientation.

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Reorganisation of Companies and Regional Economies – Societal Transformation, Organisational and Personal Networks

Sabine Gensior

1. Preface

Two central issues will be investigated: (1) how are regional network structures established and how do they achieve stability; and (2) do closely linked regional value-added chains generate endogenous stability, can they be said to function as “springboards” for the acquisition of supra-regional resources – or do they rather give rise to “lock-in effects”? The approach adopted in examining these two areas is informed by the theoretical concepts of “social embeddedness” and “network analysis”. Alongside these theoretical underpinnings, a series of individual case studies and a representative written survey of companies are employed to give a view of regional networking in the round.

One major finding of the research is to show that the “social embeddedness” of commercial activity is a crucial factor for promoting the establishment of regional networks. In the vast majority of cases actors prove to be slow and hesitant when moving outside their familiar social environment, even when they plan new activities and seek to establish new business relationships. Thus the multiple dimensionality (or “multiplexity”) of social relationships not only constitutes a key factor underpinning the establishment of (networking) business relationships but is absolutely imperative when it comes to their stabilisation. Inter-organisational networks are reproduced and stabilised through the close interweaving of personal and business relationships. As far as the effects of regional networking are concerned, the findings ascertain that the type of “parish pump economy” – in the sense of regionally limited economic activity - under investigation as a rule has not resulted in a sterile “lock-in situation”. Indeed, those companies that have been identified as being in a “regional network” are the very ones that show themselves comparatively stable, secure and successful. Furthermore, capacities and resources requisite for supra-regional involvement can be developed under adverse conditions of regional economic decline. Thus regional networking may be said to function as a demonstrable “springboard” for the acquisition of supra-regional markets.

2. Introduction¹

Globalisation is not the only force impinging on trade cycles; a trend to regionalisation also plays a significant part in shaping them. In such regionalisation processes the contents, functions and mechanisms of interfirm networking also play a major role.

I will seek to ascertain how far such contents, functions and mechanisms provide the groundwork for regionalisation, and how far they themselves are determined by it. By investigating these processes it intends, on the one hand, to shed light on the ambivalence inherent in networking relationships and open it up to analysis and, on the other, to furnish a more cogent explanation of why certain areas of economic activity have proved impervious to globalisation tendencies.

Adapting a theoretically oriented approach, the paper seeks to illuminate, from the perspective of economic sociology, co-ordination mechanisms inherent in economic activity. It will further demonstrate how networking relations can structure markets, and to what extent it is feasible to speak of the “social embeddedness” of economic activity.

The lead-project I am referring to “Structures and Conditions for Stability in Regional Networking” – may be easily subsumed in the thematic category “New Structures in Work: the Reorganisation of Companies and Regional Economies” which itself has been a part of the DFG funding programme “Between Globalisation and Decentralisation: The Regulation and Restructuring of Work” (1998–2003). The catchword “networking” evokes forms of the restructuring of work on the inter-organisational level; the concept “regional networking” shows that along with globalisation regionalisation is a force we shall have to contend with. “Regionalisation” and “interfirm networking” serve as two key referential fields for new sociological research into the “regulation and restructuring of work”. Indeed, recent research in the field enshrines categories

¹ The paper draws heavily on 3 empirical projects: “Structures and Conditions for Stability in Regional Networking”. Project funded by the Deutsche Forschungsgemeinschaft (DFG) (1998–2003). Project Leader: Sabine Gensior and Joachim Fischer; Project Team: André Bleicher, Joachim Fischer, Sabine Gensior, Roald Steiner; “Women in Innovative Enterprises”. Project funded by the Deutsche Forschungsgemeinschaft (DFG) (2000 – 2007), Cooperative project with the Technical University of Vienna, Project Leader: Prof. Dr. Sabine Gensior, Prof. Dr. Ina Wagner, Wien (cooperative project with Technical University Vienna). Especially the DFG is the central, self-governing research funding organisation in Germany. Its mission is to fund and promote all fields of science and the humanities. It does so by relying on its statutory bodies and its Head Office, which shape the work and structure of the DFG. In an international context, the DFG is a member of several scientific and science policy associations, thus contributing to international dialogue, cooperation among researchers, and to the formation of a European Research Area; the 3rd project “Company Spin-offs in the Coal Mining and Energy Industry” (2000 - 2004) was funded by the Hans-Böckler-Stiftung. Project Leader: Sabine Gensior and Joachim Fischer; Project Team: André Bleicher, Joachim Fischer, Sabine Gensior, Roald Steiner.

like “the institutional embeddedness of single organisations” and “supracompany organisational forms” as the main axis for investigation. Furthermore, as the DFG (1994) brief underlined, there is a “pressing need for elucidation of regionalisation” in the light of the growing role played by regions as key arenas for interaction and regulation.

3. Establishing a Framework

In the light of the increasing role played by regional economies and inter-organisational (regional) networks, we may assume the existence of a specific form of interplay between regionalisation, on the one hand, and networking on the other. Comprehensive regional co-ordination of economic activities as evidenced (perhaps even increasingly evidenced) by “western” industrialised countries is underpinned by (interfirm) networking and in turn furthers its replication.

Thus the *first key – empirical* – concern was to investigate the means by which such regional networking structures are created and maintained in stability. However, in pursuing this line of approach, we should be aware that the phenomena we were investigating – “interfirm and regional networking” – are sociological new ground devoid of both clear conceptual delineation and solid empirical field work.

Against such a bleak conceptual and empirical backdrop, two questions of more *theoretical* and *methodological* import suggest themselves. Firstly, what exactly do we mean by “regional interfirm networking”? And secondly, how can “regional interfirm networking” be accessed and framed by empirical research?

- Once we have agreed that there is indeed such a phenomenon as “regional networking”, a *second key – empirical – question* immediately arises. If the networking region remains self-sufficient, developing an endogenous stability, does this lead to the formation of regional, relatively closed value-added chains or trade cycles? Or can regional networking serve as a kind of “spring board” for the penetration of supra-regional markets, could this lead to the fusion of globalisation and regionalisation trends as “glocalisation” prescribes?
- For its empirical field work the project “Structures and Conditions for Stability in Regional Networking” selected *Eastern Germany*, or more precisely the federal state of Brandenburg. It did so not merely for pragmatic reasons but because the case of East Germany displayed two closely connected *hypotheses* with bearing on the concerns sketched in above, which would well pay empirical investigation.

The first hypothesis concerns the on-going structural weakness of the East German economy and asserts that in the main this is due to the fact that the

networks established under the GDR are now completely “*torn and tattered*” whilst attempts to establish new networks flounder in the face of extant, functioning networks, particularly in the west, with no prospect of short term success. Empirical research was needed here to establish whether, and to what extent, this engagingly simple supposition may be justified.

A second avenue of research must concern itself with the question whether in the future East Germany will develop a sustainable regional economy that is dependent on existential transfer or whether it will make a virtue of the necessity of regional limitation. A second hypothesis asserts that such would be the case if a trend to self-stabilising endogenous development opened up a viable alternative to economic development for the region. Indeed, more advanced (and more optimistic!) versions of the notion of the endogenous nature of regional development consider that the “*spring board function of regional networking*” is a thoroughly viable and realistic proposition.

We need to examine what lies behind these two hypotheses with their alluring metaphors of “torn networks” and “spring board regions”.

4. Theoretical Perspectives

(1) Theoretical perspectives governing the impirical work may be encapsulated in the central concepts “*social embeddedness*” (Granovetter 1985 Uzzi 1996, 1997, 1999 Portes, Sensenbrenner 1998) and “*network analysis*”. By “*social embeddedness*” I mean that economic activity is also shaped by non-economic social norms that it is transacted within, or is constrained by, existing social relationships and that, in turn, it is a key factor in the constitution and reproduction of social relationships themselves. Thus networks and networking between companies and/or organisations in their role as collective actors constitute social structures (systems) which do not merely represent hybrid forms of the economic co-ordinates of “*market*” and “*hierarchy*”, but are also hybrid forms composed of social interaction and formal organisation. “*Network analysis provides a battery of instruments, both theoretical and technical, to describe the structures within which actors are socially embedded. Thus it also furnishes a means for understanding the creation of social order – along with other social phenomena and processes – as a consequence of such structures.*” (Esser 2000: 173).

The multiplexity inherent in networks means that they are relatively stable social systems. As the contents of social relationships overlap, so economically oriented interaction may be overlaid by the personal and private. “*Multiplexity means that the nature of the relationship is “structurally” secure as it hangs, so to speak, from a number of threads any one of which may break without endangering the relationship as a whole.*” (Esser 2000: 179).

The so-called “network perspective” in its application not only to individuals but to organisations as well is highly attractive as it seems to offer a way out of certain, often sterile, “stalemate situations” which have developed in basic theoretical discourse: structure versus action (Sydow, Windeler 1998), methodological individualism versus methodological relationalism (Kappelhoff 1999: 33), market versus hierarchy (ibid., p. 26; Williamson 1975).

(2) The analytical orientation to social networks we have adopted implies a certain *parti pris* when – as is the case here – we turn an empirical light on the examination of inter-organisational relationships, and in particular interfirm relationships. The “markets” we are dealing with are socio-economic exchange systems, more often than not limited and partial from the economic, social and locational (regional) standpoint. From this perspective terms like “world markets” and “globalisation” appear as distant ideals or escape routes.

Social and economic relationships both promote and constrain business activities. They may offer opportunities and chances, but they can also prove a severe restraint on the number of options available. Accordingly, a structure of regional networks may offer the opportunity for regional endogenous stability and may even furnish resources for supra-regional activity. But when such resources are used and literally consumed in mere reproduction, a “lock-in” effect ensues whereby regional networking functions as a brake or impediment.

(3) It is certainly intentional that “regional networking” evokes connotations of “*industrial districts*” and “*innovative milieus*” (comp. for instance Piore, Sabel 1985, Fritsch 1996, Semlinger 1998, Genosko 1999, Hessinger i.a. 2000), as these concepts lie at the intersection of much industrial sociological and economic thinking. This is the case, for instance, when an (innovative) company is viewed as the product of its local environment and not as pre-given, separate structural form of economic activity (comp. Genosko 1999: 41) the company viewed as a social institution, as it were.

5. Procedures and Methods

From a methodological standpoint, the project “Structures and Conditions for Stability in Regional Networking” may be said in a real sense to be breaking new ground. Although the mix of quantitative and qualitative methods it employs may not be particularly original in itself, the use of such a combination in the given thematic context is by no means self evident.

When empirically investigating closed networks with clearly defined and quantitatively manageable nodes and edges, the classical repertoire of so-called “network analysis” may be safely used (comp. for instance Ziegler 1984, Pappi i.a. 1987, Windolf, Beyer 1995, Dybe, Kujath 2000, Kujath 2001). But when it comes to investigating industrial districts and/or innovative milieus,

it is simply not possible in advance to determine the nature of the network to be investigated.

In the present case therefore we proceeded as follows with our empirical investigation of “regional networking”.

In the lead-project “Structures and Conditions for Stability in Regional Networking” (see Bleicher et al. 2003) we employed a representative written survey and a representative (written) questionnaire was sent to all 6.000 companies affiliated to the Chamber of Commerce and Industry (IHK) and the Chambers of Handicrafts (HK) of the state of Brandenburg. 1.100 questionnaires gave us detailed information on the structure of supplier, customer and capital relationships within the company which could also function as an indicator of regional, and of course supra-regional, company networking. In our present endeavour, we tried to get an overview of the Actor System as constituted by the company under review (Ego), its key customers, its main suppliers and its key investors (together with all the reciprocal relationships of which the respondent was aware).

In addition, substantiated statements on the contents, functions and mechanisms of networking relations were obtained with the help of 25 in-depth *case studies* in companies. They focused on the following sectors:

- Core rustbelt industries with regional production and service networks;
- Textile production using sustainable raw material;
- The recycling industry;
- Engineering consultancies specialised in reclaiming contaminated industrial sites;
- and a cross-sectional analysis of companies with cross-border business relations with Polish enterprises.

When undertaking the case studies on regional networking, we tried to take account of the network-like character of the phenomenon under investigation, by adopting procedures proper to the “*snowball system*”. The empirical procedure followed hints and prompts from the respondent whilst the empirical researcher largely allowed the persons being interviewed to construct the network by themselves.

6. Empirical Results

An operational definition of “regional networking” indicates a structure of interorganisational relationships occurring in close geographic proximity and capable of enveloping a variety of dimensions alongside the narrowly economic one. Central to this structure – and we understand a network here as comprising of a minimum of three actors – are relationships between companies. Typical

features of networking business relationships, which are also present in dyadic relationships, are stability, reciprocity and reciprocal dependency (which by no means excludes asymmetrical power relationships), common perceptions, values and value systems, which are based on, and constitute, social closeness, together with a certain degree of trust (comp. Fischer, Gensior 1998).

The motives and reasons for the establishment and stabilisation of networks of business relationships may be found in the drive to minimise uncertainty and transaction costs, to reduce the risks involved in opportunistic action, and to optimise the predictability, calculability and security of social action.

The following presents an excerpt of some of the key findings:

- Networking business relationships are characterised by a complex communication system comprising of multiple communication levels, a cast of different actors (not only boundary spanners), a rich variety of themes and content, and a substantial, at first glance seemingly redundant, intensity of communication (6.1).
- Broken down into terms of day-to-day actions accessible to empirical investigation, the social embeddedness of economic activity is revealed as a prime factor in the creation of networks of business relationships. Actors were always slow and hesitant to move outside their familiar social environment, even when they were set on new business goals and wanted to build new business relationships. Building on existing social relationships and exploiting them to open up new resources plays an enormously important role. This is often forgotten in all the metaphor-laden talk about “torn networks” in East Germany (6.2).
- The multiplexity (or multi-dimensionality) of social relationships is a central factor in the establishment, and the key factor in the stabilisation, of stable (networking) business relationships. In particular, inter-organisational networks reproduce and stabilise themselves through the cross-meshing and reciprocal support of personal and business relationships (6.3).
- Finally it was shown that regional, extensively closed economies enjoy excellent prospects for survival, and that the economic actors at least have learnt to appreciate the relative security afforded them by their “parish pump economy”. The oft-cited general insufficiencies of the East German business sector and its lack of supra-regional business contact must not necessarily lead the region concerned into the dead-end of a “lock-in” situation. Oddly enough, the companies to whom the term “regional networking” would most aptly apply show themselves to be comparatively stable, secure and successful. Furthermore, we may also see the emergence of a scenario where it would be legitimate to speak of conditions of regional foreclosure allowing capacities and resources

to flourish that have a positive impact on supra-regional outreach - the so-called “spring-board region effect” (6.4).

- When applied to the empirical analysis of the dynamics of network processes, the opposition between strategic design on the one hand, and emergent form and development on the other is little more than a futile exercise in analytics. The process dimension in networking draws its lifeblood from the power of reciprocal persuasion (6.5).

6.1 Communication in networks of business relationships

If we suppose that complex communication systems are necessary to reduce uncertainty, minimise the risks attendant on opportunistic behaviour and equip the organisation to cope with specific expectations of the environment – the catchword here is “factor specificity” (comp. Williamson 1975, Meier 1994, 1995) – I also may assume that communication frequency, length, content bandwidth etc in networks of business relationships is likewise well developed.

The written questionnaires we sent to companies in Brandenburg also included questions as to the degree of communication intensity (frequency and length), spectrum of communication content, number of boundary spanners involved, and the existence of private contact between the respondent and his or her key customers, suppliers and investors.

6.2 Emergence and stabilisation of networks and/or networking business relationships

Business relationships emerge either through the hiving-off (externalisation) of previously internal processes, or through the gradual development of exchange relationships by a company moving away from forms of market co-ordination to more network-like arrangements. However, it is also possible for new business relationships to emerge from existing personal contacts onto which the economic element has, so to speak, been grafted. The written survey we conducted shows that approximately 40% of business relationships to core customers were explicitly initiated through the agency of one of the business partners or arose by exploiting private contacts. Thus *social embeddedness* may be seen as a valuable resource in the creation of business relationships.

As I mentioned above, the emergence and stabilisation of networks was investigated by a series of case studies. In the case of *core rustbelt industries with regional production and service networks*, we found that a dense interwoven mesh of business relationships had arisen due to the hiving-off of service functions the industry had undergone. These spin-off companies cluster around the focal company and are bound to it by long-term contracts. In a second stage – which is decisive for the stability of the entire network – the spin-offs begin to develop

relationships among themselves. The generation of such relationships is abetted by the focal company as the establishment of a system of suppliers frees it from detailed supply and logistics planning. Thus the focal company soon found itself in the presence of other “star performers” who could serve as direct business contacts for it and assume co-ordination functions. Accordingly a system of multiple relationships arose from one of dyadic relationships, a system, moreover, that was further strengthened by the personal contacts still extant from the time of the old combines of the German Democratic Republic (GDR).

The other case studies produced no substantial evidence as to the sustained influence exerted by intermediary organisations on networks. Indeed, it would appear that the role played by intermediary organisations has been somewhat exaggerated (comp. Genosko 1999, Staber 2000). However, further research is needed in order to assess the significance of intermediary organisations on the basis of a sufficient number of case studies.

6.3. “Torn networks”? *Personal and organisational relationships*

The economic situation in the region we have selected for investigation (East Germany and hence the state of Brandenburg) is often summed up with the metaphor of the “torn network” (Albach 1993). How apposite a description is this?

Firstly, we should underline that the written survey we conducted delivered the truly astonishing result that around a third of respondent business relationships to key customers and around a quarter of respondent relationships to key suppliers were already in place back in 1989. We should emphasise here that this only concerns the *key* business partners.

The findings of our case studies on networking also point to the existence of such handed-down business relationships.

The role played by personal contacts is further highlighted if we consider *the way in which new business relationships are formed*. The cast of actors in a network of business relationships which came into being at an earlier stage and who are striving to develop a value-added chain for the *production of textiles from sustainable source materials*, have known one another for some length of time. In fact – and this is crucial to the argument – they’ve all know one another since the GDR time. In the former GDR they had already floated the idea of a product range and production line. It was only later that they were able to draw on this system of contacts to actually implement it.

In the industrial recycling sector too, companies engaged in the initial stages of building business relationships had recourse to such personal relationships in order to make their first deals, and find co-operation partners, suppliers and customers.

Against this backdrop the thesis that transformation in East Germany has resulted in “torn networks” appears as a very heavily edited version of what has actually happened. It is indeed self-evident that a whole range of economic exchange processes have fallen victim to the drastic structural transformation (or deindustrialisation) that East Germany has undergone. However, this is only one facet of a complex story. The thesis of torn networks apparently only considers one dimensional (uniplex) relationships between economic actors and wilfully ignores the existence, not to say the economic import, of personal relationships and private non-economic contacts. We need to turn to the perspective offered by social embeddedness and to the perception that social relationships are, or can be, multidimensional (multiplex) – in other words we need to be able to differentiate between the personal and economic dimensions in relationship systems primarily viewed as “economic”- if we wish to see the whole picture. And that shows us that by no means all networks in East Germany are torn and tattered.

Empirical research into how companies are established lends its own eloquent confirmation of our viewpoint. Research shows that social relationship networks are activated to support enterprise establishment in the early pre-startup phase whilst entrepreneurs search for and find their first business contacts in their immediate social environment. Successful entrepreneurs enjoy a vast range of social – in other words non-economic – contact with other companies. They position their enterprise according to the market opportunities they have garnered from this information and contact network. Entrepreneurs suffering from varying degrees of isolation and at a remove from such networks risk a much higher failure rate – even when gifted with the proverbial “hot business idea”. In a broad sense, social relationships are invaluable resources for developing business relationships. (comp. Hinz 1998, Bühler 1999, 2000).

6.4 “Lock-in” or “spring board”?

Social scientific discourse on the relationships between networks, regionalisation and globalisation has made a number of plausible sounding assertions on the implications of regional networking. Regional networking structures may:

- induce “lock-in effects”: a mesh of closely interwoven relationships and handed-down interaction structures mean that actors tend to stick to traditional development paths and tried-and-tested problem solving, thus vitiating much needed restructuring measures;
- promote the consolidation of a closed “parish pump economy” with limited regional outreach;
- function as a kind of “spring board” for the acquisition of new supra-regional markets and resources and this provide connectivity for the regional economy to globalisation.

The findings of our case studies in conjunction with the written enterprise survey would suggest that the following assertion is most credible: *Regional networking promotes the consolidation of geographically limited economic activities and may also serve as a spring board for the acquisition of supra-regional markets and resources.*

Both our written enterprise survey and the case studies we have conducted substantiate the notion of a pronounced regional foreclosure of economic activity in the area in question. Thus in the companies surveyed supra-regional turnover (old federal states/foreign countries) is a mere tenth of overall turnover whilst four fifths of overall turnover is realised in the region itself (and more than two fifths is realised directly “on the doorstep” in the immediate vicinity within a radius of approx. 30 kilometres) And if we take into account the geographic location of key customers, suppliers and investors, the picture of a starkly limited regional economy becomes even more focused. Approximately four fifths of key customers and investors, and three fifths of key suppliers are located directly in the area (comp. Bleicher i.a. 2001).

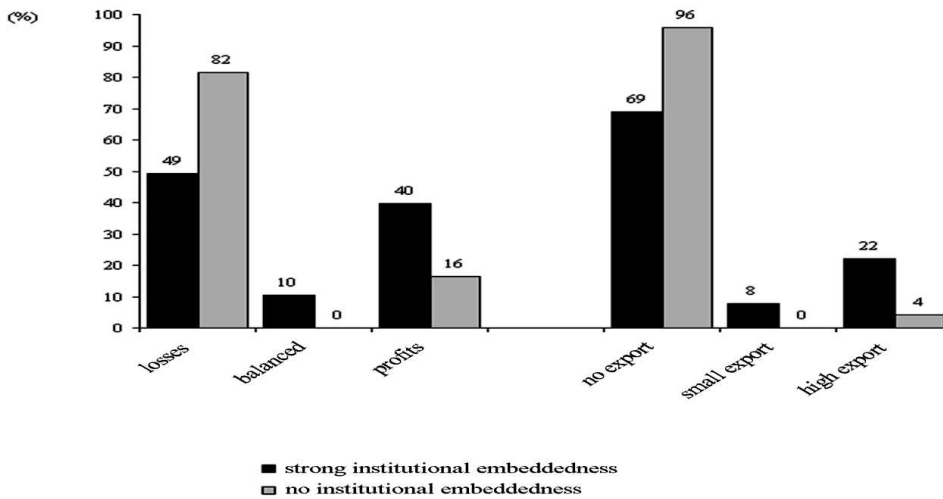
The limited regional nature of economic transactions is closely tied up with the role played by *geographic proximity* in the creation and stabilisation of a personal and organisational network of relationships. As our case studies have shown, the short distances involved aid in the creation and stabilisation of a “social space” in which company actors can conveniently meet one another, exchange information and make contacts. In this context a “social space” is literally a place in which relationships of trust are nurtured, and regionally specific, economically relevant behaviour patterns, value systems and legitimisation figures are constituted and consolidated. It is also noteworthy that in the area we have investigated the regional actors not only share close geographic proximity, but are also bound together by a “common history” which is sharply distinct from supra-regional, “western” experience. When we asked entrepreneurs in the region where they came from, 84 % of them replied “GDR“, whilst only 14% answered “FRG”.

Such closely intermeshed relationship networks in concert with the resource-dependency of economic activities constitute an organisational field which leaves the regional actors scant room for manoeuvre and severely limits their options. (comp. Bleicher i.a. 1999, Fischer, Gensior 2000). Regional proximity, traditional business relationships, personal contacts, (also of a decided informal kind), and previous transactions now endowed with the status of obligation – all of these factors reproduce extant reciprocal dependencies and generate new structures of dependency and mutual reliance. Thus actual economic decision-making, along with other processes in this field, is starkly “*path-dependent*”. The regional actors of the former “GDR” acted in the same sectors, the same

arena, they knew each other, were socially embedded, and by this the ‘natural’ first members of the specific networks.

Considering the limited regional nature of both economic activity and social relationship networks, we might reasonably expect the business situation of most companies in the area to be cast in a highly unfavorable light. Strangely enough, this is not the case. Rather our findings on the business prospects of companies in the area show that although we are indeed dealing with a “parish pump economy” that is both limited in outreach and regionally foreclosed, it is a parochial economy that is singularly robust and flourishing (comp. Bleicher i.a. 2001). Furthermore, our findings show that companies whose business relationships display the heaviest imprint of regional networking are the very ones with an above-average success rate (comp. Bleicher and Steiner 2002).

Diagram 1. Institutional Embeddedness, Company's Success, and Export Business



Source: Bleicher, A. and R. Steiner. 2002: 129.

Our findings also show that those companies whose particular form of business relationships would most easily lend itself to classification as a “regional network” are among the most active and successful on supra-regional markets. The “networking” of the company with its regional environment (its regional connectivity) would seem to function here as a “spring board” for the acquisition of supra-regional markets (its supra-regional connectivity). A regional network of relationships would indeed seem to be a factor in enhancing export capacity and promoting export activity. One explanation for this phenomenon is that repeated economic transactions within a limited horizon tend to constitute a

“security pillar” from which high-risk operations outside the familiar home base area may be planned.

Our findings on the way in which networking business relations function also show that the establishment of a basic repertoire of stable, regional exchange relationships is not something that may be achieved in the short-term. Our analysis of *business relationships between companies in Brandenburg and Poland* is a case in point. For the majority of companies in Brandenburg such business relationships have held (so far!) little economic importance. It would appear that most available capacities and resources have been devoted to achieving stability in a turbulent regional environment marked by transformation and globalisation. Accordingly, business relationships with Polish companies are much less the result of systematic attempts to open up new markets and much more the result of seizing a “favourable opportunity” when it happens to present itself, safe with the confidence that a “security pillar” provides.

To sum up with a paradox, we might assert that regionalisation in the form of regional networking appears to us an adequate response to the challenges of globalisation (comp. for more details: Steiner 2002, Bleicher et al. 2003).

6.5 Between strategic planning and emergence: whither networks?

On the one hand networks may be taken as a coordination form which can be planned or manipulated by one or several actors, and which, under certain environmental conditions, can prove to be an optimal means of minimising transaction costs. According to this viewpoint, networks are first planned, and then duly implemented by the strategic actors. However, this particular perception of networks neglects the fact they can equally be perceived as emergent phenomena which have developed in the course of time, and thus are by no means the end product of intentional, strategically planned action. Emergence presents us with a completed pattern of non-intentional actions, which have often arisen through *bricolage* (Levi-Strauß 1994) and only then have had meaning ascribed to them (Weick 1985). Thus strategic planning and emergence constitute two poles of a charged field within which network development takes its course. Our empirical inquiry has shown how strategic planning and emergence mutually condition each other.

The strategic formation of networks on the one hand and emergence on the other may be mutually beneficial or they may act as mutual impediments. Their reciprocal complementarity is a factor which makes a major contribution to the success of the network as a whole. If they are pitted against each other, however, this can result in the destruction of the network. If emergence merely plays a subordinate role, the network is unable to evolve sufficient dynamics, which leads to a network “stand-still”.

7. Conclusions

Our research has shown that the following two key assertions are plausible:

- A system of regional networking promotes the consolidation of economic activities with limited outreach;
- regional network structures can act as a spring board for the acquisition of supra-regional markets and resources.

It now follows that our research findings stand in a certain contradiction to the thesis that networking structures in regionally limited value-added chains lead to “lock-in effects”. However, it is possible that by placing too much one-sided emphasis on stagnative tendencies, the above thesis has lost sight of the real dynamics which a limited endogeneous potential can generate, and has indeed generated.

To conclude on a paradox, I might assert that regionalisation in the form of regional networking appears as an adequate response to the challenges of globalisation.

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Local Networks and Absorption Capacity in the Auto Industry: Upgrading Low Cost Regions within Global Production Networks. A Case Study in Northern Mexico

Oscar F. Contreras and Paula Isiordia

1. Introduction

During the decade of the 1980s, the automotive industry was transformed into a highly concentrated sector, constituted by a small number of very large assembly firms and a privileged group of highly globalized transnational suppliers. While increased globalization was a major driving force for this transformation, with design and product development moving along this direction, in the case of the manufacturing of parts and vehicle assembly, the trend was one of increased regional integration within major international markets.

It is widely thought that this process has reinforced the control over the automotive supplier chain by a limited number of transnational corporations (TNCs), creating higher barriers to entry and limiting the opportunities for local firms to integrate into the higher value links of these chains. Nonetheless, it also evident that the relocation of a greater number of global suppliers in the proximities of the assembly plants creates a greater density of interactions with local economies which should have some spillover effects that could increase the opportunities for local suppliers.

This article is based in a case study designed to identify knowledge spillovers from TNCs to the local economy and the creation of local technology-based suppliers within the industrial complex led by Ford Motor Company in Hermosillo, Mexico. One of the objectives of the project was to analyze the role of social networks as a vehicle for technological learning and for the creation of new local companies. The article explores the mechanisms of knowledge transfer from Ford and its global suppliers to the local economy, the emergence of local companies providing knowledge-intensive services, and the role of local institutions and organizations to support the upgrading of local suppliers.

The article proceeds as follows: section 2 presents the conceptual framework used in the study and summarizes the literature on technological learning and entrepreneurship in the Mexican automotive industry; section 3 describes the evolution of the Hermosillo automotive complex within the

context of the Mexican auto industry; section 4 deals with the methodology of the study; section 5 presents the results of the case study, focusing on the mechanisms of knowledge transfer from Ford and its global suppliers to the local economy, and the emergence of local companies supplying knowledge-intensive services; section 6 analyzes the role of some local organizations recently created to support the upgrading of local small and medium-sized enterprises (SMEs) linked to the auto industry, and section 7 presents the conclusions of the study.

2. Transnational corporations, global networks and local entrepreneurship

The Mexican debate on technological learning and entrepreneurship has recently embraced the discussion about the role of TNCs as agents of knowledge and technology transfer (Carrillo and Hualde 1998; Contreras 2000; Dutrénit, et. al. 2006).

The debate has fed mainly on two analytical approaches. One influential perspective is the Global Production Networks approach (GPN), that emphasizes the international linkages between companies operating in worldwide production and distribution systems (Gereffi and Kaplinsky 2001, Ernst and Kim 2002).¹ Within this framework, particular attention has been paid to the role of leading firms that carry out functional integration and coordinate internationally dispersed activities (Gereffi 1999). Without neglecting the power relations that subordinate local agents, the GPN approach do not underestimate their capacity to influence the configuration of these networks (Ernst 2000, Gereffi 1999, Schmitz 2004): since the TNCs cannot internally create all the capabilities needed for global competition, a critical aspect of competitiveness is the ability of a firm to find suppliers of specialized services outside the company. This can run from simple subcontracting at the assembly line all the way through to sophisticated engineering or design processes (Ernst and Kim 2002).

Only when they have developed their own capabilities can local suppliers effectively absorb the knowledge disseminated by the leaders in the global network, so the effectiveness and the speed of the transfer will depend not only on the quantity and quality of the knowledge transferred by the leaders but also on the local suppliers' capacities to absorb that knowledge.

This last aspect is closely related to one of the problems raised by the innovation systems approach, insofar as the absorption capacity of the local

¹ GPN perspective is closely linked to the Global Value Chain (GVC) approach. Both of them have their origin in the Global Commodity Chain (GCC) approach, formulated initially in the works of Gary Gereffi. For a review of the similarities and differences between the perspectives of GVCs and GPNs, see Henderson, et. al. 2002; Coe, et. al. 2004; Sturgeon, et. al. 2008.

companies not only involves features of the businesses themselves but also the characteristics of the local economy and its institutional framework.

The perspective of the innovation system emphasizes the role of technological trajectories and institutional assets in collective learning. Geographic proximity and relationships between the actors enables the interchange of knowledge and create an institutional environment which encourages learning and innovation, an interactive process involving actors, institutions, and social norms (Nelson 1986, Lundvall 1992).

The link between these two frameworks is given by their emphasis in the interactive and embedded nature of learning and innovation. The local society in which the GPN works is relevant in two senses. In one sense it defines the density of the TNCs interactions with the local economy, whether that be by interacting with the existing companies and institutions or by stimulating the creation of new networks of social and economic relations in the place (Henderson 2002). But, furthermore, as the local agents manage to satisfy the operative needs of the GPN, they can at the same time promote their own insertion and upgrading, by mobilizing the knowledge embedded in social networks (Sturgeon et al. 2008).

In the automotive industry, a crucial factor in defining the opportunities for new manufacturing regions arises from the process of concentration of production in a small group of firms, and the TNC's strategy to build the assembly plants closer to the target markets. This reorganization is further encouraged by the transition from integral to modular manufacturing. Assemblers and suppliers have developed a concept of the automobile as a complex system which can be broken down into discrete parts, or modules, containing not only the components of a subsystem but also a quantity of specialized knowledge (Camuffo 2003).

One of the consequences of this is the transformation of the functions of and relations between manufacturing plants and suppliers, creating incentives to transfer the design and manufacture of components to the suppliers (Takeishi and Fujimoto 2002). This has meant greater use of the practices of outsourcing, determining greater coordination with the suppliers and greater importance for the suppliers in the global network.

Modularization and outsourcing are closely related, since suppliers are increasingly likely to design, produce and deliver complete modules, while assemblers reduce to a minimum their investment and concentrate on the engineering of the vehicle, the quality of the product, and customer services. "The modularization of design, production and organization is closely related to how, while trying to save costs, reduce risky investment, and manage the institutional constraints deriving from globalization, OEMs and suppliers partition their tasks, defining a new international division of labor" (Camuffo 2003: 2).

The implications of these changes for the local economies are ambiguous, since such strategies lead to a re-centralization of technologically intensive

activities in developed countries and global suppliers, reducing opportunities for the small local suppliers (Quadros and Queiroz 2001, Sturgeon, et. al. 2008).

On the other hand, several studies have shown how participation in GPNs encourages knowledge and technology transfer to the local economies. Both in Eastern Europe (Lorentzen 2003), and in China (Ivarson and Alvstam 2005) or in Mexico (Dutrénit, et. al. 2006; Lara, García and Arellano 2007), suppliers integrated into the global networks increase their accumulation of technological and managerial knowledge. For local companies, the links with the TNCs are based in hierarchy, but at the same time these are evolving and interdependent relationships. Local companies' collaboration with TNCs often provides them with vital technological and organizational training that local firms can use strategically to develop their market networks and their innovative capacity in the home market (Ivarson and Alvstam 2005).

3. Ford motor Co. in Hermosillo

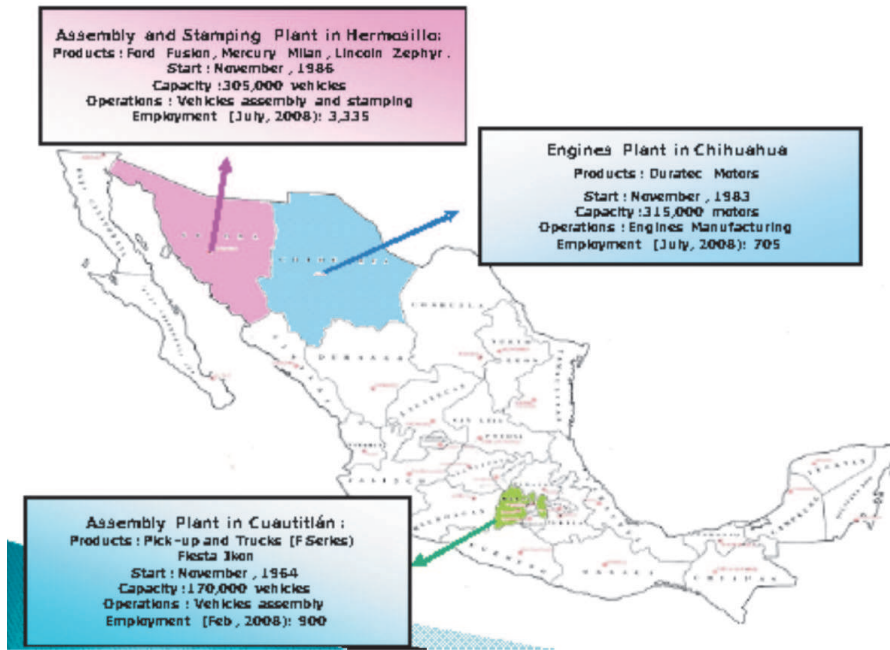
Ford Motor Co. was the first firm to set up an assembly plant in Mexico City in 1925; a second plant was set up in 1932, and in 1964 the company built an industrial complex in Cuautitlán, in the outskirts of Mexico City.

Currently, Ford has four locations in Mexico: their central administrative offices in Mexico City, the Cuautitlán industrial complex, an engine manufacturing plant in the northern state of Chihuahua, and the stamping and assembly plant in Hermosillo city. The company employs close to 5,000 workers in Mexico, three quarters of them in the Hermosillo plant.² (Map 1).

The Hermosillo plant began operating 1986, with an investment of US\$500 million. The goal was to build a specialized factory, with an annual production capacity of 130,000 vehicles, to service the foreign market. It was part of Ford's "world car" project, whose objective was to reduce the gap with the Japanese companies. The stamping and assembly plant in Hermosillo was designed from its inception to operate with the Toyota Production System. During the next 20 years, the plant underwent various expansions and reorganizations, while always maintaining a high quality operation compared to other plants in North America. The most important of these expansions occurred in 2005, when an investment of 1, 200 million U.S. dollars was made to introduce three new models (the Ford Fusion, Mercury Milan, and Lincoln Zephyr), increasing the production capacity to 300,000 vehicles per year.

² The city of Hermosillo is the capital of the state of Sonora, one of the five Mexican states located on the border with the United States. Henceforth, references to the "the region" allude to the state of Sonora, while "North America" refers to US-Canada-Mexico "trade region" as is usual in international political economy studies.

Ford Motor Co. Plants in Mexico



This expansion was part of the Ford strategy to cope with intense competition from the Asian firms in the market for sub-compact cars in North America. The strategy included reducing costs and raising the quality of their vehicles, in an attempt to recover participation in a segment where the “big three” of the United States (including Chrysler and General Motors) are systematically losing ground to the Asian brands. A new flexible manufacturing system was introduced and the first-tier supplier network was reorganized to manufacture the new models according to the modular manufacturing system. The number of workers increased from 2,000 to 3,800. With an investment of US\$400 million, a new industrial park was also created for 20 transnational suppliers. These firms employ close to 4,000 additional workers in the city of Hermosillo.

4. Methodology

The article is based in a case study carried out in 2006 and complemented in 2009. The first phase of the study consisted of conducting 12 semi-structured interviews with managers of Ford Motor Co., and its transnational suppliers in Hermosillo. In the interviews with the TNCs managers numerous local

companies supplying TNCs were mentioned; as a result of that information, 12 additional interviews were carried out with owners of small local businesses supplying specialized services for the Ford plant or to its global suppliers. Lately, a final set of 30 interviews were conducted with engineers and managers who at some point in their careers had been employed at Ford and who left to create their own companies.

The second phase consisted in the compilation of a directory of small and medium-sized companies supplying products and services linked to production, and the application of a sample survey to those firms, selected according to the following criteria: a) they are located in Hermosillo; b) they are Micro, Small or Medium-sized Businesses; c) dedicated to the products and services mentioned by the TNCs as the main supplies provided by local companies.³

Finally, some of the TNCs managers and local owners interviewed in 2006 were re-visited in early 2009, in order to collect information on two specific topics: the relevance of the regional policies and local institutions in their current operations, and the strategies developed to confront the current crisis of the auto industry.

5. Knowledge transfer, social networks and new local firms

The literature on *maquiladoras*⁴ has extensively analyzed the factors inhibiting regional companies to get access to the supply chains in industries led by TNCs in Mexico, such as electronics and automotive: the inability of local businesses to meet quality standards and delivery times; the purchasing policies of the TNCs, which gave privileges to their global suppliers over local companies, and the absence of an industrial policy which might promote the creation of technological and entrepreneurial capabilities in local firms (Wilson 1992, Carrillo and Hualde 1998, Carrillo and Contreras 2004, Dutrénit, et. al. 2006).

In spite of these limitations, an emerging phenomenon in the region is the appearance of a handful of knowledge-intensive small local companies incorporated in the supplier network of TNCs in the automotive sector. In the survey to local SMEs, a total of 293 local companies participating as suppliers

³ The activities considered as linked to the productive process were: wood and plastic products; manufacture of metallic products; machining of metallic parts; manufacture of machinery and industrial equipment; engineering services; repair, installation and maintenance of industrial equipment; IT consultancy services; software development, and handling of waste products and environmental remediation services. Excluded are cleaning, security, staff transport, canteen services, and other general services.

⁴ “Maquiladoras” are industrial plants which import raw materials and components for processing or assemble in Mexico and then re-export them, primarily to the United States, paying taxes only on the value added. This is one of the main sources of direct foreign investment in Mexico and is the main source of industry growth since the 1980s.

were identified, although the majority of them were providing general services such as cleaning, security, transport, and so forth. Only 99 of them were supplying products or services linked to production, of which 16 were companies specialized in the automotive industry and the rest serving other industries as well as the auto industry. More than 90% were micro or small businesses (50 employees or fewer) and 63% started operations after 1994. The most numerous group were machining shops (37), followed by engineering services (27) and industrial maintenance services (23).

It was possible to identify three mechanisms for the incorporation of local firms into the automotive supply chain: *spinoffs* by former TNC employees; *socio-professional networks* in the region; and the creation of capabilities through conventional *market relations* (Figure 1).

Spinoffs

One of the most frequent mechanisms for the incorporation of local companies into the supplier pool involves companies created by engineers previously working in the Ford plant.⁵ Since the start of their operations in 1986, the company sought to recruit young engineers, preferably recent university graduates. The ex-employees interviewed were between 23 and 28 years old when they were hired by Ford. For half of them the Ford plant was their first job, and for more than 30% the automotive company was their second job. The average duration as employees of Ford was 6.3 years.

The time they spent with Ford turned out to be a very formative experience, since it gave them the opportunity for professional development in a global company using advanced manufacturing and organizational techniques. That experience had proved very useful, not only because of the technical and administrative knowledge they acquired but also because of the relationships that they built with other employees, managers, and suppliers.

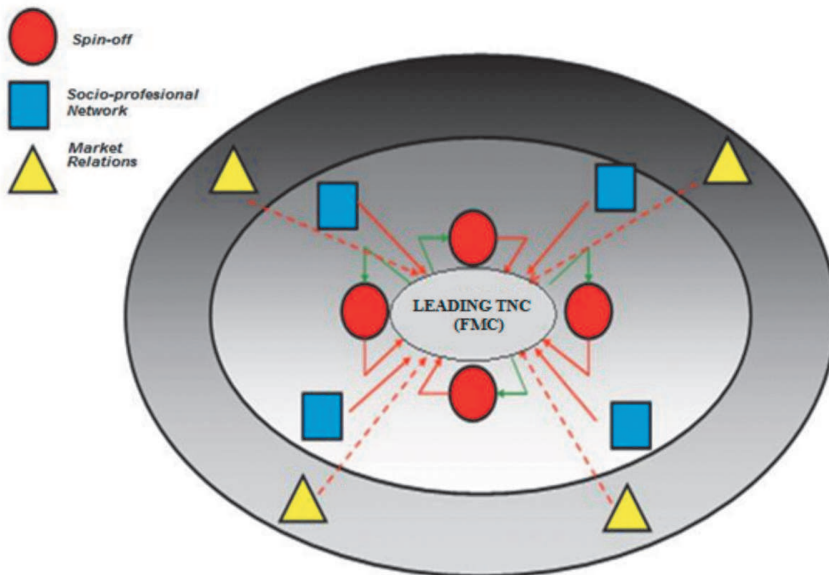
Of the 30 engineers interviewed, 16 had left Ford to start their own companies and 14 to take managerial positions in other companies. All expressed the main motive for leaving Ford as being the prospects for improving their professional position, be it through the offer of an attractive position in other company or as a result of their own business project. In some cases the position as employees does not exclude the own business activity, since 6 of these new businessmen created their own company while working as employees at a TNC.

⁵ "Usually... a spin off has been simply been defined as a new firm whose founder has left his previous job to start a business of his own. This definition does not explicitly require that direct transfer of technology has taken place between the spin-off and the parent company. The basic assumption [is] that the business idea leading to the formation of a new firm derives in some way from the previous employment of the founder." (Lindholm 1997: 660). This broad definition of a spin-off is used here.

Trained in conventional academic programmes, the Ford engineers were not only put through empirical contact with advanced technologies and organizational methods by the company, but also constant updating through formal training in areas such as statistical process control, reduction of inventories, manufacturing cells, quick model changes, Just In Time, predictive maintenance, elimination of waste, teamwork and continuous improvement, amongst others. This training is an asset which the engineers take out into the regional environment when they leave the company.

An example of this new companies is *Integración Robótica y Mantenimiento Industrial* (IRMI), founded by five industrial and electronics engineers who had worked at Ford since its opening in 1986. Between 1999 and 2000 these engineers gradually left the company, with each one starting their own business, dedicated to maintenance for stamping and welding equipment, process automation, installation and equipment maintenance for paintwork and electro-mechanical installations. In 2003 these five micro-businessmen joined together to form the IRMI Group, which began with 17 employees, with Ford as its only customer. At the end of 2007 it already had 340 employees and had also become a supplier for other large Ford suppliers such as Collins and Aikman, Magna, Martinrea and Antolín, as well as the new Toyota plant in Tijuana.

Three Mechanisms for the creation of local suppliers



Socio-Professional Networks and Market Relations

The second mechanism is based on the action of socio-professional networks. In their daily operations, the presence of TNCs involves the frequent interaction with (and even the formation of) social and professional networks in the local community. Over time, the employees and various local people, institutions, and companies weave a network of relationships through which information flows and experiences are transmitted.

When speaking about their relations with local suppliers, a common experience to all the TNCs managers is the need to turn to local companies to deal with problems with equipment or facilities, especially in the face of failures or breakdowns, but also in order to optimize maintenance time and costs. In unexpected situations, using the original suppliers of the equipment or turning to the corporation itself in search of solutions is expensive and time consuming, given that the technicians have to travel from the United States or Japan, and the cost of repairs is determined by hourly labour cost. Besides, the proximity of local suppliers allows them to monitor and eventually to make specific adjustments to the work carried out.

In such circumstances managers usually turn to their social networks, be they relatives, friends or professional links, in search of ways to solve the problems as quickly and cheaply as possible. Furthermore, the growing *endogenization* of the managerial staff has made this process more likely. In the first years of their operation, over half of the plant managers were Japanese and from the USA, and they were gradually replaced by Mexican managers. Currently all the plant managers are Mexican, most of them graduated from local universities in the state of Sonora.

Finally, the third mechanism is based on *market relations*. This arise out of the operational needs of TNC's as they seek local suppliers capable of offering low cost, flexibility, and quality. Usually TNCs require general services such as cleaning, security, cafeteria, and so forth. Because of their nature, these sorts of services tend to be acquired in the local marketplace, frequently through competitive processes. However, the lead companies also require more specialized services, such as maintenance, equipment repair, machining, programming, logistics, automation processes, among other services.

Belonging to a socio-professional network or having been employed by Ford can facilitate participation, but in some cases the link is established outside of social networks, starting instead through conventional market relations. When the local socio-professional networks do not offer those options, the company must turn to the marketplace to search for local suppliers.

One case which illustrates access via socio-professional relations is *Kinematics*, a company set up in the year 2000 by a professor from the University of Sonora. Given his solid academic reputation in the area of design, when some of his former students achieved managerial positions in the Ford

plant, they began to consult him about adjustment and adaptation problems in some pieces of equipment. On the basis of those jobs as a consultant, he was commissioned to carry out larger adjustments in an industrial manipulator used by Lear Corporation (one of Ford's large suppliers) to place the seats in the Fiesta model. This commission culminated in the complete re-design of the manipulator, and the company Kinematics was created to this end. Since then, this company has specialized in the design and manufacture of industrial manipulators, growing from the 6 initial employees of 2000 to 135 in 2007. As well as diversifying its clients, in 2007 it won an international tender to design and manufacture the manipulator with which the hybrid Ford Fusion batteries will be installed.

An example of incorporation through the market is *Asesoría Integral de Ingeniería* (AIISA), founded in 1991 and dedicated to network design, software development and automation processes. The relation with Ford began in 1992 through maintenance jobs on the IT network. Subsequently it was involved in the replacement and programming of PLCs and achieved a stable relationship as a consultancy firm as a result of a problem in the assembly lines, a conflict of movements in the welding robots. On the basis of those jobs, its portfolio of customers grew within the automotive cluster and towards industries in different parts of the country, and its staff grew from the initial 2 employees to 24 in 2007.

While the companies created through spin-off processes start from an organic relationship with the leader company, those which join the supply chain through socio-professional networks and through the market follow a more contingent path, in a sequence which requires repeated experiences of efficient response to provide the basis of a relationship of trust. In the three mechanisms, however, the pre-existent or newly created social networks play a decisive role in defining the trajectory of the local firms.

6. Local institutions, the upgrading challenge and the global crisis

The success of the new local firms supplying the auto industry prompted the attention of the Mexican government, given the weak linkages between local and global industries for high value-added activities. Having identified new opportunities for local suppliers, state and federal governments, as well as local actors and institutions, have developed efforts to promote the upgrading of the functional and strategic relevance of the local supplier pool within the value chain.

The expansion of the Ford stamping and assembling plant in Hermosillo in 2005 gave rise to a number of organizations and programs devoted to upgrading local enterprises and integrating them into the supply chain of the automotive industry. These organizations provide consulting services and technical support, in addition to training and links to financial resources. But

they also have an important role to play in creating an environment of trust and security by creating collaborative networks among different stakeholders. These networks improve the flow of information among local participants, facilitating mutual learning and providing an environment that nurtures greater interaction and collective knowledge.

Three of these organizations are particularly relevant in the case of the region's automotive industry (See Table 1). The first of these is SATE (Technological and Entrepreneurial Support System, for its acronym in Spanish), which began operating in Sonora in 2006. SATE is a national program run by the Mexico-United States Foundation for Science; it seeks to support the upgrading of the SMEs and their incorporation into global markets. During its first two years of operations in Sonora (2006-2008), this program helped 45 enterprises, mainly metal mechanical and IT companies, by deploying "technological and business consultants" to help them identify their market niches, improve their business planning, and strengthen their technological and entrepreneurial capabilities. The consultants also provide advice on innovation and the development of new products.

The second organization (in the order of its creation) is the CIIAAS (the Spanish acronym for the Center for the Integration of the Automotive and Aerospace Industry in Sonora), which began in 2007 as a result of the initiative of a group of local businesses which were already providing technological services to the large enterprises of automotive sector. As a result of the significant growth of transnational aerospace enterprises in Sonora after 2001, these businessmen decided to include the aerospace industry within their purview. Their goal is thus to promote and support local businesses to facilitate their integration into the production chain of the automobile and aerospace industries.

The third institution is the CEDIAM (Center for the Development of the Automotive Industry), founded by the Monterrey Institute of Technology, one of Mexico's most important private universities. CEDIAM began operating in Sonora only in 2008, but it is based on a similar effort which the Institute has operated in Toluca (in central Mexico) for years and which involves the participation of the main transnational automotive enterprises operating in the region, as well as local businesses and institutions. Its operations are carried out by four major participants: the federal and state governments, industrial organizations from the automotive sector, local and national enterprises that are linked to this sector, and the academic sector (universities, national laboratories, research centers).

Table 1. Organizations and programs created to support the upgrading of local companies within the auto industry value chain

Institution (and year of creation)	Scope	Focus	Source of Funds
SATE-Sonora (2006)	Local branch of a national program operated by the Mexico-U.S. Foundation for Science.	SME's. Support for the development of new products, new processes, and entrepreneurial capabilities.	Federal funds for SME's. State funds for economic development.
CIIAAS (2007)	State-based institution created by a coalition of knowledge intensive SME's.	Local suppliers of auto and aerospace industries. Research and development; networking; market research.	Federal funds for innovation and technology transfer. State funds for economic development.
CEDIAM (2008)	Local branch of a Monterrey-based Center for Development of the Auto Industry, operated by a private University	Global suppliers and local SMEs. Research and development; business incubator.	Federal funds for science and technology. State funds for economic development.

These three organizations share a recent history, as well as the goal of strengthening the technological and managerial capabilities of local enterprises. In addition, they reflect the emergent processes of creating networks and institutions through which businesses and local agents can increase their capacity for collective learning and broaden their ability to absorb the technology and knowledge disseminated by TNCs. Over the last few years local suppliers have diversified their clients among both TNCs and local companies and, in part due to the action of these institutions, have also increased their interactions with the local institutional framework (See Figures 2 and 3).

These early efforts, however, have been seriously threatened by the global crisis that has afflicted the automobile industry and that has had a particularly harsh effect on enterprises based in the United States. After the second half of 2008, many of the efforts to consolidate and upgrade high value-added local businesses were instead refocused on assuring the mere survival of these businesses. At the midpoint of 2009, both local and transnational suppliers are still using government funded programs in order to improve quality standards of services provided to the automotive cluster, but mainly for lowering costs of labor force training, and avoid unemployment as an effect of the dramatic decline in U.S. demand in 2009.

FIGURE 2

IRMI INTERACTIONS WITH LOCAL INSTITUTIONS AND FIRMS

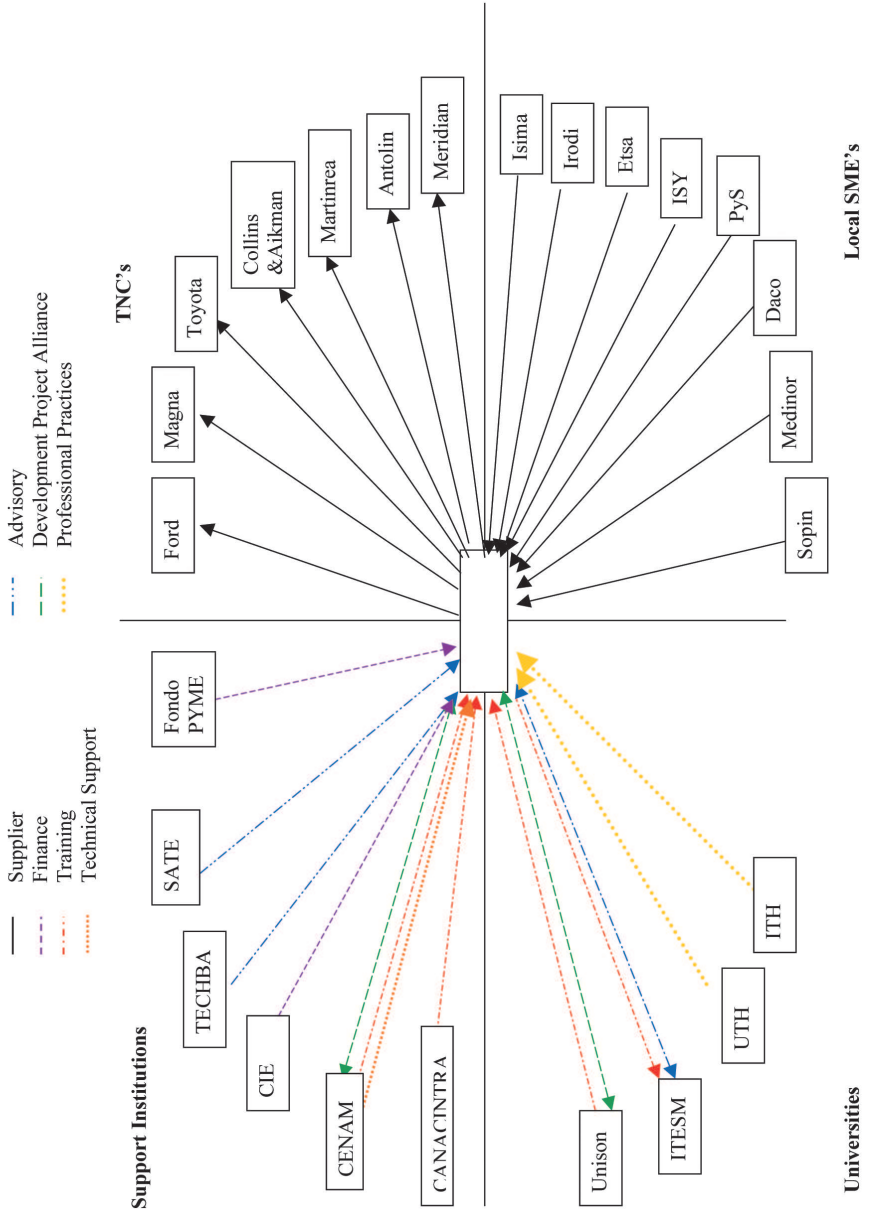
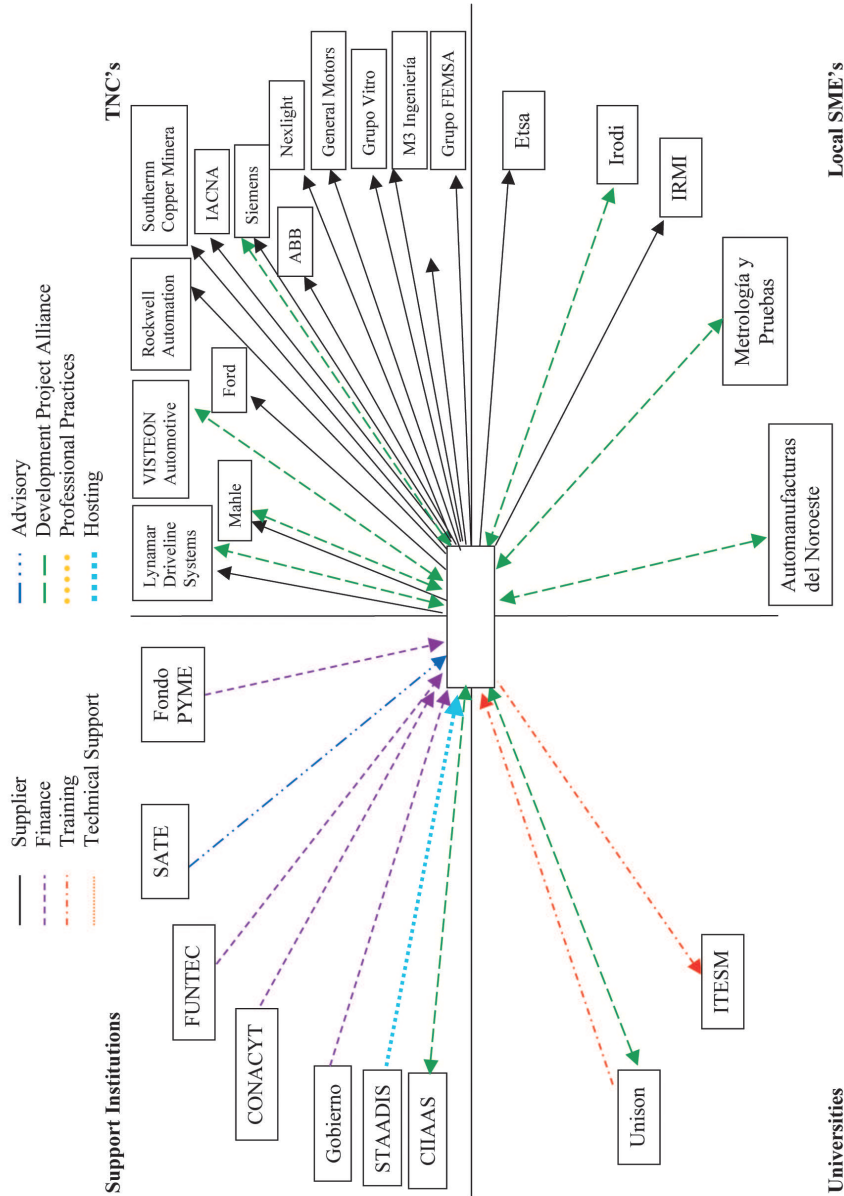


FIGURE 3
AIISA INTERACTIONS WITH LOCAL INSTITUTIONS AND FIRMS



The Mexican government's reaction to the current crisis in the auto industry has been relatively quick, although limited, amidst a flood of demands for support from diverse economic sectors and social actors affected in Mexico by the severe crisis in the U.S. economy. Governmental support to the automotive industry is focused on three fronts: a) the Employment Preservation Program (EPP); b) the creation of a fund for bank loans and guarantees, and c) diverse complementary programs at the regional level.

7. Conclusion

Studies on technological learning and upgrading of local companies within Global Production Networks show the double character of TNC's in emerging regions. On the one hand they limit, subordinate and frequently exclude the participation of local companies, but on the other hand they constitute a vehicle to global markets and a mean for the acquisition of technical knowledge. Social networks are crucial for the development of the absorptive capacity of the local society.

This research found that from the 1990s, a handful of local companies in Hermosillo began to be incorporated into the automotive supply chain. This process involves a set of new, local, knowledge-intensive companies in activities such as software development, process automation, device design, precision machining, and engineering services, among other activities. These new companies have been in existence for fewer than 10 years and have developed technological and entrepreneurial capabilities within the industrial environment of the *maquiladoras* and the automotive industry itself. The companies were created by new local entrepreneurs, whose training was acquired on the job in the industry.

The accumulation of technological and entrepreneurial capacities that allows local companies to participate in the supply chain takes place through their interaction with leading TNCs. Whether these firms were created as spin-offs, or through socio-professional networks, or entered to the supply chain through market relations, the upgrading process always took place by means of interactive learning. The common pattern is that leading companies need to transfer technical and managerial skills to their local suppliers in order to qualify them to meet demanding quality standards. Once the local companies manage to enhance their capabilities, those new competencies become an incentive for the leading company to transfer more sophisticated knowledge and processes to the local supplier.

The reshaping of the automobile industry (based in concentration, modularization, and outsourcing) represents an opportunity for the emergence of local, knowledge-intensive companies linked to the automotive supply chain. The driving force for this process is the effort by TNCs to reduce costs by outsourcing locally some of their technical services and productive activities.

So far, the creation of new local companies has been the result of individual initiatives to take advantage of the changing strategies in large TNCs, rather than the result of a coordinated strategy of local entrepreneurs or a coherent policy directed to create a competitive local supplier base.

The efforts to articulate a policy to stimulate the upgrading of the local companies within the auto supply chain is very recent and has emerged only when some local firms succeeded in developing their own capabilities and became providers of high value added services. Two processes taking place from 2005 are particularly relevant: a) the creation of local organizations oriented to the formation of collaborative networks by offering information, training, financing, and coordination, and b) the improvement of capabilities by local institutions and organizations to use national, regional and local programs and funds to support local companies.

These efforts appears to be insufficient, given the challenges posed by the dynamics of TNCs in their interaction with the local economies, combining a relentless price squeeze and a demanding quality standards imposed on their suppliers. Past experiences with the *maquiladoras*, as well as previous history of the auto industry in Mexico, are obvious examples that the attraction of global firms alone is not enough to promote local development: there must also be a concerted effort to appropriate the knowledge and technology from the transnational firms, and to develop the institutional framework for local learning and innovation.

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Innovation, Market, Networks – Interdependencies, Synergies and Contradictions in Technical Innovation Processes

Sabine Pfeiffer, Petra Schütt and Daniela Wühr

1. Challenging settings for innovation – Innovation Networks as an Answer?

In 1991 DeBresson and Amesse stated: “No firm, large or small, can innovate or survive without a network” (DeBresson, Amesse 1991: 369). The authors further identified locational proximity as the crucial difference to nurturing innovation, especially in early stages. Some years later, Hellmer et al. claimed the “network myth”. Their research challenged the hypothesis that companies of all sizes will counter globalisation impacts by cooperating in network structures, and further that the cooperation processes are linked to face-to-face contacts and will lead to an increasing relevance of regional settings complementary to globalisation. Hellmer’s empirical findings showed that the actual need for companies to adjust their relationships to other firms was far less, than the hypothesis suggested. An increased relevance of regional settings could neither be confirmed (Hellmer et al. 1999).

Beyond doubt companies today face increasing challenges to stay ahead – and globalisation definitely plays a major part in it. Faster innovation cycles, more and more product and process heterogeneity, intense competition, increasing complexity are some examples for developments that business organisations need to manage (Hirsch-Kreinsen 2007, Clark and Fujimoto 1991). To do so, and to foster flexibility, adaptive production strategies are being embedded in sustainable innovation strategies. Traditional or linear concepts that consider innovation as a sequence of scientific knowledge generation followed by firm’s in-house application research are far outdated (Bender 2006, Castells 2000, Hirsch-Kreinsen and Bender 2001, Gerybadze 2004). With progressing economic tendencies in science and research origins of innovation no longer follow a top-down logic, but science experiences dynamics towards a bottom-up problem specification or in other words: a stronger solution-oriented application-innovation (Carrier 2002). Hence an overlapping of innovation phases, the integration of external innovation potentials, decentralisation or a slim down on hierarchical structures are current strategies and in-house adaptations of business organisations (Bachmann and Möll 1992, Bieber and Möll 1993). Approaches of linear and sequential models of innovation processes

are replaced by evolutionary phase models (Braun-Thürmann 2005, Garibaldi and Jacobsen 2005, Gerybadze 2004).

As further tendency and coping strategy innovation more and more emerges in the context of networks (Rammert 1997). Innovation in networks can be described as a multi level, iterative process as well as a social construction of technology (Degele 2002). The function and advantages of participating in innovation networks are numerous. In innovation network and innovation cluster literature the following aspects are pointed out most frequently: access to new markets, know-how exchange or retrieval concerning new technologies, minimising costs by sharing R&D activities and, minimising uncertainties or risks of innovation (Braun-Thürmann, 2005, DeBresson and Amesse 1991, Hirsch-Kreinsen 2007, Schmidt 2007).

With the example of the machinery manufacturing branch we will illustrate that innovation networks viewed as a consequence of plain economic dynamics and macro-structures, or as the result of strategic actors in the realm of financial business are restricted perspectives. Innovation processes are in the first place always working processes. And innovation can be seen as the result of diverse workers with multiple backgrounds being involved in innovation work and collaborating along the innovation process.

Starting with this assumption we offer a descriptive study of innovation networks in the machinery manufacturing branch. This qualitative and subject oriented approach enables insides that mathematical metaphors or formalised measurements would not be able to reveal in its precision or detail. The actual empirical interplay as well as the answer for the question how innovation actors (e.g. design engineers) act in innovation networks, one can only find by looking at the concrete level of work and collaboration actions. Innovation processes are generally characterised with high uncertainty, ambiguity, complexity and openness towards its outcome (Staudt and Kriegesmann 2001). This amplified perspective on innovation also unveils new or “other” forms of knowledge. So, innovation actors often find themselves in situations of self regulation, managing unpredictable circumstances or finding procedures for non routine work, situations when competences of “subjectified forms of work action” and “labor capacities” (Arbeitsvermögen) come to its bests (Böhle et al. 2004).

On this subject level innovation networks are infused with life and ideas; this level is victim as well as the nutrient medium of what we call the macro-level. One often neglected origin of innovation networks in fact are technical collaborations in innovation processes. Some generic explanations for the interplay of innovation networks and market is found on the level of those working with two somewhat conflicting work “objects” – the technical innovation and the global market as a whole.

2. Theoretical and Methodological Framework

2.1 Research Object: The German Machinery Manufacturing Branch

Choosing the machinery manufacturing branch for the analysis of innovation processes and innovation networks is not a surprise. So far the German machinery manufacturing branch has proven to effectively master the challenging settings for innovation mentioned above. To give you some figures and facts underlining the success: the German machinery manufacturing branch is one of the five most important branches in Germany. It alone totals about 5,900 companies and 975,000 employees (VDMA 2007). The structure of the machinery manufacturing branch is dominated by small and medium-sized businesses, often still owner operated. This industry alone holds a total export share of 74% as well as the global market leadership in 21 out of 31 sectors in 2007. These numbers emphasise the dynamics and also the innovativeness of this industry¹. In our empirical research we focus innovation processes of this special branch - not only because of its success, but also because of the branch's very distinct innovation processes and networks. Before we cover details, we will first outline the methodology we used in our study as well as the analytical concept.

2.2 Methodology: Observing Innovation

Our empirical findings result from our current project "Smart Innovation (SINN)"². We included seventy qualitative interviews in five market-leading machinery manufacturers. The Project 'Smart Innovation' (SINN) works with a holistic understanding of innovation, because innovation as a job assignment stretches out to areas that were only marginally involved. The role of production for instance, is shifting from a mere warranty task towards a growing part in innovation (Moldaschl 2007, Pfeiffer 2007). Heckscher likewise identifies "growing efforts to overcome the strict division of labour and tasks built into bureaucracy, and to achieve more flexible ways of combining different forms of knowledge and expertise" (Heckscher 2007: 7). In general innovation is generated in every phase and on every position of the Product-Life-Cycle (PLC) and more importantly, every staff carries the capability to contribute

¹ The current global economic crisis indeed had a profound impact on the machinery manufacturing branch with an average of 20% in declining orders. Though, some sectors in the machinery manufacturing branch even experienced decreasing orders of up to 70%. Yet, due to state aid and using employees' over time and vacation cushions major layoff did not follow (VDMA 2009a; VDMA 2009b).

² The project „SINN – Smart Innovation“ (www.smar-te-innovation.com) is supported by funding under the Research Framework Programme "Working – Learning – Developing Skills. Potential for Innovation in a Modern Working Environment" of the German Federal Ministry of Education and Research and the European Social Fund of the European Union. The implementation of the project is supported by PT-DLR, the Project Management Agency – part of the German Aerospace Center. The Duration of the project is from 6/2008 until 5/2011.

in innovation (Lam 2000, Powell and Smith-Doerr 1994). Therefore the main project object of SINN is to identify activators and hindrances for innovation along the entire PLC and to develop fit for future innovation strategies that meet a often referred to but still remaining challenge for companies: how can the capability to innovate be systematically embedded as an integrated moment in every work place (e.g. by linking competence, organisation and personnel development)?

In our survey we take a retrospective point of view reconstructing the entire Product-Life-Cycle (PLC). We follow product innovation step by step, starting with the R&D department, Production, Supply Chain Management, After Sales Service, and including Customers. Product as well as process innovation takes place in complex collaboration networks and is infused with life and ideas by diverse actors. Therefore the focus of our survey is on the concrete level of every day work and in particular actors involved in innovation processes. To survey we designed a special 'Smart Innovation Process Analysis' (Smarte Innovationsverlaufsanalyse) which integrates the following dimensions:

- Systems (e.g. networks, production or innovation-systems, organisations, etc.)
- Man (all potential innovation actors along the PLC)
- Anticipation (new products, markets or future societal challenges)
- Resources (Conserving / saving resources in product development, production and product use and a sustainable use of “human”-resources)
- Technology (Product and process technology, IT-Tools, new technological approaches)

This holistic research design is new and was specifically developed for our project. On the one side it is to capture the complexity of real innovation processes including the dimensions relevant to innovation mentioned above and on the other to meet the requirements of stringent time schedules in the companies. In order to guarantee a smooth integration of the interviews into the daily workflow of the interviewees, the interview time did not exceed 1 ½ hours. The interview design included visualised elements as well as guideline oriented narratives (Witzel 1985, Küsters 2009). For example, in one of the visualised situations our interview partners evaluated a schematic of the PLC and its relevance to their company. Here our interview partners added, crossed out and/or changed the setting of the illustrated departments according to their experience. They also marked their own position in the PLC as well as their workflow with other parties. The stimulation of narratives through visualised methods was also advantageous when our interviewees indicated with different colours main activators of the selected innovation process and correspondingly departments with (more) potential to engage in future innovation.

The principles of the research process involve innovation actors from the beginning and continuously assign them active parts. The implication of this method is followed in all participating companies: in-firm actors and researchers mutually chose the product, specified the sample and elected relevant topics. The Smart Innovation Process Analysis includes three steps: an initial workshop, the interviews along the PLC and, a feedback workshop (Pfeiffer et al. 2010).

2.3 Analytical Concept: Labour Capacities

Our survey design as well as real innovation processes center around innovation actors as the main enablers of innovation. The subject oriented qualitative approach to innovation in networks is based on the concept of vivid labour capacities (Pfeiffer 2004)³. This core competence enables innovation actors to design the working processes actively and situation adequate. Labour capacities could be characterised as hidden capabilities, because they mostly resist formalisation and objectification. Yet, as Pfeiffer demonstrates – labour capacities even in supposed abstract or virtual settings – are linked to material factors and concrete physics. For instance in Information and Communication Technologies (ICT) real objects or even subjects are far from being absorbed by the virtual world. What rather can be observed is a re-concretion of the abstract. So, workers in ICT materialise in their imagination e.g. very concrete representations of customers and their information needs (Pfeiffer 2004).

There are three levels of empirical phenomena of labour capacities. First the object of labour that can be identified with the question: what is the object and intention of the working process? Following the implication of the concept, the actual object of labour that workers relate their actions to, can be very different from the object given by the exchange value. Second the instrument of labour or in other words: the means and materials that are being used directly by the workers to achieve the work object; and last the concept of labour actions that contain subjectified and experience based forms of knowledge (Böhle et al. 2004). All three dimensions form a dialectical triad and again emphasise qualitative aspects and the sensuality of subjects.

Labour capacities are attained within concrete work experiences and are crucial core-competences to handle complexity and uncertainty. Especially in circumstances that are typical for innovation they come to their bests, when formalised and standardised processes reach their limits and a *modus operandi* according to most given standards would be misleading (Böhle et al. 2004). In

³ The industry and labor sociological concept states a dialectical relation between labor capacities and labor power; both aspects are framed by the structures of labor organisation. In a broader sense labor capacities include all capabilities necessary for human beings to appropriate world. Labour capacities are associated with the use-values and are therefore concealed by the objectified and formalised qualities or in other words labor powers (Pfeiffer 2004).

the end these “other” forms of knowledge form part of what “determine[s] the performance of a firm” and is decisive for her competitive advantage, though it is a “sticky and hard to imitate” resource (Cantner 2006: 5).

In the following we will outline a descriptive draft of the interaction between innovation actors, market, and networks in the innovation processes of German machinery manufacturers and further specify the empirical findings in regards to our analytical concept.

3. Innovation, Market and Networks in the German Machinery Manufacturing branch

3.1 Intertwined and Independent? Innovation Networks and Markets

When describing markets and networks or as in this case innovation networks in the machinery manufacturing branch in Germany, one is faced with a somewhat artificial separation. Windeler categorises networks as a social system with durable business relationships or intense interactions that are coordinated between two firms or more. Networks are being established to attain competitive advantage and to optimise the use of capital but unlike firms are not steered by one mutual economic control (Windeler 2001, Hellmer et al. 1999). As illustrated initially network literature assigns networks an increasing role in innovation. When innovation cycles are getting faster, product and process complexity rises and worldwide competition is intensified, innovation in networks carries the function of a coping strategy where innovation challenges can be met in cooperation. Trust and self organisation based on exchange mechanism prevent for the most parts opportunistic behaviour (Hirsch-Kreinsen 2007). In short the advantage of innovation in networks can be summarised as “superior to internalisation in the long run because it allows for a more varied set of new product and process combinations, enables quicker development of technology, avoids costly duplication of identical research in patent and development races [...], and replaces the probing intervention of the regulator by an unobtrusive observer [...]” (DeBresson and Amesse 1991: 374). Yet, networks do not eliminate competition. Hirsch-Kreinsen therefore identifies the need for a double orientation of network actors, where activities have to be aligned and balanced between individual gains and the overall benefit for the network (Hirsch-Kreinsen 2007).

In comparison markets and market relationships are operating with institutional rules and are dominated by price and fair market values. That means that even though market actors might sometimes have continuing exchanges, these relationships always include a remarkable chance that in the next market action the exchange partner will be replaced (Windeler 2001). But as Windeler also emphasises, in real “entrepreneur” life this typification of markets and

networks is blurry, decisive are the actual social practices (ibid). As we will show, the concept of networks and markets are analytical descriptions that are necessarily abstract, and they can only be filled with life and ideas on the subject level. In the end social practices of innovation actors dictate whether these concepts are alive or dead. According to our analytical framework we will therefore concentrate on the labour capacities and the corresponding empirical phenomena for further empirical illustration.

The innovation networks we observed in the machinery manufacturing branch can be described as historically grown and mostly dominated by one player. These networks include besides innovation actors in machinery manufacturing companies, mainly regional suppliers and customers⁴. Despite often globally lined-up machinery manufacturers – even small and middle sized companies started off-shoring, i.e. sending parts of their work to other countries in order to decrease costs – innovation clusters involving suppliers are still locally gathered around traditional production headquarters. The descriptions in literature of the effects of regional innovation networks are numerous: local proximity appears to favour durable relationships, nurture innovation ventures especially in early stages, as well as trust and social solidarity (DeBresson and Amesse 1991). But explanations are rare how these regional innovation networks with “local” suppliers keep their actual strength – even with increased international production activities. Trust and social solidarity as explanation seem reasonable, but not completely explanatory.

We found an alternative answer by looking at the level of labour actions where real collaboration emerges and decisions are taken. Innovation clusters are in the first place results of mutual innovation activities. On the concrete level of every day work, members of the supply department judge and evaluate suppliers based on several experiences: reliability e.g. in keeping deadlines or quality, skills and expertise knowledge, use of material, technical applications, price and so forth.

In the beginning of innovation processes when decisions for supply partners have to be made, most details or requirements are often not clear. So, approaching towards the final outcome, the new product, by choosing the right partners and innovating with that partner is a rather iterative process which has to be constantly revised and reproduced.

“When the project started we [supply chain management] were faced with a whole new range of challenges. And back then, other departments warned us: ‘be careful, this project is different’. So when we asked them,

⁴ The dominant part in innovation networks is mostly conducted by the machinery manufacturer; therefore we will follow in our analysis the perspectives of their innovation actors, knowing and attending the limitations of this approach.

‘what exactly does that mean for us, for our job?’ They didn’t have an answer. So we scanned our well known partners and made our choice a) according to their attitude and b) according to the quality of their applications and specifications. Only later we learned about the exact requirements for the technical features, materials, what kind of documents and specifications had to be provided, QM, and so forth. And we had to match all this with our customer: What does he want? And, what is really necessary? So we had to change our suppliers, too, according to the requirements. Even now we are still facing tons of problems and we are still in the process of optimising.” (323-IV-EKL: 90ff.)⁵

This example shows that when selecting a supplier for innovation processes besides measurable hard facts (like punctuality, quality of the material used, etc.) other criteria come into play that are difficult, if not impossible to track with standardised/formalised evaluation criteria: in this case attitude of the supplier is named as the most important factor even before quality of applications and specifications.⁶ The ability that is deciphered as “attitude” can be characterised as the supplier’s competence to appropriate the problems and challenges the innovating machinery manufacturer is faced and co-operating to solve them.

Innovation networks strengthen when the outcome of mutual working processes are successful and continuously can be confirmed. This sets the base for long-term collaborations with suppliers. We also observed that the domination of historically grown network partners remains, even if concrete work processes like production and production related areas such as supply are being relocated. Because, so far final decision makers of these departments do not wander off with relocated working areas but remain located in a central headquarter. The power to decide about suppliers etc. de facto does not follow. So, from the subsidiary’s point of view the network relationship receives an institutionalised character and transforms into a given abstract procedure. Corresponding IT-Systems are means of its implementation and formalisation.

“We just import the given settings in the system. That means that if the headquarter decides to purchase parts from a company, we also have to purchase these parts from the same company. [...] We definitely have ambitions here in our supply department to become stronger. Besides

⁵ As far as possible all quotations were translated literally from the original German language into English, in some particular cases a 1:1 translations is not possible, but given in its essence. All quoted interview passages are anonymous.

⁶ Studies concerning the importance of an accurate selection of suppliers and especially focusing the interplay between explicit and implicit criteria for their evaluation are still very rare to find (e.g. Pohlman 1994, Bolte 2000). These and considering the whole new range of sustainable and ecological requirements are for further research.

just operational get strategic authority, get more powers and be able to look for other, local suppliers. [...] Honestly, I would give it a try and look for suppliers in our region, even though specific technological features in local companies might not yet be developed to this extent. But I am sure, that you could find closer suppliers that even might be cheaper and could deliver comparable quality when chosen and audited carefully.” (323-IV-BM: 245 ff.)

This member of the supply department in an off-shored production subsidiary does not share similar experiences of successful collaboration with the historically grown innovation network partner. As a consequence the collaboration partner becomes questionable. Yet, in the shown example consequences will only follow, if the off-shored subsidiary receives factual power to influence innovation networks. Our hypothesis is: the bigger off-shored production locations get and the more independently subsidiaries can operate, the more likely a shift of the regional setting of the innovation cluster (e.g. suppliers) will follow. As the quote also suggests, price might be one criterion. Another predominant fact is the ability to collaborate directly with suppliers. And locality of innovation partners is the straightest approach to sense and evaluate competences. Because: An innovation network between machinery manufacturers and suppliers is more than just ordering or delivering parts for a good price and within schedule.

Innovation networks in the machinery manufacturing branch are characterised by mutual innovation activities. Their success is based on similar background experiences which are continuously re-produced in the iterative innovation process. Similar background experiences do not refer to the same (technical) field. For instance a software specialist (supplier) and a mechanical engineer (OEM) can innovate perfectly together, each person concentrating on her sometimes contradicting field objects. Crucial is that both parties have first: experience and knowledge of the implications in the machinery manufacturing branch and second: an experience based relation to the object of innovation.

“For the software we looked at so many different suppliers. And all big names. In the end we decided to take X and were really lucky. Another company always told us: ‘That’s not possible, we can’t do that, etc.’ But with our partners in X it was very different, we had the same drive and practical orientation. [...] You can’t just look at it from a theoretical point of view. If someone approaches the problem and has no clue about the machine itself, does not know about the real effects, he never develops a drive to solve it. Because he will always bank on the facts, data and numbers and of course come up with the result: ‘we can’t make it that way.’ Whereas our partners in X are just more practice oriented

and closer to the machines. And they think beyond: what could it mean if we were able to solve that problem?” (323-IV-RDL: 475 ff.)

As mentioned before, price is not the only criterion for the supplier relationship, but it definitely is a critical one. So, what role do market practices play on innovation networks? We will approach this question by describing the market principles of the German machinery manufacturing branch.

In general markets in the machinery manufacturing branch are global but yet highly controlled with only limited market players. The specialty and strength of this industry is the traditional focus on the customer. This part is crucial and not just a marketing strategy on the companies' home-pages: make-to-order production ensures that nearly every machine is a specific innovation for a customer and often mutually designed with the customer. Yet, explicit customer surveys often do not help in the beginning of an innovation process. Our interviewees describe that it is almost impossible for customers to state clearly and in detail requirements or wishes for completely new products. To learn and forecast customer needs, before the customers might even know about them, requires a close contact and very experienced personnel on the machinery manufacturers side. Staff of the After Sales Service departments would be the first to hear, if a customers has worries or talks about future company strategies. These conversations often occur in informal settings: customer and service are in most cases very familiar with each other and have known each other for years. It is due to the experienced skills of the machinery manufacturers to derive helpful information from informal comments here or there and turn bits and pieces of conversations about the customers' vision into concrete technical realisations. For such (radical) innovation it is important not to get stuck on mental roadblocks. And as long as there are still not all applications of existing machinery running smoothly, many customers would not move beyond incremental invention and be creative about a whole new technological approach.

Nevertheless, the machinery manufactures are faced with increased competition among each other and to be ahead of the others constant innovation is the key. Our empirical survey shows: price, more functionality and highest quality standards while maintaining a stable workflow for the customers' production are knock-out criteria for sales. Despite of hard economic reasoning helpful information for innovation can hardly be bought on markets. On the contrary the relationship between customers and machinery manufactures is characterised by long term trust relationships. So in other cases customers are as well initiators of radical innovation and approach the machinery manufacturers with new ideas, even hand over their own research results or serve as test clients for new machines.

“We also have test machines in our customer’s production. But from the start you have to be clear with the customer that the machine is still in the field test phase. If the test results come out good, the customer also sees advantages, and both parties experience a true win-win-situation. It’s just like innovating with a partner” (323-IV-INL: 511).

The trust based interactions between customer representatives and members of Sales or After Sales Services in machinery manufacturers go far beyond classical market exchanges. In this example our interview partner even describes the relationship as an innovation partnership. This close co-innovation though is no guarantee for an order. The finance of innovation and preparatory innovation work still is up to the machinery manufacturer and this always happens in global competition to others. In this manner an innovation approach of one machinery manufacturer always results in a reaction of his competitors. The effect of innovation networks on their environment and vice versa can therefore be described as reciprocal: the firm’s market and competitors influence the innovation network and at the same time the innovation network shapes its environment and market⁷.

“Obviously, the individuals firm’s behaviour cannot be understood separately from its suppliers, clients, sources of funding, and qualified labour and research inputs - all of which constitute the firm’s environment. Conversely the firm’s market and milieu are not amorphous but structured into a network - which is shaped by the firms themselves. Networks of innovators (including strategic technical alliances) shape their environments and markets. The concept of network may enable us to overcome this artificial division between the economic unit and its environment.” (DeBresson, Amesse 1999: 367).

3.2 Disruptive and Stable? Constitution Processes of Innovation Networks

As illustrated, innovation networks in the machinery manufacturing branch tend to be long-term relationships with suppliers and customers. DeBresson and Amesse identify the strengths of innovating in networks due to providing “a means of recombination, one that has distinct advantage over individual firms. Because of the flexibility provided by limited irreversible investments, each member can better exploit the opportunities for recombination” (DeBresson and Amesse 1991: 364). According to the authors this leads to a paradox: the

⁷ Abolafia even speaks of market making where markets are socially constructed by the complex interplay of individual actors, informal groups and corresponding norms and rules. “Market making differs in different subcultures because activities are embedded in their local context” (Abolafia 1996: 8).

chances of radical innovation through first re-combination in networks collapse, since after successful innovative interaction the relationships tend to be used many times after. We would like to complement this view by giving a deeper insight into the dynamics of innovation network. A broader picture can be drawn by following concrete innovation processes with the concept of labour capacities rather than by concentrating solely at the structural facts of networks like size or network partners, amount of patents etc. (Pyka et al. 2007).

Our observations indicate that within a stable long-lasting setting, innovation networks are highly dynamic. As emphasised before, innovation networks are constituted and re-created by concrete innovation processes. The nature of innovation processes is uncertain, disruptive and sometimes chaotic rather than predictable. The machinery manufacturers in our sample are faced for instance with changing orders, requirements and deadlines from the customer's side. Or technological breakthrough from the competitor that might interfere, material uncertainties like wear and tolerances come into play and all this requires fast adjustments from the innovation partners in the network. The networks are mostly dominated by the machinery manufacturer. Therefore the involvement of concrete parties in the innovation network are changed and adapted constantly throughout one single innovation process and according to the actual needs of the machinery manufacturer: Suppliers might be replaced; external engineering service providers cut out and design work put back in-house; in short: involved partners vary considerably along the innovation process depending on demand and resources.

The earlier quote of a member of the supply chain department showed: in the beginning of an innovation process exact requirement for material, technical application and so forth often cannot be specified. Still suppliers and other innovation partners have to be contracted even at this early stage. When later details clarify and the innovation partners on the supplying side cannot meet the critical points, innovation partners will be exchanged. What appears to be a logical and strategic consequence in practice often results in short notice adjustments and make-or-brake operations:

“In the beginning there was a lot of back and forth and no concrete plan of how to realize the thing, you know the final product. The engineering company we initially contracted got kicked out, because the cooperation didn't work out any more. And a lot of the involved personnel changed. In the end we only had a deadline and pretty much no choice left. By then our team consisted of two experienced engineers and the rest were external contractors.” (323-IV-RDM1: 159 ff.).

The effects on involved personal can be considerable. On the one side challenges like the one described above can raise ambition and even fun. On

the other side, “*when you are fighting, you are giving it all you got and you still fail... That leaves big marks behind*” (323-IV-RDM2: 65f.). In worst cases the experience results in reduced motivation or moral.

Looking at different innovation practices an outside observer might raise the question: how is it possible, that despite all disruptions the outcome is still an incredibly successful, highly innovative machine?

Our analytical concept indicates an answer to this question: the technical innovations could be realised because all involved actors concentrated on their particular part in the innovation process. This does not mean that innovation is best, when everyone is getting along with each other just fine and there are no tensions or frictions. We agree with Stark that dissonance can be a highly productive resource (Stark 2009). For that reason, we refer to the actual labour object that innovation actors gear their labour actions and experiences to, to fill their work-piece with live. And in fact the individual labour objects can be very different from one innovation actor to another. To give an example, even within the same machinery manufacturer the labour objects in the innovation process vary considerably: while the interest of the Production department is mainly on a fast and easy processing of innovation, the After Sales Service department will emphasise simple and reliable operation, whereas the Sales department is more interested in the amount of new features and technologies to increase the number of sales. Yet, the capability of innovation actors to concentrate on the demands and necessities of their specific object of labour is crucial for an overall successful technical innovation (Pfeiffer 2004).

4. Conclusion

To summarise our findings, innovation networks and clusters are constituted by the needs of the everyday work of innovation actors. Their function is to support innovation actors in innovation processes and can therefore be categorised as instruments of labour. The partners in innovation networks are usually involved on a long-term basis. Though current innovation networks are characterised by stable partnerships they are also highly dynamic. Since the nature of innovation processes is uncertain and requires constant adjustments machinery manufacturers innovate iteratively. As a consequence innovation partners within the network change along the innovation process and according to emerging requirements. Further the supplier network is regionally gathered around traditional production headquarters of dominant machinery manufacturers. Our empirical findings indicate that this allocation will become an arguable fact as international production activities in the machinery manufacturing branch proceed.

Markets in the machinery manufacturing branch are not only dominated by pure economic realms. But also shaped and characterised by trust based

networks of collaboration. As Hirsch-Kreinsen already explains, pure market principles fail when it comes to innovation. The calculation of the cost-value-ratio or the course of action is almost impossible, because of the unpredictable character of innovation (Hirsch-Kreinsen 2007). This does not only apply for the initiation of radical innovations. Also later in the process customers would probably never serve as test clients if they tried to calculate and price possible profits/losses before testing new machinery. As shown, implicit, experienced based knowledge (e.g. branch specifics, evaluating suppliers, etc.) and informal information (e.g. in customer relationships) are crucial factors for successful innovation. However they are impossible to trade as standardised goods on pure markets, whereas network settings favour informal open relationships between innovation actors. Reasons for the advantage of collaborating in networks are mutual learning, innovating and working processes (Böhle 2009, Hellmer et al. 1999). To be concluded in practice we rather observed a blend of market principles and collaboration in innovation networks.

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III. Linking Social Capital and Networks

The Formation of the Market Culture and Network Structure: Logic of the ‘Domestic’ World and Social Capital

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The role of the different logics of the multiple forms of capitals and corresponding ‘worlds’ in the formation of the market culture and network structure is being examined in this paper. The questions of what is the ‘logic’ of the capital, how it influence the type of rationality and practices of the market actors, how it forms the structure of the market network and typical organizations are being raised in this paper.

1. Methodological base

Our research is based on Bourdieu’s field theory, network theory, the concept of multiple capital forms, as well as on the ideas about orders of worth suggested by French theory of conventions (Boltanski & Thevenot 1999, Thevenot 2001).

Network theory gives an ability to construct the structure of market, but for the studying its culture and market relations other theories should be involved, in our opinion. If we consider network ties as channels for interaction, symbolical practices and resources conversion, then it seems useful to turn to the conventions theory which could help to explain logic of market actors’ relations coordination on basis of different orders of worth.

There are six following orders of worth theory of conventions outline: inspired (based on innovation and creativeness and relations of passion), civic (collective interest and solidarity), opinion (renown and fame, relations of recognition), domestic (esteem, reputation and trust), industrial (productivity and technical effectiveness, functional link) and market (price and exchange). Each order of worth has its own evaluation mode, format of relevant information, qualified objects, elementary relations, human qualification and time and space formation (Boltanski & Thevenot, 1999, Eymard-Duvernay et al. 2005). And the firms are organized forms of complex coordination of these heterogeneous orders (Thevenot 2001).

We think that relevance and validity of orders of worth, as well as distribution of resources depends on local context. As to analysis of resources, the concept of multiple forms of capital seems most suitable. Initially, the ‘non-economic’ notion of capital was developed in works of Becker (Becker 1964),

who elaborated the notion of human capital, Coleman (Coleman 1988) and his definition of social capital and, of course, Bourdieu (Bourdieu 2001). Bourdieu outlined four basic forms of capital, and namely, economic, cultural, social and symbolical forms. Each capital could exist in one of three states – the embodied (stable dispositions), objectified (materialized forms subjected to passing on) and institutionalized (objective forms of recognition of capital as a resource).

We believe that the most systematized and complete classification of the forms of capitals developed by Radaev (Radaev 2002), who distinguished eight forms of capitals drawing on works of previously mentioned authors. Let's examine these forms of capital briefly. Besides economic capital, which is financial, production and commodity capital allowing making returns, there are physiological capital (related to physical ability to work, with one's health), cultural (practical knowledge allowing to recognize other actors' strategies), human (system of professional knowledge and skills), social (relationships based on free mutual obligations and trust), administrative (an ability to regulate access to valuable resources and distribute them), political (embodied capacity to mobilize collective actions) and symbolical (legitimate competency and right to produce opinions) capitals (Radaev 2002). Every form of capital could be converted to each other, distributed and redistributed by various ways.

We suggest that markets are made of fields consisting of interconnected participants' positions, organized in networks. They are regulated by a specific type of culture which is formed under the influence of both global and specific local conditions. Market culture is based on certain evaluative logic, characteristic of different capital forms. This logic determines the means and the aims of struggle; makes market actors work out suitable norms and practices. Market participants' networks are formed and reproduced under the influence of this logic.

Thus the markets are social fields where contextually most valuable forms of capital at stake, and relations are being coordinated and regulated with the help of logics embodied in orders of worth.

2. Research programme

The subject of our research is market as the field of socially and economically embedded market actors' positions. More precisely, this paper based on the comparative research of two markets: the Japanese cars spare parts market and computers market. We decided to choose these markets during our first qualitative research of small entrepreneurship on four different markets, when some major similarities became apparent.

The first is the size of these markets. The populations of both markets less than 50 firms, which staff are usually not exceed 10–15 employees. So both markets are populated with small enterprises, though there are significant

differences between the firms. The second is the markets' origins. Both markets developed in Magadan in early 1990s and were constructed 'from above' by the local actors (while the market of household appliances was built by trading networks from other regions, for example) (Fidrya 2008). The third similarity is the goods specificity. Both cars (and car spare parts) and computers are durable and not essential goods. So relations between customers and firms are unforced at both markets. There are also some structural similarities, such as limitedness of outlet within Magadan region, and origin of suppliers (all of them situated outside Magadan region). We decided to compare relations on these markets.

Research was conducted in 2006 as a final empirical part of the thesis work. Two regional markets were examined: the market of car spare parts for Japanese cars and the market of computers and office equipment. Relevant statistics was analyzed, 26 businessmen were interviewed, and 400 clients were questioned at each market.¹ Survey was carried out during period from June to September of 2006.

The empirical research goals were:

- 1) To characterize the market and its typical firms.
- 2) To reveal all of relevant ties (i.e. ties used to gain capitals invested in the enterprise) on the market (between firms, their suppliers, partners and customers), the ties with nonmarket actors (executive powers, legislative authorities, administration and controlling units, family and friendly ties), and also ties within the firm.
- 3) To define forms and volume of significant firms' capitals those are being provided within these ties and constitute market actors' network positions.
- 4) To discover cultural relations which regulate market practices: market actors' concepts of control, social and cultural perspectives, expressed in ideas of orders of relationships between network positions, the ways, volumes and proportions of capitals being converted, and sanctions against improper actions.
- 5) To reveal the determinants of the consumers' preferences.

3. The concept of local market

Entrepreneurship practices are always embedded in the context of the market actors' actual reality. This reality provides them with certain set of abilities and resources, constitutes and regulates market actions norms and standards, conditions certain contextual rationality type, dependent on the logic which is incorporated in the different forms of capital. The local market system consists of the following elements:

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1. The complex of regional conditions for business, which creates restrictions and opportunities and also influences the formation of the market values and norms by reducing or raising value of one or another form of capital. This complex is made of the demographic, climatic and geographic, social, cultural, economic, political and administrative, institutional characteristics.

2. The formalized (legal) and informalized (cultural) symbolical fields of the different levels (federal, regional, municipal etc.). These fields are the embodiments of the abstract (such as 'firm', 'customer', 'supplier' etc.) and concrete (the real firms, customers, suppliers and other actors) symbolical positions and of the relations between them.

3. The structure of the capitals (Radaev 2002), necessary for the successful business. The set of the basic capitals is relatively stable (cultural, economic, human), but depending on the regional and business specifics and organizational form, the other forms of the capital may play a key role (for example, social capital).

4. The goods or services specificity may have a great influence on the price movement, range of goods policy, after-sale services and warranty, behaviour of the customers and administration, firms' symbolical and cultural practices (including advertising appeal).

5. The business networks configuration. The firms' main network ties are with the suppliers, customers, administration and controlling units, competitors and partners, financial institutions and credit agencies, employment agencies and mass-media. There is also a huge sphere of the informal relationship, such as strong ties (family and friends) and weak ties (acquaintances and relatives). The network shapes in a way dependent on the local conditions, to attract most locally valuable forms of capital.

6. The organizational form as a result of a complex interaction between cultural and structural context, firm's resources and aims, have a reverse influence on the market and firm symbolical space, and also on the capitals and abilities structure.

The regional macro context creates an environment of the constraints and abilities for the market actors. It leaves a mark on their values and norms, and also on the relative value of the different forms of capital. The business and goods specificity, actors' conceptions of the social, market and symbolical positions and relations between these positions, and value of forms of capital are constitutes a local rationality. Due to this rationality the configuration of networks, organizational forms and their populations is forms, and entrepreneurship actions practical principles are works out.

4. Domestic world: the specifics of the regional conditions

The 'domestic world' is built up on the "hierarchy of trust" and the chain of the interpersonal dependencies (Boltanski and Thevenot 1999). The most

suitable conditions for a formation of such a 'world' are stable and habitual space and time. The economic practices of the entrepreneurs are run in the complex context, consisting of economic, administrative, social, demographic, climatic, geographic, cultural and institutional peculiarities of the Magadan region. We state that these peculiarities stimulate spreading of the domestic world's logic.

As to climatic and geographic characteristics, we revealed the following:

1) Magadan region is the hard-to-reach area (7110 km from Moscow and no railway communication), that causes the higher cost of the transport; the result is the air transport is too expensive, but whole-year available, and more cheap sea transport is highly difficult during the period of the winter navigation that makes it expensive as well.

2) Local business and trade being subjected to influence of the seasonal migration are strongly depends on the season: the demand is going down during the summer, when substantial part of the population goes outside the region on leave or in the littoral and gold-field areas of the Magadan region in search of a job.

3) Difficult climatic conditions are make difficulties for the capital development of the trade units.

4) Territorial detachment from the central regions of the Russia causes high significance of logistics and necessarily high part of the cost of transport in the resulting price.

5) The market is bordered by the region borders and the low population, which constrains development strategies of the market actors.

The stable self-reproducing relations between the fields of different kinds are making up the institutional context, in which the entrepreneurship networks, practices and the culture are shapes. These fields are administrative-political field, social field and local cultural field. We can also outline some key characteristics of them:

1) High significance of the administrative capital as an ability to gain access to the scarce goods' distribution (such as floor space, municipal delivery orders etc.) that leads to the high role of the regional administration and interpersonal ties with them.

2) High rate of the small firms among commercial organizations (about 3770 commercial organizations per 100000 of regional residents, 95.8% of which are small firms).

3) High density of the social networks and high intensity of the network interactions, that causes the significant role of the social capital distributed in intercompany, interorganizational and interpersonal relations between the firm and the clients.

4) Local market actors adopt 'federal' stereotypes of consumption styles, and firms are adapts to positively evaluated and standards of the organizational forms that accepted as successful.

We think that abovementioned conditions are strongly support logic of a domestic world and the relations of trust in the field of the restricted space, scarce resources and continuous time.

4.1. Local Rationality

There is a specific local rationality forms within the frames of the logic of domestic world and social capital. This local rationality includes market actors' identities and symbolical positions, as well as notions about successful strategies and norms of proper practices.

The half of the firms on the *computer market* has defined their identity as 'the firm which is established and keeps the stable and reliable relations with customers and partners'. This image embedding the logic of social capital is a characteristic feature of the firms which has been going for more than 7 years. New firms being forced to 'fight for their life' define themselves as firms which are 'aiming for the maximum profit and trying to gain possibly most market share'. It is significant that these firms practice dumping and aggressive pricing policy. Two leaders stated that they're 'authoritative and influential firms on whose strategy and market actions our competitors are oriented'. The most intensively developing firms emphasize the meaning of the cultural capital by defining their image as 'the firm which is opens new market niches, new services and feel the customers' needs'.

Locally defined symbolical position of 'computers market firm' implies relations of mutual help between the firms and uniting for discussing some issues with the local authorities. The relations with the 'valued customers' mean trust relationship with mutual concessions and informal interaction, whether this customer is an individual (in case of small firms) or an organization (in case of market leaders). As the price, range and quality of goods are most important factors for this market customers and the computers market itself is much more institutionalized than the car spare parts market, the relations with suppliers are purely business. The quality risks are reduced by establishing and maintaining stable relationships with the suppliers. Though the many business issues and conflicts with suppliers are resolving due to logic of social capital, the main object to forming trustful relations is the customers. The employees are another object of constructing trustful relations with. As they are rather a source of the cultural capital than the human, there are great risks and uncertainty about their ability to feel the customers' needs or find an original solution for some problem. These risks are reduced by relying on informal personal ties. Another

problem is the misappropriation, which is also reduced by constructing trustful relations and producing a social capital between an employer and employees.

Thus, we may conclude that the most typical firms for this market construct their identity based on the logic of social capital and thus prefer to create an image which brings up an association with the reliability and the stability of the relations, and forms trust with the other market actors.

The logics that incorporated in the symbolical images and identity created by firms of *car spare parts* market are also has its specifics. More than a half of the firms identifying themselves with the image of the 'firm which is developing its business and investing resources in the employees' professional developing', which is typical for this market's firms, both for the leaders and ordinary firms. The intensively developing firms' image is the 'firm which is aiming for the maximum profit and trying to gain possibly most market share'. The firms which have a lot of small and medium enterprises among their customers are identifying themselves as 'the firm which are established and keep the stable and reliable relations with customers and partners'. As we can see, most firms are less dependent on social capital, in compares on with the computers market. The human and the economic capital also become significant resources on this market and determine logic both of symbolical and economic actions.

The firms on the car spare parts market are interacting with each other more frequently and intensively than on the computers market. The issues are not only joint discussion with the authorities or mutual help, but also joint price making, informal leisure practices, re-addressing customers to each other if the firm is lack of needed goods. As the customers are mostly individuals, it is hard for the firms to form and rely on long-term and stable relations with the customers, as their purchases are too infrequent and small-scaled. The relations with the employees are more formal than compared to the computers market firms. Unlike the computers market firm, there's no need in friendly and creative atmosphere, as the 'creativity' of the cultural capital isn't an essential for successful business at this market. Because of this, the key actors with whom firms could produce a social capital and reduce their risks are the suppliers. There are many practices enabled to form such trustful relations, for example, personal negotiations and following informal leisure practices (from hunting to Russian baths).

As we can see, the main feature of the local rationality is the dominance of the logic of social capital and domestic world. The identities and symbolic images are necessarily involves elements of the domestic world and have to be associated with the notions of trust and stability in order to be recognized and positively evaluated. All of the relations with the market actors are also subjected to the logic of social capital and evaluated in respect of trust and

stable relations of mutual dependencies. Both entrepreneurs and customers are produce and reproduce social capital within personal and organizational ties intensively.

4.2. Legal Framework

The local practices derived from the local rationality are constricted and regulated by the legal framework. The system of the legal texts forms a field of certain level.

There is federal field is the most significant formalized legal field on both markets. Local regulations are of much less importance. Some of federal legal norms are seriously constitutes relations of the firms and customers or administration, but the influence of the formal field is always deflected under the influence of the local informal norms that formed in the market. In other words, formal norms are always embedding in the structure and culture of the local relations.

For example, there is an 'extremist consumers' institute emerged on the computers market after changes in the legal framework. The Consumer protection federal act obligates firms to sell their goods to any customer. There is a category of customers who buy computers to use for some short period and then disable them and demand for exchange. It's very hard to prove that the goods were damaged by the customer because of computers' technical complexity and vulnerability. Moreover, even when the firm could prove the customer's fault, it often makes concessions to the customer, conformed to the logic of social capital. Firms are meeting the customer's claim just to avoid the conflict and possible bad rumours. Instead, firms are excluding some commodity groups to reduce economic losses.

The other example is the effect of the Federal Act of Government orders. It regulates the same procedures on both markets, but high significance of the relations with governmental customers forces computers market firms to attract them intensively, while on the car spare parts market there's no effect caused by this act. On the computers market, there are competitive tenders and even challenging results of these tenders in the court. And such practices just make the ties with the government organizations stronger.

In contrast, there was no interest to the government orders from the firms on the *car spare parts* market. But since the government and especially municipal organizations still have to buy car parts and tying products, the appropriate practices have emerged. There are still no tenders and no competition. An ordinary official visit all of the firms and write down the prices. Then he or she chooses the best conditions, prepares a contract and offer it to the firm. After the signing, the government organization pays off and only after few weeks the firm receives an official notification on the 'gaining a government order'.

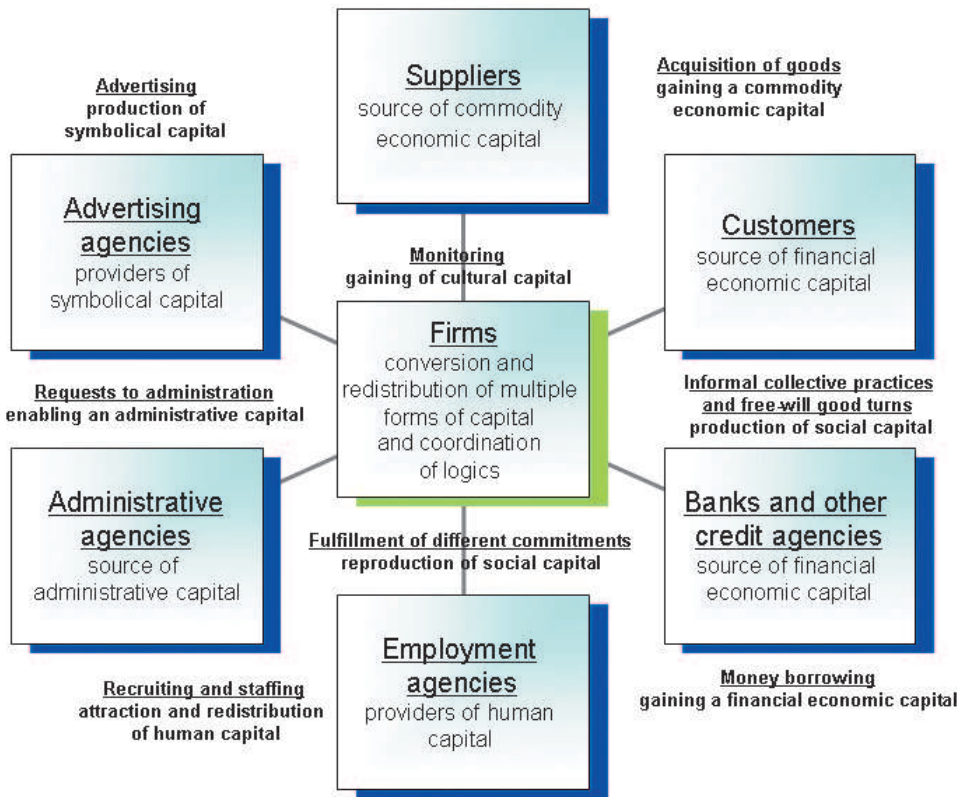
On the other hand, legal norms haven't influenced the long-standing institute of the 'mutual assistance'. When the firms are short of some goods they must supply to the customers due to contract obligations, they buy these short goods from their competitors. Such practices produces social capital and helps to reduce delivery risks, as any firm could find itself in such a situation.

As we can see, legal norms have different impact on the markets, because of the different logics of dominant capital forms, institutes and goods specificity, and could reinforce existing trends, as they makes a framework where actors take their actions due to the logic of local rationality.

5. Network Structure of Markets and Conversion of Capital

There are several main types of network positions on the local market, each has its own specificity in terms of capitals it provides and converts:

Fig. 1. Network Structure of Markets and Conversion of Capital



- 1) Firms (as organizational tools for conversion and redistribution of multiple forms of capital and coordination of logics);
- 2) Clients (as sources of financial economic capital);
- 3) Suppliers (as sources of commodity economic capital);
- 4) Banks and non-organizational credit agencies (as sources of financial economic capital);
- 5) Employment agencies (as sources of providing of human capital);
- 6) Advertising agencies (as sources of symbolical capital);
- 7) Administration agencies (as sources of administrative capital).

We can also single out main types of entrepreneurship practices:

- 1) Monitoring (practices of gaining a cultural capital);
- 2) Acquisition of goods (gaining a commodity economic capital);
- 3) Money borrowing (gaining a financial economic capital);
- 4) Recruiting and staffing (attraction and redistribution of human capital);
- 5) Advertising (production of symbolical capital);
- 6) Informal collective practices and free-will good turns (production of social capital);
- 7) Fulfilment of different commitments (reproduction of social capital);
- 8) Requests to administration (enabling an administrative capital).

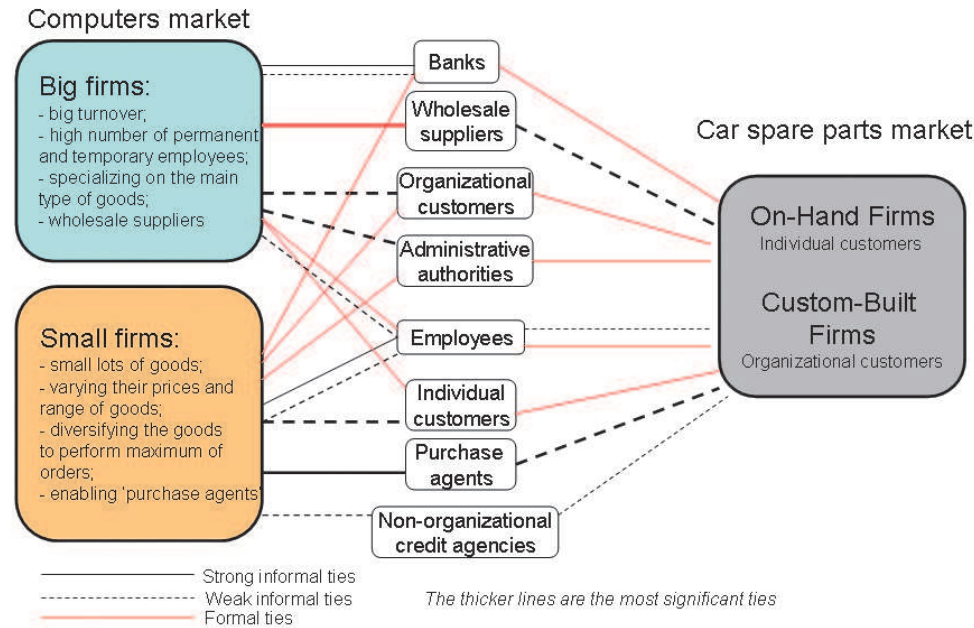
As we could see from the part describing the local rationality, most of these sources of capital could be enabled only by means of social capital. Informal relations with the administrative officials could help to gain a municipal order; personal ties with the owners of commercial and non-commercial organizations could make them firm's loyal customers; additional financial support may be obtained only in case of close and continuous relations with the creditors etc. The network positions of the firms are defined by volume and diversity of their capitals.

There are two groups of the firms on the *computers market*. The first is four relatively big firms with relatively big turnover, high number of permanent and also temporary employees, specializing only on the main type of the goods and buying these goods at their wholesale suppliers.

The second is the group of the small firms, which are often bringing small lots of goods to perform individuals' and organizations' orders and thus headed for the satisfaction of their demands. Such firms are able to vary their prices and range of goods flexibly to satisfy any order, including those not concerning main type of goods. This group of the firms are use the 'purchase agents' institute to minimize supplies risks. These agents recruited via weak ties (among acquaintances, colleagues and far relatives) are the special employees permanently living in the

supplier's home city, which are organize the purchase and consignment. Weak ties also helps to gain information, human and economic capital, though the big firms are have to broaden their ties by enabling institutional actors. In order to attract the customers almost every firm enables a wide range of mass media. The main goal is to create a bright and memorable image.

Fig. 2. Network Ties of the Firms



There are mainly personal ties which are used to attract employees. All of the firms use their weak ties (with the acquaintances and colleagues) in order to find a regular employees, and over a half of the firms are also use their strong ties (with the friends and relatives) and institutional channels (advertise in the media and employment agencies). Since situational need for additional human capital should be satisfied quickly, shortage of time forces firm's heads to use their personal ties to find temporary employees, as it helps to reduce time costs and uncertainty about trust. The bigger firms are have to use more institutional tools as their personal resources getting exhausted, while the smaller ones' needs fully satisfied with their heads' social capital. Interesting, that some ties are considered not suitable for certain types of vacancies, which requires high level of trust. For instance, heads of department or key specialists can not be attracted through employment agencies and should be attracted via personal ties.

Economic capital is attracted not only through the banks but also with the help of strong and weak personal ties (friends, acquaintances and family). Moreover, small firms' owners point at the necessity of the personal ties with the bankers in order to get access to bank credits. So, as we can see, social capital runs through almost all of the market relations and becomes essential on the local market.

There are some similarities and many differences between the computers market and the *car spare parts* market. There are similar 'purchase agents' institute, too. Almost each firm has its own agent because even the small firms have a great number of suppliers. Moreover, if the firm is purchasing spare parts not at the wholesale firms but at the open markets, such an agent is 'a must' for the orders formation. These open markets for the crashed cars spare parts are called a 'razborka'. The suppliers are situated both in the Russian regions (near and far), and in the foreign countries, mostly in Japan. In the cities where the firm can't keep its own purchase agent, it tries to reduce the supply risks by maintaining close informal relations with the supplier firms' heads and managers.

It is rather difficult to detect the leader on this market. One firm holds leading positions at the customers, another firm is the price leader, the symbolical capital to determine the 'market leaders' nomination are holds another two firms. Neither custom-built firms, nor 'on hand' stock firms has a decisive advantage. We could see some niches, within which firms are specializing.

The ability to attract additional financial resources is not a decisive advantage either. Firms are quite rarely enabling these financial help and use mostly personal ties. After some period firms gain an opportunity to attract bank credit, but use it quite rarely preferring to enable their informal business and friendly ties.

By the broad range of the ties (not only personal, but also mediated by the employment agencies and announcements at the mass media) the need for the personnel is satisfying. The main differences are the testing procedure, which is used at some firms (mostly among leaders), and the evaluation period. Both of the procedures are aimed at detection of the job applicant's human capital level and determine his or her salary level.

To attract customers, mass symbolical channels which are the most 'close' for the customers are used, such as electronic mass media and outdoor advertisement. The image of the firm is playing a functional role by informing customer about most essential things, i.e. range of goods and firm's location.

As we can see, the network of the firm's ties shapes in a way dependent on the local conditions and the structure of the most locally valuable forms of capital. The social capital is the main tool of reducing an uncertainty of different kinds, so the diversity of formal and informal strong and weak

network ties is a common feature for all firms. The formation of other ties is subjected to the specific form of valued capital that they provide, whether it human, economic or cultural.

6. Symbolical practices

The symbolical interactions proceed from two basic needs: firstly, to accumulate the cultural capital for the reason of minimizing costs of knowledge elaborating and secondly, to create a firm's image which is corresponding to the customer's needs.

The mass-media is just the source of the information on the computers market. This information embeds in the view on the market and becomes knowledge only by coordinating it with other sources. For the experienced firms, the personal findings and own expertise becomes a base for such coordination. The new firms and the 'market outsiders' (those lacks of social ties, interorganizational above all) prefers to rely on the personal experience of the market customers who is their friends or relatives and also on the direct communication with their competitors who is not the market leaders or occupies a specific market niche. Those firms who have a branched network ties also gains trustworthy information through these ties. The leaders of the market don't trust the communication with the competitors and other market actors, and prefer to rely on their personal extensive experience.

The influence on the customers is also subjected to the very logic of social capital. On the beginning of the business all of the firms have attracted customers by the personal ties, over 80% advertised in the press and radio, 60% – in TV and over 40% used their first customers to attract new ones. The range of communicative channels has become wider on the later stage of the business developing. The most of the firms use newspaper and radio advertising and also personal ties to attract new customers. Half of the firms enable TV advertisement and bids for tender. The lesser part of the firms are using outdoor and advertising web-sites. Thus, as the business developing and cultural capital is accumulating, the share of the institutional symbolical and social channels of attracting customers is increasing.

There are only different forms of personal experience which have high confidence level on the *car spare parts* market, i.e. personal findings and own expertise. Communication with the other market actors has lesser confidence, as it is just a subjective interpretation of other's experience. Other information sources are used only in accordance with the personal experience.

The attraction of the clients is based upon goods specificity logic. While the buying of computer is a long-planned act, the buying of car spare part is often a spontaneous act induced by the damage of some part. The key factors

influencing customer's decision to buy a needed part are the information about certain firm, its location and in-store availability of goods. Thus, the mass-media (such as newspapers, TV and radio) plays a great role in attracting customers at the very start of business. The social ties are also important: half of the firms attract their first customers via personal ties and one third of the firms use their first customers' recommendations to attract new clients. On the later stage of business the structure of the symbolical channels is much the same. The importance of the newspapers and radio decreases, and the significance of an outdoor advertising grows. Personal ties are still of great importance for most firms, but the bigger ones reduce their dependence on the social capital and personally loyal customers becoming a wide-known and extending their irregular customers network while the smaller ones are accumulating their social capital by keeping the relations with the regular customers.

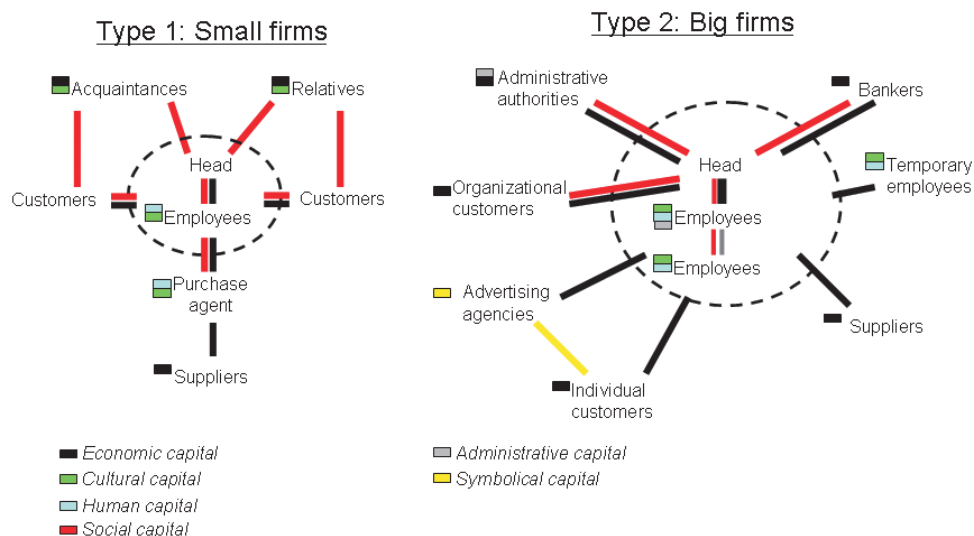
So, we can conclude that the formal and informal symbolical fields are complementary, and the formal norms and symbolical positions make the framework for the substantial informal norms and concrete positions of the real market actors. The main differences between two explored markets are goods specifics related with the customers' needs (the features of the demand, whether it prepared or sudden, the amount of lump-sum costs, the after-sales services), which influence the supply, tied services structure, customers' structure and determine relations with the employees, suppliers and government organizations. The structure of the information channels and the trust level are similar for the both markets, while the content of constructed symbolical images and relations between market actors differs, as they must correspond with the logic of valued capitals.

7. Organizational Forms: Firm as a Tool of Coordination

Despite the obvious differences between the two markets and market firms, there is the main common feature. The social capital plays a great role in the formation of their structure and business networks, influence on their everyday practices and market strategies, forms local concepts of control and cultural norms, and constitutes the content of the firms' symbolical images.

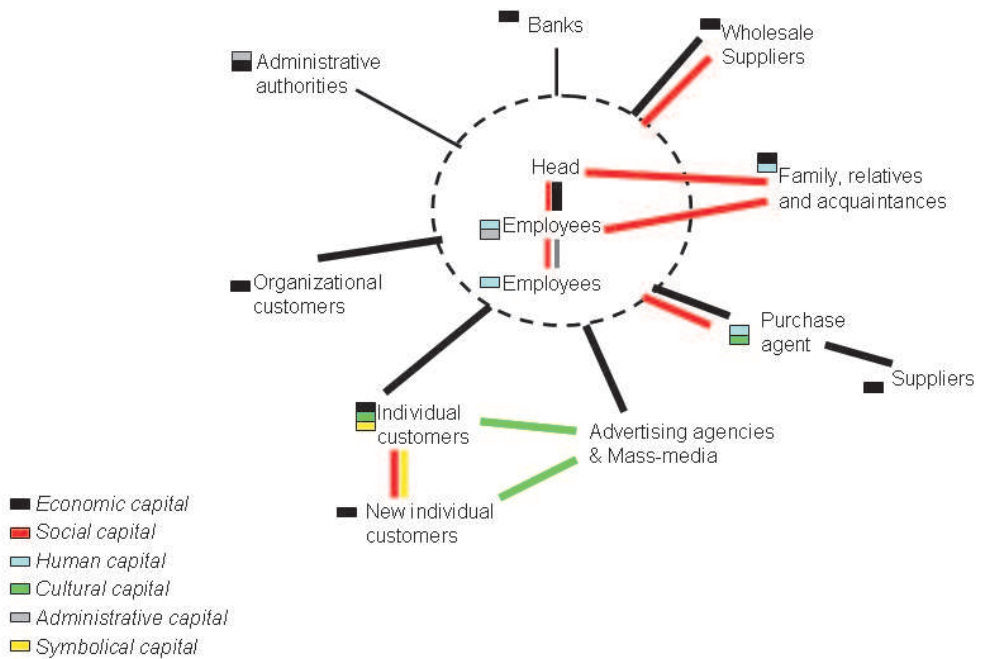
As we could see from the previous part, firms of the Magadan region have to coordinate logic of social capital with the main entrepreneurship logics of cultural and economic capital. So the firms which attract main forms of capital via multiple strong and weak ties are emerging and spreading.

Fig. 3. Organizational Forms: Computers Market



There are two main organizational forms on the *computers market*. The first is the small firm with the small staff and small capital turnover. Its main advantage is in combination of flexibility and trust – the ability to attract human and financial resources quickly and form a trustful and personalized relations with the individual and (to the less extent) organizational customers. It has a widespread network of strong and weak ties with its customers, firm’s head’s relatives and acquaintances which become the source social capital which, in turn, may be converted in other forms of capital (mainly economic and cultural). The second form is the relatively large firm less dependent on the family ties and number of regular individual customers. These firms’ heads convert their social capital (i.e., ties with the local authorities and bankers) into administrative one (municipal and regional orders and bank credits). The larger volume of sales allows to switch from informal personal ties with the customers to the more institutionalized and formal ties with the organizations and, at same time, reduce consumer prices. Firms of both formats are positioning themselves as a stable, trustful and reliable ones, though the ‘target groups’ are differs. Another common feature is the necessity of a cultural capital for catching consumer choices and needs, whether in case of market demand (firm head’s cultural capital) or individual customer’s needs (salesman’s cultural capital). The local computers market firm is above all an organization of coping with lack of resources and small outlet in conditions of intensive and dense social networks and hierarchical administrative structure by conversion of social and cultural capitals into economic one.

Fig. 4. Organizational Forms: Car Spare Parts Market



There is only one main format on the *car spare parts* market. The typical firm is the one that have a lot of casual individual customers and about 10 percent of organizational customers (mostly commercial). However, social capital cannot form within these personal ties due to the specificity of goods. The most stable and personalized ties are with the suppliers, as it helps to reduce delivery and quality risks. As the customers' needs are clear and definite, there's no critical necessity in cultural capital and therefore human capital gains key importance (no need to 'feel and understand' a customers' needs but 'know' and 'quickly satisfy' them). On the other hand, the problem of attracting competent and trustworthy employees determines an importance of social capital. The car spare parts market firms' heads has widespread social ties, too, and uses them for attracting additional financial resources and employees.

So, the local car spare parts market firm is running in conditions of scarcity of resources and lack of heavy buyers to form stable trustful relations with. The firm becomes an organization of conversion of human and social capital into creation and maintaining of a smooth-running system able to satisfy individual customer's situational needs and get economic capital.

8. Conclusion

Among global factors influencing markets the following components are singled out: the system of legal relationship, macroeconomic context, administrative status, goods specificity, and concepts of control. Local regional conditions are: climatic and geographic context, population structure, regional economy, and regional culture.

Geographic remoteness and detachment of the region, density of social nets and intensity of cooperation inside of them lead to formation of a specific culture and prevalence of domestic world, built on the logic of social capital. The relationship, leading to formation of voluntary mutual obligations, becomes valuable. Reputation, long-term and informal connections with market participants become the main competitive advantages. Companies, possessing larger volume of social capital, acquire the leading role. At the same time each market possesses some specific features in 'interpretation' of social capital logic.

1. At the market of computers it forms the relations with key clients, banks and administration, principles of manpower policy. At the market of car spare parts it forms the relations with the suppliers, means of financial mutual aid and unites companies themselves.

2. The factor of goods specificity at both markets influences channels and content of symbolic actions, requirements for the personnel, and structure of clients, and forms clients' preferences which due to the value of social capital determine relations of firms with suppliers. At the market of car spare parts it leads to neglect of government customers.

3. Administrative-legal field at the computers market determines the value of government organizations as clients; forms the principles of consumers' behavior and contributes to institutionalization of the market. At the market of car spare parts it influences the inner structure of the organization but doesn't influence the relations with outer participants, being almost entirely substituted by "laws" of social capital.

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Social Support as a Form of Social Capital in Status Attainment Research – An Explorative Study

Pieter-Paul Verhaeghe and Bart Van de Putte

1. Introduction

Social capital and social support are booming concepts. Despite much conceptual discussion most scholars agree with the definition of social capital as social resources embedded in social networks (Lin and Erickson 2008). Social support is defined as a qualitative aspect of social relationships (House, Umberson and Landis 1988). Social support is often conceptualised as a form of social capital (Irwin et al. 2008; Portes 1998; Wellman and Frank 2001). However, this conceptualization is not generally accepted (McKenzie, Whitley and Weich 2002; Song and Lin 2009). The first aim of this paper is, therefore, to examine the theoretical grounds of conceptualizing social support as a form of social capital.

But the proof of the pudding is in the eating. If social support is a form of social capital, it has to capitalize. The effects of social support resources have been mainly examined in health research and are still unexplored in status attainment research. Thus, the second aim is to examine empirically the effects of social support on status attainment. For this purpose, data have been collected among the first year students of Ghent University about the status of their last holiday job. This population and this job type cannot be seen as representative. However, it is a conservative test for our case for two reasons. First, the inequality in social support resources is more limited among university students than among the general population. If we find positive effects of social support on status attainment in a population with this limited range of social support resources, the effects should be greater in the general population. Second, holiday jobs in Belgium are characterized by two features. They are not so difficult to get and students are not selective in performing one. Therefore, we claim that the potential positive effects of social support resources will be greater during the job search process for a real job, a process that is more difficult and more selective¹.

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2. Theory and hypotheses

2.1. Social capital

Over the past two decades social capital research has been expanded to very diverse topics and applications (Lin and Erickson 2008, Portes 1998). Therefore, there is a need for a clear definition. In this paper social capital is defined as the resources embedded in social networks that generate returns to actors (Bourdieu 1986, Lin 1999b). These resources can be seen as capital, because they are the result of an investment in social relations (Lin and Erickson 2008). According to Bourdieu (1986), people built their relations even intentionally for the benefits. Moreover, the social resources are not possessed by individuals, but are captured in social relations. They are ‘second-order resources’ belonging to the network members (Boissevain 1974). In social capital research, a distinction is made between accessed social capital and used social capital (Lin 1999a). Whereas the first refers to the *access* to embedded resources, the latter concerns the *mobilization* of social resources through the use of the network members’ resources.

It is important to distinguish between the network characteristics and the embedded resources. Although there is much disagreement, having network relationships is a necessary, but not a sufficient condition for the possession of social capital (Finsveen and Van Oorschot 2008, Lin 1999b: 36, Van der Gaag and Webber 2008). It is the resources embedded in networks that potentially generate returns and not merely the structural or network features. For example, research has shown that using personal contacts to find a job does not result *per se* in a higher income or a better job status (De Graaf and Flap 1988, Lin 1999a). It is the quality of the contact resources that matters. Therefore, we consider network characteristics (like the tie strength or the network range) more as necessary precursors of social capital than as direct measures of social capital.

Although most social capital conceptualisations go along with the definition ‘resources embedded in social networks’, they differ in the resources they focus on. The most studied social resources are information, influence, social credentials, and trust (Bourdieu 1986, Coleman 1988, Lin 1999b, Putnam 1993). Social control (and thus social sanctions) and shared obligations (Portes 1998) can be seen as consequences of these resources. This study focuses on the access to a less studied type of social resources: social support resources.

In the social capital literature, there are three well-established propositions (Lin 1999a). The *social resource* proposition states that social resources exert an effect on the outcome of an action. According to the *strength of ties* proposition, the effects of social resources are also influenced by their tie strength. The *strength of position proposition* finally, claims that social resources are affected by the original position of ego. This paper tests the first two propositions with social support as a social resource.

2.2. Social support

Social support refers to a qualitative aspect of social relationships embedded in social networks (House, Umberson and Landis 1988). It consists of both structural and functional components (Cohen and Wills 1985, Helgeson 2003, Lin, Ye and Ensel 1999, Thoits 1995). The structural components refer to “the mere existence of social relationships”, whereas the functional components consist of “the resources that people within an individual’s social network provide” (Helgeson 2003: 25). The literature distinguishes between four social support functions: instrumental support, information, emotional support, and social companionship (Agneessens, Waeghe and Lievens 2006; Freeman and Ruan 1997, van der Poel 1993, Wellman and Wortley 1990). These functions are often reduced to instrumental support (which includes instrumental support and information) and expressive support (which includes emotional support and social companionship) (Lin, Ye and Ensel 1999). Another distinction is between perceived social support and received social support. Whereas the first refers to “the perception of the availability of support”, the latter involves “the nature and frequency of specific support transactions” (Lin, Ye and Ensel 1999: 346).

We consider social support as a form of social capital. A few scholars have already incorporated social support in a social capital framework. Portes (1998) treats social support conceptually as a component of social capital. Wellman and his colleagues (Wellman and Frank 2001, Plickert et al. 2007) view social support as a social capital resource. Recently, health research has examined the effects of the traditional social capital resources on mental health in addition to the effects of social support resources (Irwin et al. 2008). Despite these interesting contributions it is still waiting on a thorough integration of social support, both theoretically and empirically, in the social capital enterprise.

Theoretically, social support satisfies the conditions of the social capital conceptualisation above. First, social support is a resource embedded in social networks. Similar distinctions can also be made between accessed social capital (perceived social support) and used social capital (received social support), and between the network characteristics (support relationships) and the embedded resources (social support functions). Second, social support is produced through the investment in social relations. For example, the investment in a romantic relationship results in higher social support levels for people with a (cohabited) partner compared with singles (Ross 1995, Turner and Marino 1994). Thus, it can be accumulated. Finally, social support generates returns to actors. The direct and indirect health returns of social support are already well established (Ensel and Lin 1991, Lin and Ensel 1989, Thoits 1995). On the other hand, the returns of social support for status attainment have not yet been examined.

However, the conceptualization of social support as a form of social capital is not generally accepted. There are four objections. The first objection contains an unspoken fear that the expansion of social resources will result in an inflation of social capital conceptualizations. But fear is a bad adviser. As long as one departs from a strict conceptualization, expanding the field of resources is insightful.

A second type of opposition argues that the collective nature of social capital distinguishes it from social support, which operates at the egocentric level (Henderson and Whiteford 2003, Kawachi and Berkman 2001, McKenzie, Whitley and Weich 2002). This argument makes only sense when one accepts the pure collective nature of social capital, a view that is widely criticized (Lin and Erickson 2008, Portes 1998, Song 2008, Walkup 2003).

Another objection states that social capital reflects network members' resources, whereas social support refers to network members' assistance (Song 2008, Song and Lin 2009). Following this argument, social capital is a source of social support since network members' resources are drawn for various supportive purposes. Conversely, we argue that social capital cannot be reduced to the network members' resources. Crucial in social capital theory is also the willingness of the network members to provide the resources (Bourdieu 1985, De Graaf and Flap 1988). Research has shown that not all social groups are equally willing to give resources (Smith 2003). And this willingness is reflected in the provision of social support.

A final objection states that it is souring old wine in new bottles. Social support is an umbrella term that covers different social support resources. Information and to a lesser extent practical help have already been studied as social resources within a social capital framework (Lin 1999b). Therefore, the surplus value of conceptualizing social support as a form of social capital lies especially in the expressive support resources like emotional support and social companionship.

In conclusion, social support can be seen theoretically as a form of social capital. The proof of the pudding is, however, in the eating. So, the next step is to investigate empirically the positive effects of social support. We examine the effects of social support resources during the job search on status attainment. In life stress research, social support is seen as a coping resource upon which people may rely when dealing with stressors (Pearlin et al. 1981, Thoits 1995). If searching for a job can be seen as a stressful life-event, like Pearlin et al. (1981) did with disruptive job events, we can expect that people with more job search support are able to get better jobs. So, we replicate straightforward the social resource proposition.

H1. Job search support has a positive effect on status attainment.

Social support can be distinguished into instrumental social support and expressive social support (Lin, Ye and Ensel 1999). Following the reasoning

of Lin (1999b) instrumental job search support is useful to obtain resources that are not yet possessed by ego (e.g. influence, job information or advice), whereas expressive job search support is useful to maintain resources already possessed by ego (e.g. self-esteem to search for a job). The first hypothesis is further refined in:

H2. Instrumental job search support has a positive effect on status attainment.

H3. Expressive job search support has a positive effect on status attainment.

In addition, we are interested in the impact of network characteristics on the social support effects. According to the strength of ties proposition, the effect of social resources on status attainment is affected by the tie strength (Lin 1999a). Weak ties (like acquaintances) should be better because they reach people from different social positions and thus access to a more diverse range of social resources (like new job information) (Granovetter 1973). In contrast, strong ties (like relatives) should be better because they are more motivated to help a person (Krackhardt 1992). This results in two contrasting hypotheses:

H4. Job search support from weak ties has a greater positive effect on status attainment than from strong ties.

H5. Job search support from strong ties has a greater positive effect on status attainment than from weak ties.

Different social support functions are given by different types of alters (Agneessens, Waeye and Lievens 2006, Freeman and Ruan 1997, Wellman and Wortley 1990). Partners and close family members are in general involved with multiple social support functions, whereas friends are specialised in expressive support, and acquaintances in instrumental support (Freeman and Ruan 1997, Wellman and Wortley 1990). Because weak ties access to a more diverse range of social resources, they are especially effective for instrumental actions like getting a job (Lin 1999b). Therefore, we derive two complementary hypotheses:

H6. Instrumental job search support from weak ties has a greater positive effect on status attainment than from strong ties.

H7. Expressive job search support from strong ties has a greater positive effect on status attainment than from weak ties.

3. Data and methods

3.1. Data

Data are from a survey among the first year students of the Ghent University (Belgium). Due to legal reasons (the consent of the University board) the survey was restricted to the first year students. During November and December 2008, all first year students were asked several times by e-mail to complete an online questionnaire. The response rate was 44.49%: 2733 of the 6143 first year students completed the survey. The detailed survey procedure has been reported

elsewhere (Verhaeghe et al. 2009). Because of time and space limitations, the job-related questions were asked only to the respondents who are born in an even month. For the present study only students with a holiday job during the summer holiday as the result of a job search, were used. These limitations result in a final sample of 760 respondents. Table 1 summarizes sample and variable characteristics.

3.2. Dependent variables

We are examining the effects of social support on two job status outcomes:

Job quality. To measure the quality of the job, we used two items of the ISSP 2005. The respondents were asked to which extent they agree with the statements 'have to do hard physical work' and 'have to work in dangerous conditions'. The job quality is the average of the scores on these items and ranges from 1 to 5. Indicating that you disagree with these statements means that you have a high job quality. The distribution of this variable is negatively skewed (skewness = $-.589$ and kurtosis = $-.427$). We applied a square root transformation to normalize this variable. However, because the estimations with this transformed variable do not differ, we decided to use the original job quality variable.

Hourly income. The respondents were asked how much they earn hourly in their (most important) holiday job. The drawback of this variable is that nonfinancial benefits are not included. In our sample the range is from 4 to 16 euro per hour. The distribution is slightly positively skewed (skewness = $.331$ and kurtosis = $.847$). A natural log-transformation has been applied to this variable.

3.3. Explanatory variables

The main explanatory variable 'job search support' is measured by the resource generator. The resource generator asks people whether they know somebody in their network who could provide various kinds of resources, and optionally about the relationships to the persons through whom they could access these resources (Van Der Gaag and Snijders 2005, Webber and Huxley 2007). Recently, a support generator similar to the resource generator has been used in social support research (Agneessens, Waeghe and Lievens 2006).

The resource generator is ideal for our purposes. First, the instrument provides detailed resource information by means of economical questions. Second, it is especially appropriate for research that focuses on the utility of resources for specific goals, like searching a job. Third, whereas the position generator supposes that alters are willing to give social resources, the resource generator asks directly about the availability of social resources. Finally, the resource generator is not biased towards strong ties like the name generator (Lin and Erickson 2008, Van Der Gaag and Snijders 2005).

Table 1. Summary of Sample and Variable Characteristics

		Percent or Mean (SD)
Dependent variables		
Job quality		3.835 (1.005)
Hourly income (logged)		.943 (.077)
Explanatory variables		
From somebody	Job search support	7.408 (1.382)
	Instrumental job search support	3.671 (.782)
	Expressive job search support	3.740 (.770)
From acquaintances	Job search support	1.082 (1.673)
	Instrumental job search support	.650 (.910)
	Expressive job search support	.427 (.987)
From friends	Job search support	5.280 (2.462)
	Instrumental job search support	2.346 (1.356)
	Expressive job search support	2.920 (1.435)
From extended family	Job search support	2.279 (2.552)
	Instrumental job search support	1.182 (1.306)
	Expressive job search support	1.094 (1.486)
From immediate family	Job search support	6.109 (2.352)
	Instrumental job search support	3.049 (1.263)
	Expressive job search support	3.059 (1.378)
Control variables		
Age		18.32 (.818)
Gender	Female	63.8%
	Male	36.2%
Ethnicity	Native	80.2%
	Ethnic minority from inside the EU	11.0%
	Ethnic minority from outside the EU	8.8%
Labour market position father	Not in paid work	13.6%
	In paid work	86.4%
Educational level father	≤ higher secondary	38.4%
	Professional bachelor degree	30.9%
	Academic master degree	30.7%
Job search intensity		1.894 (1.364)

Table 2 lists the eight items we used for the specific domain of searching a holiday job. These items refer to a few ways how social actors (e.g. relatives, friends...) can support students to find a holiday job (for examples see table 2). We distinguished between instrumental job search support to

obtain resources that are not possessed by ego (i.e. items 1 to 4) on the one hand, and expressive job search support to maintain resources already possessed by ego (i.e. items 5 to 8) on the other hand. The internal validity of the eight items is in the dataset high (Cronbach's alpha = .818). The items of instrumental and expressive job search support have a reliability of, respectively, .685 and .788.

It is important to notice that we measured only the *access* to job search support, and not the actual *mobilization* of job search support. We asked whether a respondent could potentially rely on someone for the support items, rather than whether they had received support in the past (cfr. support generator in Agneessens, Waeghe and Lievens 2006). Research has shown that respondents assess the availability of potential support accurately (van der Poel 1993).

Respondents could indicate four support-giving role relations: immediate kin, extended kin, friends, and acquaintances (= role interpreter questions). Multiple answers per item were possible. Following the recommendations of Van der Gaag and Snijders (2005) we added an answer category 'nobody' and defined 'acquaintances' as 'people you know by their first name and with whom you talk if you meet them'. Most studies have assessed tie strength by the role relation (Granovetter 1995, Lin 1999a). Research using multiple indicators of tie strength has shown that the role relation is indeed a good proxy for the tie strength (Bian 1997, Wegener 1991). Therefore, we consider 'immediate kin' and 'extended kin' as strong ties, 'friends' as middle ties and 'acquaintances' as weak ties.

Table 2. Job Search Support Items

1. giving you advice about where you can search for a holiday job
2. helping you with judging a certain vacancy
3. helping you with searching for vacancies
4. together exploring vacancies
5. giving you self-esteem for a solicitation by a chat
6. encouraging you to not give up searching for a holiday job
7. talking about your problems during searching for a holiday job
8. entertaining you when you didn't get a certain holiday job

The most straightforward way to operationalise social capital measured by the resources generator is calculating the volume of resource items that are accessed (Van Der Gaag and Snijders 2005). This measure of job search support ranges from 0 to 8. Instrumental job search support and expressive job search

support are measured by the number of accessed instrumental and expressive job search support items (both range from 0 to 4). Similar measures are made for each role relation separately, resulting in three measures per role relation: general job search support, instrumental job search support, and expressive job search support.

3.4. Control variables

This study controls for respondents' demographic factors, their socio-economic background, and their job search intensity. Demographic variables include age, gender (0 = female, 1 = male), and ethnicity (0 = native, 1 = ethnic minority from inside the EU, 2 = ethnic minority from outside the EU). The socio-economic background was measured by the labour market position of the father (0 = not in paid work, 1 = in paid work) and the educational level of the father (0 = $\leq$ higher secondary 1 = professional bachelor degree, 2 = academic master degree). This latter categorisation is because of the sample consists mostly of high educated fathers. Job search intensity is the number of job search methods respondents have used to find their holiday job from a fixed list of job search methods (range 1-8).

4. Results

The first hypothesis states that job search support has a positive effect on status attainment. To test this hypothesis we applied OLS regressions of the job quality and the logged hourly income. Remarkable are the low explainable powers of the basic models, which is probably caused by the low selectivity by students in their choice for a particular holiday job (models 1 table 3). However, the analyses confirm the first hypothesis: the perceived availability of job search support has a positive effect on both the job quality and the logged hourly income (models 2, table 3). The addition of this variable raised the predictive powers, respectively, from 4.8% to 5.1%, and from 5.5% to 6.9%. Hence, the social resource proposition is confirmed for social support. The second and third hypotheses state that, respectively, instrumental job search support and expressive job search support affect positively status attainment. The results show that only the perceived availability of instrumental job search support from somebody has a significant positive effect on only the logged hourly income (models 3, table 3).

Table 3. OLS Regression of Job Quality and Hourly Income (logged) on Job Search Support Resources from Somebody

	Job quality						Hourly income (logged)					
	Model 1		Model 2		Model 3		Model 1		Model 2		Model 3	
Age	.019	(.015)	.039	(.032)	.039	(.032)	.003	(.031)	.004	(.048)	.005	(.050)
Gender (ref. female)	.477***	(.228)	.444***	(.211)	.445***	(.211)	-.029***	(-.182)	-.031***	(-.196)	-.031***	(-.194)
Ethnicity (ref. native)												
Ethnic minority: EU	.072	(.022)	.083	(.026)	.083	(.026)	-.018*	(-.073)	-.019*	(-.080)	-.019*	(-.079)
Ethnic minority: non-EU	.053	(.013)	.110	(.028)	.109	(.028)	.004	(.013)	.008	(.030)	.008	(.028)
Labour market position father (ref. not in paid work)												
In paid work	-.021	(-.007)	-.048	(-.016)	-.048	(-.016)	.013	(.056)	.012	(.054)	.012	(.054)
Educational level father (ref. $\leq$ higher secondary)												
Professional bachelor degree	.166°	(.077)	.165°	(.076)	.165°	(.076)	-.013°	(-.076)	-.015*	(-.093)	-.016*	(-.094)
Academic master degree	.098	(.045)	.077	(.035)	.076	(.035)	.022**	(.131)	-.024***	(-.143)	-.025***	(-.148)
Job search intensity	.004	(.006)	-.001	(-.001)	-.001	(-.001)	-.005*	(-.085)	-.005*	(-.085)	-.005*	(-.083)
Job search support from somebody												
Job search support			.065*	(.085)					.007***	(.126)		
Instrumental job search support					.072	(.053)					.014**	(.131)
Expressive job search support					.058	(.044)					.001	(.015)
Constant	2.635***		1.866*		1.859*		.948***		.869***		.864***	
N	760		735		735		736		711		711	
Adjusted R²	4.8%		5.1%		5.0%		5.5%		6.9%		7.1%	

° $p \leq .10$; * $p \leq .05$; $p \leq .01$; $p \leq .001$; Note: Standardized coefficients in parentheses.

*Table 4. OLS Regression of Job Quality and Hourly Income (logged)
on Job Search Support Resources from the Immediate family*

	Job quality				Hourly income (logged)			
	Model 2		Model 3		Model 2		Model 3	
Age	.031	(.025)	.030	(.024)	.004	(.039)	.004	(.047)
Gender (ref. female)	.451***	(.214)	.451***	(.214)	-.030***	(-.189)	-.030***	(-.190)
Ethnicity (ref. native)								
Ethnic minority: EU	.093	(.029)	.091	(.028)	-.018*	(-.074)	-.017°	(-.069)
Ethnic minority: non-EU	.088	(.022)	.086	(.022)	.006	(.021)	.006	(.021)
Labour market position father (ref. not in paid work)								
In paid work	-.054	(⁻ .018)	-.054	(⁻ .018)	.013	(.054)	.012	(.054)
Education level father (ref. ≤ higher secondary)								
Professional bachelor degree	.162°	(.074)	.161°	(.074)	-.015*	(-.093)	-.015*	(-.093)
Academic master degree	.079	(.036)	.079	(.036)	-.023***	(-.138)	-.024***	(-.141)
Job search intensity	.001	(.001)	.001	(.001)	-.005*	(-.083)	-.004*	(-.073)
Job search support from the immediate family								
Job search support	.032°	(.072)			.003*	(.085)		
Instrumental job search support			.023	(.029)			.009**	(.140)
Expressive job search support			.039	(.052)			-.002	(-.040)
Constant	2.291**		2.316		.920***		.903***	
N	735		735		711		711	
Adjusted R²	4.9%		4.8%		6.1%		6.7%	

° $p \leq .10$; * $p \leq .05$; $p \leq .01$; $p \leq .001$

Note: Standardized coefficients in parentheses

Hypotheses 4 and 5 are two contrasting hypotheses about the influence of the tie strength. Hypothesis 4 states that job search support from weak ties has a greater positive effect on status attainment whereas hypothesis 5 states that job search support from strong ties has a greater positive effect. We test these hypotheses by applying OLS regressions of the two job outcomes for each role relation separately (models 2 in table 4 and 5; the results for the role relations with insignificant support effects are not shown). The results show that the stronger the ties, the greater the

positive effects of the perceived availability of social support on the quality and the hourly income of the holiday job. With respect to the job quality the standardized coefficient of job search support is higher from the immediate family ($\beta=.072$, $p<.10$) than those from the extended family ($\beta=.060$, $p<.10$), the friends ($\beta=.001$, n.s.), and the acquaintances ($\beta=-.048$, n.s.). With respect to the hourly income the same pattern appears: the standardized coefficient of job search support is higher from the immediate family ($\beta=.085$, $p<.05$) than those from the extended family ($\beta=.040$, n.s.), the friends ($\beta=.051$, n.s.), and the acquaintances ($\beta=-.001$, n.s.).

Table 5. OLS Regression of Job Quality and Hourly Income (logged) on Job Search Support Resources from the Extended family

	Job quality				Hourly income (logged)			
	Model 2		Model 3		Model 2		Model 3	
Age	.017	(.014)	.016	(.013)	.003	(.028)	.003	(.028)
Gender (ref. female)	.464***	(.220)	.461***	(.219)	-.029***	(-.182)	-.028***	(-.182)
Ethnicity (ref. native)								
Ethnic minority: EU	.089	(.028)	.088	(.027)	-.018*	(-.075)	-.018*	(-.074)
Ethnic minority: non-EU	.069	(.018)	.068	(.017)	.005	(.016)	.005	(.017)
Labour market position								
father								
(ref. not in paid work)								
In paid work	-.042	(-.014)	-.043	(-.014)	.014	(.060)	.013	(.060)
Educational level father								
(ref. $\leq$ higher secondary)								
Professional bachelor degree	.177*	(.081)	.176*	(.081)	-.014*	(-.084)	-.014*	(-.086)
Academic master degree	.097	(.044)	.096	(.044)	-.021**	(-.128)	-.021**	(-.127)
Job search intensity	-.003	(-.004)	-.002	(-.003)	-.005*	(-.086)	-.005*	(-.084)
Job search support from the extended family								
Job search support	.024°	(.060)			.001	(.040)		
Instrumental job search support			.008	(.010)			.005°	(.085)
Expressive job search support			.038	(.055)			-.002	(-.040)
Constant	2.659		2.678		.950		.947	
N	735		735		711		711	
Adjusted R²	4.8%		4.7%		5.5%		5.7%	

° $p \leq .10$; * $p \leq .05$; $p \leq .01$; $p \leq .001$

Note: Standardized coefficients in parentheses

Following hypotheses 6 and 7, instrumental job search support from weak ties and expressive job search support from strong ties have greater positive effects on status attainment. Both hypotheses are not confirmed by the analyses (models 3 in table 4 and 5; the results for the role relations with insignificant support effects are not shown). In fact the opposite is true for the effect from instrumental job search support on the hourly income: the standardized coefficients of the perceived availability of instrumental job search support are higher from the strong ties 'immediate family' ($\beta=.140$, $p<.01$) and 'extended family' ($\beta=.85$, $p<.10$) than those from the middle ties 'friends' ($\beta=.033$, n.s.) and weak ties 'acquaintances' ($\beta=.050$, n.s.).

5. Conclusion and discussion

This study had two aims. On the one hand, to scrutinize the theoretical grounds of conceptualizing social support as a form of social capital. On the other hand, to examine empirically the effects of social support on status attainment. Before we discuss the main conclusions, it is important to stress the methodological limitations.

First, the hypotheses were tested using data about the attained holiday job of first year university students. The easy to catch-nature of these jobs and the low selectivity of this population during holiday job search, resulted in low predictive powers of the estimated models. Standard variables in status attainment research like socio-economic background or ethnicity were hardly significant. Therefore, it is not surprising that also the job search support resources exerted an effect with little explainable power. Future research should retest the hypotheses with a more representative population and with real jobs.

Second, a cross-sectional design was used. Both the social support resources and the attained status of the holiday job were measured at the same time, once the holiday job was already finished. Therefore, statements about the causality are not possible. Moreover, a recall-effect that selectively distorts the perceived support availability is not impossible. Longitudinal research is recommended.

Finally, we used the total number of different support resource items to operationalize the job search support. Like Van Der Gaag and Snijders (2005) noted, this measure leaves a lot of interesting information unused: it yields the same numerical values for very different resource items. Better resource generator measures are needed.

However, we are able to draw a few conclusions. Theoretically, social support can be considered as a form of social capital. The concept satisfies the conditions of the social capital conceptualisation and the main objections do not stand fire after a critical inquiry. Moreover, it appeared empirically that social support capitalizes: the social resource proposition was confirmed. The perceived availability of job search support did have a positive effect on the

income and the quality of the attained holiday job. Especially instrumental job search support appeared to be relevant with respect to the income.

It is remarkable that expressive job search support did not have a positive effect on neither income nor job quality. Health research has shown that expressive support mediates the negative effects of social stressors on mental health, and buffers these effects on physical health (Ensel and Lin 1991, Lin and Ensel 1989; Thoits 1995). Therefore, an explanation could be that expressive job search support has only an influence on status attainment in combination with job search stress. Moreover, we examined only the effect of accessed social capital (perceived availability of support) and not of mobilized social capital (received support). It could be that only the expressive job search support a person receives has a positive effect on status attainment. Because the surplus value of conceptualizing social support as a form of social capital especially lies in the expressive support resources, these are crucial points to investigate.

The strength of ties proposition was also confirmed: the effects of the social support resources were influenced by the tie strength. It appeared that (instrumental) job search support from the immediate and extended family (strong ties) is more effective than the support from friends (middle ties) and acquaintances (weak ties) to get a holiday job. This contradicts with the well-established strength of weak ties hypothesis. Several explanations are possible for this contradiction. First, it may be due to the low age of the respondents. Young people are more likely to rely on family to get a job than on friends or acquaintances (Granovetter 1995). Second, the used sample consisted of respondents with mostly high educated fathers who are in paid work. This implies that the strong ties were resource rich (strength of position proposition). Hence, it may be that the respondents did not have to rely on weak ties because of the resource richness of their strong ties. Third, it may be that holiday jobs are just so easy to get that even the limited resources from strong ties are sufficient. Another explanation is the social support reciprocity between students and their family members: the family members may support the student during the search for a holiday job, but the students may also financially support their family by their holiday job. For example, Plickert et al. (2007) have shown that especially parents and adult children are likely to reciprocally exchange instrumental support. Further research (both qualitative and quantitative) is needed to examine the validity of these explanations.

In conclusion, findings from this study have hopefully emphasized the importance of examining the effects of social support resources, in addition to other social capital resources, on status attainment. But there is still a lot of work to do. Longitudinal research among a more representative population with real jobs is needed. The effects of received social support and the job search stressfulness have to be included. Moreover, the socio-economic and ethnic

inequality in job search support resources are not examined yet. The authors are currently engaged in such a program of investigation.

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The Appearance of the Moldavian Csángó Elite as a Consequence of Transnational Migration

Kónya Hanna

1. Introduction

The fall of communism brought two major changes in Romania. One, the opening of the national borders and new possibilities for Romanians, and second the possibility to study those territories that were forbidden for social-scientists prior 1989. The possibility of studying the catholic territories in Moldova without being persecuted by the local, regional or national authorities brought its fruits, by allowing scientific researches and organising different cultural events prohibited earlier. The opportunity to work, study or live in foreign countries became a real life model for many Romanian citizens regardless of ethnicity.

This research seeks to focus on the effects of migration, on the appearance or transmission of minority elite. Migration networks generate not only social capital but economic and/or cultural as well, which are the fundamentals in becoming elite members. After '89, assimilation to the majority culture wasn't the only option to self-realisation; migration to other countries – ex. Hungary, Israel, Spain or Italy – widened the palette of possibilities.

Why is so important to study these questions at all, one may ask! So many elite studies were made what makes this one relevant? Who are the Csángós and what makes them so specific?

In the essays or books related to Csángós there is no consensus among researchers about demographical, historical social-political aspects – regardless if are about identity, origin, migration, social stratification or poverty – but, there is one thing in common, namely that they don't have their intellectual strata. The Csángó intellectual as research group and as public figures are present in the scientific debates only from a couple years ago. This is one of the strengths and the weaknesses of this research as well, because their identification is even harder.

In the sociological literature we can find many publications referring to the elite concept, but if one tries to use these theories in order to find out if someone is elite or not, the theories tend to seem insufficient or confusing.

2. Theoretical background

Reading different elite theories we can make the following grouping: first we have the Conflict vs. Consensus Theory, second we find the Elite Circulation vs.

Elite Reproduction third the Different Capital based approaches, meaning Social Class theory, Elite theory, Pluralist theory, Behaviorist theory, Functionalist theory- decision making, Power theories, Network or social capital theories. Usually the definition of the elite members was made through power terms. Different authors have different definitions of the elite, considered: class, group, strata, status group, etc. At the beginning elite was identified through power, Mosca, Pareto, Mills are only a few from those theorists who defined elite by ruling class and decision making.

The Consensually Integrated Elite Model thinks about the elite on first hand as a network of interactions – both formal and informal – communication, friendship, another aspect being the influence-wielding among the leaders of all elite groups. The network is not dominated by a single elite group. The different elite groups are interacting with each other. As Higley and Moore points out *“location in the interaction network depends on prominent formal organisational positions and an involvement in national policy making irrespective of class, education, or other social background variables”* (Higley-Moore 1981).

The Elite circulation versus reproduction gets its validity in Central Europe where *“the political reformulation and institutionalisation of class conflict was punctuated by violent and revolutionary events”* (Pakulski-Waters 1996).

Most of the authors when speak about the change of the communist regime, find one of the most exciting subjects to see who is capable to catch the opportunities given by the change, who are those who can alienate their estates and capitals, and who are going to be the losers. In the economic competition the material capital is not the only one that matters, in some occasions owning some other capitals has a major importance, a greater privilege.

Different capitals were considered important by different scientists/theories. At the beginning of the class analysis the most important capital was the material, the economic capital (ex. Marx) in current years the significance of the social capital grew.

More and more sociologists speak about different modern capitals, which – by the definition of Sik – improve the persons productivity, as a result the capital owner can get an extra income, a profit (human capital, state of health, social capital) (Sik 2004). Kolosi says that by fulfilling different social positions, and inheriting advantages and disadvantages the different forms of the capital play a role together (Kolosi 2000).

After all these the question how can we, or how should we define who is member of the Csángó elite is very accurate. The definition/identification of the elite can be made in three ways: statistical, functional and structural. The first consists of the top N percent of a list made based on a rank order of some capital. In the functional definition all outputs of relevant categories are listed. In this case the

elite is composed by those who “have” caused more outputs. In the last definition researchers are using terms like group, role and status. As Kadushin says “*Structural concepts are felt to be theoretically insufficient to define an elite, other concepts such as power or influence are usually added to the definition*” (Kadushin 1968).

If somebody appears as elite in a specific locality means that that person is successful in some or in several fields or by using Bourdieu’s concept in some „fields”. Continuing this idea regarding to Bourdieu thinking in field it is equal with thinking in relations (Bourdieu 1992, in Felkai-Némedi-Somlai 2000). The social actors interact with each other, several interactions are not conscious and are uncontrolled by our will, but they are determinant to the location in the field. According to Bourdieu being successful in the field depends on the persons’ position and his connections, relations to the other actors. Owning different capitals regularise the winning of the specific profits, assets of the field, the so called stake.

Authors in one way or the other always paid attention to the existence or lack of connection between elite members. To name a few we have to think to Mills (1956), or Guttsman (1963), they found that there is a strong connection between the members, in the same time Parsons (1960), Dahl (1961) or Rose (1998) find exactly the opposite, no connection or only purpose or function regarded linkages.

Using the traditional definition of the elite in the terms of power it is hard because it is hard to measure power itself. As Kadushin points out “*Methods for measuring social circles require open-ended sociometric chains, such as “snowball” samples, although there are also useful pseudo-interaction methods*” (Kadushin 1968). This is partly because power as such is a disposition concept. It is important to use an open-ended network than a sociometric of a closed group. These networks of dense interconnections may be face-to-face, as in cliques, or through short chains of interaction, as in social circles (Kadushin 1968, Alba and Moore 1978). Cliques tend to be small because they involve direct interaction among all of their members in the same time social circles with both – direct and indirect – interaction may be much larger. Several theoreticians think that elite social circles are a principle means of elite integration. A reason to think that is that unlike cliques, social circles because of their two dice communication can connect and communicate and interact among large numbers of person who are located in otherwise disparate organisations and sectors. They draw together persons who have similar interests but who are not necessarily the members of a small clique. Elite social circles are well structured for the management of highly complex national societies by differentiated and specialised elites.

People thanks to their status or group position can have different positions in the society, positions which can have benefits or disadvantages, and in the

same time through these positions they can connect with other actors of the society. Elite is the group that gives the greatest advantages, being in an elite position means enjoying high prestige, being active part of decision making, owning major material wealth, and having power.

Based on Kaudshin's (Kadushin et al 1971) definition of an intellectual: "Intellectual is a person whom other intellectuals believe to be an intellectual." During this research we would like to use a similar approach: Elite is a person who is considered as such by other elites. By this definition a wider scale of being elite is used.¹

3. Understanding Csángó identity and Csángó elite

Before deepening in the labyrinth of Csángó elite, there are two aspects that need some clarification. One of these topics regards the Csángó identity the other one the elite. There are scientific researchers who –even if they do not wish to demonstrate – start their study from the fact that the Catholics from Moldova are Hungarians/Romanians.

3.1. Csángó identity and it's interpretations

One of the most well known current ethnographers with lots of years in Csángó study, said that what makes so hard to reveal the processes of assimilation and acculturation are the facts that we are dealing with a phenomenon which can not be homogenised neither by villages neither by generations, which is dynamically changing from the perspective of history, is complex and multivariate. The veracity is also affected by the emotional or political – ideological reasons of the subjects (Tánczos 1996:174).

We don't wish to take any side in the Csángó identity debate, being objective is important during this research but it is indispensable to have a short resume upon theories regarding the Csángó identity and as well upon the Csángó values and life style.

Based on Tánczos (2001:59) we try to present the bipolarity of the Csángó identity through couple examples.

On one hand we have the eternal debate of are the Catholics from Moldova Hungarians or Romanians? Some say that they are definitely Hungarians and their genesis, language, folk-culture demonstrates this, but arise the question that if they don't think about themselves as Hungarians we don't have the right to name them as such.

¹ Because Csángós with different economic, cultural and social background are asked whom they consider as member of the Csángó elite, during the interviews we collect all the aspects named by them why someone is considered as such. In the same time different features and roles are collected that should characterise the Csángó elite and its members.

Sociolinguistics demonstrate that the dialect spoken by these people is a dialect of the Hungarian language, the other opinion is that if they consider their language as a language between the Hungarian and the Romanian one, than researchers should speak about Csángó language as well.

The ethnic consciousness of the Csángós is based on an ideal, their religion and their Hungarian origin, but we know that identity, identification is/can be defined by the social opportunities.

3.2. The Csángó elite and related questions

The second topic that needs clarification is a preconception often met, that the Csángó society doesn't have its cohesive, urban citizenry, intellectual, artisan strata (Pozsony 2003).

My research seeks to answer on questions such as how the rural elite is developed, and what kind of migration patterns lead to the appearance of the local elite. Are we really dealing with first generation elite, or Csángós were already in elite positions, but as members of the Romanian elite. The relevancy of the research is underlined by the fact that papers which at least tangentially discuss the Csángó society structure are approaching from the point of view of poverty, creating a village picture with identity lost, inhabitants who live under total political oppression, undermined by ethno-political purposes/goals. We can say that this was undoubtedly true but today the Csángó society lives its social change, structurally and demographically as well.

Taking the most severe signification of the elite concept, the Csángó elite is getting its validity. We just have to think to artists, poets known outside of the border of their homeland, or to those entrepreneurs who return home from different countries and with the money earned abroad start their businesses in Moldova and by this they take an active role in the development of the village. These examples suggest that beside the acculturation and assimilation – so often discussed in issues related to Csángós – there is something else going on in Moldova.

4. Origin, history and demographic data

Starting with 1989 with scholarships from the Hungarian state, more and younger Csángós started to study in Hungarian Universities. Without a solid family support, studying in Romania was and still is almost impossible for Csángós. With many young adults who had only couple graduated school years, with few places of work and the temptation of foreign salaries, migration with the purpose of work abroad was more than a necessity, it became a life style, an example good to follow. The migrants appeared for many as role models. Some of them settled in the destination country – especially in Hungary – others earn their money abroad and mostly spend it in Romania where their family lives.

Before deepening the topic of the Csángó elite and its relation to transnational migration, it is advisable to have a short overview about this group of people living in the Eastern part of Romania.

The Catholics from Moldova (called Csángós) can't be seen as a uniform ethnic group, nor by history, nor by language or ethnographically. The processes of assimilation and acculturation from Moldova is seen by Tánczos as the amalgamation of cultural differences hidden in the traditional folk culture, language, historical knowledge, etc (Tánczos 1996).

The concept of „csángó” means – the provenantly distincted – Csángó-Hungarians and Székler-Csángós as well. It nominates the ones who are diverged from Romanians and Hungarians as well, but in the same time bears the pejorative meaning of bastard, mixed, defective and incomplete (Tánczos 1997). The non Székler Csángós, who are with origins from the middle ages, today live in two language islands, on north from Roman (Northern Csángós) and in couple villages on south from Bacau (southern Csángós). For both is characteristic the archaic language and the folk culture with lots of conserved elements (Tánczos 1997). The Szekler Csángós are originating from Szeklers who emigrated to Moldova, mostly in the XVIII century, from three region of Szekler Land, Ciuc, Gheorgheni and Trei Scaune.

While the Hungarians in Moldavian urban communities slowly disappeared, the Catholics in more or less segregated villages managed to survive, not even to regenerate but to significantly increase their number over the years. Nowadays villages, rural areas frame the basic level of the Csángó society.

The number of the Csángó population differs from researcher to researcher, from census to census. The Hungarian and the Romanian intellectual strata as well have a schematic, idealized picture about the Moldavian Catholics. From couple thousands to two hundred thousand we can find many data. Many still speaks about 200,000 – 250,000 Hungarians from Moldova, Csángó Hungarians (Pozsony 1996). “Beyond the maximum figure of 260,000 which corresponds only to the catholic population of the area, only 60,000 to 70,000 people speak the Csángó dialect. In the most recent official survey, just fewer than 3,000 people identified themselves as Csángó” (Isohookana-Asunmaa 2001). If we think only to the bipolarities enumerated – identification based on genesis, language, folk-culture versus self identification or language considered Hungarian by sociolinguistics versus language considered in-between Hungarian and Romanian by the Csángós themselves or ethnic consciousness based on origin versus based on social opportunities – the wide spread of the number of this population is somehow more understandable.

Possibly the most accurate data referring to the number of the Csángó population is given by Tánczos (1997). He enumerates 85 localities –mostly villages – with 103,543 Catholics from which 62,265 (60,13%) speaks Hungarian.

The number of Hungarian speaking Csángós from Moldova is estimated to 62 thousand people, this means a little bit more (25,8%) than one quarter of the Catholics living in Moldova.

Table 1. Number of Hungarian speaking Catholics from Moldova (Tánczos 1997)

The name of the village	Catholics (1992)	Hungarian speaking	Hungarian speaking among Catholics
I. Northern Csángós (7 villages)	21.094	8.180	38,78%
II. Southern Csángós (sz) (6 villages)	12.979	9.520	73,35%
III. Székler Csángós			
A.) by the Szeret river (24 villages)	28.397	23.307	82,08%
B.) by the Tázló river (19 villages)	8.944	6.100	68,20%
C.) by the Tatros river (29 villages)	32.129	15.158	47,18%
Total	103.543	62.265	60,13%

As many ethnographers point out this area for a long period of time could have been characterised as a homogeneous society in regard of stratification. Due to the closed-rural characteristics their habitants until the recent past, paid special attention that in order of material or wealth issues polarisation could not be fulfilled, they prevented every habitant from cumulating bigger goods than his neighbours (Pozsony 2005).

Mainly after 1965 several of the Csángó parents consciously planed to send their children to study or work in the surrounding – or even further – towns. As a consequence the place of socialisation of the young generation moved from the birth village – meaning the family and the bonds of relatives – to the urban majority Romanian medium, artificially created by the Romanian communist regime (Pozsony 2005). In the case of non- or returned migrants the importance of strong ties is till significant. In the case of migrants the situation is somewhat different, the role of weak ties grew and the importance of all relation types is getting more obvious.

Catholic villages from Moldova – segregated as they were – felt the consequences of the 1989 regime change. One of the first consequences was that – similar to other areas in the country – a significant part of the commuter workers were fired from the factories, industries. This results a surplus of workforce which majority had no other option than to enrol in transnational migration. The role of a commuter worker although changed in some important parts it remained the typical life form for the Catholics from Moldova. Before the regime changes the male habitants of the Csángó villages had regular jobs in the nearest towns, they worked in the town but they lived in the village. Nowadays being a commuter means that they return home from different

European countries only couple times in a year, but the majority of migrants plan to live in the village they were born, or in a town in the area. During migration they already start to build houses similar to those seen in foreign countries, they buy goods that can't be afforded by non-migrants, they invest a huge amount of money in prestige items, in order to demonstrate the life-style they can permit.

The Romanian government over the years made use of support from the Catholic Church in order to assimilate as fast as possible the Csángós. Hungarian speaking priests were replaced with Romanian speaking ones the goal was to achieve linguistic assimilation, but keeping the Catholic religion. We can define two principal characteristics based on what identification of an ethnic minority is possible: religion and language. Csángós retained religion over the years but language is not always present or not that powerful as being Catholic. Today we can find several Csángó villages with Romanian speaking catholic habitants.

The essential institution in stratification was and still is the Catholic Church, as such the decisive person, personality in the Csángó villages is the priest with high prestige and status among the villagers. Even today when vertical mobility is possible and reachable, being a priest is at the top of the prestige scale. In the Moldavian catholic villages all habitants are integrated in the local religious life, but in the same time those who are not active, faithful members of the church are segregated. Relation among priests and his followers is asymmetrical, the local representative of the Catholic Church has the unquestionable esteem, in return the priest has a major role not only in the spiritual life of the habitants, but his opinion in the social, economic, moral and almost any other aspect in the everyday life is essential and an opinion to fear off. Nowadays this is less accentuated but still very important.

In the Csángó villages the lack of economic based stratification wasn't typical prior to the regime change. Several villages took part in trade, but that level of labour-division where a commercial stratum can be developed was never reached. The land – although very important for all families, on several occasions the main income source – didn't constitute a stratification factor (Halász 2002). After the regime change some returned well situated migrants wanted to invest their earnings in local businesses, bakeries, and transport or construction companies. Today we can observe a young entrepreneur stratum with local, regional and transnational connections, and networks.

Although international migration was present during the communist regime as well, the massive migration started after 1989. According to Adler-Lomnitz (2007) the factors of attraction that determined Csángós to migrate to Hungary – one of the primary targeted countries – can be grouped in three categories.

As a first factor we can name the formation of a network in which an important role was played by Domokos Pál Péter who made a research among Csángós,

presenting their customs, habits and language. Some students from Budapest went out to see these villages and after returning to Hungary kept in contact with Csángó. Eventually, a woman from Pustiana/Pusztina married one of these students and became the first Csángó to arrive in Hungary before the regime change and she helped the people of her village to migrate and settle in Budapest.

A second important role is played by 1998 election in Hungary won by FIDESZ – Hungarian Civic Union. One of their aims was to discover and preserve Hungarian groups settled outside of the country, amongst them the Csángó. The government established a department of Hungarian minorities abroad within the ministry of culture which financed different events meant to popularise the Csángó culture. Many Csángós arrived to Hungary during those four years (1998-2002) under FIDESZ government.

For several researchers the third factor named by Adler-Lomnitz is the most obvious, namely the Csángó identity. The paradox constrains in the fact that while they symbolise the origin of the Hungarian national identity by their culture and language as well, we are dealing with a population that was marginalised from Hungary's process of nation building.

The majority of the scientific works written after 1990 conducted the researches regarding the Catholics from Moldova through ethnicity (Peti 2006 Kinda – Pozsony 2005a). In the case of social scientists socialised after the regime change the focus moved somewhat from ethnicity to modernisation, namely how does “such a specific society respond to the challenges of modernisation and globalisation.” Although after the regime change the Csángó issues in social researches were a “famous topic”, communication among scientists was divided by political, ethnical or ideological approaches.

The following part includes the partial results and further expectations.

Partial results are mostly descriptive ones, showing that those persons who by the Csángó identity “made a career” (individual and economic as well), and in the same time they kept/keep their relations with the homeland and those who are still in Moldova are considered by others as elite members. If we think in the scheme of cultural, economic and political elite we can say that the first one can be divided in two subgroups ethnically and geographically as well. On first hand we have the local priests and teachers, on the other hand those Csángós who are studying in university towns, or who already have higher education. From the Csángó youth mostly those are mentioned as part of the Csángó intellectuals who study in Hungary. Their returning home is aggravated by several factors, such as the lack of eligible institution network and the hostile milieu in Romania, but in the same time we have to take in consideration the change of identity as well. The second group, the economic elite is composed by land owners, local entrepreneurs and those, who following the innovation, contracted work in foreign

countries (mainly Hungary, Israel, Italy and Spain) and they invest their earnings in Moldova. Instead of the (local) political elite the notion of Opinion leaders is much advisable. The main members of this group are the top members of the Association of Csángó Hungarians in Moldova (ACHM). Other people can be named in this group such as those who are active in the local government, or those who have a key position in higher political circles. These persons have a major role in organising cultural events. They are well connected with other Csángós from Romania, Hungary and other countries as well. The Csángó elite is emerging in the transnational space, with members who exercise their influence from other countries. Among those Csángós who settled in different parts of Europe, we can find several, who still play active role in their homeland.

Csángó villages in several aspects differ from other rural communities from Moldova or Romania but there are quite many respects in which they are similar. In regards of mobility of the youth, participation to guest-working waves, entertainment, new economic strategies, patterns of construction, are only couple characteristics enumerated by Peti (2006) as similarities.

5. Results and relevancy of the research

One of the relevancies of this research could be that the Csángó elite stratum – missed so much by the social sciences – is under focus by appearing as a consequence of international migration. Hopefully at the end of the research the different roles of elite members in the every day life of other Csángós will be understood, as well as the member recruitment.

This interesting subject of transmission of a minority elite is dancing on the edge of several territories which are even independently sensitive to interpretation, areas as identity, minority-majority, politics, etc.

During this research we use qualitative and quantitative data as well to observe the different social and personal networks between Csángós who are considered as members of the Csángó elite². Many could argue that – especially in this case – speaking about the appearance or the development of minority elite is a very complicated task, having difficulties at the very beginning with the definition of the elite.

² As a still running research we can lay only on partial results, so far I collected quantitative data in one village and I made interviews with Csángós from several villages who live in Budapest and are considered elites by other Csángós. Migration interviews during which data collection upon the elites life style and migration is possible, and thorough snowball sampling we can define the Csángó elite. Social network analysis regarding several cooperation networks concerning Csángó cultural event, publications, etc. were made, but other networks still need to be done. Personal network analysis (with EGO.net) will be used to study the elite members own personal network, focusing on learning and working relations, paying special attention to the transnational bonds and the differences among non-, ex- and still-migrants.

The money sent home in the sender society, the growth of consumption can be seen – the migrants bring some luxury goods from the receiving country – in appearance, the standard of living is higher. Migration has a double effect to the country of origin, on one hand the earnings are spent by the family that still lives in the country, they are buying luxury goods that the migrants saw in the foreign country, on another hand –and this is an important fact – migration means the loss of economic goods and resources, and the potential economic export as well.

Transnational migration connecting villages is a network phenomena, its development means the activation of complex local or transnational social networks that directly depend on the country and the migration antecedents (Sandu 2005). The second and third generation of migrants is following the footsteps of the first generation, by going along the ties of previous migrants. At the first step the human capital seems less important than the network capital. The explanation is logic, network capital can help to solve travelling problems, can help in finding a place to stay, can make the foreign environment more familiar, etc. The significance of the human capital appears when the seasonal migrant decides that he will be a long time migrant or even he will remain in the receiving country. Human capital might play the role of root cause in the process of emigration.

Regardless to the measure of migration we can say that not all migrants became elite members, but those can build a bridge between the geographically distanced regions by having heterogeneous personal networks are a firm base of the Csángó elite. Today being multi- and well connected is a status symbol. As such social capital is the catalyser for the appearance of the local/minority elite. In order to have the opportunity to leave in a foreign country and by this the chance to accumulate different capitals – which are unreachable by staying home – the structure of prior relations is vital. The migration chains and networks are based on personal –often related, strong tied – networks, connections.

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Social Capital Influence on Global Economic Crisis

Sinisa Zaric and Vojislav Babic

1. Introducing into problem

The world economy has fallen into the worst economic crisis since the Great Depression. The global economic crisis, brewing for a while, really started to show its effects in the middle of 2007. A sub-prime mortgage crack in the United States housing market during the summer of 2007 has had a ripple effect around the world. Expansion of crisis during 2008 brought to the entire series of enormous economic disturbance such as: a dramatic fall at stock exchanges, a collapse of huge financial institutions, impeded credit getting for corporations and customers, a production fall in many industrial sectors, a growth rate fall, liquidity problems of share and investment funds, devaluing of pension funds, public debt increasing and currency devaluation (Iceland crown, certain Eastern-European and South-American currencies, etc). Governments in even the wealthiest nations have had to come up with rescue packages to bail out their financial systems. As the crisis began widening during 2008 the trust in institutions, stock exchanges, business partners, suppliers and the whole system started to fail. Concerning the current economic crisis, it is essential to point out its global character. In contrast with the Great Depression and other crises of 20th century, the consequences of a current economic crisis have taken the entire world. Certainly, that is the result due to finalizing convergence process of economy systems and business globalization.

What are the reasons of current crisis? Are we discussing a financial or system crisis? Undoubtedly, global economic crisis represents serious socio-economic phenomenon whose causes are deep and complex. Generally, the crisis causes can be divided into two basic ones:

1. Discrepancy between real and financial sectors
2. Permanent fall of citizen trust into financial institutions (stock exchange, banking sector, Central bank, shadow banking system, hedge funds, structured investment vehicles and other non banking financial institutions) and by the time to the whole system.

Dealing with discrepancy of real and financial sectors it is necessary to say that there is a noticeable GDP growth rate fall in the Western countries starting from the 70s of 20th century. This fall has been gradual, but constant. The fall cause lies in market saturation due to lack of technological innovation. Since

early 90s of 20th century there have been no high commercial innovations which, within a short period, can be sold at low price in more than billion items (innovative wave of PC PS/2 computers and mobile phones) that could postpone the crisis once again. An alternative was to place a surplus of the capital into the financial market, which became more profitable than the productive capital investment. By the time it has brought to hypertrophy of a financial sector. The discrepancy between real and financial sectors is being increased year after year, but it has got unbelievable dimensions during the global economic crisis (Table 1).

Table1. Relation between GWP and annual turnover of securities on world stock exchanges

Gross world product/GWP	Annual turnover of securities on world stock exchanges
- more than 50 trillion USD - annual gold production in the world (150000 t ≈4,5 trillion USD)	- more than 500 trillion USD

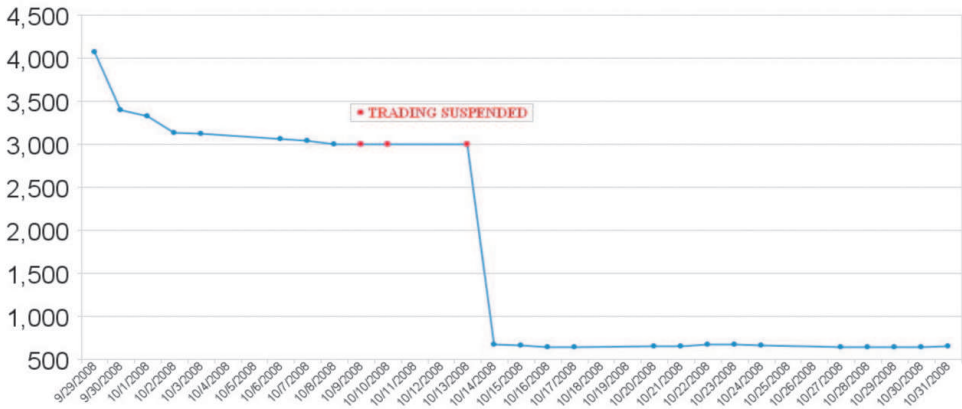
Source: Portal of economic analyses: www.dragas.biz Dec. 2008.

US monetary policy has especially contributed to hypertrophy of a financial sector encouraging over-leveraging of banks as well as investment funds and pushing of sub-prime lending. Intensifying this policy has been particularly noticed with Clinton’s administration. High leverage means high reliance on debt financing. When a financial institution or an individual only invest their own money that fact, in the worst case, can lead to losing the money mentioned before. But when economic subjects borrow in order to invest more (which is a case in leverage) they can potentially earn more, but they can also lose more than they have at all. Hence, leverage magnifies the potential returns from investment, but also creates a risk of bankruptcy. Bankruptcy spreads financial problems from one firm to another, from one bank to another which cause rapid descending of stability and trust in other financial institutions and, by the time, into entire system. Stock exchanges speculations of banking boards, shadow banking institutions (e.g. Lehman Brothers, Bear Stearns, various hedge funds, structured investment vehicles and other non banking financial entities) along with their greed and wish for unreal profits, brought to collapse of stock bubble at the end of 90s, but especially in the period from 2000–2002.¹ It has caused collective trust loss at a stock exchange which has

¹ In 2007 lending through the shadow banking system slightly exceeded lending via the official banking system. Therefore, the entities of shadow banking sector have become the leading financial subject in US financial system. Cf. : Krugman 2009. The Return of Depression Economics and Crisis of 2008,

made an influence on million people to start investing into real-estates as a “safe” alternative. That way a total stock exchange collapse has been put off by so-called feed of US housing bubble. Measures of American monetary policy for coming out 2001 recession have included cutting of interest rates which encouraged citizens to take mortgages to a greater extent as well as board banks to approve sub-prime mortgages. These are the mortgages given to insufficiently solvent clients with FICO credit scores under 640. In 2003 fixed rate mortgages achieved 50 years minimum. The housing bubble started to crash in 2007, as the building boom led to so much oversupply that prices could no longer be supported. Throughout the country housing prices began to fall sharply in autumn 2007. As the prices decline, more home owners face foreclosure. First victims of bubble’s collapse were Northern Rock, a medium size British bank, Bear Stearns and Lehman Brothers. In Europe the crisis crashed Iceland stock exchange and banking system (Chart 1.), brought to Hungarian bankruptcy along with many other consequences.

Chart 1. Crash of Iceland stok exchange
OMX Iceland 15



Source: Krugman 2009.

During the crisis, American stock exchange index Dow Jones has been declining all the time, noting its minimum in 2008. Let us remind: each fall of DJIA per 1% point in November 2008 caused disappearance of about 1300

Norton Company Ltd. Shadow institutions are not subject to the same safety and soundness regulations as depositary banks. They can have a very high level of financials leverage, with high ratio of debt relative to the liquid assets available to pay immediate claims. High leverage magnifies profits during boom periods and losses during downturns. These entities were vulnerable because they borrowed short-term in liquid market to purchase long term, illiquid and risky assets. This meant that disturbance in credit markets would make them subject to rapid deleveraging, selling their long term assets at depressed prices.

billion USD. In June 2009, for the fall of DJIA mentioned above the amount of 850 billion USD was lost (Dow Jones Indexes 2009).

These causes of economic crisis cannot be explained completely by using standard neoclassical model, but it is necessary to rely on social capital theory. In this analysis it is supposed that global economic crisis appears in periods where there are noticeable low stocks of social capital. The social capital presents social networks, norms and trust which enable coordinated collaboration for common profit realization. Trust and participation of citizens in business networks and informal clubs represent the key input variables for measuring social capital stock. Low levels of the mentioned variables make an influence on decreasing investments, GDP growth rate and in a longer term they cause a general decline of economic activities (recession) and even deeper system disturbance.

2. Lessons from the past

The importance of social capital for economy can be analyzed at three levels. It is possible to deal with positive social capital influence on micro-economic and macro-economic developments together with a financial sector (Babic 2008). From the micro-economic point of view, social capital stimulates resource merging such as food, credits, etc. Besides, social capital improves informal relations which make easier starting business and profit increasing. Social capital influence on firm level is manifested through dense business networks which stimulate economic collaboration and develop trust among economic subjects. The social capital appeared in a firm and among enterprises significantly decreases risk and business insecurity. The social capital enables an exchange of valuable information about products and market, also it decreases costs of contracting, regulations and forced payment. Transaction repetition and business reputation encourage the sides in order to achieve common profit.

Speaking about macro-economic development, it is possible to follow the influence of social capital on public and private sectors, as well as GDP level, economic growth, investment rates, trade extent, working mobility, economic inequality, etc. In recent 15 years some empiric studies are written to establish the existence of direct relations between the social capital on one hand and macro-economic parameters on the other one. In Putnam's study about regional inequality in modern Italy from 1993 there were some positive correlations established between social indicator (number of civil associations and trust level) and GDP/capita (Putnam et al. 1993). In Norwegian – Italian study, it was analyzed an influence of social capital on working productivity (Greve et al. 2006). In that study samples were used from 3 firms, 3 cities and 2 countries. Research is realized in three organizations dealing with R&D agencies and offering consulting services. Positive social capital influence has been proved (measured through number and

quality of realized business contacts during the work on project) on productivity (number of finished working projects) in all three cases. In a research study of Economic faculty in Tilburg from 2004 guided in 54 regions in 7 countries of Western Europe (France, Italy, Germany, Spain, Norway, Belgium and UK) there has been established a positive and significant statistical effect of *bridging social capital* (measured through average membership *per capita* in various associations) to GRP (Gross regional product) growth rate. In the study it is determined that various networks types overcome different communities and trust, and trust, improving through networks, protects members from rent-seeking so that it prevents reciprocal opportunism, and keeps already acquired reputation (Beugelsdijk and Smulders 2004). In an analysis from 2000 Temple gives evidence about positive trust influence on an economic growth. The influence can be seen in two ways: as a direct trust effect on a growth as well as a trust effect on investment increase. The investments, furthermore, make an influence on output increase per capita through some assumed relations between investment rate and expected level of technological efficiency (Temple 2000). Speaking about social capital influence on a financial system it is necessary to point out that about $\frac{4}{5}$ of the world population have neither fair access to crediting sources nor reliable possibilities for saving (Yunus 2009). In some developing countries more than 90% households have no access to institutional financial sources. When formal financial institutions weaken or are inaccessible, some poor communities develop mechanisms to merge their resources and financial loans. These informal mechanisms mostly include so called rotation savings and credit associations. It is especially important to point out specific micro-financial programs of Grameen Bank in Bangladesh. The Grameen Bank relies on social capital of the poor form groups for loans so that they could supervise contract realization concerning loans. That way the whole process is being given a significant dimension because the social capital is kept between the bank staff and the group loaning the money. In the next chapter it will be said something more about the social capital influence on formal financial institutions.

In order to analyze the social capital influence on current global economic crisis development, we shall scan social capital stocks in USA (epicentre of actual crisis) during 20th century. In connection with it, we shall refer to Putnam's measurements of American civil participation and trust. Also we are going to analyze famous Roper Data Base. The results of Putnam's researches about civil participation decrease in USA worried some of the outstanding politicians. Putnam's researches about social capital attracted attention of Bill Clinton and Tony Blair. Having seen danger in social capital level decrease in their countries, these statesmen organize specialized seminars dedicated to this subject in Camp David and Downing Street. Besides, Putnam's work encouraged numerous economists and statisticians to operationalize and standardize causal relations between social capital indicators at micro and macro levels. In longitudinal research from 2001 Putnam warns

about long-lasting trends of social capital stock decrease in USA during 20th century (Putnam 2001). According to the author's hypothesis, low stocks of social capital make a negative influence on economy activities and parameters of social prosperity. The author counted an average rate of membership in 32 national associations on voluntary basis (Parent-Teacher Associations, Rotary clubs, Lions clubs, Eagles clubs, Optimist clubs, various professional organizations such as The Institute of electric and electronic engineers IEEE, The American medical association, etc). The results can be seen in Chart N° 2:

Chart 2. Average membership rate in 32 national chapter-based voluntary associations during 20th



Source: Database Archive from The Roper Centre for Public Opinion Research

Membership growth rate was increased in the first thirds of the century prior to Great Depression when organizations lost half of the membership within 1930-1935. After that, there is a long period of enormous rate growth in which market share of the membership has been duplicated on average. Period between 1940 and 1965 represents the period of the fastest civil revitalization in the American history. However, soon after that period market share of organizations are stagnated (which represents an introducing into oil series crises of the 70s) and then it decreases that much so that the organizations are even faced with the fall in an absolute number of membership. Up to 1997 an organization average has been returned to a level from the Great Depression, referring to market share of membership. All the organizations haven't experienced membership waste at the same time. The first organization which experienced peak was American

medical association. Optimist organization was the last one to experience its peak. Market share of membership began to decrease from 1980 which was simultaneously the beginning of new recession series in USA (table 2). Soon after that, the organization plunged into real disaster so that the membership number decreased up to the level of the 30s in 20th century.

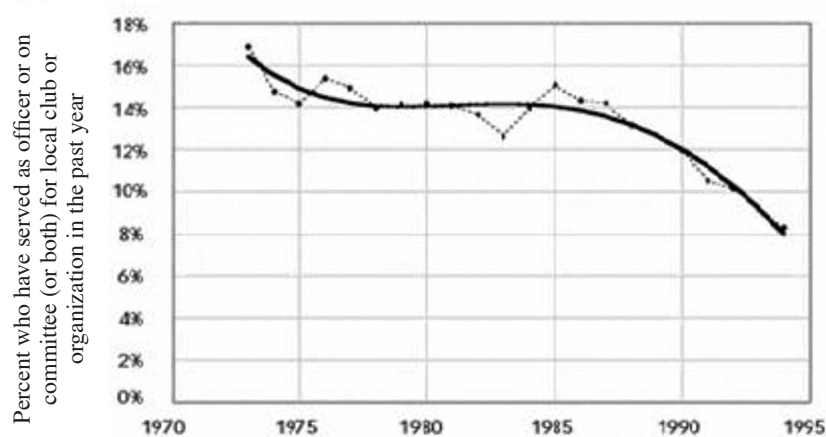
Table2. US recessions overview 1973–2007

Start – End	Duration
Nov 1973 - March 1975	16 months
Jan 1980 – July 1980	6 months
July 1981 – Nov 1982	16 months
July 1990 – March 1991	8 months
March 2001 – Nov 2001	8 months

Source: National bureau of economic research

To fulfil research, Putnam used the results from Roper Data Base. Roper`s surveys are realized every month over the last 30 years on a special national sample in USA. Apart from that, Roper`s survey has put questions the following way:” *In the course of the last year, did you do any of the following things: sign a petition, write a letter to your congressman, attend a local meeting, serve as an official of a local club, serve on a committee of any local organization, work for a political party, etc?*” Survey results show an undoubtful fall of all civil participation forms. In Chart 3 one can see percentages of Americans who took an active part either as officers or committees (or both) in local organizations in the past year:

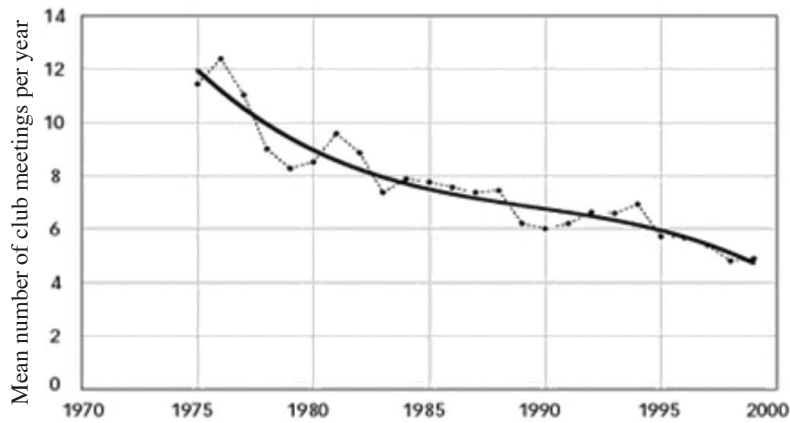
Chart 3. Active organizational involvement, 1973–1994



Source: The Roper Centre for Public Opinion Research

A curve indicates a dramatic fall of 50% with reference to the period of twenty years. A very similar situation exists with the attendance at club meetings within a year. In 1975 an average American citizen goes to 12, whereas in 1999 he goes to 5 club meetings (Chart 4.):

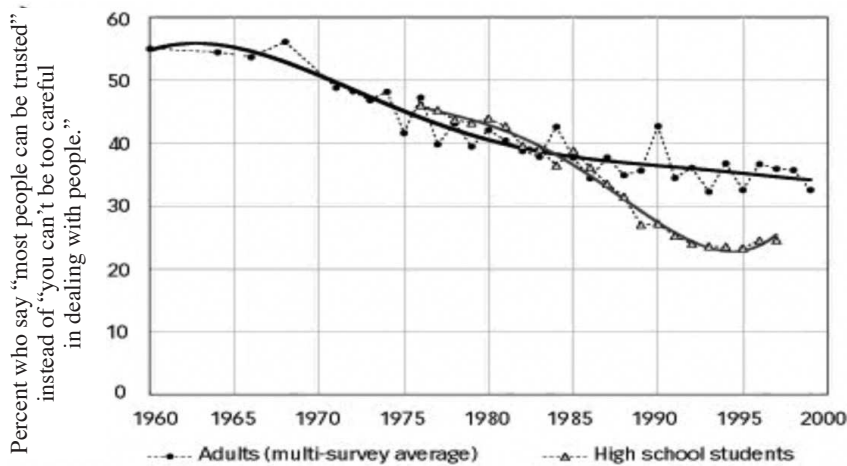
Chart 4. Club meeting attendance dwindles, 1975–1999



Source: The Roper Centre for Public Opinion Research

In Chart 5 one can see long standing level trends of social trust among American citizens:

Chart 5. Four decades of dwindling trust adults and teenagers 1960–1999



Source: The Roper Centre for Public Opinion Research

During 40 years in several researches citizens were put the same question: *Do you trust other people?* The chart shows steady fall which is bigger between American young population than between adults. In Putnam's studies it is supposed that social capital presents alternative way of order achieving in business activities. If an individual possesses dense connections and reciprocal network with other people, then he doesn't have to make formal arrangements with neighbours, business partners and other economic subjects. Therefore, social capital stock decline makes an influence on formal means expansion in contract realization. One of indicators of social capital declining is the lawyers' share in American economy. From 1900-1970 in USA there were 40 ± 1 lawyer on 10 000 employed people (Putnam 2001). Starting from 1970 that number is being increased while trust and social capital are being declined. Up to 2001 the lawyers' share is more then doubled in a total labour force. If one sums the results of Putnam's survey series about social capital, one can find the following. The author did longitudinal measurements of social capital stocks using composite index which include 13 various indicators organized in 5 groups: measures of community and life organization, public engaging measures, measures of voluntarism, informal sociability and social trust.² The author tried to develop theoretically coherent and empirically valid indicator typology in order to measure changes of social capital level. A general conclusion is that social capital stocks in USA have been falling down since the middle of the 60s in 20th century till present days. American citizen participation decreases in politics, civil groups, syndicates and professional organizations which causes a negative influence on economy prosperity (fall of GDP per capita in most American states which leads to a general fall of economy activities) and parameters of social welfare (low social capital index values in American states make a negative influence on national health balance, quality of educational system, crime rate, violence in a family and public places, economic equality, etc. (Putnam 2001)). The indicators show that social capital decreases more within younger generations and so that it is expected the state adequate strategy to stimulate active citizen participation in their communities in order not to cause a serious recession and social disintegration.

In Putnam's researches one comes across numerous results which indicate low social capital stocks at county, regional, state and international levels. That fact has a got negative influence on economic parameters as well as social welfare indicators. Besides, it was shown the existing long-term decrease

² These five indexes mentioned above are turned to a unique synthetic index of social capital through factor analysis. At first sight, it seems that a final index includes too many similar indicators which are mutually overlapped. However, by using a complex index the author's aim was to give a more complete picture about social capital level in such a wide space as it is USA.

trends of average participation rates in informal organizations, intensity of club activities and social trust were followed by deep economic crisis (The Great Depression, economic crisis in the 70s and 80s of the previous century etc.). Although the obtained positive correlations between social capital index and general economy activities Putnam did not shape in the strict uniform law, it is necessary to point out that they do have significance of tendentious regularities. In a methodological sense, this significance should not be neglected at all.³ Both the author's research study from 2001 and his essay from 1995 (Putnam 1995) warn American public to long negative trends of social capital and danger of a current economic crisis.

3. Importance of trust in the actual crisis

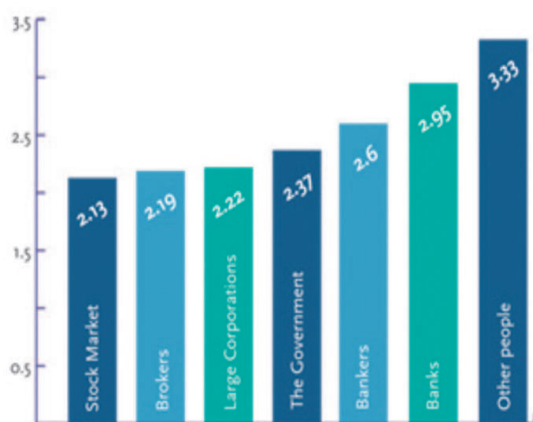
Trust is exceptionally significant constitutive element of social capital. A lot of authors give it the importance of weighted variable and some of them are even identifying trust with social capital. Trust represents correct expectations about the actions of other people that have a bearing on one's own choice of action when that action must be chosen before one can monitor the actions of those others (Dasgupta 1988). One can deal with several trust types such as: trust in one's capability and intensions, contract trust, voluntary trust, interpersonal trust, institutional trust, etc. In this chapter we shall focus on *financial trust*. We are starting from assumptions that trust fall in American system is a cause of generating global economic crisis. Without trust in financial system investments stop, demand for plants, machinery and vehicles dries up, suppliers of business services suffer, consumers become more concerned about potential job losses, households spending contract too, industrial production is falling down, returns on investments diminish and GDP comes down. American civil trust in a financial system exists at a low level. According to *IRC Survey* from December 2008⁴ only 20% Americans have trust in the financial system. Citizens have the minimum trust in stock market and brokers. (Chart 6)

³ As for accuracy degree of sociological laws, Mill advocated the opinion that can be derived from them only conclusions about the general tendencies. Due to the great complexity and diversity of specific socio-economic situations, Mill believes that in the society can predominantly be found laws that are tendentious regularities, but not uniform laws that would be realized without major variations in different situations. Mill considered that this is quite enough for most practical needs. See: Mill (1986).

About important epistemological differences between uniform laws and tendentious regularities see also: Braithwait 1953

⁴ Telephone survey on a representative sample of 1,034 American households from Dec. 17–28, 2008.

Chart 6. Trust in people and institutions

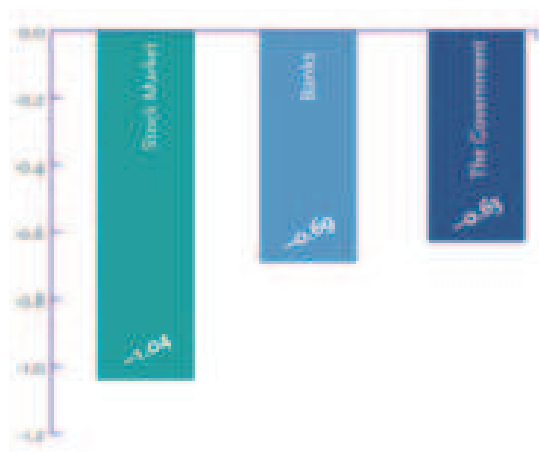


Average response on a scale from 1 to 5 to the question, "How much do you trust ..." where 1 means "I do not trust at all" and 5 means "I trust completely."

Source: IRC Omnibus survey Dec. 2008

These are followed by big corporations (2.22), Government (2.98), bankers (2.6) and banks (2.95). As it can be noticed, interpersonal trust (3.33) still has not been significantly disturbed. However, less trust is perceived in financial subjects such as brokers (2.19) and bankers (2.65). Public opinion shows an exceptionally negative picture about brokers which can be explained by their affinity towards speculative investments and acquiring unreal profits. Being asked how their trust has been changed in some of these institutions in the last 3 months, the interviewees answered the following way (Chart 7.)

Chart 7. Change in trust in the last three months



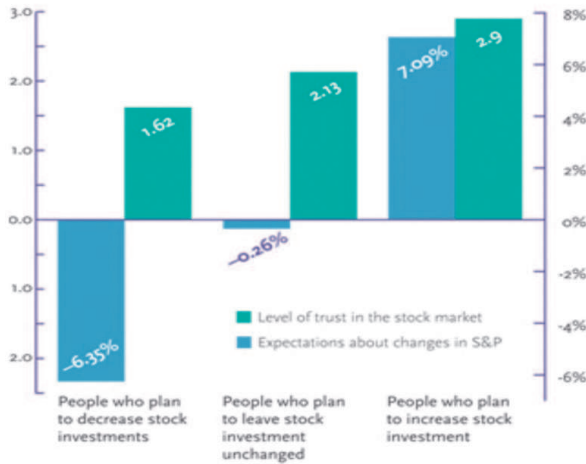
Average response to the question, "How has your trust in some of these institutions been changed in the last three months?" "Would you say your trust in ... has 1) Increased a lot; 2) Increased a little; 3) Decreased a little; 4) Decreased a lot; or 5) Has there been no change in your trust.?" We recoded 5 as 0, 3 as -1, 4 as -2, 1 as +2, and 2 as +1.

Source: IRC Omnibus survey Dec. 2008

On average, the greatest number of interviewees *decreased a little* trust in stock market in relation to three months before. A more authentic picture could be achieved if the question was put like this: *How much has your trust been changed in relation to 12 months before?*. From a methodological aspect, more complete results could be obtained even if there was the corresponding date base to analyze time series in a couple of years backwards.

To examine trust influence on economic decision of citizens, the interviewees were asked if they planed to increase, decrease or leave unchanged their investment in the stock market in the next several months. Great majority of 80% interviewees answered that it was their plan to hold the same level of investments, 11% of examinees were planning to increase investments, while 9% were having a plan to decrease them. Among those interviewees who were planning to withdraw the stock market, an average trust in the the stock market was 1.62 (Chart 8.)

Chart 8. Intention to buy stocks, expectations and trust



The level of trust in the stock market is on a scale from 1 to 5, where 1 means "I do not trust at all" and 5 means "I trust completely." Expectations about changes in the S&P" is the percent average return expected over the following 12 months.

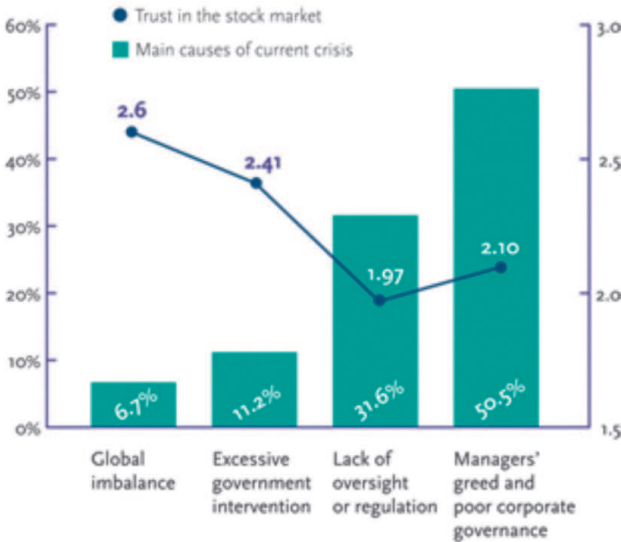
Source: IRC Omnibus survey Dec. 2008

In order to connect the respondents` intention to buy stocks and their expectations of future market performance they were asked how the Standard & Poor's 500 index would move in the next 12 months. 32 % of respondents expect negative trends of the index, 31% think that return will be equal to zero whereas 37% of them consider they will have a positive return.

Who is a generator of citizen trust fall? To answer this question we consulted IRC data base from December 2008. We analyzed given answers to the following question: "In the latest twelve months how much percentage has your financial wealth been changed?" We have established a fact that lost sum

is not in correlation with total trust (interpersonal trust and institutional trust). However, a positive correlation of a lost financial amount has been established in a positive correlation with changes in the trust toward the stock market. To the question: "According to you, what is the main cause of the 2008 crisis", the interviewees replied to six given answers the following way: the majority of interviewees (36%) sees the main crisis cause in managers' greed, 16% in lack of oversight, 15% to poor corporate governance, 15% in lack of regulation and 6.7% in global imbalance. Due to a clearer survey and further statistic operations, crisis causes are ranked the following way (Chart 9.)

Chart 9. Causes of current crisis and trust in the stock market



Source: IRC Omnibus survey Dec. 2008

If one crosses the variable named *trust in stock market* with crisis causes mentioned above, you can see that the lowest trust in stock market have people who consider lack of oversight and regulation as the main causes of crisis. In the second place, the respondents see managers' greed as the principle crisis cause as well as in bad corporate management. Talking about the respondents' attitude to The Emergency Economic Stabilization Act of 2008 by Treasury Secretary Henry Paulson (commonly referred to as a government bailout of the U.S. financial system), even 80% citizens have got less trust in investing in the stock exchange after government intervention on a financial market in the last 3 months (De Wolf *et al.* 2008). According to 40% of

respondents, a key factor in this lack of trust is that the main purpose behind Treasury Secretary Paulson's act is the interest of Goldman Sachs⁵ and not the interest of the country.

On the basis of received data one can conclude that trust in American financial institutions and market has been significantly decreased in the observed period. Trust lack is correlated with citizen willingness to invest in stock exchange and with a tendency to withdraw bank deposit. As for financial trust decrease, the citizens mostly blame greedy brokers and managers, as well as stock market institutions. Trust crisis is gradually being spread on the whole American economic system and through channels of global business to the entire world. Respondents' trust decreases in big corporations, banks, mutual funds and government. As the key factor for financial trust decline, the respondents state that government has wrongly intervened on a financial market being involved in an interest service of big speculative capital owners.

4. Social Capital and the Global Economic Crisis Impact on Balkans

The first global economic crisis has a great impact on economies of Balkan countries. Analyzing the reasons for such heavy problems caused in the economies of Serbia, Croatia, Bulgaria, two main reasons could be distinguished. On the one hand, there are some global issues and consequences due to globalization and strong interconnection. Namely, the process of internationalization of the national economies of Balkan countries makes it sensitive to changes in the world market, and especially, to changes and problems in our leading partners, and these are the economies of the developed world. For the purpose of the paper, we shall leave these reasons aside. On the other hand there are internal reasons, where the countries show some particular characteristics, but have also a lot in common.

The problem of the low stocks of social capital in Balkans is permanent, and its importance is underlined in the times of recession. There are many traditional and historical reasons for having such poor stocks of social capital. We shall point some of them:

a. Turbulent transition process in which many norms, customs and institutions are still not replaced with a new one. In all the countries it was not easy to understand transition as a process of restructuring of institutional infrastructure. Although the crisis has a certain impact on social capital, our analysis considers the low stocks of social capital as one of the main factors that are generating

⁵ The Goldman Sachs Group is one of US. leading private full-service global investment banking and securities firms being famous for various corporate affairs from 2006–2009. This Group has been one of the main users of government bailouts during the 2007 crisis.

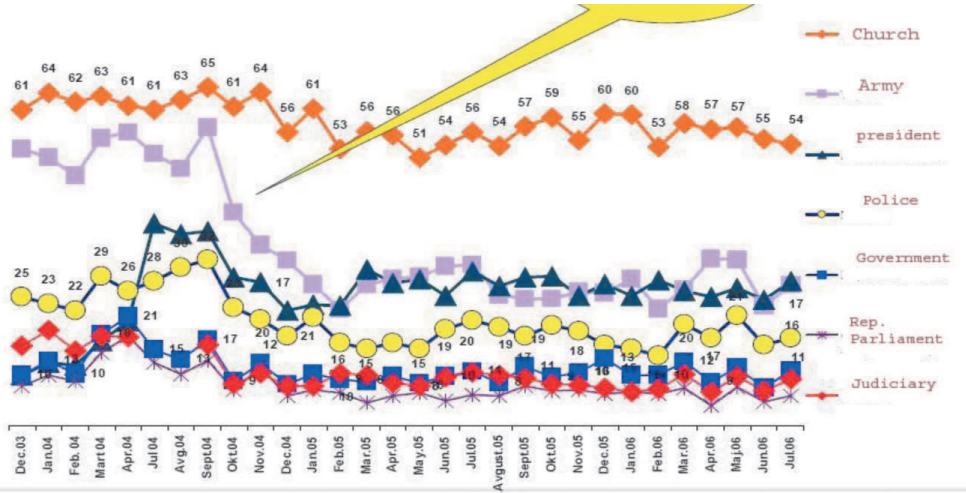
the crisis. The post-socialist economies are sharing some of the characteristics of creating the social trust. (Kornai et al. 2004). Many relevant studies are reporting the weakness of social capital in South-East European countries.

b. Many of the ties among people have been destroyed and the networks of civil engagement are under construction.

c. If we point that one of the most important dimensions of social capital is a trust, particularly trust in institutions, the surveys from almost all the Balkan countries report on extremely low level of trust in institutions. The mistrust in institutions is limiting the expected outcomes of the undertaken reforms in many of the Balkan countries. In the context of the global economic crisis, it also means that government's measures against the crisis and some of the "rescue plans" are going to be implemented with a delay, and never fully in power. Here, one could see the advantages and faster recovery of some of the economies which are not only stronger in pure economic sense, but also gifted with bigger stocks of social capital.

d. In all the surveys in Serbia, that measure citizen's trust in institutions, the trust in government and in Parliament is extremely poor (Chart N° 10):

Chart 10. Trust in Serbian Institutions



Source: Strategic Marketing 2006.

Almost the same results are reported in the surveys of CESID⁶ and IZIT⁷ (2009). According to Vesna Pesic, the citizen's main reason to report mistrust in public institution is the opinion that public institutions do not serve public interests (Pesic 2007).

In the period before the global economic crisis has started, Bulgaria had a rapid economic expansion. The country is facing the current slow down with optimism due its voluminous foreign exchange reserves and buffers in the fiscal reserve account and in the banking. However, the low trust in institution⁸, the problem of corruption and social cohesion building process are seeking a „strong banking sector supervision and more stringent prudential regulations than in other EU countries ...to help mitigate the negative impacts of global financial turmoil on the Bulgaria's banking sector.”(World Bank 2009)

e. Stable interpersonal relationships, characterized by a certain level of density enable social capital, as Coleman says to act as a productive force. But, are the organizations in poor countries examples of dense interpersonal relationships?

f. In real economies (not in virtual ones) the business operates in the environment of information asymmetry. Lowering transaction costs are based on loyalty, interpersonal trust and reputation, various economic activities are facilitated due to the role of social networks. Very good examples of associations are Lions and Rotary International. Here are some of the facts that illustrate the development of this movement. (Table3.)

Table 3. Membership in Rotary Clubs

Country	Total number of members	
	2008.	2009.
Serbia	1.071	1.155
Montenegro	107	140
Bulgaria	2.306	2.426
Slovenia	954	992
Germany	18.075	18.583

Source: Rotary International, Directory 2009

⁶ CESID 2009 The survey sample: 5000 households. Finished on May 26.2009. Only 5% reported trust in Parliament , and 7% trust in Government, <http://www.cesid.org/>

⁷ Not very different are the results of the survey organized by Belgrade Marketing Researches Institute IZIT. The sample was the representatives of 200 companies. We could not find original documents, just newspapers reports

⁸ Trust or mistrust in institutions appears as a main problem. In Bulgaria, a survey conducted by the Institute of Open Society reports that Bulgarians trust European institutions over their own. Practically, the mistrust in countries political establishment is reported (Sofia Echo 2008). In the context of the crisis it means that “imported programmers” have better chances to succeed.

Concerning the so-called density of Rotarians (number of members per capita), we can notice that in EU member countries (Slovenia and Bulgaria), the density is much higher than in other two countries (Serbia and Montenegro), what illustrates the capacity for associating. Number of members per capita (in promiles) is: Slovenia - 0.48; Bulgaria 0,34; Montenegro 0,20 and for Serbia 0,14 (Zaric 2009).

g. Various types of corruption, reported from international sources, that characterize the everyday life in Serbia, Bulgaria, and some other countries, linked with other phenomenon such are the tycoons and their networks, the recovery of the party-state system (due to the low democratic capacity) could produce new forms of a negative social capital which could worsen the economic situation (Keefer 2005).

The level of social capital strongly affects the national economy. During the crisis, low stocks of social capital in most of the Balkans countries, participate in dramatic and turbulent events in many of the economies in the Region. Although there are no synthetic studies on all the dimensions of social capital in the Balkans, we can summarize that a critical factors are: low level of interpersonal trust, poor trust in public institutions and low capacity for associability. In addition, there is a danger of being short-sighted toward the manifestations of negative social capital and a lack of support for more cross-border social networking, so important for a new, global world.

Conclusion

The world has been facing with the biggest economic crisis since 1929. The epicenter of the crisis is USA. Due to finalizing convergence process of economy systems and business globalization, the consequences of a crisis have global character. The crisis causes can be divided into two basic ones: 1. discrepancy between real and financial sectors and 2. permanent fall of citizen trust into financial institutions and by the time to the whole system. Enormous expansion of financial sector has been followed by falling down of trust in financial institutions. It caused numerous consequences such as: investments stop, drying up of demand for plants, machinery and vehicles, suffering of suppliers, consumers fear about potential job losses, contraction of households spending, falling down of industrial production, decreasing of GDP, etc. These causes of economic crisis cannot be explained completely by using standard neoclassical model, but it is necessary to rely on social capital theory. In this analysis it is supposed that global economic crisis appears in periods where there are noticeable low stocks of social capital. In order to analyze the social capital influence on current global economic crisis development, we scanned social capital stocks in epicentre of actual crisis (USA) during 20th century.

According to Roper data base, general conclusion is that the existing long-term decrease trends of average participation rates in informal organizations, intensity of club activities and social trust were followed by deep economic crises (The Great Depression, economic crisis in the 70s and 80s of the previous century etc.) The social capital downturns at the beginning of new millennium represent the introduction in global economic crisis. On the basis of 2008 IRC omnibus survey, we have concluded that trust in American financial institutions and market has been significantly decreased. Citizens invest less in stock market and withdraw more bank deposits. Talking about for financial trust decrease, the citizens mostly blame greedy brokers and managers, as well as stock market institutions. According to numerous respondents, the key factor for financial trust decline is bad government distribution of bailouts due to interest connection with big speculative capital owners.

During the crisis, a low stocks of social capital in most of the Balkans countries, participate in dramatic and turbulent events in many of the economies in the Region. According to the existing studies about Balkan social capital stocks, we can summarize the following critical factors: low level of interpersonal trust, poor trust in public institutions and low capacity for associability. Besides, there is a danger due to manifestations of negative social capital and a lack of support for more cross-border social networking which is so important for a new, global world.

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Literary Market, Networks and Some Characteristics of Literary Prizes

Tatiana Stoitchkova

1. Introduction

The process of cultural markets has garnered increased attention from cultural sociologists in recent years. (DiMaggio 1987, Caves 2000). Different types of cultural sectors indicate that market differences are considerable – for example traditional arts vs. cultural industries, profit sector vs. non-profit organisations. Market and marketised settings in literature and arts are more responsive to the desires of the buyers than those of the sellers; consequently, writers who do not gear their work toward audiences do not sell well.

This paper attempts to examine some characteristics of the literary market as it relates to literary prizes. Further, the concept of a ‘field’ of cultural production can help to clarify the significance of the network and the commercial and symbolic success of arts and literature. The paper concentrates on examples from the theory of Bourdieu. The concept of a ‘field’ of cultural production can help to clarify the significance of the network and exchange a wide variety of different types of cultural currencies, commercial and symbolic aspects of arts and literary products. It is important to mention the relative impact of factors such as market position, reputation, and institutional influence on the social positioning of writers. The paper furthermore briefly discusses different meanings and the complexity of networks. It concludes that implications for literary prizes are discussed.

The production of literature is conceptually, as well as practically, related to the *market*. Books are represented by the market and also conditioned by it. Books are advertised, sold in bookshops, lent in public libraries (or private by individual customers) and writers compete as producers to seek also commercial success. According to Bourdieu while literary markets emerge to challenge the economic fields, it remains only relative and subordinate to the economic capital. The literary market emerges where different agents can exchange a wide variety of different types of cultural currencies.

Recently there has been a convergence of interest in cultural and literary markets in a variety of disciplines such as economics, sociology, and anthropology. (DiMaggio 1982, Peterson 2004, Hirsch 1972). Most cultural markets are characterised by a fragmentation and an uncertainty as to which cultural producers will succeed. According to Richard A. Peterson ‘*markets are constructed by*

producers to render the welter of consumer tastes comprehensible'. Producers interact with and observe each others' attempts to satisfy consumer tastes. In this case, the literary market is defined by taste and participation in book culture. Once consumer tastes are seen as a market, those in the field tailor their actions to create cultural goods like those that are currently most popular as represented by the accepted measurement tools. In the literary industry, for example, these are numerous reviews, charts published by magazines. (Peterson 2004:327)

According to the French sociologist Pierre Bourdieu's analysis, the **literary field** is a market of symbolic goods where 'disinterest' dominates and an autonomy is enjoyed. To a certain extent the cultural field is distanced from the economic and political fields. It occupies its own social realm, with its own agents – publisher, editors, academics, critics, literary magazines, public libraries, cultural organisations, traditions and form of positions and struggle. These specialised institutions are involved in the production, distribution, and consumption of literature (judgment of particular categories of literary products) which interact with each other and influence the market and the behaviour of readers and culture consumers with whom they also interact. Bourdieu regards literature as polarised into two domains, into two subfields of high literature and popular literature. On one hand, is the high literature, the restricted field of artistic production, in which art is produced for art's sake, cultural and symbolic capital dominate, and the economy partly functions as a pre-capitalist gift economy. On the other hand, there is an extended field of production, in which external demands and commercial success are quite important. In this case – economic capital dominates cultural and symbolic capital. In the literary field we have both, economic and symbolic capital. The larger the extended field the less autonomous is the field of art as a whole, and vice versa (Bourdieu 1996)

In this field there is also a competitive game of struggle and power, the literary field needs competent participants endowed with the right sense of seeing things as art (Bourdieu 1996). 'The competitive game is a polarised 'field of force' consisting of opposed positions determined by reciprocity in 'a network of objective relations', which is rooted in an unequal distribution of different forms of capital: economic, cultural, social and symbolic. Cultural capital refers to the educational qualifications and accumulation of culture and social capital includes the resources that can be mobilised through membership in social networks of actors and participants. (Bourdieu 1992)

On one hand, the literary production is a private-sector concerned with the publishing industry, the products which are linked with the aspects of the market. On the other hand, the literary field could be also defined according to the dependence upon the state – the state acts as a regulator of cultural policy fields protecting national interests. In Bulgaria the Ministry of Culture advises

national and local authorities on public subsidies for literature. There is some state support for writers, organized through the Ministry's *Books and Libraries Directorate* (Former National Book Centre)¹ National Fond for Culture and the local and regional cultural administrations. Writers apply for support from the national government and international foundations, although such support remains limited. Here is evident the state intervention in the market - state subsidies, public policy intervention and the promotion of the publishing of non-commercial Bulgarian literature.

Discussing these issues the article places some of the Bulgarian literary prizes within the broader context - major changes in the literary world from the late 1990s that affected the market, production and consumption of literary products; and the ongoing debates within literary academia.

2. What are the effects of the literary prizes on the interest in reading and the market in Bulgaria?

The contemporary Bulgarian literary market is a small one. According to Vesselin Todorov, the current chair of the Bulgarian book Association in 2009 there are about 2000 registered publishing companies with an ISBN in Bulgaria, but real players on the book market are those who take part in the Sofia Book Fairs organised annually, i.e. approximately 220–250 publishing houses.² Needless to say that *literary prizes* are part of our contemporary cultural landscape. And in the past twenty years, a lot of literary of national awards have been introduced. What are the effects of the literary prizes on the wider perception of writers and books and the market? What are the main influences inventing and awarding prizes? Who are the actors creating prizes? At the pinnacle of the Bulgarian literary prizes are the Hristo G. Danov National Literary prize (for Bulgarian fiction, translated fiction, humanitaristics: art of the book, children's literature, book distribution, libraries, online publishing)³, the corporative prizes of the Vick Award (for novel), Helikon

¹ The Ministry of Culture 'promotes the publishing of non-commercial Bulgarian and translated literature. The Book Aid Programme (1991) supports publishers of certain types of literature on a competitive basis: contemporary Bulgarian literature and literary heritage; Bulgarian human studies, reference works and encyclopaedias, and translated human studies literature. The Programme has supported 230 projects with a budget of BGL 412 707', available from: <http://www.culturalpolicies.net/web/bulgaria.php?aid=426>

² available from: http://www.novinite.com/view_news.php?id=110654

³ The prize "*Christo G. Danov*" was established in 1999 by the Ministry of Culture, National Book Center and Municipality Plovdiv – the prize is awarded each year on the occasion of the 24th May. The prize 'Helikon' was established in 2002, and the Vick Award was founded in 2004, with the intention to recognise the best Bulgarian novel of the year to lead to translation rights and to gain also international attention. Balkani publishing house was founded in 1991 to promote 'the beneficial cultural and business cooperation between the neighboring Balkan countries and especially between the Bulgarians and their neighbors.'

(for fiction). The Union of Bulgarian Writers hands prizes for poetry, novels, and essays. Most of the literary prizes do not offer significant prize money; and they encompass a different measure of prestige (symbolic capital) for the winner and publishing houses.⁴

I selected 3 different prizes for the period 2002-2009. It is clear from Table 1 that the list winners is dominated by the Janette 45 publishing House (although the period 5–7 years is not long enough to collect and compare data accurately).

Table 1. Prizes for publishers, 2004–2009

	2009	2004-2009	2002-2009
Publisher	Hristo G. Danev	Vick	Helikon
Janette 45 Publishing House	4	1	3
„Atlantis”	1	1	
Faber Publishing House			
Publishing House Trud			
Delta Entertainment		1	
Balkani publishing		1	
Biblioteka Publishing House			1
Colibri			1
Siela			1

Among other prizes and awards are: The Writers society – Ivan Nikolov prize, Razvitie Fund (for contemporary novel), Radio’s *Pavel Veshinov Award* (for criminal short story), “Askeer” theatre prize for dramaturgy⁵, to name just a few. Somewhat lower on the hierarchy (although some of them should not be underestimated) are the numerous prizes for literature in almost every city or town – ‘Golden Pegasus’ in Bourgas, Elias Kanetti in Russe, “Plovdiv” and Varna’ awards, Christo Botev, Jordan Jovkov in Dobritch, Yavorov” Chudomir, Anna Kamenova, Gencho Stoev, etc.⁶ All literary prizes are different with various status and symbolic capital. Most of their organisers (including judges, critics, and members of the committees) understand themselves as an authority which seeks to protect and cultivate Bulgarian culture and literature. Some of the

⁴ The exception is the Vick Award valued Lv 10, 000.

⁵ Dimitre Dinev was awarded the coveted “Askeer” for his play “Haut und Himmel”, 2008. Other Bulgarian writers abroad are Iliya Traianov, Zahari Karabachev, Miroslav Penkov.

⁶ May be the growth in the number of awards will have the effect of devaluing the whole prize system?

representatives of the municipalities involved with awards seek to develop local cultural policy's strategy advertising their own town. Literary prizes illustrates the cultural function of branding, is therefore a specific attempt to improve the image of the town with some kind of fashion or media event 'constructed through the actions of a variety of participants'. Participants in the literary prizes realm have also a vital role regarding the differentiation and struggle between genres – some prizes are more central in some genres than in others – fiction, Bulgarian fiction, foreign literature, non-fiction.

It needs to be said that prizes have several positive aspects, especially and also within the Bulgarian context. First, they increase awareness of newly published books and authors. To some extent they also have practical consequences for the market and consequences for arguments about the taste of reading increasing sales of a particular book. It may be interesting to analyse the question how literary prizes could help to change literary culture. The view of Mihail Nedeltchev is that in the Bulgarian literary system do not have an acknowledged award accepted by every literary community similar to the Prix Goncourt in France or Nike in Poland.

Another important question is the relation of the market price and the determined aesthetic value. Sometimes profound differences exist between the ways in which critics personally value the literary work and the market success. What is important about the evaluation criteria is that, maybe at the same time each award is characterised by its own evaluation criteria.

The literary prize system is characterised by a tension between market and literary value. Particularly in large market systems, but also in certain others there is a substantial demand for new literary texts. Literary prizes also are a particular kind of classification of books according to category or genre and a particular kind of judgment about evaluation criteria. What about the terms 'right' and 'wrong'? Bourdieu's distinction, within the 'field of cultural production', between the sub-field of 'restricted production' and the sub-field of 'large-scale production', describes more or less the distinction of – high-popularity, literary value and market and the manifestation of the literature product as a commercial commodity and as a symbolic and cultural good. (Bourdieu 1993). H. Verdaasdonk notes: "*Producers and distributors of commercial goods aim at a long-term or short-term maximalisation of profit. By definition, this implies minimalisation of costs and maximalisation of returns. The off-take should be as large as possible. From a commercial point of view, the quality of the product depends on the degree to which it satisfies the criterion of maximum profit. It is generally held that the nature and quality of works of art should be determined on the basis of entirely different, viz. artistic consideration.*" (Verdaasdonk 1983 : 384)

On one hand the literary values and masterpiece are defined in the theory of literature and academics judgment. Critical judgments require the application of specialised skills and information which are essential. Judges are chosen because of their professional and social capital (here we have the necessity of *'the right sense of seeing things and actions in art/ literature'*). They give legitimacy to the market, and could be defined as an important feature of contemporary literature's marketisation. The public recognition of a text as a literary text is in the literary theory and criticism but at the same time many well-known examples of "serious literature" over the centuries have successfully combined literary quality with commercial success. Markets produce winners and the economy of market defines bestsellers and blockbusters like Dan Brown and J. K. Rowling. In the Bulgarian context – Christo Kaltchev reaches mass readers. The awards can also impact the market (Emil Andreev with 10 000 printing copies) but it is not sure that they guarantee always a greater increase in sales of the winning novel. Consequently, it is difficult to find universal criteria for evaluating. There are no official normative critiques like in socialist times. There are no fixed, invariant set of characteristics which account for literary quality. Vladimir Trendafilov talks about boundaries erosion between 'high' and 'popular' in the market. (Trendafilov 2008).

In conclusion, although literary prizes in Bulgarian context exist in market situation (where market settings in literature are more responsive to the desires of the buyers than those of the producers) they remain mainly author or product oriented. The juries include well-known editors, academia, creators-writers and directors each develop their own criteria, all in an atmosphere of minimal direct feedback. Consequently, writers are more responsive to the author and the literary product, than to buyers and sellers.

3. Literary Networks

The practice for awards and prizes is sustained by institutional structures and networks. Central to this field is the notion of power and struggle, central to network is information, as a tool for communication. **Network** itself exists in various forms, it refers for example, to kinship, personal ties between individuals and groups or it reflects particular forms of professional or institution communication practice undertaken by participants, institutional contacts and exchange. It is being organised among groups, individuals and institutions in the literary field.

Cultural networks have been on the rise for some time. Cvjetianin notes that the term "*age of networks*" was coined in the nineties it was due to the fact that a large number of networks suddenly appeared, especially in the field of culture. In the meantime, as a flexible communication tool, many of those networks have ceased to exist, only to be replaced by an ever growing number of new networks,

which aim to introduce new contents and new ways of interconnecting. (Cvjetianin 2003, quoted in Madden) The network approach in the cultural field has generated relatively a large scholarly literature (Wiesand 2002, Mangset 1997, Madden 2005) A network is defined as ‘a “*community of practice*”, whose practitioners may be recognised by coherence among three dimensions: a joint enterprise, the mutual engagement of its members and a shared repertoire of resources (Wiesand 2002:376, quoting Wenger 1998). There is the interesting work on the role of networks to engage in comparative documentation and research. (Schuster 2002)

Podolny suggests that markets function as networks in two ways. First, as prisms, networks refract prestige by signalling legitimacy and credibility connected with particular market offerings. And second, networks serve as conduits through which products and services are replicated across diverse markets (Podolny 2001, quoted Peterson 2004). Per Mangset’s view is that the network is a distinct communication system for the production, distribution and consumption of cultural expression, particularly artistic expressions. Each network has got its specific senders, its distribution channels and its recipient, with several common characteristics (Mangset 1997). Further Mangset distinguishes an elitist, b) an egalitarian-corporative and c) an instrumental network (Mangset 1997: 98 f).

Networks also have a vital role regarding the differentiation and struggle between agents and institutions. Some networks are more central than others. Looking at the literary prizes in the Bulgarian context, it is possible to suggest mainly two types of networks. To be schematic – first, core literary network, characterized by professional contacts and exchange with more or less competitive hierarchy, which in itself is structured around the gatekeepers’ position that imposes on all who enter the space or who enter the market. Gatekeepers select a number of available books for nomination; decide what and who is to be nominated or awarded. This network is integrated into a quite hierarchal literary system, where a few powerful gatekeepers dominate. Such gatekeepers, critics and at the same time, writers and academics as a part of juries selected from committees, have key positions within the literature prizes milieu.

Thus, artistic gatekeepers regulate access to each step in the literary hierarchy of arenas for presenting the literary texts (see Mangset 1997). Intermediaries between them are essential here, as they act as gatekeepers, by choosing which literature works will be nominated, awarded and offered for public attention and sale. Usually the organisers of the prizes choose well known literary personalities and academics as the juries members/judges. According to Mangset the agents of the network use strategies of promotion by building good personal relationships, preferably with the most important gatekeepers in the literary realm. In other words it is a quite important factor to have some kind of *informal social competence*. “To have access to, be able to manage,

a particular kind of information which circulates within the most important arenas of decision-making (Mangset 1997).

Secondly, the network is more peripheral and characterised by more participation value in the literary life community. The agent of this network gives priorities to activities that promote more local literary and cultural life, local contact and exchange and also amateur activities, local roots and writers clubs and so on. Such initiatives outside the institutionalised channels often have local roots, and this is a priority within this network (Mangset 1997). It intends to use the information accumulated by organisers of different literary award events, in order to support the cultural life in the city. As “two ideal types” these networks do not have clear boundaries.

But in recognising these two types of networks, it is also important to draw the attention to the informal personal ties between participants and groups. A look at the Bulgarian periodical press shows a lot of controversies concerning not only the usual debates over the subjectivity of prize-awarding processes, but also conflicts within the composition of the jury. Vladimir Trendafilov identifies different problems in the literary prize realm such as lack of transparency, and conflicts in the organisation of the award. At the same time the awarding prizes raise a number of discussions in public realm that are of vital concern to the questions of today's and tomorrow's Bulgarian literature.

4. Conclusion

Literary prizes are part of the complex process of production, distribution and consumption of literature; part of the picture of the contemporary literary field includes national and local authorities, publishing houses, editors and not least the critics and journalists who mediate between producers and consumers, authors and readers. Per definition they may generate promotional and commercial advantages, but in the Bulgarian context the observations point to a contradiction between market and product and author orientation. Editors, academia, creators-writers, directors and gatekeepers each develop their own criteria, all in an atmosphere of minimal direct feedback.

The literary markets are characterised by uncertainty. Contemporary literature lacks universal formulas for evaluating. Consequently, networking could be seen as a vital response to the increasingly fragmented and uncertain literary environments and markets; and as a tool that can offer more stability in a changing professional field.

Finally, in identifying these types of networks in the literary prize realm, I do not suggest that this can provide answers to all questions about their role in the literary field and market, but by all means they deserve further discussions and close attention in future research.

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